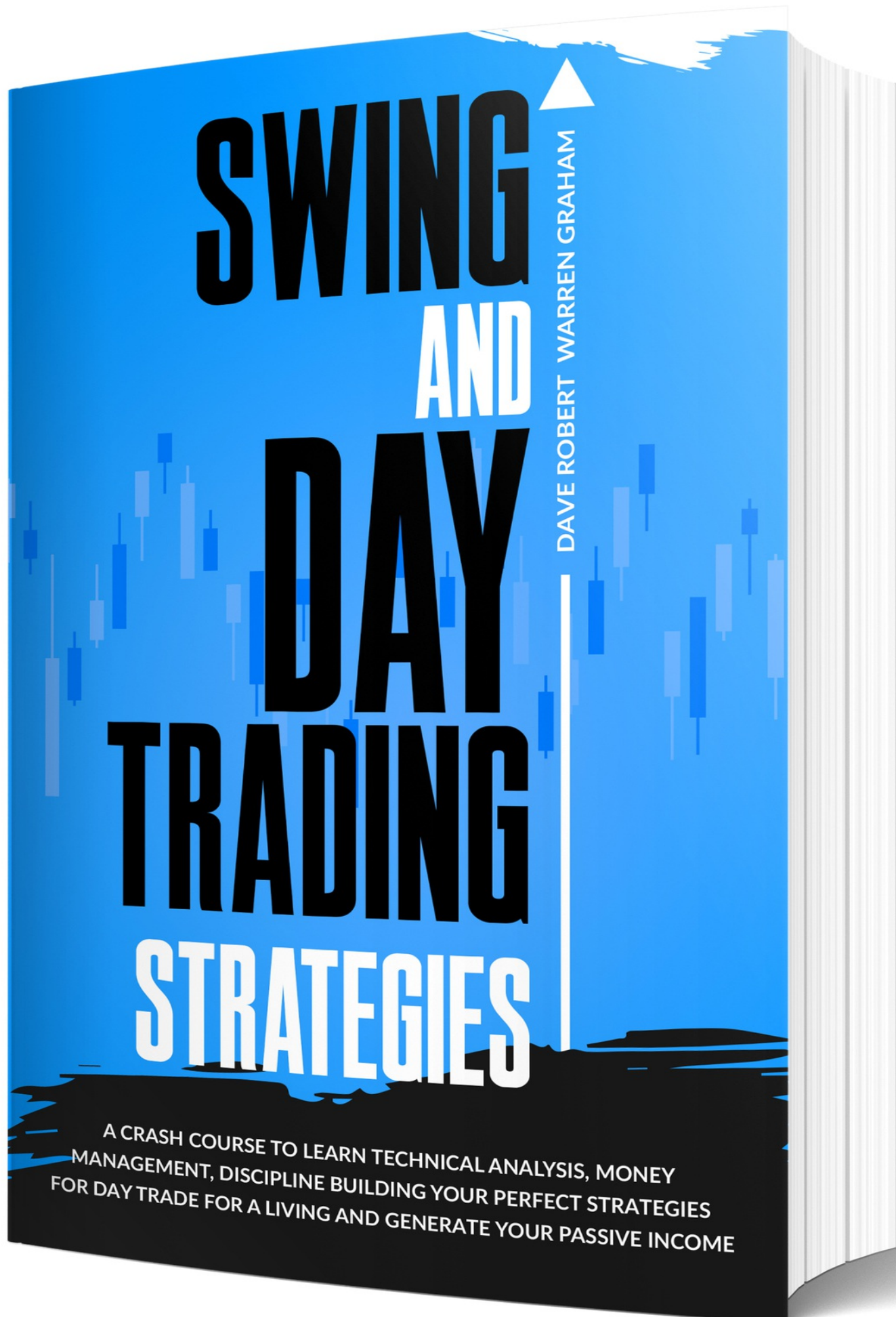




SWING AND DAY TRADING STRATEGIES

DAVE ROBERT WARREN GRAHAM

A CRASH COURSE TO LEARN TECHNICAL ANALYSIS, MONEY
MANAGEMENT, DISCIPLINE BUILDING YOUR PERFECT STRATEGIES
FOR DAY TRADE FOR A LIVING AND GENERATE YOUR PASSIVE INCOME

SWING AND DAY TRADING STRATEGIES

A Crash Course to Learn Technical Analysis, Money Management, Discipline Building Your Perfect Strategies for Day Trade for a Living and Generate Your Passive Income.

Dave Robert Warren Graham



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“A winner is a dreamer who never gives up.”

This book, as well as all the others that deal with this topic, was written to share every single ounce of knowledge and experience that has allowed me to achieve the life I wanted through stock market investments and trading.

Yes, you can do it too! You just have to stay curious and never give up.

I dedicate this book to all of you who are trying to learn how to trade and earn on financial markets but are overwhelmed by the many books available on this topic (which are often incomplete and lacking in detail), just like I was a few years ago.

The most important trend indicators and oscillators are covered here, starting with the main interpretation and ending with how to use them to profit. Finally, a book for you. This will be your ultimate trading guide. Congrats!

Please keep reading, as I have great news for you on the next page!

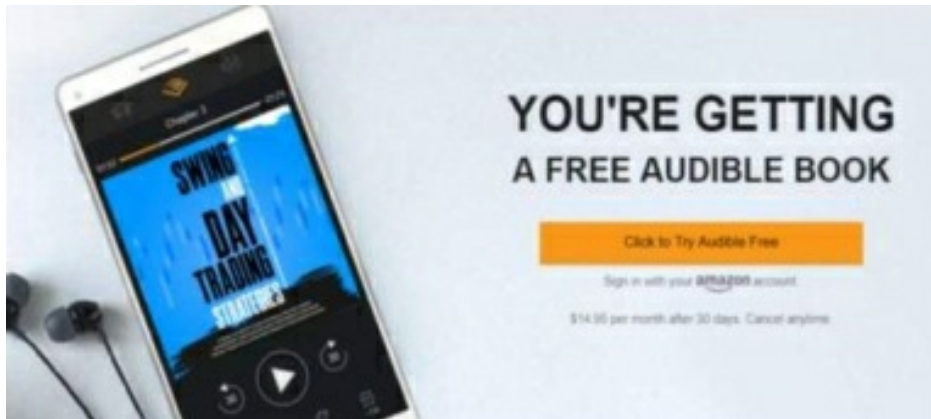
Thank you for your time, and if you would like to leave me an honest review, I will appreciate it very much.

Good luck with your studies and your trading! Enjoy!

Dave R. W. Graham

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PART 1:

SWING TRADING STRATEGIES

INTRODUCTION PART 1

A trading strategy is a procedure through which a trader sells and buys the stock and is based on predefined rules used to make trading decisions.

Any type of trading process in the market usually includes a well-considered trading and investing plan that specifies risk tolerance, tax implication, and capitalizing objects. Applying or planning a strategy in trading means that a trader should search and adopt the best practices and ideas and then follow them.

The strategy includes three stages:

1. Planning a trade,
2. placing a trade,
3. and then executing it.

A trader should understand the level of risk he can take and then decide what is appropriate for him to do. Trading strategies are mainly based on either fundamentals or methodological. To avoid behavioral finance biases and to make sure about consistent results, trading strategies are employed even though it is very difficult to develop a trading strategy because there are more chances of having a risk of becoming over-reliant on a strategy.

A trader should use only one or two strategies for successful trading. It is a pattern of buying and selling the stocks every trader uses in their daily routine, which outlines when a trader will enter and exit the market. The trading strategy allows the trader to see the opportunities objectively. It also allows the trader to see how the business has worked out in the past.

Day trading strategies are important for the trader when he is looking to capitalize on small price movements. A trading strategy helps the trader to understand how from thousands of stocks, they can decide or choose the right one. Sometimes beginners get confused due to their zero experience, and they lose their hopes. Still, here we will try to end the confusion of the trading beginners before it clogs their minds. A consistent, effective strategy in day

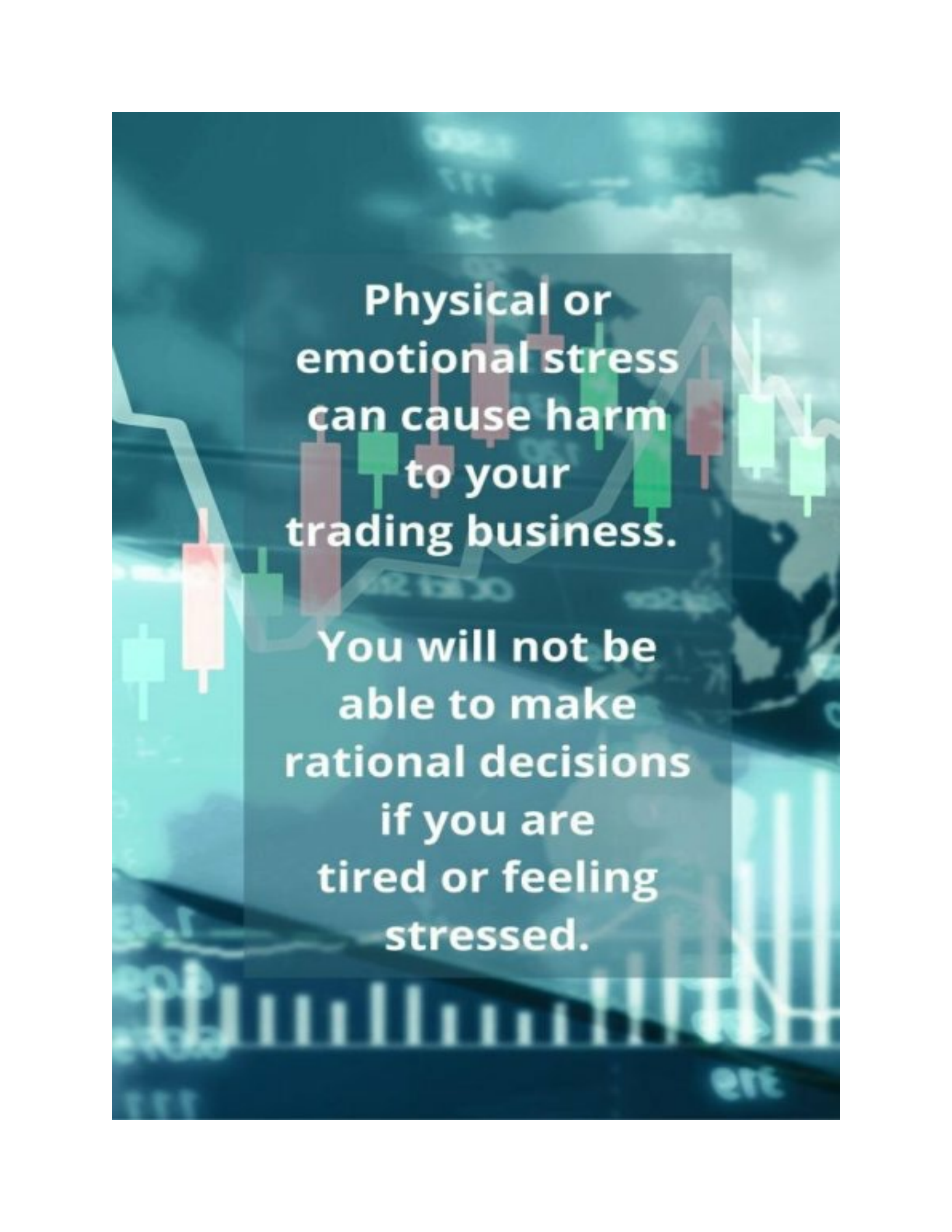
trading relies on utilizing charts, technical indicators, in-depth technical analysis, and patterns; it helps in predicting future price movements in trading. The fast step of moving investment positions in a single trading day creates a perception that day trading is riskier or extra volatile than other types of trading.

A beginner needs to know the basic concept of trading because it could bog down a trader in a complex world of highly technical indicators, that's why focus and knowledge both are important for a simple day trading strategy. Having patience and control is very important for the day trader because there will be days when it will turn out to be ranging days in trading. One of the most common mistakes that every beginner usually makes is taking the risk of trading too early while knowing it can damage them financially, still trying to get a better price and position in the market and if the trade will trigger them in the future. This is the biggest mistake that every beginner has usually made.

Swing traders are those traders that trade for a couple of days or for weeks' time frame. And they may use fundamental analysis and technical analysis to monitor trading their decisions. Whether it is a long-term trend or whether the market is mainly range-bound, it does not matter.

In the trading market, the swing trader is best to be used when markets are going nowhere once indexes rise for multi-days, then decay for the following few days, only to repeat the same over-all patterns again and again. Swing trader has several chances to catch the short-term movements up and down. The problem with swing trading and long-term trend trading is that success is established on correctly recognizing what type of market is presently being practiced. A swing trader tends to look for multi-day chart outlines. Some of the more common outlines include moving average crossovers, head and shoulders patterns, flags, triangles, and cup-and-handle patterns. Eventually, each swing trader formulates a plan and strategy that gives them an advantage over many trades. This also includes looking for trade arrangements that tend to lead to expectable movements in the asset's price.

This is not that easy, and no strategy or any arrangement will work every time. Through a favorable risk or reward, winning every time is not required. The more promising risk or reward of a trading strategy, the fewer times it desires to win to produce a complete profit over many trades.

The background of the image is a composite of financial market data. It features several candlestick charts with green and red bars, overlaid on a world map. A semi-transparent dark blue rectangle is centered on the image, containing two lines of white text. The overall color palette is dominated by teal, blue, and green tones.

**Physical or
emotional stress
can cause harm
to your
trading business.**

**You will not be
able to make
rational decisions
if you are
tired or feeling
stressed.**

CHAPTER 1.

What Is the Swing Trading?

Dynamic merchants frequently bunch themselves into two camps: the informal investors and the swing brokers. Both try to benefit from transient stock developments versus long haul speculations, however, which exchanging procedure is the best one? Here are the advantages and disadvantages of day exchanging as opposed to swing exchanging, and the real contrasts between the two.

The greatest draw of day exchanging is the potential for breathtaking benefits. In any case, this may be a probability for the uncommon person who has every one of the qualities, for example, conclusiveness, control, and steadiness, required to turn into an effective informal investor.

Swing exchanging depends on distinguishing swings in stocks, items, and monetary standards that occur over a time of days. A swing exchange may take a couple of days to half a month to work out. In contrast to an informal investor, a swing merchant isn't probably going to make exchanging a full-time profession.

Anybody with information and venture capital can have a go at swing exchanging. On account of the more extended period, from days to weeks instead of minutes to hours, a swing broker shouldn't be stuck to his PC screen throughout the day. He can even keep up a different all-day work if he isn't checking to exchange screens all the time at work.

Exchanges, for the most part, need time to work out. Keeping an exchange for a benefit open for a couple of days or weeks may result in higher benefits than exchanging and out of similar security on various occasions a multi-day. Swing exchanging should be possible with only one PC and customary exchanging apparatuses. It does not require the best in class innovation of day

trading.

The swing broker can set stop misfortunes. While there is a danger of a quit being executed at a horrible value, it beats the consistent checking of every vacant position that is a component of day exchanging.

With any style of exchanging, swing exchanging can likewise result in considerable misfortunes. Since swing dealers hold their situations for longer than informal investors, they additionally risk bigger misfortunes.

Since swing exchanging often includes positions held at any rate medium-term, edge necessities are higher. Most extreme influence is normally multiple times one's capital. Contrast this and day exchanging where edges are multiple times one's capital.

Since swing exchanging is only here and there an all-day work, there is considerably less possibility of burnout because of stress. Swing brokers normally have a customary activity or another wellspring of salary from which they can counterbalance or relieve exchanging misfortunes.

Swing exchanging, then again, does not require such a considerable arrangement of qualities. Since swing exchanging can be embraced by anybody with some venture capital and does not require full-time consideration, it is a reasonable choice for brokers who need to keep their all-day occupations, yet additionally, fiddle with the business sectors. Swing brokers ought to likewise have the option to apply a mix of central and specialized investigation, as opposed to specialized examination alone.

Types of Trading

Scalping

Scalping is a kind of trading that dealers, known as scalpers, plan to accomplish more noteworthy benefits from generally little value changes. Hawkers frequently open and close larger quantities of exchange arrangements one exchanging day, to get numerous little successes. They likewise enter and leave the money related markets inside a brief timeframe outline, which is typically a matter of a couple of moments, or minutes, yet the greatest is a couple of hours, and these merchants are known to utilize larger amounts of influence.

The main bit of leeway of scalping is the capacity to pick up benefits from

little value changes inside the briefest period conceivable, which is frequently intensified by a bigger position estimate. This is an intra-day sort of exchange, which implies that positions are shut before the finish of the exchanging day or session. Scalping is known for its pace and brisk executions. In the most extraordinary models, exchanges are opened and shut inside a couple of moments, if adequate value development has been made. Because of its fast nature, brokers should be exact with their planning and execution.

So how do brokers exchange that rapidly? Here are the key tips:

- They normally sit tight for a solid juncture of help and obstruction levels to discover arrangements with the most noteworthy probabilities.
- They often settle on choices on lower time allotments, for example, 1 to 5 graphs.
- Pointers are additionally a now and again utilized strategy for hawkers.

With everything taken into account, this exchanging style is known for its speed and the need to settle on brisk choices. Scalping frameworks regularly demonstrate a higher number of arrangements, higher win rates, and lower reward to hazard proportions because of increasingly continuous and littler successes, together with less incessant yet greater misfortunes. The required fundamental foundation is to keep the success rate and win sizes enormous enough to cover the misfortunes when they happen.

Typically, these markers are part of two unique gatherings: Momentum and Support and Resistance (S&R). A few instances of force markers include Stochastics, the MACD (Moving Average Convergence Divergence) pointer, and the RSI (Relative Strength Index), though S&R alludes to Keltner channels, moving midpoints, and Pivot Points.

Position Trading

Position trading is an exchanging that is most appropriate for the clever, patient and calculating merchants, the individuals who have a genuine vibe for the business sectors. Their essential objective is to profit by the predominant patterns as opposed to momentary market variances. Commonly, they utilize major examinations for their exchanges. However, in

some cases, they must allude to specialized apparatuses too. What's more, one increasingly key trademark that characterizes position merchants – they have sizable records to exchange with.

There are in any event some primary favorable circumstances of position exchanging:

- While exchanging, you may profit by the premium earned, not just on your exchanges. This is because premium or swap is paid on the money that is acquired and earned on the one that is purchased.
- Being a position dealer, you may profit by the relationships that exist among monetary standards and other money-related instruments.

Swing Trading —Speculation, or Investment?

Contingent upon your style and character, swing trading can sound energizing, or maybe excessively unpredictable and requesting. By the by, the proof demonstrates that also exchanging effectively can be significant delay execution after some time. As indicated by various examinations, momentary brokers, for the most part, accomplish lower returns than long-haul purchase and hold financial specialists.

The thought is straightforward, and the factual proof clear: Chances are, the more effectively you exchange, the lower your profits will be throughout the years. Putting resources into strong top-notch organizations for the long haul is a far sounder venture methodology than attempting to anticipate market turns temporarily.

Each time somebody is purchasing, another person is selling. That implies momentary exchanging is a lose-lose situation: if somebody will beat the market, another person needs to fail to meet expectations.

Surprisingly, more dreadful, swing exchanging implies a lot of greater expenses from exchanging commissions and assessments. The effect from higher charges is a critical factor that some transient brokers regularly ignore, and it can have enormous negative ramifications on your profits.

On the off chance that you are attempting to beat the market through transient exchanging, you must go up against exchanging experts practically with boundless assets. This incorporates groups of specialists bolstered by gigantic figuring force and access to huge measures of data accessible to them at the

speed of light. The odds are not in favor of the individual financial specialist in this challenge.

CHAPTER 2.

Pros and Cons of Swing Trading

Swing trading requires a period that is less than a day of thinking and shorter for someone who is on the road to buying and selling for a longer period. In the case of accounting for tax purposes, anything that is shorter than a year is conceived as a short-term investment on the stock exchange, and anything that is for a year or longer is conceived as a long-term investment.

Swing trading is a special trading and investing style. It is ideal for all those who want to sell for a longer period than a trading day and have a strong understanding of swing trading strategies. The day traders enter and leave on the same day and at the same location. Swing traders will keep trading in stocks and commodities open for a few weeks, which could last up to a few months. Traders are focused on the swing trading strategies they learn.

Swing Trading Stocks Pros and Cons

Like all other stuff, Swing trading also has a good side and a bad side. Day trading and swing trading are equally risky, depending on the experience, technical examination, and psychology of the trader. Just remember the rule that the longer the trading time on the exchange, the greater the risk factor.

Pros of Swing Trading Stocks

It's less time consuming than the investing part of the day.

The trader has more time to examine the best trading strategies between the markets, and therefore the trader is likely to be able to pick good and interesting performers.

The bad first entry gives time to recover from the damage and then enter a better level or condition based on the path selected by the dealer. It is notable

that the long position, that is, the upward positions are even more competitive than the first short position that is the downward position.

Swing Traders don't need to satisfy the needs of the 'Standard Day Trader.'

Swing traders are permitted to provide more data for analysis according to the time frame than the day traders.

A swing trader is more relaxed and surer of his/her trade as the current pattern in trading is backed by the long-term evidence from the past.

The Cons of Swing Trading Stocks

The swing trader spends less energy and has more flexibility for the assessment of the right trading strategies between the trades. Thus, the trader will potentially pick successful and fascinating performers.

The Con: is that a swing trader might get poor data and information into the data analysis and may choose a less favorable stock result or a loss of stock or product.

The bad first entry is given time to recover from the loss and then come to a better level or condition based on the option the trader has chosen. It is advised that the long position, which is the upward position, is even more competitive than the first short position, which is the downward position.

The Con: the first low and bad entry can get rolling in the opposite direction to the exchange.

Swing Trading—How Do I Trade?

Simple knowledge: It sounds amazing when you hear of swing trading in the stock, but most traders are ignorant of trading. In swing trading, the trader usually indulges in buying stocks in the trend where it's high. Simply put, the swing trader will never trade in the direction that is not in the market and will not suit the pattern. Such trades take place for a few days and typically keep track of the higher period tables, which is like 1 hour and more than that when you are tracking and positioning the trades.

There are many distinct ways in which a swing trader can conveniently position his/her trades, and this is also in the context of the current theme. The popular and helpful strategy is to wait for the price level to be restored, and you will need to reach the trade before it continues to flow. The entry is usually made based on market reverberation of support or resistance rates,

trend lines, or, in certain cases, indicator verification may be required.

In swing investing, swing buyers or traders will quickly see the bets stacked on their rights by watching larger and broader period charts and joining transactions just in the context of the big movements in the stock market. It would give the company a mind that blows investing regardless of the stock market.

Know-how to Swing Trade: To understand how to navigate trade, you need to know the basic components of the trade. The specifics below are building blocks for swing stock trading and are the reasons why highly skilled investors are genuinely successful. This field supports the following:

- **Trading Psychology** - You need to develop positive Psychology to be able to transact effectively.
- **Money Management** - This strategy allows traders to reduce costs and increase the return value of their income.
- **Market Analysis** - To carry out a market study, there are two aspects in which scientific and basic analysis is carried out.
- **Japanese candlestick charts** - It's a crucial item to get an inside look at the financial market and its emotions. You must be able to interpret and understand the structures of the Japanese candlestick.
- **Pattern Identification** - Swing traders improve their chances by selling in the direction of the pattern. You need to learn the right pattern.
- **Support and Resistance Levels** - These two levels enable the trader to recognize the main areas of the stock market, where patterns are in the trader's favor.
- **Fibonacci Retracement Rates** - Like support and resistance rates, Fibonacci Retracement Levels also encourage you to have a strong market entry.
- **Trading Metrics** - The newcomers will look at metrics that are commonly used by banks and experienced investors in swing trading.
- **Stop Loss** - Stop losing results in trifles, which can also be damaging; most entrants in this company are therefore overlooked.
- **Trading Hours** - Always does a thorough scan and finds your hours that are ideal for opening and closing trades.

The term refers to the different types of swing trading, such as stock, commodities, or index. This selling is a form of trading practice in which a broker buys or sells an asset at or very close to the end of a downward or upward price movement in a commodity. This swing is due either to daily price fluctuations or to weekly price volatility. Knowledge of these types allows him to become a competitive businessman and to place him on the road of a successful trade career.

The time limit usually used by the dealer to keep the instrument is 1-4 days. In any case, it's mostly less than a week. The currency or swing market volume that the dealer is working with is moving from one price point to another. A swing investor depends on the oscillation or movement of the stock market. It suggests that it buys products in the course of market trends and does not compete by fighting major market patterns.

CHAPTER 3.

Japanese Candlesticks

The Japanese candlestick chart is a kind of chart populated by prices that look like, well, Japanese candles. Each time frame^[1] entry, e.g., daily, weekly, or hourly security price, constitutes one candlestick, which reflects four types of price information, mainly:

- Previous period's opening price
- Previous period's closing price
- Previous period's highest price
- Previous period's lowest price

Each candlestick has a hollow body, the top, and bottom of which represents the opening and closing prices for that time frame. If the opening price is higher than the closing, then the top part of the hollow body represents the opening price and the bottom part of the closing, and vice-versa.

If the security's closing price for that period was higher than its opening, the body is colored white, which indicates buying pressure. If it closed at a lower price than its opening, it's colored red, which indicates selling pressure.

Because candlesticks won't be such without wicks, a Japanese candlestick has wicks, too, which protrude above and/or below the hollow body. The top of the upper wick signifies the highest price for that period while the bottom of the lower wick signifies the lowest price for that period.

One reason why Japanese candlesticks are very popular among traders is that they can immediately see what happened to a security's price in just one look. If colored white, it means that buying pressure was stronger than selling pressure during that time frame, while a red-colored candle means greater

selling pressure than buying. Also, the length of the wick from the top of the upper wick to the bottom of the lower one shows how volatile the price of a security was during that time frame. A long Japanese candlestick means a great difference between the highest and lowest price for that period, like high volatility. A short candlestick means a small difference between the high and low prices, like low volatility.

Japanese Candlestick Swing Trading Patterns

The following are some of the most popular candlestick patterns for taking or closing positions.

The Three-Line Strike Pattern

This pattern occurs within a downtrend, which signals its reversal to a bullish tone. This is characterized by three consecutively lower red (or in other charts, black) candlesticks. Each candlestick registers successively lower “low” prices and closes close its intra-bar low price. The fourth candlestick opens at an even lower price than the third red candle, but eventually closes higher than the high price of the first red candlestick of the series. Also, the opening price for the fourth bar is also its lowest for that period. In 84% of the time, this pattern results in reversals, according to the author of the premier candlestick analysis book *Encyclopedia of Candlestick Charts*, Thomas Bulkowski.

Because it signals a reversal of a bearish pattern, you can use this as a swing trading signal for either taking a long position or closing a short one.

The Abandoned Baby

This pattern usually occurs near or at the end of a downtrend, which is characterized by a series of red/black candles with consecutively lower lows followed by Doji candlestick that gaps downward, then by an upward-gapping candlestick. A Doji candlestick is one whose opening and closing prices are the same, hence making the body flat and the stick resemble a cross. Per Bulkowski, the abandoned baby pattern has a 70% accuracy rate, making it a good trading signal for either taking a long position or closing a short one.

The Two-Red (or Black) Gapping Pattern

This bull reversal pattern appears right after a significant peak price of a

security. This is characterized by two red or black candles that have a downward gap in between, with each red or black candle registering lower lows. This pattern predicts that the price drop will continue and become even more pronounced, which may ultimately trigger a longer downtrend in a security's price. According to Thomas Bulkowski, the two-red/black gapping pattern has an accuracy rate of about 68%, making it a reliable swing trading signal to either take a short position or close a long one.

The Three Red Crows Pattern

This pattern occurs near the top of an uptrend and is characterized by three consecutive red candlesticks with successively lower lows and closing prices that are close to their intra-candlestick lows. This pattern forecasts an extended decline in a security's price to even lower lows, which may eventually trigger a long-term bearish trend. This pattern has an accuracy rate of about 78% per Bulkowski, which makes it a good swing trading signal to either take a short position or close a long one.

Basic Bullish and Bearish Candlesticks

A seasoned swing trader will also confirm the bullish move by checking the volume (the number of shares being traded during that time frame). Increasing volume relative to previous periods will confirm that the trend is strong.

The volume of shares traded is represented by a bar located under the candlestick. The height of the bar is proportional to the number of shares traded.

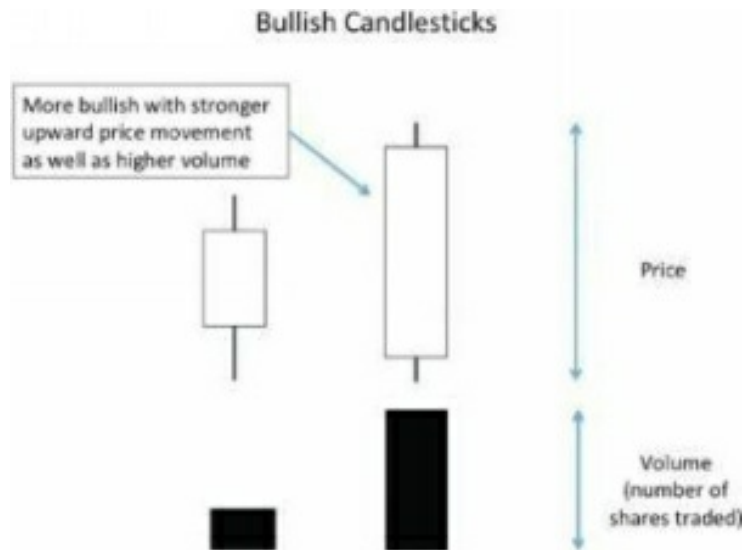


FIG1. Bullish Candlesticks

The candlestick on the right is more bullish in comparison to the one on the left. The figure also shows the volume bars underneath the candlesticks with the tall bar representing a larger number of shares traded in comparison to the smaller bar.

As with bullish candlesticks, a seasoned trader will again check the number of shares traded in the period to see if during the selling, the volume was increasing relative to previous periods. This is another confirmation that the sellers are firmly in control of the price movement.

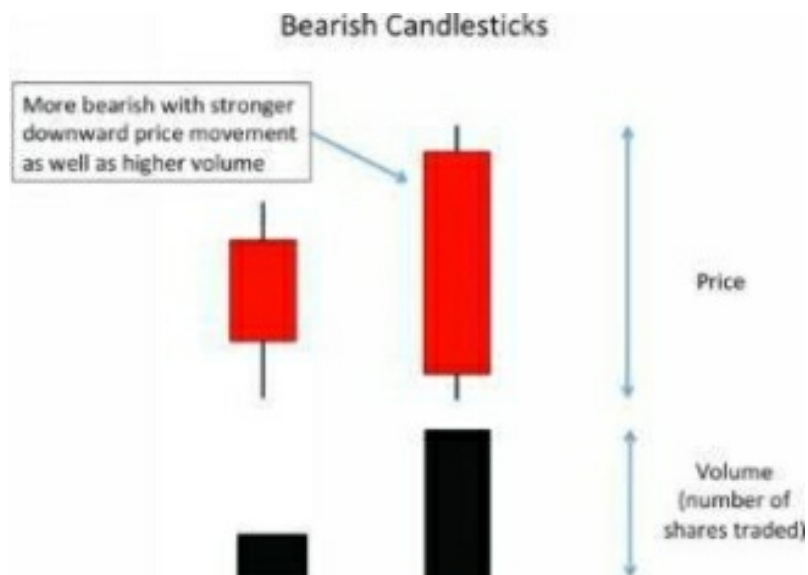


FIG2. Bearish Candlesticks

The candlestick on the right is more bearish compared to the one on the left.

The figure also shows the volume bars underneath the candlesticks with the tall bar representing a larger number of shares traded in comparison to the smaller bar.

By learning to read these candlesticks and the patterns that they generate over a period, you will begin to understand which group of traders is in control of the price action. Is there overall buying pressure pushing the stock price higher or are the sellers in control and pushing the price lower?

You never want to be on the wrong side of the trade. Therefore, you need to learn how to read candlesticks or bar charts and then be constantly interpreting and reassessing the price action while you are in a trade.

Reversal Candles

In fact, there are dozens of different candlestick patterns, but several are consistent in predicting future price direction, especially when used in conjunction with other indicators.

Engulfing Pattern

One of these popular trading pattern setups is referred to as an engulfing candle. This engulfing candle pattern illustrates a potential change in control between the buyers and sellers. The engulfing pattern can either be bullish or bearish, which means either the buyers are taking control (bullish) or the sellers are taking control (bearish).

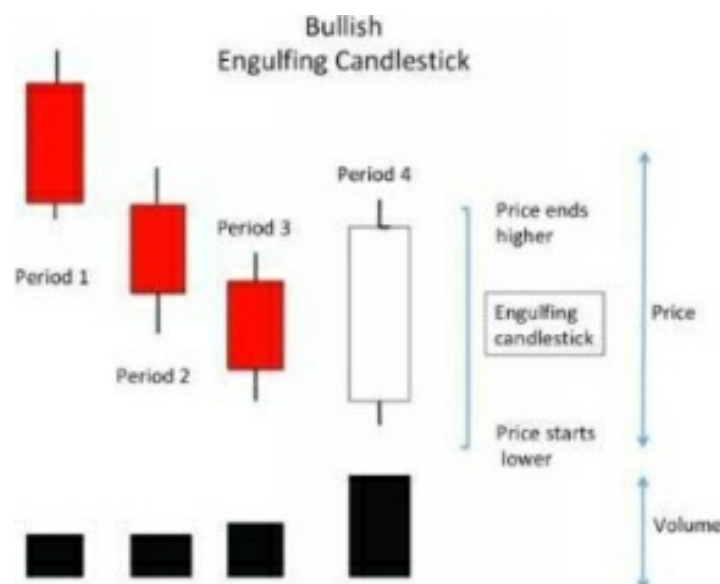


FIG3. Bullish Engulfing Candlestick

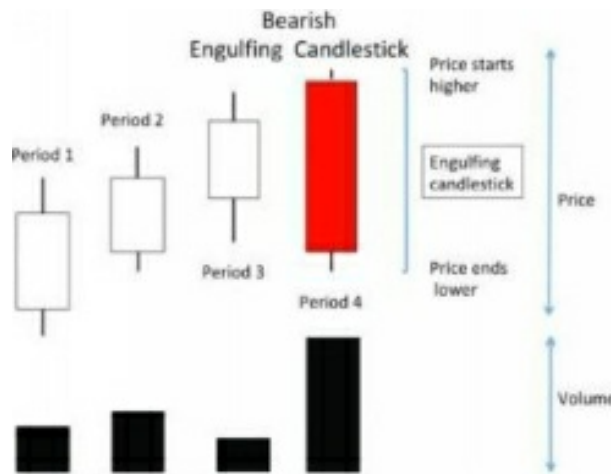


FIG4. Bearish Engulfing Candlestick

The trading volume is used to confirm a change in control with this indicator usually being displayed at the bottom of a chart as a bar. The short candle has lower volume, indicating that the buying or selling action is getting exhausted. The longer reversing candle will have a higher volume of trades, which indicates that control has changed hands and there is likely a decisive shift in the direction of the stock price.

These engulfing candlesticks can be bearish or bullish. A bullish engulfing candlestick suggests that the bulls have taken control of the price action.

Leading up to the engulfing candlestick, it was the bears who would have had control of the stock, keeping the price action in a downtrend. The bullish engulfing candlestick accompanied by a spike in volume indicates either a large new interest in owning the stock or possibly the covering of short positions held by traders.

Once you know your stop-out price level and potential entry price, you can then determine your potential reward by looking at where you would expect to sell. You now have enough information to calculate your risk to reward ratio.

If there is at least 2 times more reward compared to risk, it could be a good setup to examine more closely for an entry.

Doji—Harami Cross

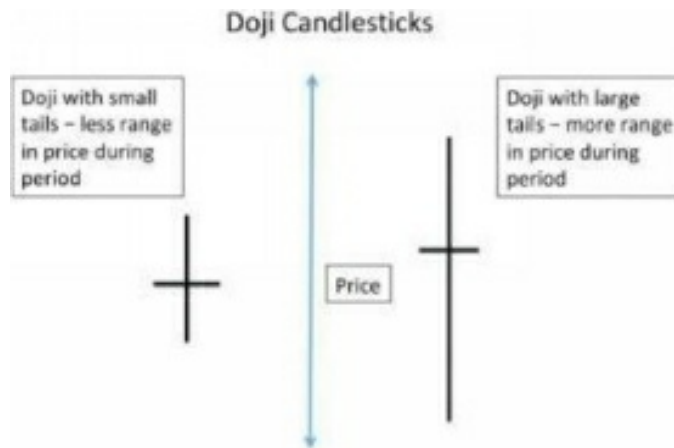


FIG5. Doji Candlesticks

One Doji that shows a potential reversal in price action is called the Harami cross. The key to reading this pattern is to look for the trading volume confirmation. You should see the strong volume on the preceding days followed by a drop-in volume with shorter tails on the final Harami cross candlestick.

This change in volume and price action usually indicates a shift in traders' confidence in the continued direction of the stock price.

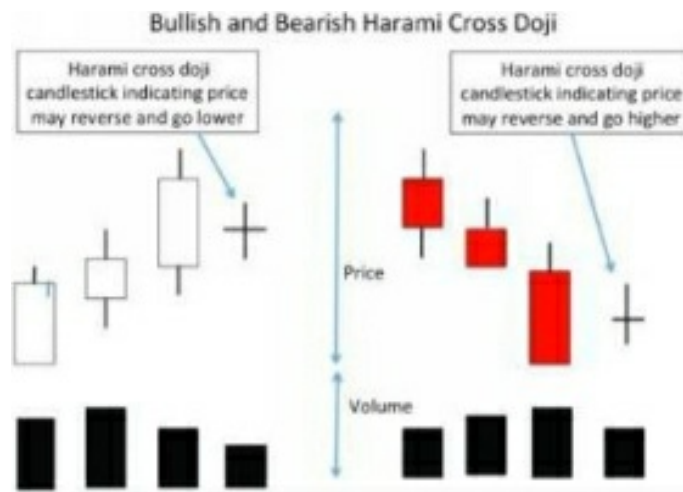


FIG6. Bullish and Bearish Harami Cross Doji

You can see how a Harami cross appeared just before an engulfing candle in the chart of TZA, indicating the price was ready to reverse and move higher. The engulfing candle confirmed this signal and shows how this indicator can be used in combination with other indicators.

Doji—Gravestone and Dragonfly

The gravestone Doji can be found at the end of an uptrend, as shown on the left side of the figure. The long upper tail suggests that the bulls took control early, but later in the period, it was the bears who were in control, pushing the price back down to the open.

The Dragonfly Doji is the opposite of the gravestone in that it is the bears who start out in control of the price by pushing it lower at the open. As the period continues, the bulls take control of the price movement, returning the price back to the open.

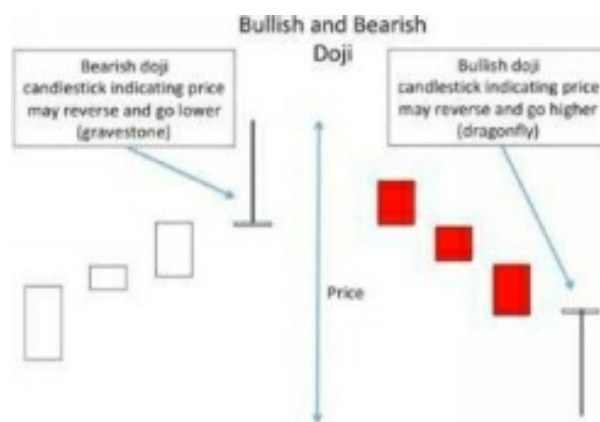


FIG7. Doji – Gravestone and Dragonfly

Traders should also look at the volume of shares traded with the Doji and compare that volume to the previous period—ideally, the volume will be equal to or larger during the period that the Doji occurred.

Doji patterns can be traded in a similar way as to how you would trade an engulfing candle. The first objective is to get in as early as possible when you recognize the pattern appearing. For example, on a dragonfly Doji, a swing trader could go along with their stop at the bottom of the tail. A tighter stop for a more conservative trader would be about 50% of the tail.

Let's say the stock started and finished the day at \$25.00 with a tail tracing down to a \$24.00 low of the day. That would put the 50% stop at \$24.50. Recall that your reward needs to be at least 2 times the risk that you are taking, so for this price stop level, you would need to expect at least \$1.00 in reward per share.



FIG8. Doji -example

Again, you should check other indicators to get some confirmation that a potential reversal in price action is happening. Also, you should assess if there have been some fundamental factors behind a possible reversal.

CHAPTER 4.

Price Action

In the world of swing trading, there is a specific trading method known as price action trading that can help people trade on profitable stocks and earn massive profits. Price action trading is a distinctive form of swing trading, and it can provide the trader with massive amounts of profit if used properly. Furthermore, price action trading does nurture many excellent skills that can support you in swing trading more effectively overall, so it is worthwhile to learn about how price action trading works and who uses this trading method.

Price action trading is a method where traders rely heavily on the information, they receive through technical analysis regarding how the price of certain security has behaved in the recent and distant past. This strategy completely ignores fundamental analysis, which is a form of analysis that gathers the information specific to an organizations' financial landscape. Instead, it focuses solely on technical analysis as a means for qualifying trading positions.

The way that technical analysis is completed for price action trading is relatively different from how it is done for other trade methods. This strategy relies less on technical indicators and more on the actual movement of the stocks themselves so that traders can develop a theory on what the prices are doing. In many ways, the decisions that price action traders make are based more on their intuitive feelings about where the market is going and less on their fact-based evidence that they accumulate from any form of research or analysis. Although price analysis trading might sound flaky since it is more based on theories than information, there is still a strong basis for how these theories are identified and validated. Generally, a trader will look at a stock

market chart that is free of any technical indicators and track how the price of a certain stock has behaved until that point.

They will pay attention to different behaviors that indicate the trading psychology of other traders, which will then help them understand what is likely going to happen on the market. That's right; the tool that price action traders rely on is their instinct around the general psychology associated with all the traders that are actively trading on the market.

They use certain psychology markers to understand whether traders are presently trading out of fear or greed, and when that psychology is likely to switch into the opposite trading pattern. By following these patterns, they can assume what traders are going to do, which will directly affect what will happen in the market.

Once a price action trader has accumulated their information surrounding the likely psychology of the traders on the current market, they begin to locate the best positions for them to get into and trade on. They take their analysis into account and guess how long it will likely go on and how long they are likely to profit so that they can determine whether the trade is worth the investment. When they feel confident in a trade, they will go ahead and enter the position.

What Tools Are Used for Price Action Trading?

Price action traders are not bound by any specific rules like other traders that rely on fundamental or technical analysis information to help them identify whether a trade position is worth the investment. For that reason, not everyone will arrive at the same price conclusion because each trader will have their unique understanding of how trader psychology works and how it might impact their opinions.

Due to the nature of how these trades work, they are largely subjective, whereas other trade strategies are objective. Despite the trades being more subjective and based on someone's instinct and opinion rather than analysis, there are still tools used to determine whether a trade is worth the investment.

Traders use tools like charts, trend lines, high and low swings, price bands, and technical levels to determine the strength of a stock and where the psychology of the traders trading that stock rests. This way, they can validate their theories and determine whether they are likely true. By observing the charts, traders seek to understand how other traders trading are, what

emotions they are likely feeling around trading, and how those emotions are likely going to impact their trades. While every trader's goal is to trade as objectively as possible, at the end of the day, emotions always come into play, and those emotions can be seen in the overall fluctuations of the market.

When traders are greedy, the market goes bullish, and when they are fearful, the market goes bearish. How bullish or bearish the market is and how bullish or bearish, it has been in the past indicates how committed traders are to their feelings of greed or fear, which helps a price action trader identify whether they are likely to change their mind shortly.

Who Uses the Price Action Trading Method?

Price action trading is done by a wide range of people, from professionally employed traders to retail traders and even speculators. The people who are most likely to experience success with price action trading are those who have a keen eye for understanding human psychology and how our feelings can affect our decisions.

Also, these traders take the time to understand psychology and emotions relating specifically to the market. They can have a stronger understanding of what is likely going on with other traders. If you are interested in price action trading, or if you are not, learning about the psychology of traders is important. Doing this can help you better understand what is going on in the market and can support you in validating the quality of your trade deals.

Those who plan on using technical analysis or fundamental analysis to validate their positions can still include psychological analysis to develop a stronger sense of confidence in their trades. This way, they are more likely to capitalize and less likely to incur such massive losses with their trade deals.

CHAPTER 5.

Technical Analysis

You'll understand the following aspects of technical analysis:

- How to read and predict charts
- What a trend is, and what the most common sorts of trends are
- What indicators are and how you can use them.

We'll also cover the following in fundamental analysis:

- Catalysts, what they are and how to use them
- Stock growth and how to predict it
- Value stocks

Now, as an upcoming swing trader, how would you discover the best opportunities for you to invest in? Even then, how would you enter and exist? All these questions need to be answered before you can be considered a full-fledged swing trader before you start raking in a profit with your skills.

Swing traders are the only group that can use both to great success. It's not easy to succeed as a trader, but using both can greatly help with that process. Most swing traders treat themselves as lazier day traders and only use technical analysis. This is a much weaker approach than using both, as a perk of being a swing trader.

After all, for a swing trader, being able to grasp why stocks are making a move is just as important as the fact that they are moving. Regardless of how many years you spend trading, you'll still want to be well-rounded in the way you approach trading. Now then, let's look at some details on how you should make your strategy.

Technical analysis only concerns itself with charts and indicators, while fundamental analysis concerns itself with earnings, company events, and company values.

Most swing traders are discretionary—this means that they will utilize technical analysis with or without fundamental analysis to understand whether they should or shouldn't make a given trade. This also helps them make decisions governed by the rules that they've set for themselves.

On the other hand, you have mechanical swing traders- these will utilize one or both kinds of analysis to make their trades using automation. This means that they rely on a computerized system to put their strategies into practice.

In technical analysis, all you care about is the data. This makes sense in a way after all, and you make money from the stock's price, not the CEO's public perception.

Technical analysis is the most important skill to master if you're looking at short time horizons 1-2 days. The shorter this is, the closer you get to a day trader, and the better technical analysis is. If you find yourself not needing fundamental analysis at all, question whether it might be better to switch to day trading.

If you choose to rely on fundamental analysis, that'll be a whole different story. A swing trader that relies on it will want to know most things about a company, ranging from its industry to the CEO's personality, to its employee's productivity.

You want to know whether the industry it's in is going up or down. You won't have enough time to look at quite everything, if you're looking at ten companies' annual reports, then give them a good skim and then move on.

Fundamental analysis is also slower, acting in general, your trading decisions will usually only amount to something after some time. On the other hand, using technical analysis can give you swift, ensured returns. Even if a company is undervalued by fundamental analysis, that doesn't mean their shares will rise in 2 days, so you might find yourself waiting for a while.

Due to involving so many numbers and charts, two technical analysts will pretty much always come to the same conclusion. On the other hand, due to the subjectivity of fundamental analysis, you can have all the information in the world and still come out wrong.

Even though you might garner that technical analysis is superior to this, you couldn't be more wrong. The objective of technical analysis is its downfall.

Approaches: Bottom-Up or Top-Down

There are two primary approaches to trading. Using both is not recommended, as they lend themselves to entirely different trading styles, and it's nigh-impossible to balance them out. Instead, you should focus on one of them properly.

Now, for both, you can use fundamental and technical analysis equally. For example, you might be able to use a fundamental screen, and then after you're done with that, you might make your pick based on the chart patterns they exhibit.

This means that inherently, neither bottom-up nor top-down are inferior or superior to one another. Just pick one that you think works and go with it!

Discretionary swing traders are those that evaluate their potential trades according to a set plan they determined. They use fundamental and technical analysis to figure out when and how to trade.

The discretionary swing trader will write their rules down, however, that doesn't take into account trades that are made according to their experience and feeling.

If you're a discretionary trader, then you won't be following an algorithm like "If A happens, then I'll do B," but you will be relying on weighing every element of trade against the others. This kind of trader accepts and gladly welcomes the artistic side of trading.

The discretionary trader can take a brand-new look at every situation and retains the ability to pass on trades based on their gut feeling about them.

Technical analysis is the skill involving reading a securities price chart and determining how likely it is to go up or down. It can also mean performing Intermarket analysis based on differential equations. These two extremes, both fall into the same category.

Swing traders will lean somewhat on simply interpreting a chart, but usually, you'll be looking at Intermarket analysis.

Traders, investors, and other market members have reference points after they purchase or promote securities. The price they pay after they purchase security affects when they're likely to sell that stock (even though it shouldn't

affect that decision at all). They recollect their purchase fee and, naturally, want to either make an income or get even. If the safety rate swoons after they buy stocks, they're likely to feel sad.

If the price recovers to the place it was before, many could be glad to reinvest to get even. These traders and investors regularly don't recognize that masses, probably in the thousands, of others, are experiencing these same feelings.

CHAPTER 6.

Basic Concepts of Trend

One of the most difficult aspects of trading trends is that they can run away from you before you take advantage of them. Prices move very quickly when trending, and therefore, contrary to popular perception, trends are not very friendly to beginner traders. You need to be quick and decisive when entering a trend, and both attributes are in short supply when we speak of beginner or unsuccessful traders.

However, by learning to identify the nature of the trend prevailing in the market (its strength), you'll be in a much better position to understand how you can take advantage of it. All trends go through three phases: The beginning, middle, and end.

The three phases of trends have certain characteristics to them, which you need to look out for.

One of the reasons you need to identify these characteristics is that you'll know how much longer the trend is likely to proceed. By doing this, you can let your profits run as much as possible and get out before the trend ends and prices move in the other direction.

The Beginning

Trends begin from within ranges, making the beginning portion of a trend a little difficult to identify. Don't worry about what a range is at this point. Just keep in mind that you don't need to get in on the very first bar of a trend. The best time to enter a trend is not at the beginning, but during the transition period between the beginning and the middle.

The beginning of a trend doesn't usually look like one, and it is unlikely you'll be able to spot it in real-time. However, there are some tell-tale signs to watch out for. The first is that price will begin to show definite bias

towards one side of the market. Price keeps meandering downwards, even if it does so while moving sideways for the most part.

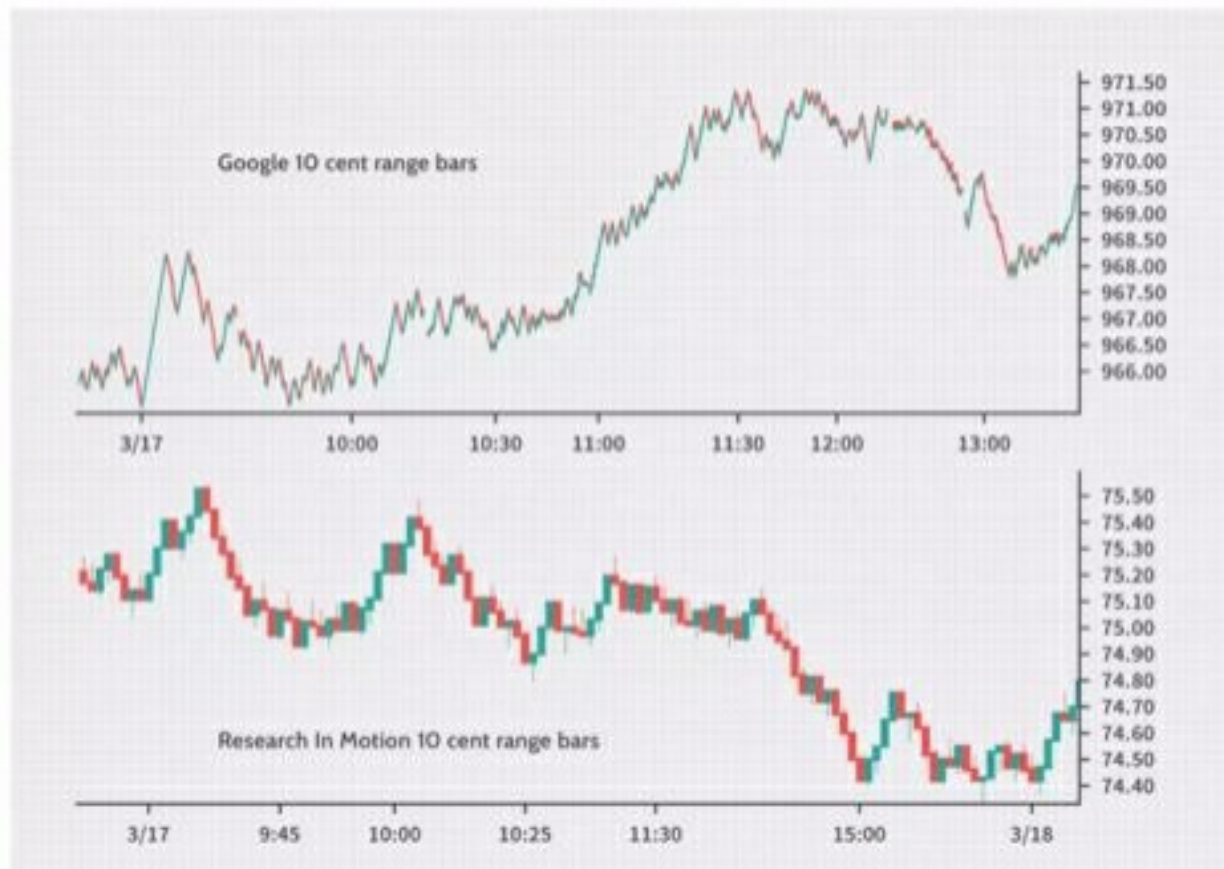


FIG9. Example of tell-tale sign of the beginning of a trend

Another tell-tale sign of the beginning of a trend is the sluggish nature of price movement that occurs after rapid changes. The second chart is a perfect example of this. A few sharp bearish bars are followed by a bunch of small bars that take price nowhere. It's almost as if the price is in two minds: It isn't sure whether to move down or move sideways. This kind of hesitation is caused due to bearish (in this case) trader absorbing any remaining bullish pressure before getting ready to push the price down.

Lastly, notice the big bearish bars at the start of A. These bars are decently sized and aren't met with much support. The price drop is relatively smooth. What I mean is that price doesn't jerk downwards as much as it flows down.

The Middle

The middle is where the fun is. This is where you'll make the most money if you can correctly identify the phase the trend is in. At some point towards the end of the first phase (the beginning) of a trend, the trend traders (bears in

this case) decide enough is enough and apply pressure on the market.

This results in price tumbling downwards. The general movement is still towards the downside, but there's no doubt that the bulls are reasserting themselves. Every bearish push is met with a bullish counter push, even if it isn't as strong as the downward pressure.

Towards the second half of the middle, the counter-trend traders (in this case, the bulls) begin to find their voice. They assert themselves to a greater degree as they find that the bears aren't as strong as they once were.

Before we move to the end, I'd like to point out certain characteristics of the middle of a trend. The first half of the middle is dominated by the trend side. The transition period from the beginning to the middle is a crucial phase for preparing to enter. Even if you miss the transition phase, the middle of a trend will give you ample opportunities to enter.

At this point, don't worry about figuring out where to enter. Your job is to understand and explore the phases of a trend. If you can spot a trend that is still at the beginning or the middle, you will know that any counter-trend pressure is likely to be short-lived and that the correct thing to do is to ride the trend for as long as possible, until it starts displaying characteristics that indicate it is coming to an end.

The End

Two types of price behavior mark the end of a trend. The first type of behavior is called exhaustion. Exhaustion is when the growing counter-trend (in this case, bullish) pressure starts alarming with trend traders (bears.) This causes them to gear up and seek to smother the bulls completely.

Contrast the exhaustive downward movement with the bearish push at the beginning of the trend. While in the beginning, the downward moves were smooth and didn't have much push back, here, bearish moves are jerky, and if they aren't huge enough, they are immediately wiped out.

The second type of price behavior you will see towards the end of a trend is increased sideways movement. Whereas the beginning sees a general decrease of such movement, the end witnesses an increase. Notice how after exhausting itself, the price moves sideways in little bars. The end of a trend is the best place to get out of your short position (or long in case of a bullish

trend.)

Watch out for lack of trend progress and increasing sideways movement. Whatever you do, don't try to squeeze the last few bits of juice from the end of a trend. Many traders fall into this trap and only end up wasting their time and energy. It's far better than preparing for the new state when the market is moving into a range. Before getting into ranges though, I'd like to point out a few things:

1. Conventional wisdom identifies just the transition period between the beginning and the middle as being a 'trend.' As you can see, a trend is much larger than that and contains ample sideways movement.
2. Don't worry about the exact transition period between phases. All that matters are that you understand the major characteristics and learn to watch out for them.
3. There is a difference in the sideways movement in the second half of the middle and the end. The middle sees negligible counter-trend progress. It's more about slowing the trend down. The end sees negligible with trend progress. Here, the counter-trend traders might not make progress, but neither do the with trend traders. This is because they're being absorbed by the other side.

CHAPTER 7.

Fibonacci Retracements

Fibonacci retracements are one of those things that work purely because there are a ton of other traders who follow them. There is nothing magical about the ratios and numbers by themselves. It's just that these levels have enough backing behind them to be relevant for you to trade. Fibonacci numbers themselves are a mathematical phenomenon. They are a series of numbers where the last number is the summation of the last two. The sequence runs as 0, 1, 1, 2, 3, 5, 8, 13, 21, 34, 55, 89 and so on infinitely. When it comes to the indicator, the Fibonacci levels work in a similar fashion. The levels are percentages of the pullback in the overall trend. The reason traders believe in these levels strongly is that these numbers are found quite a lot in nature as well.

Let's say price rises and eventually, a retracement or a pullback begins to happen. Perhaps the bulls are taking a rest or perhaps the bears are reasserting themselves, who knows. Either way, the price is pulling back into the previous upswing. How can you reasonably predict where the pullback will stop? This is where the Fibonacci levels come into play. The theory goes that at certain points of the previous upswing, which correspond to percentage points of the overall trend, prices are likely to find support. These levels are at the 23.6% retracement level, 38.2%, 50%, 61.8% and 78.6%. 50 is not a Fibonacci number, but it is still used because it indicates the halfway mark of the swing (upswing or downswing.)

If a retracement makes it all the way past the 61.8% mark, it is considered a reversal and not a retracement anymore. Often, the price tends to ping off the 38.2% and 50% levels the most (Seth, 2020). Strong swings and order flow can produce bounces off the 23.6% level. Let's look at an example that will

make all this clear.

Trends

The thing to note about Fibonacci retracements is that they only work in environments which have a strong presence of one side of the market. So, if you try to apply them to environments without trends, they're unlikely to be of much help. Figure 9 illustrates how this works.

Figure 9 highlights both the good and bad sides of the Fibonacci retracement. The way to draw it straightforward enough. You connect the highest and lowest points of a swing and then wait for the price to hit certain levels in the retracement. In Figure 9, you can see the top and bottom of the swing move along with the price retracement hitting the 23.6% level dead-on before continuing downwards.

The problem of course is what qualifies as the true bottom of the swing or in the case of an uptrend, what is the true highest point of a swing. As you can see in Figure 9, prices don't move in a straight line downwards. It makes frequent stops as it moves down and as bullish involvement reduces.



FIG10. Fibonacci Retracements Example

The stronger the trend is, the likelier it is that you will see a shallow

retracement to the 23.6% level. The problem with drawing proper retracement levels is that if you pick incorrect tops and bottoms of trends, you're going to see a lot of deep retracements and might even confuse a small pullback with a reversal.

Fibonacci retracements will help you figure out the most likely levels that the price is going to pull back to. Look for confirmation or some external support that will bolster the case for a retracement level to be valid.

Moving Averages

Moving averages are simple indicators that pack a powerful punch. As such, they're simple to use and understand. A moving average is a line or a curve that is plotted over price. Each point of the moving average curve is the average price of the previous N bars, where you can define N as an input.

There are two kinds of moving average curves you can choose to plot. The first is a simple moving average, which is exactly what it sounds like. It takes the average of the previous N bars and connects the dots, so to speak. The second and more powerful type of moving average is the exponential moving average. Here, the curve is smoothed a bit so that it ends up being a lot more sensitive to price fluctuations.

The exponential smoothing that occurs is a mathematical process and for trading purposes, it really isn't relevant how this occurs. What matters is that you understand that most traders tend to prefer the exponential average and not the simple one. Typically, the 20 EMA is the indicator that most traders use, including professional ones. This is the 20-bar exponential moving average.

Trend Direction

The 20 EMA is often used by traders to determine whether the trend has indeed flipped or not. In such cases traders often use the 20 EMA. If the price happens to move above it or if it lies below the price for a decent amount of time, the trend is considered to have flipped. Mind you, this applies when a trader is already sure of the growing presence of the other side of the market and is already expecting a turn around. You should not use the 20 EMA as a blanket indicator to check where the trend is at. It all begins with analyzing order flow, so this is where your primary focus should be. The 20 EMA merely provides a quick backup in case a threshold point doesn't make itself

available to you.

Dynamic Support and Resistance

In strong swing movements, you'll often see price bounce off the EMAs as they move in a certain direction. Here as well, the 20 EMA is most often used. A lot of traders watch for price bouncing off the curve and tend to use it as an entry point or as dynamic support or resistance.

The key here is to use it only in strong moves. In a range or in environments that have a significant presence of either side of the market, the price will violate the EMA on both sides and you won't see too many bounces. The 20 EMA is useful in strongly trending situations because, in these scenarios, price tends to run away in a direction before you can get in on the action.

Given that it doesn't take much to push price one way, the smallest of support or resistance levels will end up pushing price farther away from you and it can be tough to enter. Placing a limit order as price approaches the 20EMA and a stop beneath the curve usually gets you in on the move and ensures you'll always have a convenient entry point.

MACD

The moving average convergence/divergence also called the MACD is a much-loved indicator. It also has a reputation for being far too simplistic and for throwing too many false signals. The problem isn't with the indicator itself but in the way, it's used, and the way traders place their stop losses when trading this.

The indicator itself is plotted in a separate window below the price and represents the relationship between a slow and a fast EMA. These results in a line that oscillates on either side of a zero line. A crossover of the signal line with the zero produces entry signals.

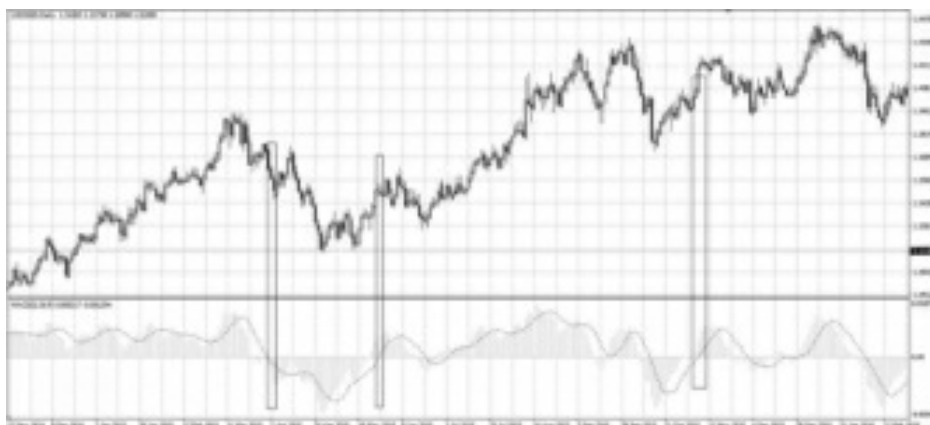


FIG11. MACD

FIG11 illustrates the MACD in action. The rectangles indicate appropriate entry signals. Notice that I haven't indicated every single crossover as being a valid entry. This is because you must consider the order flow balance when you deal with the MACD.

To begin with, we have a situation where bearish involvement is high along with bullishness.

This much is evident in the way price pushes back into the bull trend deeply in the first third of the chart. The bulls eventually manage to go higher, but as such, the bears don't go away and we have a situation where the price is moving sideways as we get to the end of the chart.

The first rectangle is our entry signal. This is a short signal that seems a bit dangerous to take at first glance. After all, we're in a bullish environment, so shouldn't take a short be avoided? Truth be told, this signal is an aggressive entry and it depends on how much you trust the indicator. In this case, given the prominence of the bears, I've decided to enter. However, a less aggressive trade might choose to sit this one out and that's fine too.

This bearish entry would have been profitable if we'd placed our stop-loss order directly above the swing high. The second entry is a bullish one and takes place when the MACD signal line crosses the zero level from below into positive territory. Here, the ideal positioning of the stop loss is under the swing low. This is far away as you can see and as a result, our profit target is pushed further out.

The real key to making this trade work, and indeed all MACD trades, is perfect positioning of the stop-loss order. Place it too close and you'll get kicked out of a perfectly good trade. Place it too far away and your trade will never hit its target. The best place to position the stop loss is above or below

a resistance or support level. In this case, the double low that precedes the entry signal is perfect.

Following this, a couple more crossovers follow. The first is a bullish crossover, which would be a valid signal if you missed the last one. The second one is a bearish crossover and at this point, it doesn't make sense to enter short. The reason is that we've seen bullish presence increase for a long time now without any significant bearish involvement.

At this point, it doesn't make sense to enter short. As it turns out, the crossover happened on the final bearish bar and it was the correct decision to stay out. The final signal is a bullish one with a stop far away. As such, we'll have to wait and see how this one turns out. Given that price is moving sideways, we might be waiting for a while. Whatever happens, no matter how long a trade takes, make sure you stay in it and don't exit due to impatience.

Ranges happen to be straightforward to trade. Being as balanced as they are, the upper and lower resistance and support zones are ideal entry points for your trade. Simply enter and ride price all the way back to the other side of the range. Some gurus might recommend using an oscillator, but this is not necessary. If you stay away from the middle of the range and stick to the boundaries, you'll be fine.

The background of the image is a blurred financial chart. It features a blue and red color scheme. There are several data series represented by vertical bars and lines. Some numbers are visible, such as '100,000', '50.21', '19', '80.0', '77,500', '12,377,600', and '14.78'. The text is overlaid on a semi-transparent dark rectangle in the center.

**The secret?
Have a plan
before you
start
trading and
Follow It!**

CHAPTER 8.

Chart Patterns

Continuation Patterns

It is a market pattern that signifies a transient disruption of the current trend. While a market pattern is emerging, there is no way to tell whether the trend will continue or reverse. More diligence needs to pay to the patterns used to interpret the demand pattern and whether the market falls above or below the continuity zone. Technical analysts usually suggest believing that the trend continues until it established that it has reversed.

In fact, the longer the demand trend takes to grow, and the higher the price movement within the formula is more important, the shift once the price splits above or below the region of continuity.

Here are the main variations to note:

- A Pennant pattern must be accompanied by a fast up or down gesture that resembles a flagpole. When there isn't a flagpole, it's a ring, not a Pennant.
- A Pennant continues to form a shallow retracement (usually less than 38% of the flagpole). A deep retracement is an example of a triangle rather than a pennant.
- A Pennant is characterized by a persistent upward or downward trend.
- A pennant is a short-term pattern typically done within one to three weeks. The triangle pattern generally takes a lot longer to shape.

Triangles

Triangles are among the most common patterns in charts used in technical research because they appear regularly as opposed to other patterns. The three

most common types of triangles are symmetric triangles, ascending triangles, and descending triangles. Such map cycles will last anywhere from a few weeks to several months.

Triangles are known as follow-up trends, meaning that the theme stalls out to gain steam before the break-up. These called triangles, because the upper and lower trend line finally intersects to form a rim and joining the beginning points on both trend lines completes the triangle structure. The help trend line continues to close the channel until the high-volume demand pressure falls to restart the last cycle. There are three different types of triangle shapes.

Ascending Triangles

A continuity trends that form while the higher trend line becomes flat or horizontal, while the lower trend line tends to grow diagonally. It suggests that the upward trend has stopped while the support line reflecting consumers continues to grow, thereby narrowing the gap between the lower and upper trend lines. Eventually, the lower trend line fills in the gap enough to encourage greedy bidders to get off the fence in a bidding binge that increases the price across the high-volume trend line resistance. This breakout action continues the succeeding leg of the upward trend as prices rise to new heights.

Descending Triangles

The descending triangles are the bearish forms of continuity. They are the reversed variant of the ascending triangle. Shape as a downtrend stands out. The lower support trend line becomes vertical or horizontal while; the higher trend line begins to dip diagonally, closing the distance. The upper trend line reflects sellers willing to unload their position by reducing demand/offer rates. Eventually, sellers become greedy and overload the Dumping Shares pattern support thread. It causes panic as the stock falls in a crash that sets off the succeeding leg of the downtrend, creating new highs.

Symmetrical Triangles

The symmetrical triangles are the continuity forms of the earlier theme, which can be bullish or bearish. These demonstrated by a dropping upper trend line and a rising lower trend line. It means that all sellers are lowering their bids, while buyers are raising their attempts. Finally, one of the trend

lines must break to start the succeeding step of the last cycle. Such triangles will usually have three touch points before the split caused. It means the bottom, upper and lower or top, lower and upper trend line tags before the division that restore the earlier pattern. The more the triangle goes without a break as the price gets closer to the top, the higher the chance of loss.

Reversal Patterns

If the market reverses after a split, the demand pattern is known as the reversal pattern. Definitions of common reversal trends include:

- Head and shoulders
- Double tops
- Double bottoms

Flags

When there is a sudden shift upward or downward in price, followed by a sideways move, we have a flag pattern. A flat pattern represents a big move in price that occurs over a short time period. The flagpole is the part of the chart where the price shifts up or down. More indicators and tools must be used to determine the meaning of the sideways portion of the move, or the flag. It's possible that the sideways zone is a zone of support, which means that the stock is about to begin an upward trend. Alternatively, it could be a new zone of resistance, meaning that prices could start trending down. To determine which is which you will have to look at your candles and take a close look at other tools like moving averages.

When the price moves up suddenly, this is called a bull flag. Demand may be reduced after a sudden surge in demand, and this is what forms the flag and flagpole. To estimate whether more upside is on the way, you can check the volume. When volume correlates to a bull flag pattern, then the odds are tipped in favor of the sideways move breaking into an upward trend. Likewise, a sudden sell-off can lead to a sudden drop in price followed by a sideways move, giving us an upside-down or bear flag. Again, the bear flag might be a future level of support, but it could be a pause before a downward break in price. You will want to analyze using other tools such as candles and moving averages to get more insight, but once again, the key indicator here is the volume of trading. If the volume is higher than average – and the higher, the better to take the flag seriously– then we can consider the situation to be a

genuine bear flag.

Flags are often triggered by an external event and aren't the results of the usual humdrum trading. A huge sell-off might be caused by bad news about the company, or maybe a rumor. Alternatively, a sudden product announcement, good earnings report, or other event might trigger the formation of a bull flag. A check of the news besides looking at all your indicators might be in order as well.

Pennant Pattern



FIG12. Pennant Chart Pattern

A part of learning to recognize chart patterns is to avoid being fooled by apparent changes in the trend that are short term in nature. This can happen when a stock price rises by a large amount, and then it enters a short time period where the price is ranging, swinging up and down in price by small amounts in comparison to the magnitude of the overall trend. This is called consolidation. This is going to be followed by a breakout where the price resumes significant movement. When it converges to a low price during the consolidation period, this is a pennant pattern.

Head and Shoulders

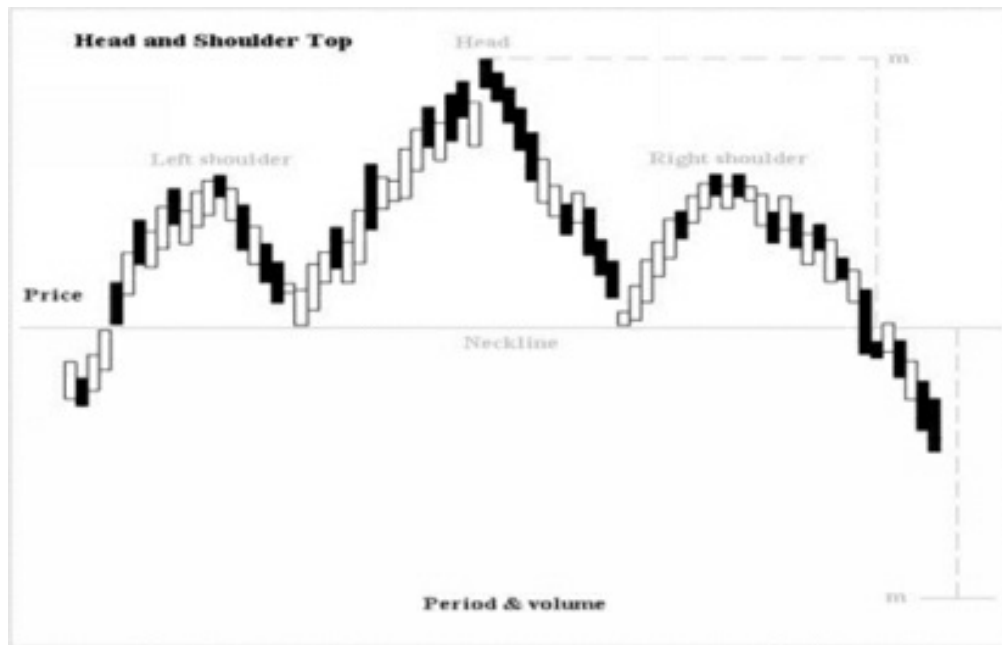


FIG13. Head and Shoulders

The head and shoulders pattern is a peak, followed by a larger or higher peak, and then followed by another peak that is about the height of the first peak. The “head” forms the middle while the two smaller peaks flanking it are the “shoulders.”

In other words, the price keeps moving up but hitting a limit and then moving back down to a floor pricing level. In the middle peak, it goes to a higher price. The head and shoulders pattern is considered a reliable indicator of a coming trend reversal.

Typically, it may be seen after a long bullish trend, so it’s a solid indicator that the bullish trend is over and a downturn in price is soon.

Double Top



FIG14. Double Top

A double top is a less reliable but strong signal of a trend reversal. This is a bearish signal, indicating that the share price is about to enter a downward trend. It needs to be confirmed, however, and the confirmation requires a future breakthrough level of support (so the price breaks lower than the prior level of support after the double top).

The double top itself results from the price peaking at a high value twice, and it is unable to break that level. There may be other price fluctuations at lower levels in between to the two peaks.

CHAPTER 9.

Volume

Volume is the last thing we need to talk about when it comes to chart patterns. Volume tells you how many shares, contracts, or currency is being bought at any given moment. It also tells you a lot about whether one move or another is strong or a potential false breakout.

Before people kept copious charts, before patterns were recognized, before computers and everything else made it a world of ease to see what the markets are doing, people had two things they could judge the move of a company with when they wanted to speculate. Volume and Price. That was it. How many shares were being bought or sold by a company, how many contracts were being bought or sold of a commodity, and where was the price going? That's it. And people like Jesse Livermore made fortunes trading on just that information alone.

Now, with all the stochastics, oscillators, and indicators, the moving averages, and such, a lot of what was price action has gone away, and most people are not focusing on it. Except for one group. Quantitative analysis has taken the helm of understanding these price movements in this way, and in that, can create a statistically higher likelihood of a correct trade. As seen by one of the most successful hedge funds in the world, Renaissance Technology. All the technical analysis has its place when it comes to helping you get a better understanding of the movement of the market. But, no oscillator, no stochastic, no indicator is ever going to replace the basic understanding of price and action.

How do you use volume?

Let's do a little bit of Amazon trading, shall we? Going left from right, let's

dissect these bars simply by the volume. Let's start with recognizing the build of buyers volume leading to a shooting star, right around June 19 and 20. For the discerning swing trader, the following day, when on heavier volume than when shot into space, the price created an engulfing candle, one could see that price go dragged down heavily and on more volume than the previous big move and could capitalize knowing a reversal was about to come. Then what happens? The following day, it sells off more, and the day after that, it gaps down for a huge down move. With a few good options traded, you could make a huge amount of money.



FIG15. How to use volume.

But what happens next is even more interesting. You get a Bullish Reversal Harami, on slightly weaker volume, which shows when the sellers come in hard. But what happens this time?

Even though the selling volume is higher than the previous days buying volume, it doesn't come close to the very low of the down move and stops right at its previous low close. If you start to notice the price action, each move for the succeeding three days does that. Test the low of the close, and then it goes up or closes with it. Each day, the volume stays higher than average.



FIG16. How to use volume

Suddenly, the volume gets much lower and the stock moves up gracefully. The volume gets lower and the price continues to make its way upward, eventually breaking out of its consolidation, picking up the volume, and moving up. Now, my description may be less than graceful, but let me explain it another way. At the end of June, there was a battle between the bulls (buyers) and the bears (sellers), and the bulls were consistently keeping control of the market by not letting it make new lows. When there is a buying and selling battle, the side that wins begins to move up on less and less volume. Which is to say, in this case, the sellers started to abandon the market, and all that was left were buyers, which drives the price up. These trends become sustainable, as you can see when they're eventually joined by more buyers and the volume picks up with the uptick in price.

Sustainable movements are created exactly in this way, and they are a great tool for you to use to know when you're in a good move or a move you should start to abandon.

Open interest tells you the number of options contracts for a given strike price and expiration date. Options traders seek out a minimum of 100, because this indicates enough liquidity that you can quickly get out of a trade. When you find strike prices with higher levels of open interest, these are probably price levels where expert traders are expecting the stock to go soon. You will want to compare open interest numbers for calls and puts on the stock. Calls are bets that the stock is going to rise in price, while puts are bets that the stock is going to decline in price.

This information is also communicated by the put to call ratio for options related to the stock. Investors who think that a stock price is going to decline are going to invest in put options.

If the put to call ratio is excessive, then that can reflect an expectation of coming price declines in the stock. You can compare the value you find for a given company to similar companies in the same sector. It's also good to check the put to call ratios for SPY, which tracks the S & P 500, for a rough comparison. That will give you an indication of what investors are expecting for the market. Note that options all have different strike prices, so you will want to check the put to call ratios for different strike prices.

CHAPTER 10.

Heikin Ashi

Heiken Ashi candles differ from normal candles in that the open, high, low, and close represent different things. Candlestick charts have been in use for a long time now, and with the recent introduction of the Heikin Ashi way of charting, observing the underlying trend in a stock price movement has become even easier. Simply observing a Heikin Ashi candlestick chart, you can now be creating an excel workbook that gives you a fairly good idea of the strength or weakness of a trend. Further modifying this chart by introducing averages will give an even better visual technique to gain greater confidence in your trades.

The Basic Chart

Your first step when making your chart is to collect the data for the index or stock prices you want to trade-in for a certain date range. You can get the data from the official websites of the stock exchange where your stock is traded and can even find the data on any financial website like finance.yahoo.com or google.com/finance. You may have to sort the acquired data in an ascending order of date.

For a working example, I have selected historical prices for the Dow Jones Industrial from the date range of 21-Mar-2012 to 21-Dec-2012. Paste the data you have just acquired into your excel worksheet, with the first column heading showing as the date, and the next four columns as the Open, High, Low, and Close.

You have used up columns A to E here so far now. Here is how your spreadsheet looks with the data pasted from column A to E.

A	B	C	D	E
Date	Open	High	Low	Close
21-Mar	13,170.79	13,190.02	13,112.93	13,124.62
22-Mar	13,124.40	13,124.47	13,017.42	13,046.14
23-Mar	13,045.99	13,099.91	13,002.77	13,080.73
26-Mar	13,082.62	13,243.86	13,082.39	13,241.63
27-Mar	13,242.09	13,264.98	13,194.33	13,197.73
28-Mar	13,195.39	13,212.64	13,069.26	13,126.21
29-Mar	13,125.99	13,151.57	13,032.67	13,145.82
30-Mar	13,147.94	13,224.49	13,147.78	13,212.04
2-Apr	13,211.36	13,297.11	13,153.69	13,264.49
3-Apr	13,258.96	13,265.36	13,131.21	13,199.55
4-Apr	13,198.19	13,198.19	13,020.86	13,074.75
5-Apr	13,067.18	13,088.11	13,012.46	13,060.14
9-Apr	13,057.57	13,057.72	12,903.78	12,929.59
10-Apr	12,929.44	12,929.59	12,710.56	12,715.93
11-Apr	12,716.92	12,844.82	12,716.92	12,805.39
12-Apr	12,806.45	12,986.96	12,806.30	12,986.58
13-Apr	12,986.20	12,986.35	12,845.28	12,849.59
16-Apr	12,850.88	12,986.77	12,850.80	12,921.41

Select the area of this data that you want to chart and use the “insert-chart-stock-open-high-low-close” option to see a graphical chart for your date range as a simple candlestick chart. You may adjust the axes, the gridlines, and the grid interval to get a better view of the chart. Select the area from cells A2 to E78 to show the chart here:



FIG17. Example - Basic Chart

Well, that's a good-looking chart, but there are still a lot of candles that distract you from forming a general idea of the underlying trend. You may now convert the original data to display the Heikin Ashi chart.

The Standard Heikin Ashi Chart

Leaving the column F blank, as a separating mark, assign columns from G through K to "Date," "hOpen," "hHigh," "hLow" and "hClose" in the first row.

Cell G2 is again the date, so you might equate this column G to column A by typing `"=a2"` in cell G2.

The Heikin Ashi open is simply the average of the previous day's open and close. Since you are starting from day-1, let the hOpen for day-1 be the same as actual open. This is done by writing the formula `"=b2"` in cell H2.

The Heikin Ashi high is the maximum value of today's hOpen, actual high of the day, and today's hClose. This is accomplished by typing in the formula `"=max (h2, c2, k2)"` in cell I2.

Similarly, the Heikin Ashi low is the minimum of today's hOpen, actual low of the day and today's hClose. This can be calculated by typing the formula `"=min (h2, d2, k2)"` in cell J2.

Finally, the hClose is obtained by typing in the formula `"=(b2+c2+d2+2*e2)/5"` in cell K2.

Here, the Heikin Ashi close is taken as the average of the actual high, low and close of the day, and since we want to place more emphasis on the actual

close, we have weighted the actual close twice and then taken the average of the five values (the open, the high, the low and two closes).

This is the first modification of the standard Heikin Ashi technique we have introduced since this imparts greater importance to the closing price.

Now, the hOpen in the Heikin Ashi chart is the middle value of the previous day's modified close (hClose) and the previous hOpen. Thus, in cell H3, you are typing in the formula: $=(h2+k2)/2$.

The next two cells can be just pulled down from their previous cells and will show as the new high and new low for today's date.

The hClose for today, in cell k3 would have the modified formula $=(h3+c3+d3+2*e3)/5$.

Note that here we are deviating for the second time from the standard Heikin Ashi calculation of hClose, by not only placing greater emphasis on the recent close, but also substituting hOpen instead of the actual open.

The next step simply involves dragging down the formulae from row 3 to the latest date for which you have the most recent data. You may now select the chart area for the modified Heikin Ashi values and chart them as a stock candlestick chart.

The spreadsheet for the columns F through K should now look like this:

F	G	H	I	J	K
	Date	hOpen	hHigh	hLow	hClose
	21-Mar	13171	13190	13113	13145
	22-Mar	13158	13158	13017	13078
	23-Mar	13118	13118	13003	13076
	26-Mar	13097	13244	13082	13181
	27-Mar	13139	13265	13139	13199
	28-Mar	13169	13213	13069	13141
	29-Mar	13155	13155	13033	13126
	30-Mar	13141	13224	13141	13187
	2-Apr	13164	13297	13154	13229
	3-Apr	13196	13265	13131	13198
	4-Apr	13197	13198	13021	13113
	5-Apr	13155	13155	13012	13075
	9-Apr	13115	13115	12904	12987
	10-Apr	13051	13051	12711	12825
	11-Apr	12938	12938	12717	12822
	12-Apr	12880	12987	12806	12929
	13-Apr	12905	12986	12845	12887
	16-Apr	12896	12987	12851	12915

This is how your standard Heikin Ashi chart should look like:



FIG18. Example - Heikin Ashi

Comparing this chart to the raw chart, you can see that much of the noise hindering you from spotting trends clearly is done away with.

There are, however, still many candles with spikes at both ends that do present an awkward view.

A further modification by introducing a simple 5-day moving average of the hOpen in place of the hHigh and the 5-day moving average of the hClose in place of the hLow should eliminate many of these spikes.

This would complete our special modification for the Heikin Ashi chart, and the modified values would be used to calculate buying or selling triggers and stop-loss figures for our trading purposes.

The Modified Heikin Ashi Chart

To calculate the modified HA chart, leave the column L blank and perhaps fill it up with a suitable color to act as a separator column.

Column M holds the dates, so you might equate this column to column A by typing “=a2” in cell M2 and dragging down the cell formula to the latest date in the data range.

Column N holds the mhOpen, which we are keeping the same as the hOpen, so type in the formula “=b2” in cell N2, and further the formula “=(n2+q2)/2” in cell N3. Drag down this cell formula to the last data in your range.

Now, the hHigh is replaced by the 5-day simple moving average of hOpen, by typing in the formula “=average (n2: n6)” in cell O6. The first five cells in this column are left blank. Drag down this cell formula from O6 down to the last data in your date range.

Similarly, to calculate the modified mhLow in column P, calculate the simple average of the last five hClose by placing the formula “=average (q2: q6)” in cell P6, leaving the first five cells above blank.

Drag the cell formula from P6 down to the last value in your date range.

Finally, the mhClose is the same as in the standard Heikin Ashi chart, so type in the formula “=(n2+c2+d2+2*e2)/5” in cell Q2 and dragging down the cell formula to the latest cell in your date range.

Now you have the final working Heikin Ashi values to create the modified Heikin Ashi chart and the modified values to calculate the triggers for profitably trading an index or stock.

This is how your spreadsheet looks from column L to Q:

L	M	N	O	P	Q
	Date	mhOpen	mhHigh	mhLow	mhClose
	21-Mar	13171			13145
	22-Mar	13158			13078
	23-Mar	13118			13076
	26-Mar	13097			13181
	27-Mar	13139	13137	13136	13199
	28-Mar	13169	13136	13135	13141
	29-Mar	13155	13136	13145	13126
	30-Mar	13141	13140	13167	13187
	2-Apr	13164	13154	13176	13229
	3-Apr	13196	13165	13176	13198
	4-Apr	13197	13171	13171	13113
	5-Apr	13155	13171	13161	13075
	9-Apr	13115	13166	13121	12987
	10-Apr	13051	13143	13040	12825
	11-Apr	12938	13091	12964	12822
	12-Apr	12880	13028	12928	12929
	13-Apr	12905	12978	12890	12887
	16-Apr	12896	12934	12876	12915

If you select the area from cell M6 to Q78, and chart this as a stock chart in your Excel worksheet, you should see the modified chart as below:

As you can see, almost all the distracting noise and the spiking candles have vanished. We have now a most pleasing chart to look at and with just a cursory glance, you can see that presently (10-July-2012) in the chart recorded, the DJI is in a downtrend.



FIG19. Modified Heikin Ashi Chart

Dow Theory

The stock market being a barometer of the economy's health, is only one aspect of the Dow Theory. A basic premise of the Dow Theory is, 'the market discounts everything.

Meaning, all information—past, current, and even future—is discounted into the markets and reflected in the prices of stocks and indexes.

Companies do not announce earnings reports while the market is open for trading. Companies announce earnings reports either before the market opens or after the close of the market.).

Thus, the only information excluded from the current market prices is that which is unknowable, such as a massive earthquake or possibly a terrorist attack. But even then, the risks of such an event are priced into the market. And no, this does not mean that market participants or the market itself can somehow predict future events. To apply this to technical analysis today, we need only look at price movements, and not at other factors such as the balance sheet of a company. Another premise of the Dow Theory that we will use in our technical analysis is the market moves in trends.

The Three-Trend Market

Before we trade or invest in any stock, or even a market index or a mutual fund, we want to know the overall direction of the market. Dow recognized the market moves in trends and cycles, much like the overall economy. The

Dow Theory says there are three trends to market movement.

- 1.Primary trend
- 2.Secondary trend
- 3.Minor trend

In the following chart, we can see all three of these trends.



FIG20. The three trends in a bullish trend– Dow Theory

The primary movement is what its name suggests, primary. This is the overall direction on a longer-term basis. Yet during an overall advance, there are secondary trends in the opposite direction, shorter time periods where the market pulls back. These declines are within the overall advance, and even within these declines, or pullbacks, there are minor trends.

We see in the following chart that the same is true in a declining market.



FIG21. The three trends in a bearish trend– Dow Theory

As I've already said, the market discounts everything, it fluctuates, and

during this process, it does not move in a straight line whether the overall market is advancing or declining. It is going to zig-zag, so when placing your money in the market, you must know what the primary trend is. The primary trend is the most important of the three trends. It is the granddaddy of the three trends and will dictate whether you make money or not. If you ignore the primary trend, you are most likely going to lose money. The only time you should be buying stocks, index funds, or mutual funds is when the primary trend is advancing. But even then, you want to get in on the early stages of the advance. You don't want to be the last one to the party.

CHAPTER 11.

Swing Trading Rules

Rules are usually there to help you be disciplined in what you're doing. Have you ever stumbled upon the swing trading rules before beginning on trading? This bankruptcy is all approximately overlaying the specific regulations of swing trading. The guidelines will guide you on the pleasant ways on the way to yield massive income and incur minimal losses from swing trading. Below are several of the regulations that will help you to your swing trading.

1. Select Volatile Markets

There are one-of-a-kind markets in swing trading. To be successful in swing trading and earn a large income, you must choose a market with wider charge fluctuations in comparison to the narrower ones.

2. Consider Consistency

Consistency is the key to swing trading. You should have a swing trading habit and usually persist with it. Be steady in what you're doing to save you confusion and messing the whole lot up. You need to do a great deal exercise on the swing trading marketplace to be familiar with all guidelines and hints to be implemented. Practice this with the mock accounts you are supplied with through the distinct brokers.

Demo accounts improve your abilities through providing virtual cash to exchange with. Be consistent with this practice before getting into the actual swing trading. Real trading inside the swing market is full of dangers; so, you want to be fully organized before making up your thoughts to begin off.

3. Be Aware of Market Situations

A swing trading market has distinct situations. The market can both be

bullish or bearish. You want to be aware of the marketplace you are dealing with. Bearish markets are commonly weak as compared to bullish markets. Be mindful of you are in the market so that you can make proper estimates of your profits and losses.

4. Do Not Take Chances

Do no longer be in the rush of making real cash inside a quick period. Good matters take time. Do not complicate yourself in swing trading with gambling or you will lose a lot. Have patience with the money you are receiving, and with time, the payment will, of course, increase. Do not make use of the possibilities since they'll make you lose all the money which you worked hard for.

5. Accumulate Profits

Making an income is always the principal goal of any kind of business. You need to have a manner of dealing with your income earned in swing trading. Profits need the accumulated usage of exclusive market strategies to save your losses. The unique marketplace strategies can also include imposing stop-loss orders on the inventory while it reaches its resistance levels.

6. Be Aware of the Support and Level of Resistance

Support and the extent of resistance are essential in swing trading. The stock within the swing trading market must be monitored. You want to be privy to its assist and the level of resistance. The stage of help and strength on the inventory are the expenses at the trading chart at which a trader can inform if you have more customers than sellers. The two elements aid in governing the number of losses inside the marketplace.

7. Set Your Entry and Exit Points

Having an entry and exit plans in swing trading are essential. Sometimes the market behavior might not be as favorable as you accepted. Things and activities may work in vain. You need to have a plan to get away from this while it happens. Exit and entry factors now are available handy. You can understand the way to work matters out while the marketplace is in its worst-case scenario. Always ensure to enter the swing trading marketplace with entry or exit plans to shun from making significant losses.

8. Take Advantage of the Stop-Loss Strategy

This is the sort of swing trading approach that makes you capable of go out of your role within the market. Stop-loss order when shopping for the stock is commonly applied at a position that allows a bit change within the rate fluctuations; however, it will become detrimental while the market gets out of control.

Most swing investors are purchasing inventory use forestall-loss while the rate of the stock drops on the marketplace. Contrarily, when selling stock in the swing trading marketplace, a forestall-loss order can be applied when there may be an upward push within the charge of the inventory since that is the resistance level of the underlying stock.

9. Minimize Losses

Losses are usually a part of the game; however, you must do something while they end up out of control. Injuries affect your income and your trading capital. You want to have some numerous operating strategies on the way to eliminate the losses in swing trading. Always put into effect the techniques while trading to succeed.

If things aren't running out properly as expected, you want to stop what you're doing and work on something else. You could lose a lot of money if you aren't cautious, even as trading. The targets of swing trading are all about raising profits and making investments and not making losses.

10. Have Control of Your Emotions

Do you already know that emotions have made many traders fail in their trading? Emotions should no longer be a part of any dealer within the swing trading. Swing trading markets have each high-quality-case and worst-case scenario. You need to manipulate your feelings while each plot shows up within the marketplace.

You should not get over-excited when the market goes in line with your favor. You need to be usually alerted not to drop tremendously. Also, for the duration of your worst-case scenarios, do not longer get over-excited together with your emotions. Be sturdy and stop with the crying. When matters do not exercise session as you expected, find alternative moves without delay to be applied within the marketplace to avoid significant losses and risks in the swing trading marketplace.

Do not feel terrible while the mistakes show up to your trading; they're usually a part of being a hit in swing trading. Learn from the errors made to

avoid repeating the mistakes the next time you are trading. Mistakes usually make you develop, and you should examine them a lot.

11. Have a Trading Plan

Who starts evolved off something without a plan? You need to have a plan for everything. Swing trading calls for a plan too. A trading plan organizes you in all your activities. You can recognize the moves to be applied in one of a kind markets condition. A trading plan provides you with the preferred marketplace strategies and assists in elevating a reasonable quantity of capital. A trading plan enables you to become disciplined while you are trading.

A trading plan creates a schedule in your trading, in phases of the time and the kind of trading you're dealing with. Also, a program permits you to come up with the desires and goals of your trading.

Objectives help you put much effort into being able to acquire the goals. Do not enter the swing trading marketplace without a plan; it's far a vital factor that needs to be integrated along with your trading.

12. Enjoy Swing Trading

Why does something you do no longer revel in? Swing trading requires a good deal of passion while practicing it. You need to be love spending a whole lot of a while on your pc since most of the swing trading markets are online platforms. You need to be excited when trading. This will inspire you to research greater approximately it, and you'll get plenty informed. Knowledge is substantial since it leads to fulfillment.

Do your trading with all the ardor and revel in it? You also can be a part of boards with swing investors' experts to analyze and spot what others are doing. Swing trading isn't a smooth thing; you want to have a good deal of love and ardor for it to succeed. A bored swing dealer receives worn-out with time and decides to surrender with trading. Be the glad trader, and fulfillment will come to your manner.

13. Come up with Good Swing Trading Decisions

The form of decisions you're making in trading defines you a lot. Do you expect achievement while you give you poor selections? A swing dealer desires to create robust and exact choices while trading. You need to put together yourself so properly mentally on the delicate issue to do when the

special marketplace situations occur.

Do not be the kind of trader who makes terrible and rushing decisions while things fall apart. Be an excellent decision-maker for better fulfillment inside the future. Also, do not rely a lot on what humans are pronouncing online. You must provide you with your own decisions on your trading. Others can also misinform you, and this could make you fail terribly. Be strong and do the proper factor.

CHAPTER 12.

Swing Trading Strategies

The strategies that you decide to use will depend both on market conditions and, of course, your own personal preferences. The following 3 strategies are the ones that I primarily employ:

1. regularly scanning for trades
2. short-term gap trades
3. hot sector manias

These strategies do not always work and therefore you will need to be constantly tuned to the overall market to ensure that the strategy you are using is appropriate for the existing market conditions. As I have alluded to before in this book, sometimes the best trade is “no trade” at all.

Let’s look at these 3 swing trading strategies in more depth below.

Regularly Scanning for Trades

Swing traders often have a daily or weekly routine of scanning for trading opportunities in the market. Scanning can generally be done on your broker’s platform because most brokers now offer scanning software. If your broker does not offer this service, scanning can be done through a very good website called Finviz (finviz.com). Finviz provides you with a wealth of information as well as allowing you to scan for stocks that meet your own defined parameters. This is not the only option you have for scanning the market though. ChartMill (Chartmill.com) is another site that offers a similar free scanning service. You do not need the subscription version of these websites unless you plan on doing more sophisticated scans and back testing. Back testing is the process of trying out a trading strategy on historical data. This

helps you to confirm that the strategy you have developed has a good chance of success before you put your actual capital at risk. I am confident though that the free Finviz or ChartMill website service will meet most of your needs. Let's look at the Finviz site specifically and see how it can be used to scan for and find trading opportunities. ChartMill works in a comparable fashion and, if you choose to instead use your broker's site, then you will likely go through a similar process as follows:

1. review overall market conditions
2. review the performance of market sectors
3. screen for opportunities
4. review the short list of opportunities

Let's go through each step in the process as outlined above.

Review Overall Market Conditions

When you open up the Finviz home page you will see an overwhelming amount of information – let's keep it simple and look at what I feel are the most important pieces of data. You will see 3 bar charts at the top of the page that show the DOW, Nasdaq, and S&P performances for the day. However, as a swing trader, you should be more interested in the data just under those charts, which includes:

- % advancing versus declining (stocks up on the day versus down)
- % new highs versus new lows
- % stocks above their 50-day SMA and % below
- % stocks above their 200-day SMA and % below
- % bull-bear sentiment of subscribers

All of these indicators tell you much about the direction of the market and the sentiment of traders. These are often referred to as internal indicators for the overall market. As I previously discussed, it is better to be working with the market you have versus taking a trade that is not aligned with the overall market direction.

Much like paddling a boat in a river, it is easier to paddle downstream with the river's current versus paddling into the current. Strong paddlers may make headway upriver, but the average and poor paddlers are going to be swept downstream no matter which direction they are paddling. It is the same

with securities; there will always be some securities in a strong trend that will defy the market and go in the opposite direction, while the majority of securities will move with the overall market. In markets that are trending very strongly in one direction, almost all of the stocks will be swept in the direction of the current.

In a market that is trending strongly in one direction, swing traders should be more inclined to find trades that are moving in the same direction as the overall market. For example, if you see these indicators showing many more stocks are declining versus advancing, and the percentage of new lows are much higher than new highs, and a greater percentage of stocks are dropping under their 50 and 200-day SMAs, then we are in a strong down-trending market.

The size of that downtrend will be reflected in the actual numbers for each of these measures. If stocks making new lows are at 80% compared to only 20% making new highs, then it indicates a strong bear market overall and swing traders should be looking at short opportunities more than long trades. Figure below shows these indicators on the Finviz site.

When this image was taken the market was not strongly trending one way or the other and most of the indicators were sitting in the middle of their ranges. For example, the new highs compared to new lows were 123 versus 107 respectively, which is slightly bullish but not considered a strong up trending market.



FIG22. Finviz website - the overall market indicators.

In summary, it is beneficial to be informed on how the market is performing so you can consider aligning your trades in the same direction.

Review Performance of Market Sectors

Taking this alignment concept a little further, a swing trader will also be concerned with the various sectors in the market and how they are performing. You will hear professional traders and analysts talk about “rotation” in the market or how a particular sector is leading the market higher. This means that traders and investors are moving capital from one sector to another or they are favoring certain sectors over other ones. Finviz offers a very good tool to determine which sectors are performing well and which are performing poorly over several different time frames. By selecting the Groups tab on the home page, you will see some bar charts that show performance by sector for 1-day, 1-week, 1, 3 and 6-month periods. This illustration provides a quick and easy way to survey the specific sectors in the market to see which one’s investors and traders currently favor and which ones are out of favor.

Figure below shows an image of the page taken at the end of April 2018. At the time this screenshot was taken, it was the utility and health care sector stocks that were showing strength over the previous 1-week and 1-month time frame. Over the previous month, basic materials had done well, but their weekly performance indicated that this sector had now slipped lower.

A screenshot of the Finviz Groups tab showing which sectors are in favor and which are out of favor over multiple time frames.

While it will not show in the print edition of this book, you will see on the Finviz website that the sectors which are out of favor (the bottom rows in each time frame) appear in brighter shades of red depending upon how out of favor they are. Likewise, the more in favor a sector is (the top rows in each time frame), the brighter the shade of green they are presented in (in the black and white figure are the first lines of each sector in light gray).

Long and short opportunities, you should take note of the sectors at the top of the charts and which ones are at the bottom.



FIG23. A Screenshot Finviz Group tab - Sectors

In addition, look for the alignment of multiple time frames: for example, is the 1-week and 1-month performance of a sector aligned? Don't forget that I suggested it is better to have an alignment of your swing trades on several timelines and not just one. Being aligned in a sector can be even more beneficial compared to being only aligned with the market. Consider that the market is made up of different sectors such as retail, banking, technology, defense, and transportation to name but a few. While some of these sectors could be making significant moves higher, other sectors may be performing poorly at the same time. To illustrate this point, let's look at the performance of the XLK Technology ETF and compare it to the performance of the Utilities ETF XLU over the same time frame. Referring to Figure 12.3, you can see from the 2 charts that a long trade in the technology sector was a much better trade compared to utilities. The XLK gained about 10% during the period while the XLU lost about the same percentage.



FIG24. Compare the performance XLU vs XLK

Charts comparing the performance over the same period of 2 ETFs, the XLU versus the XLK. Being invested in the right sector can help your trades be profitable (charts courtesy of StockCharts.com).

In summary, if you are considering an individual stock, check the sector category it is in to see how the overall sector is performing. Are you trading with an overall sector trend or against it? You should also check multiple timelines to make sure that they are aligned or at least showing signs of reversing. If you do not get confirmation that the longer-term sector trend is moving or starting to move in your expected direction, then you might just be trading a short-term correction that will turn against you. This will ensure that you are on the right side of a trend or trend change and not just looking at a short-term correction. The next step is to start to look for specific trading opportunities. Let's look at how this is done in the following section.

Screen for Opportunities

In the next step of the scanning process on the Finviz site, you will select the Screener Tab. Figure 12.4 shows what this page will look like when selected. Near the top, you will see 3 tabs called Descriptive, Technical and

Three categories of filters for scanning

- 1) Descriptive,
- 2) Fundamental,
- 3) Technical

The screenshot shows the Finviz website's stock scanner interface. At the top, the 'finviz' logo is visible. Below it, the navigation bar includes links like Home, News, Screens, Maps, Groups, Portfolio, Insider, Futures, Forex, Crypto, Backtests, and Etc. The main header area contains a search bar and a 'TRADE' button. The 'Filters' section is prominently displayed, showing various filter categories: Descriptive, Fundamental, Technical, and All. The 'Descriptive' filter is currently selected, showing a list of filters such as Market Cap, Market Share, Market Size, Target Price, P/E Ratio, Dividend Yield, Average Volume, and P/B Ratio. The 'Fundamental' and 'Technical' filter sections are also visible, showing their respective filter categories. The bottom of the page displays a table of stock results, with columns for Rank, Company, Sector, Industry, Country, Market Cap, P/E, Price, Change, and Volume. The table lists various companies, including Agilent Technologies, Inc., Alkermes Corporation, Allstate Inc., and others.

Finviz site Screener page used to filter out stocks for review.

CHAPTER 13.

Routine of a Swing Trading

Swing traders differ from investors in various ways. Investors buy shares and hold on to them for lengthy periods of time. They often hope to generate annual returns, like 10% to 20% per annum on their investments. This is a different approach from traders who enter the markets and exit after a very short while. Traders hope to make small but frequent profits during a few days or weeks. Their aim is to make between 10% – 15% or more each month. This translates into big returns over time.

Swing traders use both fundamental analysis and technical analysis to determine stocks with an upward trend and with momentum. A swing trader's work includes the identification of financial instruments such as stocks that have a well-defined trend.

The aim of a swing trader is to purchase securities when the prices are low, hold the securities for a couple of days, and then exit when the prices are high. This way, they exit trades profitably, and it is the method that they use to earn their profits. It makes sense to enter trades when prices are low and then sell when the prices go up.

As a retail trader, you may be at a disadvantage compared to professional traders. Professional traders are generally more experienced, have a lot of leverage, access to more information, and pay lower commissions. However, you do have some advantages in some instances because you are not limited to the risks that you can take, the size of investment, and types of trades. As a retail swing trader, you need to ensure that you have all the knowledge necessary to take full advantage of the markets.

Trading Techniques

Swing trading techniques are easy to learn. They are also straightforward and simple to demonstrate. After learning these techniques, it is advisable to put them to practice for a couple of days until you get confident enough to trade live. If your practice trades were largely successful, then trading the real markets will also likely prove to be successful.

As a swing trader, you do not have to focus your energies using complicated formulas and learning complex techniques. You also do not need to buy and hold stocks or other financial instruments like currencies. Instead, you only need your trading charts.

Beginning of the Trading Day

As a swing trader, you need to be up early before the markets open. Most traders are awake by 6.00 in the morning and start preparing for their trading day. The few moments just before the opening of the markets are crucial as you get the feel of the market.

One of the first things that you need to focus on is finding a potential trade. You should spend your time finding securities that are on a sure trend. Another thing you should focus during these early morning moments is creating a watch list of stocks and securities. Also, check out all your other positions.

Current News and Developments

You should take time in the morning to catch up with the latest developments and news, especially those that directly impact businesses. One of the best sources of financial and business news is CNBC, which is a cable news channel. Another great source of market information is the website www.marketwatch.com. This is an informative website that provides the latest and most reliable market news.

As a swing trader, you need to be on the lookout for three things in the news. These are different sentiments in various market sectors, current news reports such as earnings reports, and the overall market outlook. Are there sectors that are in the news? Is the news considered good or bad? What significant thing is happening in other sectors? If something significant or of concern happens, then you are likely to come across it in the news.

Identifying Potential Trades

So how do you find trades that you'd be interested in? As a swing trader, you

may want to find a catalyst. A fundamental catalyst will enable you to enter a trade with enough momentum. Then all you will need is technical analysis to confirm your exit and profit points.

1. Special Opportunities

There are different ways of entering the market. One of these is to find a great opportunity with so much potential. Great opportunities can be found through companies planning an IPO, those ready to file for bankruptcy, situations of takeovers, buyouts, insider buying, mergers, acquisitions, and restructuring. These and other similar events provide excellent trading opportunities, especially for swing traders. To find these opportunities, you need to check out the SEC website or filings from companies. Certain forms such as 13-D and S-4 contain all the relevant information that you need. You can also subscribe to the website www.SECFilings.com to receive notifications whenever companies file reports. While these opportunities carry some inherent risks, the possible rewards are too great to ignore.

2. Sector or Industry Opportunities

Apart from the rare opportunities, we also have opportunities that are specific to a given sector. These are opportunities that you will find on certain websites regarding sectors whose performance is well above average. For instance, we can determine that sectors such as energy are doing exceptionally well by observing energy ETFs. There are certain sectors that pose a high risk but have high returns and can be very profitable.

3. Chart Breaks

We can also rely on chart breaks to find opportunities. Chart breaks are especially suitable for swing traders. Chart breaks are really stocking or securities that have been traded so heavily, such that they are very close to major resistance or support levels. As a swing trader, you will search for opportunities out there by identifying patterns indicating breakdowns or breakouts. These identifying patterns can be Gann or Fibonacci levels, Wolfe Waves, channels, and triangles. However, please note that these chart breaks are only useful when there is a huge interest in the stock. This way, you can easily enter and exit trades. Therefore, whenever you note this chart breaks, you should also focus on factors such as price and volumes.

Securities Watch List

One of the things that you really should embark on is building a list of stocks or other securities to watch closely. The stocks that should constitute this list include those with a great chance at high volumes and upward price movement. It should also include stocks with a major catalyst.

Checking Your Current Positions

It is important to keep tabs on your current positions. You probably have other trades so look at these and see if there is anything needed on your part. This is something that you should focus on early before the trading day begins. You should check these positions with the benefit of foresight based on the information obtained from news sources and online sites. See if any news items will affect your current positions.

Checking this out is easy and straightforward. All that you need to do is to enter the stock symbol into websites such as www.news.google.com. This will reveal plenty of essential information that you need to be successful. Should you come across any material information that can directly affect your trades, then consider what you should do, such as adjusting the different points like take profit and stop loss.

Market Hours

Now that the markets are open, it is time to get busy as a trader. During this time, you will mostly be trading and watching your screen. Check the market makers of the day and be aware of any fake bids and asks.

Find a viable trade and apply all the skills and knowledge you have acquired to identify entry and exit points. There are plenty of techniques you can apply to arrive at these points. Think about Fibonacci extensions, for example. These can help you identify entry and exit points; you can also use price by volume and resistance levels.

As the trading day proceeds, you may need to make certain adjustments to your positions. These adjustments will depend on several factors. However, it is not advisable to adjust positions once you enter a trade, especially if you are planning on taking on additional risks. If you must make adjustments, then it is better to focus more on adjusting the take profit points and stop-loss levels.

After Hours

Most swing traders are largely inactive after the normal trading day is over. At this point in time, the market is not liquid at all, and the available spread is not suitable to enter any trades. Therefore, take this time to do some evaluation of your earlier trades and your positions. Examine your trades and see where you could do better. Focus on any open positions you may have and consider all material events that could have some effect on your positions.

CHAPTER 14.

Managing Positions with Various Methods

People make millions from trading in every market. The challenge is not about finding the market that will make you the most money; it is about finding a market that is right for your personality and your level of risk. There are pros and cons to every market, and we are going to go through each of them so you can get a full understanding of the instruments and their varieties and how they work with swing trading.

Forex

Forex stands for foreign exchange. It is the biggest market in the world with trillions of dollars traded every day on the exchange. The currency market trades 24/7 and allows you to trade in tens of thousands of dollar blocks. The market runs on currency pairs, with the dominant currency being the leading one. To give an example, if you wanted to trade the Euro, you would trade Euro/USD to trade the price of the Euro.

Currencies are an interesting market. They are open 24 hours a day, 5 days a week, from 5PM Sunday to 5PM Friday. You can start trading them for as little as a \$400 account, representing \$10,000 of value for as little as \$220 in margin. You are usually trading on value of .0001, or what is called a pip. Each pip represents \$1 per \$10,000 you are representing. This amazing amount of leverage allows for small accounts to bring in a lot of money on small moves.

Like any trading, forex has its ups and downs, the biggest being that it trades 24 hours a day. This makes people who want to keep positions for days faced with the challenge that the markets can move against them overnight and occasionally move fast. But the flexibility of a 24-hour market also means that a lot of part-time traders can find a market to trade at any time and do not

have to hold themselves back to standard market times.

But, at the same point, these types of things will bring out the worst traits of a trader, and that is why most people do not recommend them for beginners.

Futures Market

The futures market is one of the oldest markets to ever exist, used as a tool for farmers to protect their harvests by selling at a certain price today. It was initially placed stores and businesses went to hedge against price hikes as well. The futures market has evolved a lot since then and has become the home of speculators, with less than 5% of all contracts ever being filled. And in that comes an opportunity. John W. Henry, the owner of the Boston Red Sox, made his fortune speculating on commodities. Jesse Livermore, the greatest trader to ever live, made \$3,000,000 shorting cotton in 1907 to such an extent that JP Morgan himself had to call and ask him to stop. Oil, live cattle, corn, gold, treasury bonds, stock indices around the world, and currency are traded on the futures market.

The biggest advantage that for a lot of people becomes immediately clear when trading in futures is the lack of markets you need to focus on. When it comes to stocks, there are so many companies, stocks, and other things to pay attention to, which is not a bad thing because it means there will always be some amazing trades that you can potentially take. But, when it comes to trading futures, there are two or three products in every market and a mere 9 markets to follow, though most people even then specialize whether for affordability or simply for markets that move comfortably. You might want to trade oil so that you can preserve your account and manage your risk. You might want to trade stock indices because they have a way of trading the entire market, instead of having to choose any one stock. Marty Schwartz, a famed trader that appeared in the first Market Wizards manuscript by Jack Schwager, traded the S&P minis for years, producing a multi-million-dollar fortune in the process. Shorting the indices was what made Paul Tudor Jones, a legend in the 1987 market crash. Perhaps, also, the markets might be flat, or you hear the economies on a downturn, trading gold has seen people during a gold rally go from dreamers to believers in a few months as markets rallied.

But don't get me wrong. For every fortune made trading futures, 90% were lost. They are massively leveraged and can lock limit-up or down, meaning

that trading is halted for the rest of the day. These limit moves, though rare, do happen and see people stuck in moves they want to get out of but cannot. The leverage, which is what makes most people excited about trading futures in the first place, can suddenly turn on them in a heartbeat.

But their leverage is not something to ignore or be completely fearful of either. One or two good moves in a market and even something like a Micro-E-Mini Dow contract can turn a huge profit in just a few days.

Trading futures also has a massive tax benefit, which is the reason many traders trade in them. Because you cannot hold your positions for the year needed to count it as an investment, 60% of all gains are taxed at capital gains and 40% is taxed as income tax. The same goes for forex and options.

Equities

Equities, also called stock, represent a small percentage of ownership of any company, given value, not by the company's worth but by the sentiment of the people who are buying and selling the shares of the company. The stock market always has an air of mystery to it for most people, so they leave it to their 401k's, a mutual fund investor, or anyone but themselves to handle their money in the markets. And because of that, most people never really get a huge financial reward from the markets.

It is understandable, though; it can seem very foreboding after all. 2,800 companies make up the New York Stock Exchange and 3,300 that make up the NASDAQ, and then there is the Amex that has ETF (exchange-traded funds). It can be a lot easier to just give over your problems to someone else.

But, as a swing trader, the ton of opportunities out there means that, if you know how to screen for the stocks that might fit your criteria, you will be able to use stocks to produce a huge return.

The problem lies in the lack of leverage you can exercise. Due to restrictions and regulations brought on after the Great Depression, unlike futures, commodities, and forex, you can only use a 50% margin, meaning double your buying power. This, of course, does not allow for the rapid growth that some people enjoy. However, it also is a great place to start because it will allow you to make more mistakes, to learn slowly, and to not blow-up your account.

Most people focus on the stock market because that is what they can get the most information about. CNBC, Bloomberg Television, Fox Business—all these talk stocks during market hours. They talk about companies, IPO's, and strategies. Do you buy or hold? Would you short the market? What options would you look to buy? Every day, a lot of information pours in trying to capture the ear of anyone and everyone willing to listen. So, of course, people gravitate to stocks. And it is a good reason too if these are the things that you would find comfortable working with.

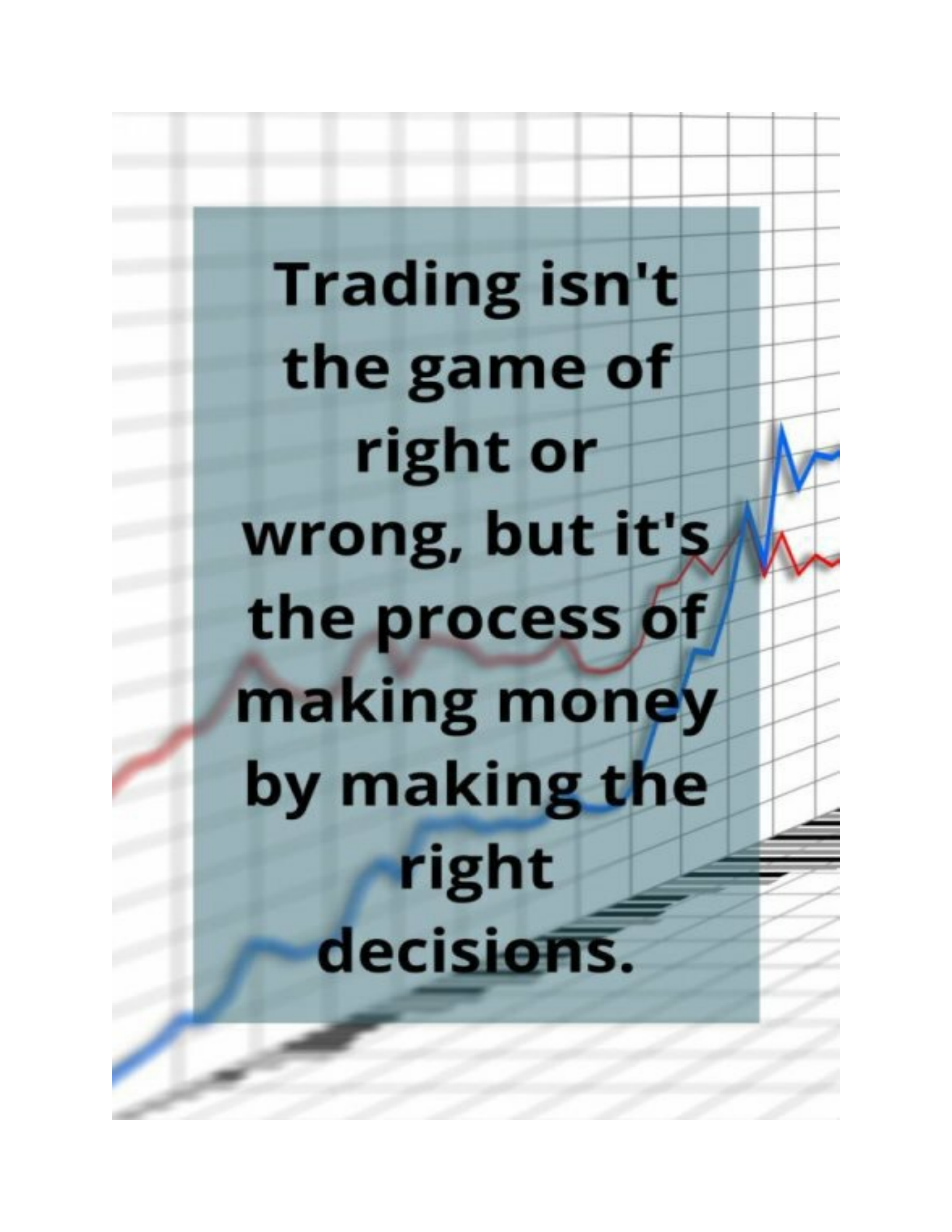
Cryptocurrency

Cryptocurrency has become the new kid on the block, and it is either going to be tulip mania or the subsequent great disruption that replaces the world economic market. Or the world will figure out a way to synergize with cryptocurrency and it will trade right along with everything else. Either way, now, most people are clueless as to what cryptocurrency even is, to begin with.

Created as an internet-based exchange to do financial transactions outside the central bank, it was once solely in the domain of the black market, paying for drugs, sex, and other illicit things. It has found its way mainstream and into the imagination of everyone, given value by its limited quantity and now by speculators who are pouring in to get a piece of what they see as the great disruption.

Trading crypto is available in several brokerages; however, the cost can be exorbitant as high as 25,000 needed for a single trade. There are companies like Coin base and such that allow you to be fractions of interest of Bitcoin equal to what you want to invest, and thus, allowing you to gain that value if it increases. Right now, as it stands, Bitcoin and other cryptocurrencies are the most leveraged items, as I think; most brokerage companies do not yet know how to package it.

Though, that does not mean we will not give you some amazing examples to go over and study on the market and prepare should the following rally start or the following bust. Currently, the market is stabilizing, and there are ways to gain value if you do it right.



**Trading isn't
the game of
right or
wrong, but it's
the process of
making money
by making the
right
decisions.**

CHAPTER 15.

Swing Trading Plan

Just like many other aspiring swing traders, I bet you heard about swing trading, and you were instantly excited about the idea, your fingers are itching to try it out, but you have no idea how to start. Getting into swing trading can prove to be extremely difficult if you do not have the necessary skills and knowledge to succeed because most of the traders encounter failure and consequently lose all their capital within the first year. You must come up with a strategy and then make sure that you have the discipline to work hand in hand with it. In the long run, you will emerge victorious where most people have failed.

Evaluate the Risks

Take a moment before you quit your job or choose to spend all your savings on swing trading to look at the disadvantages of swing trading. They include:

Market Risk

The first rule in swing trading is that the likelihood of losing your capital is significantly high. In as much as some people have made it appear easy, making any wrong move will be a pinch that you will feel in a very painful way, losing your capital. Unfortunately, the nature of the market has always been that lessons are usually learned the hard way. Also, using leverage as well as choosing to conduct your trade on a margin could lead you to encounter more losses than the investment you made.

Time

It is important to keep in mind that unlike other trades, swing trading is not one where you can get into your position and then disappear, only to reappear a week to check it. Swing trading is trading in real-time, and the truth is that

strategies that prove to be successful require continuous monitoring. This insinuates that juggling a full-time job and swing trading may prove to be extremely challenging.

Taxes

Being a swing trader does not exempt you from paying taxes whatsoever. For instance, in the United States of America, you might get yourself entangled in the last of a pattern day trader. Therefore, make sure that you begin by taking care of any commitments or responsibilities in your financial system first.

Risk Management

Irrespective of whether your interest is in algorithm service or penny stocks, failing to put in place an efficient money and risk management plan could be very costly to you in the long run. Harry Lite, a successful trader, said that during his entire career in finance, he had constantly seen examples of numerous other traders that he had known being brought to their knees because they did not take risk options into consideration when they started off. If you do not kick risk out of the way, it will kick you.

Determine What Stocks to Trade

Probably one of the first tips or strategies you will be given in podcasts, user guides, and training videos is that you must select the appropriate securities. For example, in the case of stocks, large-cap stocks usually have the degree of volatility and volume that you need. Often, these stocks will move between serious highs and extreme lows. This insinuates that you can move towards one direction for a couple of days up to a point where you spot patterns of reversal, and then you can change to the alternate part of the trade. Selecting the appropriate stocks is a fundamental part of a swing trading plan. A valuable tip in that regard is that your choice of platform is based on effective scanner and screeners. There is basically no use putting in place the best trade plan if you are gambling on the inappropriate lowly priced stocks.

Choose the Right Market

Swing trading can prove to be extremely challenging regarding the two parts or divisions in the market. These are the bear market and raging bull market environment. Here, you will discover that even stocks that are highly active will not show similar downwards and upwards oscillations as it is usually the case whenever indices are somehow in a stable condition for months on end.

You will instead find in a bull or bear market that there is a momentum that usually carries stocks for a long period of time in one direction. From this, you can conclude that the best point of entry, as well as the strategy, is the one that is usually on a long-term basis trend.

Basically, it is at this point where markets are not heading in any direction that you get the appropriate environment to swing trade. For instance, if it happens that you trade on NYSE, you will want the index to upsurge for several days and then decline for several days, after which the pattern is repeated. In as much as the stock might go back to its initial value after some months, you will have had multiple chances to capitalize and take advantage of the short-lived fluctuations.

Learn to Use the Exponential Moving Average (EMA)

If you happen to go to an institution that teaches swing trading, they will rush you through pivot points, gaps, technical indicators, and alerts. However, probably one of the major principles you will be taught is the exponential moving average.

Basically, this refers to a simple moving average, only that in this case, it increases its focus on the most recent data points. It is used in the right manner; it can assist you in identifying trend indicators and the points of entry and exit much faster in comparison to the simple moving average. Basically, you can utilize your exponential moving average to deduce your exit and entry plan.

Learn the Psychology of Swing Trading

The invention of the internet has made it easy for you to download numerous PDFs, audiobooks, and podcasts that will give you types of swing trading, regulations as well as charts to create. Nonetheless, what they usually miss telling you is the kind of mental reaction you should have if your plan does not work. You should consider the following tips:

Come up with a strategy and stick to it

It is almost guaranteed that there will be high moments as well as low moments because that is simply the nature of purchasing and selling in the trade. Nonetheless, let the numbers determine those high and low moments, but do not let your feelings get in the way. Making the decision to sell can rapidly turn into an emotional choice, especially if you have long-term

returns at stake. Therefore, come up with a strategy and abide by it religiously.

Get the Right Broker and Exchange

Everybody has different priorities and needs, therefore, in as much as a trader swinging cryptocurrency may be well off on Binance or Gdax, a swing trader who may be extremely active in forex might want to opt for Dailyfx. Also, take note that brokers can be more than a place to get quotes and do security exchanges; they can assist you to come up with a diverse portfolio, watch list, and many more.

Make Use of the News

Markets are usually in continuous motion as a reaction to events in the news. Numerous resources like CNBC and Yahoo Finance will give market commentary and analysis using price action, weekly charts, and volume. Therefore, if used appropriately, the news could assist you to pinpoint dividend stock as well as potential options to monitor, for instance. It could also be instrumental in planning your point of entry and exit.

Never Stop Learning

The only path to achieve success from a trading point of view is to have an unquenchable, undying, and indefatigable thirst for knowledge and information. There are numerous sources of information to aid you in coming up with effective forex and cryptocurrency strategies. For instance, video tutorials can show you Gann skills as well as how to begin making use of weekly deep, especially in the case of money options.

Keep a Journal

Having the excel type of journal can turn out to be invaluable. What you can do is that you can just write down the date, position size, price, and a reason why you settled on the given points of entry and exit. This will help you figure out why your breakout strategy for currency pair is not applicable in weekly charts, for instance.

CHAPTER 16.

Tools

If you want to swing trade, you're going to need to open a brokerage account.

A brokerage is just a company that plays the role of the middleman. The brokerage maintains an account for you and keeps records of your trades. It also allows you to deposit funds that can be used for trading and allows you to take out your profits. They will also take care of the necessary tax forms on your behalf. The central role of the broker is to execute trades. So, when you want to buy or sell shares, the broker will do that on your behalf. You can also borrow shares from the broker, or borrow money to make larger trades, if you have a margin account.

Before choosing a broker, you're going to want to decide what financial assets you want to trade. Some brokers might not give access to all types of securities. This might be more important if you are interested in trading Forex or cryptocurrencies, finding good stockbrokers is straightforward. However, many of the leading stockbrokers will also provide access to trading Forex, crypto, and other assets.

Types of Accounts

The first thing you're going to want to consider is whether you want a full-service brokerage or a discount broker. A full-service brokerage is one that provides professional financial advisors to help you make your investment decisions. Some may even be able to assist you with swing trading. However, be aware that commissions are going to be an important factor when you trade frequently. One thing to set up a periodic investment in an index fund, and quite another to be making several trades a month. For that reason, most swing traders are going to be interested in discount brokers.

Besides looking into whether you go with a discount broker, you are going to want to determine whether you open a cash account or a margin account. By law, to open a margin account, you must deposit \$2,000 upfront. The advantage of opening a margin account is that if you qualify, it will enable you to borrow money and shares from the broker. This opens the possibility of shorting a stock or using leverage to purchase more shares than you could with your cash alone. Typically, swing traders can get 2-1 margin, which means if you deposit \$2,000, you can buy \$4,000 worth of stock.

Examples of popular brokerages include E-Trade, Tasty works (particularly good for trading options), Robinhood (zero commissions), TD Ameritrade, along with more traditional brokers such as Fidelity or Charles Schwab. In each case, check to determine if you can trade the financial assets you are interested in trading. While it's easier to have one account, if you are going to have diversified trading such as trading stocks, options, and Forex, you might have to get a different broker to manage your Forex trades. Of course, it's advisable that beginning traders stick to one asset, at least at first.

Expert Advisors

Full-service accounts used to only include those with a professional financial advisor. However, over the past decade or so, a new type of full-service account has developed that relies on software or “robot” advisors to manage its accounts. These often go by the name “expert advisor.” This type of account is managed for you, and the robot will pick stocks/options or currency trades to buy and sell and when to sell them. That may or may not appeal to you, the idea of having a robot running your trading account might be a bit intimidating.

Retirement Accounts

Swing trading methods can be used to grow retirement accounts, such as an IRA or a 401k. However, keep in mind that you will probably be put in a position of reinvesting profits from swing trading toward the purchase of more assets inside the retirement account. So, it would not be traditional swing trading in the sense of earning profits in the here and now to cash out. If you cash out early from retirement accounts, you're going to lose a lot of benefits because of heavy taxes and early withdrawal penalties.

However, swing trading is an intriguing way to grow your IRA from the

inside. By law, you can only deposit about \$5,000 or so per year, depending on age. But using swing trading, you have the potential to rapidly grow the account by earning profits inside of it. They can then be used to purchase more shares. If you are good at swing trading, you can double or triple the amount by which the account is growing per year, without violating any laws regarding contributions.

It's always a good idea to have a retirement account as a part of your overall portfolio, so swing trading inside the account can be part of your larger financial strategy.

Opening a Brokerage Account

Opening brokerage accounts is a pretty simple process it's like signing up for an account with anything online. Enter your name, address, and bank account information. Some brokerages may require that you make an initial deposit to get started. If you are a beginning swing trader, consider using Robinhood. This is an app-based trading platform that is somewhat skeletal, but also very easy to use. With Robinhood, there are zero commissions and no minimums. So, you can limit your deposits to the amount of money that you want to use for trading, rather than having to meet some arbitrary funding requirement.

Keep in mind that if you want to trade options, the broker is going to want to make sure that you understand what you are getting into. Usually, an interview of some kind is required before you can trade options. They want to make sure that you understand that options are speculation and not investment. That means that you are buying financial assets in the hope that the price of the asset is going to rise over a short time period. This contrasts with investing, where you are sinking your money into a company for the long haul. So, you want to explain to the broker that you want to do speculation more than investment and that you understand what it means and what the risks are. Second, you will want to assert that you are interested in short time horizons, and not long-term investing. You will also be asked some basic questions about income level and net worth. However, don't worry about those; they are flexible on those points. Options trade for tens to hundreds of dollars, so you don't have to be rich to get started.

The main purpose is simply to satisfy the broker that you completely understand the nature of swing or options trading. It does not preclude you

from entering long term investments as well.

Tools Available Online

Many brokerages are self-contained, that is they include all the tools you need to operate as a swing trader. At a minimum, you should make sure you have access to the following:

- The ability to chart stocks out to a minimum of five years, preferably longer.
- You should be able to create candlestick charts, not just line charts.
- You should be able to easily switch between different time frames, such as days, weeks, and months.
- There should be access to moving averages, especially simple and exponential moving average tools, with the ability to set the number of periods and include more than one moving average on a chart.
- Other moving averages may be of interest, such as the Hull moving average.
- You will want to be able to utilize Bollinger bands.
- You want access to financial statements along with rundowns of cash flow.

If tools like these are not available, you can visit Yahoo Finance, where they can be utilized for free. Some trading platforms have practice or simulated stock markets where you can practice trading real securities, without having to invest any money. This is a very good way to start training yourself, but of course, without the strong emotions that come when real money is involved, they are of limited value.

CHAPTER 17.

Beginners Mistakes and How to Avoid Them

Swing trading, like any other type of trading, carries some risk with it. Anyone can mess up a trade, but beginners are more prone to mistakes. In this short guide, we will attempt to lay out some common mistakes made by beginning traders and how you might avoid them.

Having Unrealistic Expectations

You may be getting into swing trading, thinking that you can make a full-time income. The truth is that you can. However, it's not something that is going to happen automatically. It takes time to learn the tricks of the trade and to learn how to trade to make profits consistently properly. You should also not have unrealistic expectations about the amount of money you will earn in the beginning. You probably aren't going to make a million dollars on your first trade.

Not Treating Trading Like a Business

Some people view the stock market as a gambling casino. But it's not a gambling casino at all. They are rooting in the mathematics that underlies the operation of markets. In any case, when you become a swing trader and intend to earn a full-time living from it, this is a business. You need to treat it the way that you would treat any other business. Many new traders think of it in terms of making a fast buck without balancing the books and taking it as seriously as it needs to be taken. If they opened a McDonald's, they'd be far more careful. You should treat it exactly the way you would if you opened a restaurant or a consulting firm. Most people would approach such ventures with far more care, and if you can do so with your trading business, while you might not make a million dollars the first month, you will be on a

sustained path to deriving real income.

Being Too Anxious

Being a successful swing trader requires patience. You will hold onto your investments for several days to possibly weeks, and some swing traders even hold onto their trades for months. This can be difficult for impatient people. Another way that being too anxious can get in the way is that anxious traders simply go out and make trades that feel good but have no analysis behind them. That might work out now and then when you get lucky, but over time, that is a recipe for failure.

Failing to Plan

This brings us to our second beginner mistake—failing to plan. Before going into a trade, you should study the security you hope to trade and make a plan to carry out the trade. Your plan should include your entry point, how much profit you will take, how much loss you're going to accept, and your exit plan. You shouldn't go in on a hunch and should instead study various securities to see which ones will work out to serve your interests the best.

Looking for a Get Rich Quick Scheme

Many people go into trading, thinking that they can get rich quick. This simply isn't true. Yes, sometimes it happens. But most of the time, it doesn't. People are surprised to find out that trading takes work and time invested in study. It is not the get rich quick scheme or gambling casino that people imagine. If you are looking for a get rich quick scheme, you are setting yourself up for losses, because your mentality will lead you to try and cut corners in search of profits. When you do that, mistakes are likely to be made.

Being Put Off by All That Math

There is a fair amount of math involved behind the scenes, and wall street is full of people with math and physics degrees that are working behind the scenes on formulas, coming up with new derivatives contracts, or coming up with new tricks like special moving averages. However, as a trader, you don't need to get involved at that level of detail. While you will have to get some comfort level with math, it is not necessary to go all in. Take your time and study slowly. Nobody is going to start the first day and understand all the charts and moving averages. However, to successfully trade options, the

trader must be able to use and understand the charts. You don't have to understand how moving averages are calculated, but you need to understand how to look at the charts and understanding what they mean on a practical level.

Losing Control of the Leverage

Swing traders on the stock market have access to leverage. That is, you can borrow from the brokerage at a 2:1 ratio. This can get some people into trouble. There is no faster path to debt than playing with other people's money. Leverage can also lead some people to take risks that they wouldn't otherwise take. At the beginning of your swing trading career, you should consider trading without using leverage. Save that until you're more experienced and less likely to make huge, costly mistakes.

Not Relying on Multiple Indicators

One common mistake made by beginners is to see a buy or sell signal in one indicator and get anxious and either enter or exit their position. Sometimes that will work, but to protect yourself, you need to use more than one indicator before making any moves. The cold reality is that no one indicator is right all the time. When you see a buy or sell signal, confirm it before making your trade.



Since you're
already
thinking,
think big;
Nothing and
no one can
stop you
from doing
so!

CHAPTER 18.

The Entry and the Exit

You will likely do a significant amount of work upfront looking for trades and analyzing them before you decide whether they are worth entering, best taking a pass on, or worth monitoring for a potential entry soon. Once you have done this work and decide to take a position, your actual entry and exit will become important steps to ensure that you have the best chance of making a profit.

The Entry

After doing your analysis and deciding to make a trade, the next important step is getting a good entry. Your risk to reward analysis will have been done on an assumed entry price that, in many situations, will be the price that the security traded on at the close of the trading day. Unfortunately, there is no way to know if this price is where the stock will open on the following day. It may gap the following morning and start the move you were expecting without you getting an entry. Therefore, your trading plan should include the most extreme price you are willing to pay to maintain that important risk to reward ratio. For example, you have planned out a long trade based on a \$10.00 per share entry. Your downside is at the \$9.00 level before you get stopped out and resistance is at \$13.00, which is your targeted exit price. You have a good risk to reward ratio of 3 times, assuming you can get in at \$10.00. Unfortunately, when the market opens the following day, the stock price gaps up to \$11.00 per share and you are left with a challenge. If you take an entry at \$11.00, then your risk to reward is now only 1 to 1 with the downside being \$2.00 (entry at \$11.00, stop-loss at \$9.00) and the upside being \$2.00 (entry at \$11.00, exit at \$13.00). Therefore, this is no longer a good trade.

As a disciplined trader, you would not take this trade with an entry at \$11.00. Instead, you would determine the entry you need to get a 2 times reward, which in this case would be about \$10.30 per share. You are now risking \$1.30 (entry at \$10.30, stop-loss at \$9.00) to make \$2.70 (entry at \$10.30, exit at \$13.00) per share, thus giving the appropriate risk to reward ratio. If you still wanted to proceed with the trade, you would, therefore, enter a buy at or below the \$10.30 price level and hope to get a fill on the buy order at that level. In our example, if the stock price opens lower than the \$10.00 previous close, then the disciplined trader would take the trade unless some significant news happened overnight to radically change the outlook for the stock. The trader can consider themselves lucky because now the risk to reward ratio is even better if they can get in at under the \$10.00 level.

Limit Order

The other decision you will need to make when entering a long trade is whether to go for an immediate fill by entering an order to buy at the asking price or to place a bid lower and hope to get your entry filled later in the trading day. If you are going short, your option is to go for an immediate fill by selling at the bid price or to place an order higher with a hope to be filled at some point during the trading day. There are pros and cons for entering the trade using these 2 different approaches.

If you try to get an entry by bidding at a lower price for a long position, you might get a better price, but you may also miss the trade completely if the price starts moving higher and you do not have a position. The stock could quickly move to a point where your risk to reward ratio is no longer a winning trade. The same situation applies if you are trying to enter a short position and the stock price starts to drop quickly, leaving you out of the trade opportunity.

Another option is to take half of a position at the market price and set the other half of the order at a limit price in the hope that you will get a better average entry price. This increases your commission costs but also ensures that you do not get completely left out of a good trade with half of the position taken immediately.

The Exit

Once you have entered a trade, 1 of 2 things will usually happen. If a trade does not work out as planned, then you will be stopped out for a loss. This is

straightforward and an unfortunate outcome of a trade that did not go your way. This will happen because not a single swing trader on Earth has a 100% success record. a good trader will accept a loss as part of their business, not take it personally or emotionally, and move on to another trade. If the trade does work out as planned, then you will be exiting the trade with a profit. Remember though, you have not made any money on a trade until you exit the position and the cash is in your account.

Exiting for a Profit

If the trade goes as hoped, then the security price will hit the targeted exit price and you will exit the position for a profit. However, some swing traders will not exit their entire position if they feel that there is more profit to be made in the trade. They may hold a portion for further gains. This is called “scaling out” and is an acceptable practice if the minimum risk to reward ratio of 2 times is maintained.

For example, you have identified a trade that will give you 3 times the reward to the risk that you are taking. That is obviously a good trade and you take a position. The trade works and the target exit price are hit. Now you have a choice of selling the entire position or selling a fraction for a profit in anticipation of making further gains down the road. The obvious advantage of scaling out is that you can make more gains compared to selling the entire position.

The downside is that the stock might reverse direction against you, and you will get stopped out, giving back some of the gains that you made on the trade.

Selling for a Loss

Every time you take a position, there is a chance that the trade will not work as hoped and you will be stopped out. To protect you, all trading platforms have a feature that allows you to enter a stop. In other words, once you have a position in a stock, your platform will allow you to enter 2 conditional trades that will only be executed if a certain price is hit.

This “either-or” trade allows you to set 2 different trades on a position and 1 trade is canceled when the other is executed. Let’s assume you have a long position in a stock at \$10.00, your target price is \$13.00 and your stop-out price is \$9.00. You can enter a sell order at \$13.00 and another sell order that

will be executed when the price hits the \$9.00 price level. If your stock position moves against you, the position will be sold at \$9.00 and the sell order at \$13.00 will be canceled. Alternatively, if the stock price moves to \$13.00, you will sell at a profit and the \$9.00 sell order will be canceled. This feature protects you from any downside risk while allowing you to lock in profits at the same time. Setting stops for a swing trader is more important compared to a day trader who is sitting in front of their screen constantly monitoring their positions. As a swing trader, you will not be monitoring your positions every moment of the day. Therefore, the stop order will ensure your loss does not exceed what you planned on risking and you will lock in profits when your target is hit.

Setting stops to protect from further losses is an important tool for you to use on your broker's platform. You will also use this tool to sell at target prices for a profit. The "either-or" stop tool helps you honor your risk to reward ratio and ensures you lock in profits and minimize losses.

CHAPTER 19.

Right Mindset for Swing Trading Success

Even the most sensible swing trading strategies can fail without the right mindsets. This is because wrong mindsets often lead to wrong decisions, which include not following the swing trading strategy chosen or worse, not choosing one at all and just “winging” it. Look at some of the best ways to develop a profitable swing trading mindset.

Flexibility

By flexibility, a swing trader must:

- A) Not get attached to any of his or her trades.
- B) Be able to change opinions and strategies when situations call for it because swing trading isn't about being “right” or firm but about making money.
- C) Accept reality instead of always trying to “bend” it. No swing trader can control the market but can only surf its waves to profitability or get wiped out by trying to oppose it.

Value the Importance of Proper Execution

Implementing swing trading strategies properly can substantially increase the chances of profitable swing trades. Improper or worse, non-implementation of chosen strategies increase one's chances of losing trades. In fact, it can guarantee losing trades.

When it comes to the proper execution of swing trading strategies, the following are important things to prioritize:

- A) Choosing the most appropriate tools and strategies for profitable swing trades.

- B) Set demarcation lines and stick to them. Not all trades will be profitable, but losses can be minimized by setting stop-loss and profit-taking limits. Without such limits, swing trading losses can grow beyond reasonable limits, and profits that could've already been earned may be wiped out if held on for too long waiting for prices to go up indefinitely.
- C) Consistently executing strategies.
- D) Taking reasonable and well-calculated risks.

Use Numbers to Trade, Not Feelings

I remember over ten years ago when I let my emotions rule my swing trading. I bought shares of stock of a prominent real estate company and within 2 months of holding it, I already had a paper gain of about 30%.

However, I felt good about earning a 30% ROI in just 2 months and was very optimistic that I could double my money if I held on to my position for another couple of months. When its price dropped and reduced my ROI to only 15%, I justified it by saying “It’s just a correction.” When the ROI became negative 10%, I still repeated the same mantra. Eventually, I cut my losses by 25%.

My optimism turned out to be nothing more than greed. Had I established a profit-taking point and stuck to it regardless, I would’ve locked in on my profits instead of losing money on that swing trade.

By setting limits both ways, i.e., profit-taking or stop-loss limits, you can minimize your swing trading risks because you rely on something objective and unchanging, unlike emotions.

No trader is perfect and there will always be losing trades. When you focus on individual trades, you can get discouraged. But when you look at it from a wider, general perspective, you can more accurately evaluate your swing trading results.

For example, only three of your 10 swing trades two years ago made money, but overall, you accomplished an ROI of 50% for that year because those three winning trades made lots of profits while the losses of the seven other trades weren’t big.

The following year, six of your 8 swing trades were profitable and only two

were losing trades. However, the losses on those two trades were so huge that you ended the year with an ROI of negative 10%.

Between the two years, which was better: the first year when only 30% of your trades were profitable, but you ended the year with an overall return of 50% (focus on overall trading results) or the second year when 75% of your trades were profitable (focus on individual trades), but you lost money overall? I bet you'll say you that the first year was better—and you'd be right!

Learn from Your Mistakes Instead of Being Discouraged by Them

If everybody makes mistakes, why should you think you're an exemption and beat yourself up over them? Consider Thomas Edison on successfully inventing the light bulb that forever changed human history for the better. He failed a thousand times before finally getting the working version of the light bulb right.

When interviewed by a newspaper publication on how he handled those 1,000 failed experiments, he answered that those weren't failures but were simply 1,000 lessons on how not to make a working light bulb. He didn't get discouraged by his mistakes because he knew that mistakes are valuable lessons on what not to do the next time. When it comes to swing trading, nobody has a batting average of 100%—even computer programs.

It's because price movements aren't governed by fixed laws of science but by finicky laws of human psychology. You only have two choices when you make mistakes: learn from them or quit because of them. It's up to you. Successful swing traders remain unperturbed by losing trades, but instead, they persist wisely by learning from their mistakes.

Find and Stick to Trading Strategies That Work for You

While starting with the most popular trading strategies is a good place to start swing trading, you must come to evaluate the results you get from your chosen strategy to see if it's worth continuing, tweaking or replacing.

What do you need to consider when evaluating whether a trading strategy is something that you should stick to, tweak, or ditch? One is risk appetite. If your risk appetite is on the low side, maybe you shouldn't even be trading at all. If it's moderate, your trading strategy must be one that carries a moderate

amount of risk, too. Your swing trading time frame is another consideration. If you want to earn big returns in a few days or weeks, then you must be ready to take on higher risks as only highly volatile securities can give you opportunities to do so. If your risk tolerance is low to moderate, considering swing trading securities that aren't very volatile, albeit you'll need to extend your swing trading time frame to a few weeks or even a couple of months.

If you swing trade on a part-time basis only, it means you can't dedicate as much time for it as those who do it full time. It is better if you choose to swing trade securities that aren't very volatile. Very volatile, but potentially very profitable, securities require closer monitoring for optimal trading results. Taking a swing trading position in a security that's very volatile and checking out its price once or twice a day only can put you at risk of either missing out on a potential bottom price for buying or a potential high price for selling. Worse, you may miss the security's profitable price level and end up with a losing swing trade when its price drops by the time you check it out again.

Always Be Learning

Financial markets today are more complex and rapid today than ever before. If you're not always learning new things or if you're not keeping up to date with financial markets and the economy in general, you may run the risk of reading your chosen markets wrong and end up with more losing swing trades than profitable ones.

Plan Your Swing Trades

Failing to plan is indeed planning to fail. The worst swing trading strategy in the history of trader-kind is the wing-it strategy. Many traders make the mistake of just following the herd with nary a clue of why they're adopting the strategies of the trading herd and the risk-reward tradeoffs of such strategies. The following are some of the most important things you must consider when planning your swing trades:

- A) Your target profit or rate of return on the trade;
- B) Your stop-loss price level at which you'll liquidate your swing trades to cut losses;
- C) How much money you're comfortable losing on your swing trades, especially when you're just starting out;
- D) Will you need the money you're trading at some point and if so,

when do you need it back;

E) Your swing trading time frame; and

F) Can you afford to hold your position for a much longer period in case the price of the security you're holding is still underwater after several months?

Remember, the more detailed your plan, the lesser the tendency that you'll rely on your emotions and "gut" feel to execute your trades, which will greatly increase your chances of executing profitable swing trades.

Practice a Lot before Trading Actual Dollars

While practice doesn't make perfect, it does lead to excellence. And when it comes to swing trading, excellence means a generally profitable collection of swing trades every year. You can practice what I refer to as "paper" swing trading. This means taking hypothetical positions using real-time market prices of financial securities. Let's consider paper trading shares of Apple, Inc.'s stocks. Let's say that using technical analysis, you reckon now is a good time to take a swing trading position in Apple's stocks. On a spreadsheet like Excel or Numbers, input the number of shares you hypothetically bought (let's say 100 shares) at the actual closing price of Apple stocks today, which we'll assume to be \$100 per share. Your hypothetical investment in that position would be \$10,000.

For the following few days or weeks, monitor the daily closing price of Apple shares until it either reaches your designated profit-taking price or drops to or below your chosen stop-loss price. When that happens, "liquidate" or "sell" your hypothetical shares to close your position and complete your swing trade.

Don't Think Too Highly of Yourself

Pride usually comes before the fall. It's no different from swing trading. Especially during bull markets, successive and hugely profitable swing traders tend to easily outnumber losing ones, which can get into traders' heads and make them feel invincible. When they feel that way, they no longer tend to question or evaluate themselves, which increases their risks for making cocky and stupid trades.

Don't be one of them. Regardless of how many successive profitable swing trades you make, continue making it habit to evaluate your trading strategies

and yourself and look for areas for improvement. If you live and if you trade, there will always be room for improvement.

CHAPTER 20.

Profit and Loss Levels

Stop Loss and Take Profit levels are your exit points in the market. These are the levels which determine how much of a loss you take or how much money you make on the individual trade. Unfortunately, the way most traders trade, they tend to morph these levels into Take Loss and Stop Profit levels.

Understanding the technical and mental side of these levels is essential to your performance, which is why we went over risk management and mindset prior to this, despite SL and TP being a technical subject. These levels are a snapshot of how trading works. Technical analysis combining with your mindset and risk management skill to ensure success. Let's take a deeper look at them.

Stop-Loss Levels

As the name suggests, the stop-loss level is that point on a chart beyond which you do not wish to be involved in the trade and would rather exit at a loss. Practically speaking, when you designate a stop loss level, your broker places an order at that level for you, which closes your position for a predetermined loss.

So, in a long trade, your stop-loss would be below your entry point. The stop-loss order would be a sell order which closes your long position at a loss. In a short trade, your SL is above your entry point and the SL order is a buy order which closes your trade for a loss. Most trading platforms provide easy options for you to place this order and it is essential that you do so. Beginners often fall into the trap of placing "mental" SLs because they feel their stops will be hunted by more experienced players. There is this erroneous belief

that the bigger traders in the market push prices to a level where obvious stop losses ought to be, trigger those stop losses, and then push the price back in the direction of a profit.

A Gnat on an Elephant

Let's get something straight. You as a retail trader are as relevant to the full-time professional trader as the events unfolding in Antarctica right now are for your breakfast tomorrow morning. Yes, there might be some sort of a butterfly effect thing that might happen, but the possibility is a remote one.

The belief that institutional and professional traders wake up every morning and using their multimillion-dollar infrastructure go looking to make money of the stop losses of the retail trader (who probably uses a discount platform) is beyond ridiculous. Does it matter to you where an ant has decided to store its food? Do you wake up every morning telling yourself, "Today is the day I raid that squirrel's food stash"? Of course not! That is what precisely you are assuming, though when you say your stop losses are being hunted by other traders and therefore you use "mental" ones. Yes, using mental stop losses is "mental" for a beginner trader. In more than one sense.

This myth has been perpetuated thanks to a poor mindset on the part of unsuccessful traders. Rather than accept the responsibility that they are determining poor stop-loss levels, surely, it must be someone else's fault that they lose money! These traders cannot be blamed for this, it is out of their control! Take a moment to think about the beliefs these traders possess and how it contradicts the true nature of making money via trading.

Correct SL Levels

Placing stop losses is a skill that you will get better at as time goes on. You will probably have many of your SLs tripped before the price goes in the original direction quite a lot in the beginning. Determining SL levels is a combination of understanding S/R, the volatility of the instrument and a gut feeling which comes with experience and errors.

The true definition of an SL is "the point beyond which if the price were to move your entry doesn't make sense anymore." This is a rather vague statement that doesn't help us when we're starting out, no matter how correct it is. Start off by placing your SL order under or over the closest key S/R levels to your entry point. Why key S/R level?

Well, if you recall what constitutes a key level, you will recall why this level would act as a barrier for price. Key S/R levels are the best options for your SL levels in a balanced environment. In a highly imbalanced environment, you can use a more dynamic level like the 20 EMA to inform your stop loss level. In other words, place it beyond the 20 EMA. If you're using a crossover strategy, you can place it below the crossover point as well (in appropriate environments).

The volatility of the instrument determines how far below or above you place the stop-loss order. A more volatile instrument requires a greater breathing room than less volatile ones. When starting out, it is recommended you choose a slightly less volatile instrument. To get an idea of an instrument's volatility, observe how cleanly it respects key S/R levels when it retests them in different environments. Can you draw a relatively thin zone to mark the key level? Or is the zone-wide? The wider it is, the more volatile the instrument. Take into account many bars when determining this to avoid any recency bias (that is overvaluing the present).

Position Sizing

This is another area where beginners get tripped up. There's all sorts of entry strategies out there involving pyramiding and scaling. It always pays to keep things as uncomplicated as possible. As such, leave the pyramiding, etc. to more experienced traders. Simply enter your full position size upfront.

How do you determine position size though? Well this is a relatively straightforward task and we'll use the example below:

Account size: 10,000 \$

R: 0.25% or 25\$

SL distance: 10 points

Position size = $(R/SL) = 25/10 = 2.5$ units

The idea is the maximum loss you can sustain on this trade is the R amount. This is the simplest way to approach position sizing.

Take Profit Levels

Take profits can be approached in two different ways, unlike SLs where your only concern is determining the close key S/R level. For beginners, a "set and forget" strategy is highly recommended. A set and forget strategy means you pick an SL; you pick your TP and then do nothing except observe the market

as it moves towards either of those levels. You don't close out the trade at any time, and instead, wait for one of those levels to be hit to exit the market.

TP Levels

Your TP level will simply be the place where, once the price reaches it, you will make a pre-determined R multiple on the trade. When you have lots of data (at least 100 trades), you will know exactly which multiple makes you the most money and can calculate the level accordingly.

For the first 100, picking a 2R level is appropriate. Once you have enough data, you may realize that a 1.5R TP level increases your hit rate as well as your overall profit or maybe a 3R level decreases your hit rate but increases profits. Either way, you must understand, your first 100 trades are for the purposes of gathering data only. Therefore, it is crucial you keep your risk as low as possible.

These data-gathering trades should not be on a live account. Let us look at how you calculate the TP price level. The calculation is the exact same formula as the SL one.

Account size: 10,000\$

R: 0.25% or 25\$

TP: 2R or 50\$

Position Size: 2.5 units

TP distance from entry point = $(TP / \text{Position Size}) = (50 / 2.5) = 20$ points.

So, in the above scenario, if you entered a long position at \$100 and have placed your SL at 10 points, your position size is 2.5 units, your SL sell order is placed at \$90 and your TP sell order is placed at \$120.

An Alternative

The set and forget is what you ought to start with in the beginning. Once you've placed over 200 or so trades, you can begin experimenting with your TP levels. You see, to make the most money possible, it is essential to let your winners run. To let them run, you will need to evaluate the upcoming S/R and determine whether the price is likely to break through it or not.

This obviously requires a degree of emotional detachment from the result of your trade. If you've already made 2R on the trade, will you be strong

enough to hold on for a further potential 5R? How would you react if it went up to 5R and then swerved back below 2R? Only you can answer this honestly and therefore, it is recommended to stick to the set and forget method for at least 200 trades.

This concludes our look at the basics of SL and TP levels. Remember, once you've gathered data over 100 trades, you will need to analyze them to see what hit rate and R multiple makes you the most money. You might need to extend your TP level and reduce your hit rate or reduce your TP level and extend your hit rate. Ultimately, all that matters are which scenario maximizes your profit (not how many trades you were correct on or some such).

The background is a solid orange color with a subtle grid of small, dark dots. Faint, semi-transparent text from a financial report is visible in the background, including percentages like '73%', '79%', and '73%', and a number '1.03561'. A large, faint arrow points upwards and to the right. The quote is centered in a dark grey rectangular box.

**When
everything
seems to be
going wrong,
remember that
planes take off
against the
wind, not
against the
wind.**

CHAPTER 21.

How to Trade Flag Pattern?

The bull flag starts with a strong price spike higher that often catches traders who are short the stock off-guard. The many market scanners do their work and identify the long opportunity, so momentum traders then get in long to help feed the buying frenzy and push the price higher.

The breakout happens when the upper resistance line is broken as the price surges higher again. As the stock's price breaks through the high of the formation, it triggers yet another breakout and uptrend move. The sharper the spike higher on the flagpole, the more powerful the bull flag move can be. When the resistance and support lines are almost horizontal, the 2 entry points are close to be the same.

Bull flag

The opposite of the bull flag is referred to as the bear flag. It has the same chart pattern as the bull flag, except it is inverted and results in the continuation of downward price action in a stock. The upside-down flagpole starts with an almost vertical price drop due to the sellers being firmly in control of the price action.

Downward moves in price can be much more aggressive than upward price action. However, nothing drops forever and at some point, the traders who shorted the stock look to cover their positions and the value investors see a potential opportunity.

Bear flag

Like the bull flag, if the support and resistance lines are closer to horizontal, then the 2 entry points will be closer as well. Flag patterns require a little

patience while you wait for the flag to form after the initial run-up or drop. Once you have recognized the beginning of the pattern, you should start to plot the upper and lower trend-lines as they form. These trend-lines will be one of your potential entry points and/or stop out levels. You will usually have 2 possible entry spots on any flag formation to play the continuation of the trend.

The first entry will get you into the position a little earlier, which will allow you to profit more on the next surge in price action (up or down). The downside of getting in earlier is that there is always the potential for the stock to have a failed breakout and not move in the direction you expect. Waiting a little longer for the break at the top of the flag results in a little higher probability of a successful trade.

These flag patterns also give you 2 stop-loss price level options to use in case the stock does not move in the direction expected. If the stock fails to follow through and continue the trend, then the trendlines can provide a price level for a stop. On a downtrend, you would use the upper resistance line in the flag and in an uptrend, you would use the lower support line.

The second stop-loss option is to use the low of the lowest candle in the bull flag and the high of the highest candle in a bear flag.

If you are a more conservative trader, you would use the closer stop price to keep losses to a minimum. However, this may result in getting stopped out of a trade that is becoming more volatile as the trend starts to continue. This means that, while you may take a smaller loss with this stop out price level, using this level may result in missing the move you were intending to play by getting stopped out due to some volatility in price.

This volatility component is why some traders will give the trade a little more room to avoid having their stop triggered due to some volatility as opposed to a real direction change. Therefore, they will place their stop at the lower support trendline on uptrends and at the higher resistance trendline on downtrends.

A more sophisticated or experienced trader might use multiple entries and exits to offset some of the risks of entering the trade too early. A smaller percentage of the total trade in shares can be used as a starter position and then added to at the second point above or below the flagpole.

For example, if you are looking for Caterpillar, Inc. (CAT) chart, from a few

years ago, you will see a nice uptrend with 4 bull flags over a month-long period before the trend reverses. After the reversal, there are several bear flags formed on the overall trend down as bargain hunters think the bottom is forming and they go long. Traders who went short at the double top start taking profits, giving a temporary lift in the stock's price before the selling continues.

Before you enter a flag pattern, as an effective swing trader you should also be planning your targeted exit price or prices. You should be expecting at least 2 times the reward for the given risk that you're taking if you get stopped out. You should look at prior longer-term levels of resistance as possible exit points if you go long and areas of support to exit if you go short.

If you chose to enter at the break of the trend line, then your initial target can be set at the high or low of the flagpole. However, if the flag was close to horizontal, then that may not give you enough reward for the risk you are taking. You will have to look for other good exit points to get that 2 times reward you need to justify your trade. Other factors you may want to consider are the strength of the trend, overall market trends and the possible strength of the fundamentals driving the move.



FIG26. Caterpillar, Inc. (CAT) chart

You may also consider scaling out of the position, which means taking some initial profits at the top of the flagpole by selling some of your position and

then letting the remainder ride to your next expected level of resistance or support. In this case, you must never let a winner turn into a loser. Lock in your profits and set your stop on the remainder at or near the entry price.

Bear and Bull Pendants

The bear and bull pendants are like the bear and bull flags described above. They start with a strong price move either up or down and then pause for a period of consolidation. The difference between the pendant and the flag is in the shape that the price action creates during this period of consolidation.

With a pendant, the range of price action narrows over the passage of time. When support and resistance lines are drawn from the highs and lows, they come together in a point. The buyers and the sellers have been fighting it out and when the price action narrows to this point, often a winner finally emerges.

Usually, the trend will continue after this narrowing period of consolidation, however, you should wait for a signal before taking an entry. Do not assume that the trend will continue and take an early entry.

While you wait for the pattern to play out, take time to look at the daily charts and identify areas of support and resistance that have occurred in the past. Find potential profit target prices, so you are prepared to do your risk to reward calculation in case you eventually consider an entry.

The narrowing price action is often compared to a coiled spring getting ready to pop one way or another. You can find this narrowing price action on stocks that have been consolidating for days or weeks. These are also good stocks to watch because eventually, either the buyers or sellers emerge in control and the ensuing price action can be strong.

CHAPTER 22.

Money Management in Swing Trading

This is a technique of budgeting, saving, investing, and overseeing the capital usage of a group or an individual. When a swing trader wants to remain in business for long and earn his profit, he must be able to manage his finances well. He should be able to understand how much he is investing and whether it is going to give him, profits, he should be able to know to save some money for emergency situations; he should be to understand how capital is being used in the trade. If his capital is taking longer than the required time or it is going down instead of up, he should have a solution to this; he should know how to manage his capital utilization.

Accounting Software

A swing trader must have the accounting software to know how to calculate his tax, expenses, income, and automation of billing, recurring payments, credit card processing, and even goggle Apps. The accounting software can be quick books or Xero, which have gained momentum in the online market.

Budgeting tools

Since money management is a process of budgeting, you need budgeting tools as a swing trader to be able to analyze your income and expenditure so that you do not incur losses. As a swing trader, you must be able to create an outstanding budget that fits your business.

Payroll Management Software

Payroll management is among the hard activities in swing trading. The business is all about timing and if a swing trader decides to concentrate on

payrolls alone all by himself, he might end up missing an opportunity to invest. Thus, the payroll software like Zen payroll and Benefits helps you as a swing trader to be able to manage your payroll and avoid mistakes like overpaying and incurring losses.

Financial Dashboard

Every trader, not just swing traders, must implement a financial dashboard to be able to know how healthy his business is. Analysis of your business health is very important because it will help you understand if you are making losses or profits and it will also let you know that if you are making profits how much time are you investing in to get those profits. If you want to manage your finances well, you must assess the health of your business.

Cash Flow Analysis

There are tools like float, which will help you as a swing trader be able to know your cash flow. Knowing your cash flow helps you decide how much you are going to invest in a trade.

Expense Tracking

You must be able to track your expenses to know if you are spending more than needed or it is ok. Knowing how much you are spending will help you manage your finances well and make you be in business if you want.

Inventory Management

A swing trader should be able to track his inventory from sale to customer satisfaction, this will help you manage your money well because you will understand that whatever you are selling is what you had invested in and when customers are satisfied, they will come back and increase your sales.

Business Credit Card

It is recommendable for a trader to have a business credit card for this will help him acquire loans and improve his business.

E-Commerce Solution

The world has changed, and the internet is everything in business, a trader must have different solutions in the e-market to be able to keep pace and

manage his finances well.

Money Management Strategies in Swing Trading

The money management strategies, if well implemented, will help a trader be able to manage his finances well. Strategies always range from aggressive to passive, depending on the focus of the method. The aggressive money management strategy aims at large profits by using greater leverage while the passive strategies aim at capital preservation. The passive strategies are naturally very conservative. Below are money management strategies that a swing trader can employ.

Flat Risk Method

This is the most basic money management strategy. It is also called the constant risk method. This strategy can be used to show the amount of leverage on a trade account at any given time rather on per basis. The flat risk strategy framework varies depending on the capital, the market type, profit objectives, and all the risk appetite the trader is willing to pursue. A common flat risk percentage that is used is 1-3%. Calculation of the flat risk strategy is simple, for example, if a trader wants to invest \$50000, and the risk tolerance is 2%, then the highest amount to be risked on any trade that he goes in is \$1000. The succeeding trade risk value remains a constant of 2%. The result of any trade conducted after the first one does not change the risk value, for the risk value is constant.

Advantages of Flat Risk Method

- Reduces short time variance
- It is long enough
- It minimizes losses

Disadvantages

- Limits the profits that were to be achieved
- Takes a lot of time to recover the account especially after a long drawdown period.

Martingale Strategy

This strategy is the oldest in the system. Martingale strategy says that the trader takes a precise profit on the win, and then doubles the risk value if he loses. For example, if a player has a 50/50 odds and he keeps doubling his value after every loss, this means the player will automatically win the game because the doubled bets cover the small losses. Trading of financial instruments do not exist in simple binary form; it attempts to take advantage of the opportunity present to increase exposure to the risk to make more profits. Consecutive losses in Martingale are devastating and cause ruin to the player.

Advantages of Martingale Strategy

- Markets provide a high probability of success trades
- Profits are gained in a short period
- Profit targets are precise, and profits are quantified

Disadvantages

- When markets trend they can lead to major losses
- Quick multiplication of leverage needed to double
- Huge capitals needed for doubling in case of losses.

The type of money strategy to be employed in any trader depends on the trader's view. Conservative strategies like flat risk may suit some traders while other traders can go for aggressive strategies because they can handle higher risks.

Rules of Money Management in Swing Trading

- Manage your expenses so that they do not go so high then your income
- Look at payment options before making a sale or a buy
- Do not think twice about asking for discounts especially when trading with the options
- Before buying your security look at the internet to see the discounts offered
- Do not spend more than a third of your money in payment of

debts

How to Manage Money?

A swing trader should be able to come up with a budget of his income and his spending to be able to know what he is expected to do in the business. He will be able to pay his due, know how much he wants to invest, know how much he wants to save and be able to service his long-term goals. If a trader does not know how to come up with a budget, he can always seek advice from a certified financial planner. Without a budget, one is bound to spend more than he is earning, and this will lead to the business ruin.

Divide Your Expenses

A swing trader should divide his expense and know which are important and urgent and which are not important and urgent. Expenses can be divided into regular and non-discretionary expenses and irregular and discretionary expenses. Regular and Non-Discretionary Expenses These are regular and unavoidable expenses, but a swing trader should be very keen and be able to control them. These expenses can be grocery, fuel, phone, laundry, domestic help, and entertainment expenses. For instance, one can decide to go and shopping with friends because when you buy so many things, you are likely to be discounted.

Irregular and Discretionary Expenses

This includes things that are avoidable and needs to be planned for intelligently. The things here may include buying a gold necklace, going for an entertainment trip to another country, buying furniture.

Get the Best Deal

A swing trader must be a good negotiator. He should negotiate enough to get discounts and good prices when making a buy or a sale. This helps save money, which can be used to do other things or even buy more assets and earn you good returns. For example, to buy an option at \$80 the trader negotiates and buys it at \$50, this trader can buy more and save quite some good amount because of the power of negotiation. During the sale, he already has an upper hand because he bought it cheaply and can still negotiate the selling price and sell at a good profit.

Cost-Benefit

A swing trader should be able to understand how much he is investing and the probable outcome of the investment. If he does not know how much returns he is expecting, then he is in the business wrongly, for this will lead to his ruin. A trader must calculate the cost-benefit, he must know how much he put in to get the trade running and what should come out as returns to cover the amount that was invested and having more as profit.

CHAPTER 23.

Learning the Swing Trading Strategy

Online merchants are always vigilant for approaches to restrain speculator misfortunes. A standout amongst the most widely recognized drawback insurance components is a leave technique known as a stop-misfortune request, where if an offer value plunges to a specific set level, the position will be consequently sold at the present market cost, to stem further misfortunes.

Be that as it may, merchants may improve the viability of a stop-misfortune by matching it with a trailing stop, which is an exchange request where the stop-misfortune cost isn't fixed at a solitary, total dollar sum, yet is somewhat set at a specific rate or dollar sum beneath the market cost. At the point when the cost builds, it hauls the trailing stop alongside it. At that point, when the value at long last quits rising, the new stop-misfortune value stays at the level it was hauled to along these lines, naturally securing a financial specialist's drawback, while securing benefits as the value achieves new highs. Dealers may improve the adequacy of a stop-misfortune by matching it with a trailing stop, an exchange request where the stop-misfortune cost isn't fixed at a solitary, supreme dollar sum, however, is fairly set at a specific rate or a dollar sum beneath the market cost.

Trailing-Stop/Stop-Loss Combo for Winning Trades

During transitory value plunges, it is pivotal to oppose the motivation to reset your trailing stop, or else your successful stop-misfortune may finish up lower than anticipated. By a similar token, getting control over a trailing stop-misfortune is prudent when you see energy cresting in the graphs, particularly when the stock is hitting another high.

Trailing stops are only one approach to control the hazard compensation proportion when exchanging. Canny dealers keep up the choice of shutting a situation whenever by presenting a sell request at the market.

The Best of Both Worlds

When joining conventional stop-misfortunes with trailing stops, it's imperative to compute your most extreme hazard resilience. For instance, you could set a stop-misfortune at 5% underneath the present stock cost and the trailing stop at 6% beneath the present stock cost. As the offer cost expands, the trailing stop will outperform the fixed stop-misfortune, rendering it excess or out of date. Any further cost increments will mean further limiting potential misfortunes with each upward value tick.

The additional insurance is that the trailing stop will just go up, where during business sector hours, the trailing highlight will reliably recalculate the stop's trigger point.

Utilizing the Trailing Stop/Stop-Loss Combo on Active Trades

Trailing stops are progressively hard to utilize with dynamic exchanges, because of value variances and the instability of specific stocks, particularly during the main hour of the exchanging day. Of course, such quick moving stocks ordinarily pull in brokers, due to their capability to create generous measures of cash in a brief timeframe. For this technique to deal with dynamic exchanges, you should set a trailing stop esteem that will oblige ordinary value changes for the specific stock and catch just the genuine pullback in cost. This can be accomplished by altogether concentrating a stock for a few days before effectively exchanging it.

You should probably time your exchange by taking a gander at a simple clock and taking note of the edge of the long arm when it is pointing between 12 p.m. also, 4 p.m., which you'll need to use as your guide. Presently, when your preferred moving normal is holding enduring at this point, remain with your underlying trailing stop misfortune.

As the moving normal alters course, dipping under 4 p.m., it's an ideal opportunity to fix your trailing stop spread. The trailing stop/stop-misfortune combo takes out the enthusiastic segment from exchanging, letting you soundly settle on estimated choices dependent on factual data.

Broker Risk

Brokers face certain dangers in utilizing stop-loss orders. First, advertising creators are mindful of any stop-loss orders you place with your intermediary and can drive a whipsaw in the cost, accordingly, knocking you out of your position, at that point running the value ideal back up once more. Also, on account of a trailing stop, there weaving machines plausibility of setting it excessively tight during the beginning periods of the stock collecting its help.

For this situation, the outcome will be, where the stop will be activated by an impermanent value pullback, leaving dealers to fuss over apparent loss. This can be an extreme mental pill to swallow. Although there are critical dangers required by utilizing trailing stops, joining them with customary stop-loss orders can go far toward limiting misfortunes and securing benefits.

Short Covering and Short Squeeze

Short covering and short squeeze are various terms to depict a circumstance, including short positions. A short squeeze is a circumstance where a security's cost increments fundamentally, making short venders close their short positions. On the other hand, short-covering includes repurchasing security to finish off an open short position.

A short squeeze includes a surge of purchasing action among short merchants because of an expansion in the cost of security. The expansion in the security value makes short venders repurchase it to finish off their short positions and book their misfortunes.

This market movement causes a further increment in the security's value, which powers all the shorter venders to cover their short positions. By and large, protections with a high short intrigue experience a short crush.

For instance, the short interest for an organization is about a half. Assume numerous dealers and speculators are short from \$30 because of awful profit, and the stock is as of now exchanging at \$15. Be that as it may, throughout the following quarter, the organization reports excellent income and copies in an incentive to \$60. Since numerous merchants are short, they would need to cover their short positions to constrain their misfortunes; this makes purchasing weight on the stock and makes the cost increment to \$70.

In opposition to a short squeeze, short-covering includes acquiring security to cover an open short position.

To finish off a short position, brokers and speculators buy a similar measure of offers in the security they undercut. For instance, a broker undercuts 200 portions of a company at \$20 per offer, and after that, the company's value diminishes to \$11 per share. The broker covers his short position by repurchasing 200 portions of the company's stock at \$9. The merchant benefits significantly.

The Trend Line

As a broker, you have presumably heard the familiar aphorism that it is ideal to exchange with the pattern. The pattern, says every one of the intellectuals, is your companion.

This is wise counsel if you most likely are aware and can acknowledge that the pattern can end. And after that, the pattern isn't your companion. So how might we decide the bearing of the pattern? We have faith in the KISS rule, which says, "keep it basic, inept." Here is a strategy for deciding the pattern, and a straightforward technique for envisioning the finish of the pattern.

Before we begin, we need to refer to the significance of time spans in deciding the pattern. As a rule, when we are examining long-haul speculations, the long-haul time frame overwhelms the shorter time frame. Be that as it may, for intraday purposes, the shorter time frame could be of more noteworthy worth. Exchanges can be isolated into three classes of exchanging styles or portions: the intra-day, the swing, and the position exchange.

Huge business dealers, for example, those organizations setting up creation in an outside nation, may be keen on the destiny of the cash over an extensive stretch of, for example, months or years. Yet, for theorists, a week after week outline can be acknowledged as the long haul.

Midpoints Moving in Pairs

With a week by week outline as the underlying reference, we would then be able to approach deciding the long-haul pattern for a theoretical merchant. To do this, we will turn to two valuable devices that will enable us to decide the pattern. These two apparatuses are the basic moving normal and the exponential moving normal.

Catch a Wave

By setting up a momentary exponential moving normal and a more drawn out

term straightforward moving normal, on a week after week and a day by day graph, it is conceivable to check the bearing of the pattern. Realizing the pattern helps in taking positions; however, remember that the business sectors move in waves.

These waves are called drive waves when toward the pattern and remedial waves when as opposed to the pattern.

By including the waves or rotates in each wave, one can endeavor to foresee whether an exchanging opportunity will be against the pattern or with the pattern. As indicated by the Elliot wave hypothesis, a motivation wave, for the most part, comprises of five swings and a remedial wave, for the most part, comprises of 3 swings. A full-wave move would comprise of five swings with two of the swings being counter-pattern.



**Successful
traders when
they start the
day have a clear
idea of how
they will tackle
the trading and
its challenges.**

**They prepare in
advance!**

CHAPTER 24.

Swing Trade Test

Regardless of the financial securities you trade, e.g., stocks, cryptocurrencies, etc., trading opportunities abound once the opening bell sounds. But the question to ponder is those opportunities worth taking advantage of? In short, what's the probability of profiting from available trading opportunities? While many have sworn by those strategies, it may take time before newbie or intermediate swing traders get the hang of them such that they profit from their trades most of the time.

As a newbie or intermediate trader, what are you to do while still feeling the ropes? Don't worry; here are five important steps to "test" the trading opportunities available to you so you can have an excellent idea of their potential profitability. After you've practiced these five steps enough, you'll need but a few seconds to execute them.

The Set-Up

This step refers to identifying specific conditions that can optimize your chances of swing trading profitably. If you're using a trend-following strategy, a trend must be present obviously as a condition for making swing trading positions. You must have established parameters or conditions for considering a trend as a tradable one. The ability to spot trends and evaluate whether they're tradable is a very essential set up if you employ a trend-following strategy, such as the MACD.

If the setup conditions you deem are important aren't there, don't make the trade. It's that simple. Following even just this one rule can save you a lot of emotional and financial stress.

The Trade Trigger

When the basic conditions for evaluating potentially profitable trades are present or laid out, you'll need a and objective event, i.e., anything other than "gut feel," that will tell you to take positions. Some examples of position-taking or trading triggers include:

1. After pulling back or ranging from new highs, e.g., correcting after breaching an important resistance level but still above it;
2. Price pullbacks, i.e., when a security's price pulls back to or near an established support area;
3. For Fibonacci Retracement traders, when prices hit important ratios, e.g., 23.6%, 38.2%, and 61.8%; and
4. For MACD and oscillator users, when indicators cross over or below their respective zero values.

The Stop-Loss Order

While having the ideal trading conditions present and having a relatively objective trading or position-taking trigger is very important, it's not enough to ensure a good trade. Since no trading strategy's perfect, the risk of loss always looms on the horizon. Hence, you must also have a sensible approach to managing your market risk, i.e., the risk of losing money due to unfavorable changes in a security market price. When it comes to market risk, you can't eliminate it, but you can manage it to minimize your potential losses on trades. The most common-sense approach to market risk management is a stop-loss order at a pre-determined price. This refers to trading orders placed in advance at specific prices that will compel the closing of a trade position to cut losses. There are various ways to determine stop-loss order prices or triggers. These include:

1. Identifying the price at which your trading loss will be limited according to your maximum loss tolerance, in percentage terms, or dollar amounts. For example, if your loss limit is 10% per trade, determine the lowest selling (for long positions) or highest buying (for short positions) price that will correspond to a maximum trading loss of 10%.
2. It is choosing a price that's just a wee bit below the most recent low-price swing or support for long positions, and for short ones, a price that's slightly above the most recent high price swing or resistance.
3. Choosing a stop-loss price within the vicinity of your trade's entry price

based on a volatility measure called the Average True Range.

The Profit-Taking Target Price

Now that you have clear ideas of the conditions needed to execute your trading strategy as well as when to take positions and cut-them short to minimize losses, it's time to get clear on the main reason for your swing trading: profits! Then you should set a profit-taking target price.

Why the need for a profit-taking price? If you don't set one up, there's a pretty good chance that greed will rear its ugly head and turn an already profitable trade (at least on paper) into a losing one.

You can set profit targets in two ways: based on gutfeel or based on established support and resistance levels. For example, if you took a long position at a price near the support line of a channel, consider setting a profit-taking target price near that channel's top or support line.

Don't let greed rear its ugly head and turn potential gold into garbage.

The Risk-Reward Ratio

While the acceptable ratio may vary between traders depending on their risk appetite and profit goals, a good place to start is a 1.5 ratio, i.e., your estimated potential reward for the trade should be at least 1.5 times the possible loss. For example, if a trade has the potential to lose \$100, it should also have the potential to make you at least \$150 if things go well.

How do you determine the risk-reward ratio of your trade? A good and easy way to do it is by looking at your entry, stop-loss, and profit-taking target prices. The difference between your target entry and stop-loss prices is the risk component of the ratio. The difference between your target entry and profit-taking prices is the reward component. Divide the reward component by the risk component, and you get your risk-reward ratio.

If a potential trade you're eyeing up has a risk-reward ratio of lower than your established one, e.g., 1.5, don't make the trade. Remember, half of your swing trading success lies in your ability to avoid swing trades with high risks for trading losses.

The five steps outlined above function as filters that can help you sift high loss potential trades from the high-profit potential ones. These are general principles that you can use with the trading strategies to maximize your profit potential and minimize your risks for loss.

But as with all other trading strategies, these aren't perfect. There will always be some trades that may pass these filters but end up giving you losses. That's alright because if you do your homework right, Step 3 – Stop-Loss Orders – will be there to make sure your losses are tolerable and won't impair your ability to continue swing trading.

Before executing any swing trading strategy, make sure that the conditions are suitable for taking positions. Then, employ objective triggers, like crossovers or retracement levels, as signals that will tell you when to take positions. And before you act on those triggers, determine beforehand what your stop-loss and profit-taking prices will be so that you avoid trading on emotions, which can be very dangerous as you've seen in my example earlier. Finally, determine – based on your target entry, stop-loss, and profit-taking prices – the potential trades' risk-reward ratio. If it's less than your ideal, e.g., 1.5, don't make the trade and look for others to meet your ratio.

In the beginning, this can take you a couple of minutes to complete. But as you continue practicing these five steps, you'll become so adept at it that you'll be able to complete them in under a minute.

CHAPTER 25.

Trade Downtrends

As a swing trader, you are going to need to have a flexible style of trading so that you can take advantage of all market conditions. If the country enters a recession, you do not want to have to sit on the sidelines and wait for things to rebound. A recession is a huge opportunity for those who are prepared to take advantage of it. There are several ways to profit when there are market downturns, and you can get started now, trading to profit on downtrends as well as uptrends when you see opportunities for the short-term downtrends that are sure to occur during the normal course of trading.

Shorting Stock

The standard method that is used to make money off a downtrend is to short the stock. Many people are not clear as to what this really means, and so we will describe it in detail now.

When you are shorting a stock, you are expecting a downtrend in the stock price, or you have already identified one that you expect to last long enough so that you can earn a profit from it. You do not have to wait for a recession to trade downtrends. In fact, even if you are in a bullish market, you should trade some downtrends so that you can get experience doing so and you will be prepared to make profits if a recession does come.

In the first place, to short stock, you are going to need to have an edge account. This is something else that you would prefer not to trust that a downturn will hit before you consider doing this. So, the sooner you are prepared to open an edge account, the happier you will be as a dealer.

The way shorting the stock will work, is that you must be ready to take action when the stock is at a relatively high price, but you are seeing signs of a downtrend. This will be something that you know, either from news events or

from a bad earnings report or something like that, or that you have determined from an analysis of the charts.

The first step after identifying the potential downtrend is to borrow shares of stock from the broker. Keep this clear in your mind; we are talking about borrowing shares of stock.

At that point, you quickly sell them. This is done to get money for the offers while the market cost is still at a generally high position. Remember that since you acquired the offers, you will need to return them to the representative, so clearly you are not done at this point.

Then you wait for the share price to drop. When the price drops to a level that you would be satisfied with, then you buy the shares back. Now you return the shares to your broker, and the transaction is completed. Your profits come from the fact that you were able to buy the shares at a lower price after having sold them at a higher price.

Let us look at a real-life example. On July 24th, 2019, Tesla was trading for \$265 a share. Their earnings report was coming up, and many people expected it to be bad. Of course, you never really know but this was the expectation. This was a good opportunity to short stock because the information was solid that the earnings report would not be very good. Of course, the problem is that you cannot be completely sure how the market will react, but it is a solid bet that the stock is

So, let us say you borrow 100 shares. You can sell them on the market for $100 \times \$265 = \$26,500$. The following day, Tesla opened much lower and dropped all the way to \$226 a share. At that point, you could have bought 100 shares back to return them to the broker. Doing so would have required that you follow the market very closely the day after the earnings call. At \$226 a share, 100 shares would cost \$22,600. So, you buy them back, and then return them to the broker.

The deal is done, and you have made \$3,900.

Not a bad take for a few hours of work. Of course, this is an idealistic situation. You might not find situations this lucrative, and when you are just starting out, you may not be able to borrow 100 shares. But it gives you an idea of how the process of shorting stocks works, and how a trader can earn large profits doing it.

Taking Advantages of Downtrends with Put Options

Another way that you can take advantage of downtrends is by investing in put options. This is a high-risk strategy, but put options gain in value when a stock is declining. The strategy would basically be the same as outlined above. One advantage of put options, as opposed to shares of stock, is that they are going to be much cheaper, relatively speaking. While 100 shares of Tesla may cost you more than \$20,000, a put option on Tesla might cost you a few hundred dollars. But when there is a large drop in share price as happened with Tesla after the earnings report, you can earn massive profits on Put options. So, it would make perfect sense to use put options to short a stock, even though it is indirect.

A few important things characterize a put option. The first is that it has a “strike price.” This is a price that the seller of the option agrees to pay for shares if you decide to exercise the option. So, you could buy a put option on Tesla with a strike price of \$250. It would be valuable when the market price of Tesla drops to \$226.

The second thing to know about a put option is that it has an expiration date. Options that expire soon tend to be cheaper than options that expire at later dates. But if conditions are favorable for the option, even if they expire tomorrow, they are going to have massive gains in value.

The first strategy is to swing trade the put options over a couple of days if you know a downtrend is coming. You can buy options that are not worth much because the share price is above the strike price, and then be prepared to sell them the morning after the earnings call. You do not want to hold onto them if you are not planning on selling the shares.

You can profit simply by selling the options. In conditions like that, they will be easy to sell. Every dollar drop in the share price is going to cause a large price increase in the option price. So, if you would have entered a position with 3-5 put options on Tesla, you would have made thousands of dollars.

While you can make money selling the options to other eager buyers, you can also make money by exercising the options. You can exercise an option at any time. So, if you had bought an option with a strike price of \$265, keeping the example the same for the sake of argument, when the price dropped to \$226, you could have bought 100 shares of Tesla, and then exercised the option. At that point, you would be able to sell the shares for \$265 a share.

So, you would profit the same \$3,900 as the trader who explicitly shorted the stock. By law, the originator of the option contract would be required to buy the shares from you at \$265 a share.

Shorting the Market with ETFs

Another way that you can short the market is by using exchange-traded funds. There are exchange-traded funds that are designed for this purpose. In fact, there are exchange-traded funds that short the entire market, which will be useful when there is a recession, but there are also exchange-traded funds that short market segments, industries, and sectors.

These types of exchange-traded funds are called inverse ETFs. The way that they work is that their price moves in the opposite direction of the market. The way to use these exchange-traded funds is to invest in them during a bull market so that you will be ready to sell them when the market does tank. This is not standard swing trading in most cases; although you can swing, trade them if you are on the ball when a bear market hits. If you do it the way I am describing here, you are going to have to hold these positions for a long period.

But the nice thing about this is that when the market is bullish, shares in these funds are dirt-cheap. So, you can take a significant position in them at a low price and simply hold onto it until a recession hit. Then you can bank significant profits.

The way that the funds work behind the scenes is that they take short positions. So, you do not have to bother with shorting and let them take care of it.

Pro Shares is a company that offers exchange-traded funds for this purpose.

SH is the short S & P 500. It takes short positions in the S & P 500 index. When there is a bull market, it is going to lose money. But you must be patient and not worry about the losses, they are occurring on paper, essentially. When the bear market hits, you are going to end up making huge profits.

SDS is the ultra-short S & P 500 ETF. It uses derivative contracts. You should not buy and hold this for the long term but keep it in mind for when there is an actual bear market. You can also short bond markets. This can be done using SAGG, which is the Direxion Daily Total Bond Market Bear. If

interest rates are rising, this could be a fund that would be good to invest in.

CHAPTER 26.

Forex Swing Trading

Forex is a term that isn't raised frequently enough in the investment network. It is the monetary forms market where the world's financial standards are traded nonstop. It is where incredible fortunes are made and lost every day consistently of the day. Just the individuals who realize what they are doing are probably going to make money in this market on a predictable basis. Various strategies have endeavored in the Forex market. One of those strategies is to utilize something known as Forex swing trading. This Forex swing trading is a propelled strategy of following the trends of the market to attempt to make the most money.

At the point when you are doing Forex swing trading, you are inspecting the innovation trends that are available in the market and attempting to utilize them to your advantage. It is less about which monetary forms you accept will be on the ascent and increasingly about how you think the market itself is going to act. There are various estimates that people take a gander at to perceive how the market responds on an everyday basis. Sometimes there is almost no currency news going on; however, the market despite everything goes up or down.

People who use Forex swing trading attempt to comprehend why these technical moves are made and attempt to utilize them to make money. They need to purchase low and sell high in the extremely transient, merely dependent on speedy responses in the market. Regardless of whether the moves have nothing to do with the genuine value of the currency, the individuals who practice Forex swing trading can profit.

Remember that this strategy isn't for everybody. There are a couple of individuals who may be better supported to simply purchase and hold or to

move to a different market out and out. In any case, for the individuals who do accept that they have the opportunity important to place into the sort of research required, at that point, this can demonstrate truly profitable.

Forex Swing Trading—Swing Trade Your Way to Regular Profit

The rise of online forex trading implies that anybody can swing a trade for momentary profits; it's profitable, but on the other hand, it's anything but difficult to learn, great fun, and that is the thing that trading ought to be. Forex swing trading on the web provides the ideal market for the methodology of swing trading.

So, for what reasons are currency markets the ideal for swing trading? Swing trading here methods despite everything seeing brief time frame outlines; however, the information is reliable enough for you to get the odds in your favor. Numerous traders need persistence and need to have speedy activity well. That is what you get with forex swing trading. Forex swing trading offers them many trades regularly, and you needn't bother with the tolerance of a long-term trend follower.

Swing traders will, in general, either hurry to profit rapidly or misfortune, keeping the trader interested, motivated, trained, and centered.

This is an ideal way of trading for somebody who cherishes trading. Currency swing trading success can be accomplished through a plan of forex trading, which is most ordinarily known as forex swing trading. The forex swing trading is generally easy and easy to learn and apply. It is exceptionally prompted for the new traders and the tenderfoots who need to attempt their fortune through this trade and business.

Swing trading is a type of forex trade wherein the trader is always to take advantage of the swings or the instabilities of price and that likewise of a currency in a timeframe. Presently you will ask what “swing” is. The traders realize that the price evaluation never moves legitimately upwards or downwards. Indeed, it sways in a wave-like structure. These motions in the price evaluation, regardless of going towards an upward direction or downward direction, are known as Swings in trading.

The investor may hold on the currency for a few days, which can even stretch out if scarcely any weeks, which relies upon the circumstances of the trading market before the trader sells off or exchange the stocks with some other

currency to make one's benefits. The primary concern identified with the forex swing trade is that it ought to be finished with the help of an ideal strategy that can identify the point and the technique for attaining that point and target.

Great Strategy Involves:

The great strategy makes the hour of the passage point exceptionally clear and characterized in the trading market. Indeed, even the leave point and its time is likewise portrayed legitimately. Additionally, the strategy would likewise recommend the different estimates which would moreover help you in diminishing the hazard opportunities to the insignificant level that is conceivable. This is further liable for helping to lessen the misfortune and to have better controls over the adversity giving conditions.

Presently, to choose about the timings of the passage and exit and to control the losses, the trader would, for the most part, take the guide of signs, which help show the assortment of trends of the forex market. Indeed, even they anticipate the future instabilities of the currency values.

The trader needs to comprehend the signs to achieve success in the forex swing trade. Numerous traders watch the political, social, and financial circumstances of the principal nations with focus. In case the recently referenced conditions change even in a slight manner, at that point, likewise, the value of the currency of the nation gets influenced in a lot. Trading strategies must have severe rules to follow. Signs characterize the rules of the passage and exit of the trader into and out of the trade.

Other than following the arrangement of rules and guidelines, the trader should work out a full oversight on his/her notions. It has been demonstrated that few traders face an incredible misfortune since they become apprehensive and alarm in certain conditions where they discover the exit as the best solution. The trader needs great money management techniques, connection to the rules, impeccable mindset, and perception of the signs to accomplish success in forex swing trading.

CHAPTER 27.

Swing Trading Indicators

Indicators are augmentations on the outline that give additional data through scientific estimations on volume and cost. Additionally, they disclose to you where the cost is probably heading straightaway. Specialized trading includes looking into graphs and settling on choices dependent on examples and pointers. These examples are specific shapes that candles structure on an outline and can give you data about where the cost is probably going to go straightaway.

There are 4 noteworthy indicators that you should consider as a swing trader: momentum, trend, volatility, and volume.

- **Momentum indicators** disclose to you how solid the pattern is and can likewise let you know whether an inversion will happen. They can be valuable for choosing value tops and bottoms. Momentum markers incorporate the Ichimoku Kinko Hyo, the Relative Strength Index, the Average Directional Index, and the Stochastic.
- **Trend indicators** disclose to you which course the market is moving in, if there is a pattern by any stretch of the imagination. They are now and again called oscillators since they will, in general, move among high and low qualities like a wave. Trend markers incorporate the Parabolic SAR, the Moving Average Convergence Divergence, and the Ichimoku Kinko Hyo.
- **Volatility indicators** reveal to you the extent the cost is varying over a stretch of time. Unpredictability is a significant piece of the market, making it very difficult to profit when it is not there.

The cost needs to move for you to make a benefit.

- **Volume indicators** reveal to you the extent volume is shifting after a while, what number of pieces of bitcoin that are purchased and sold during the long haul. This is helpful because when the value is altered, the volume shows how solid the move is. Bullish proceeds on high volume are bound to be kept up than those when the volume is low.

The higher the instability is, the quicker a cost is evolving. It reveals to you nothing about bearing, only the scope of costs.

Low instability shows little value moves, high unpredictability demonstrates huge value moves. High instability additionally recommends that there are value wasteful aspects in the market, and merchants refer to wastefulness as profit. When you choose to be a dealer, you must comprehend where the market may move towards, and be set up for any projection. You do not have to figure out precisely where the market will go, yet comprehend the various conceivable outcomes, and be situated for whichever one appears.

Keep in mind, merchants make cash in bear and markets. It is important to exploit short and long positions. Try not to get excessively appended to the bearing of the market, provided the cost is in motion, you can benefit. Pointers will assist you in this case. The following are the important swing trading indicators that will make all the difference for you;

Ichimoku Kinko Hyo (Ichimoku Cloud)

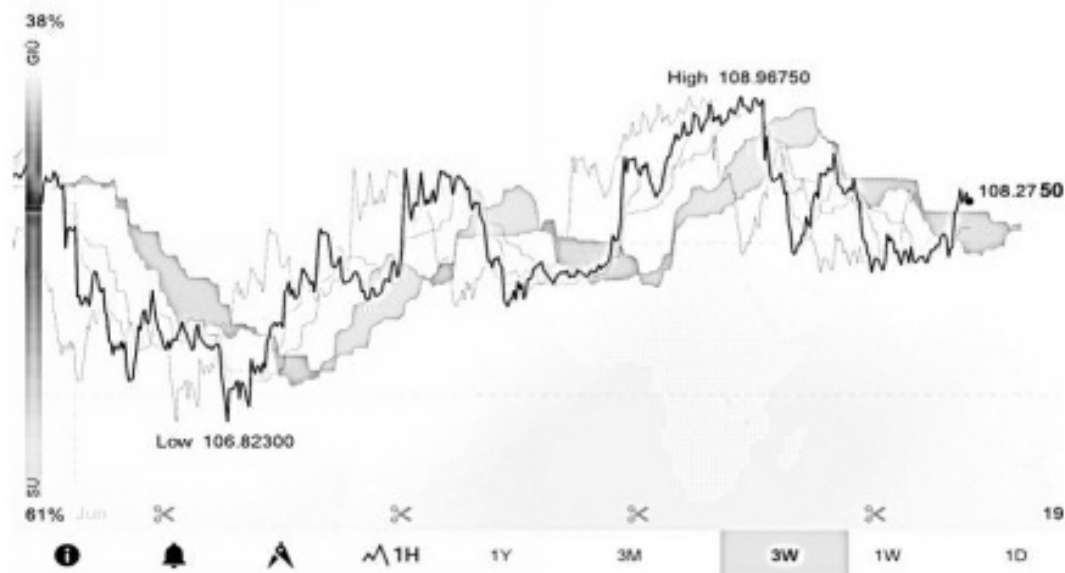


FIG27. Ichimoku Cloud

This is an accumulation of lines plotted on a chart. It is a pointer that estimates future value force and decides territories of future help and opposition.

At first look, this resembles an exceptionally unpredictable marker, so it is necessary to understand them in detail.

Relative Strength Index (RSI)

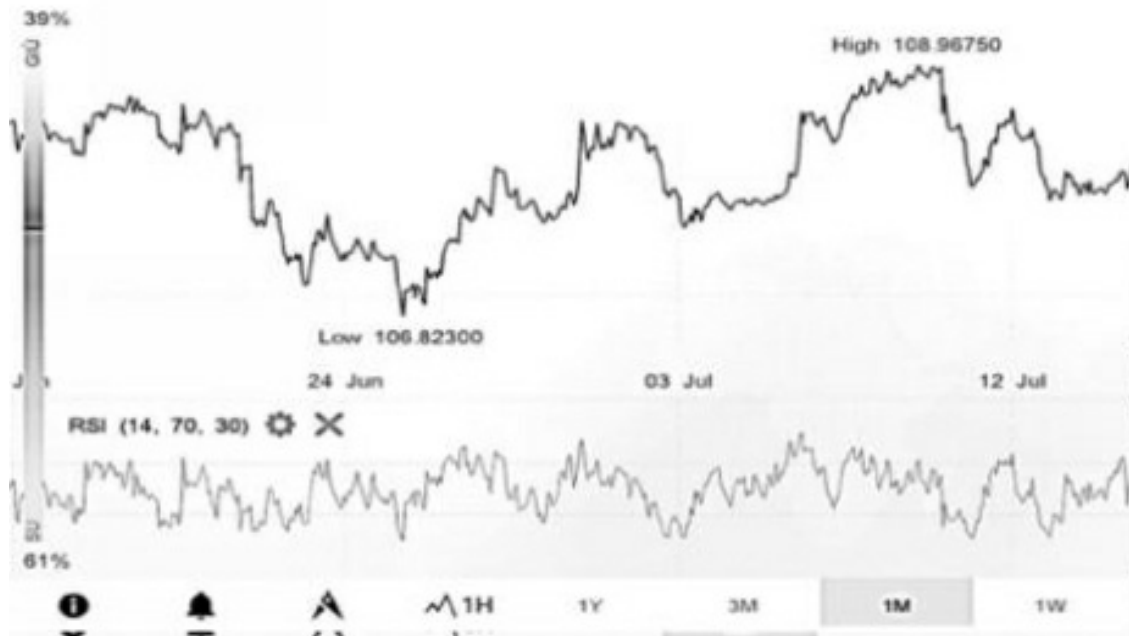


FIG28. RSI indicator

This is an energy pointer plotted on a different scale. There is a solitary line measured from zero to one hundred that recognizes conditions that are sold or bought too frequently in the market. When it is more than 70 demonstrate a market characterized by overbought conditions, and when it is underneath 30 shows an oversold showcase.

The entire thought of RSI is to select both bottom and top to make it in a market when the pattern is turning around. This will assist you in taking a bit of leeway of the entire time. Investigate the graph beneath.

RSI can likewise be utilized to affirm pattern developments. If RSI is over the 50 marks, then the market is most likely in an upswing. Then again, when the line is underneath 50, then the market is presumably in a downtrend.

Moving Average Convergence Divergence (MACD)

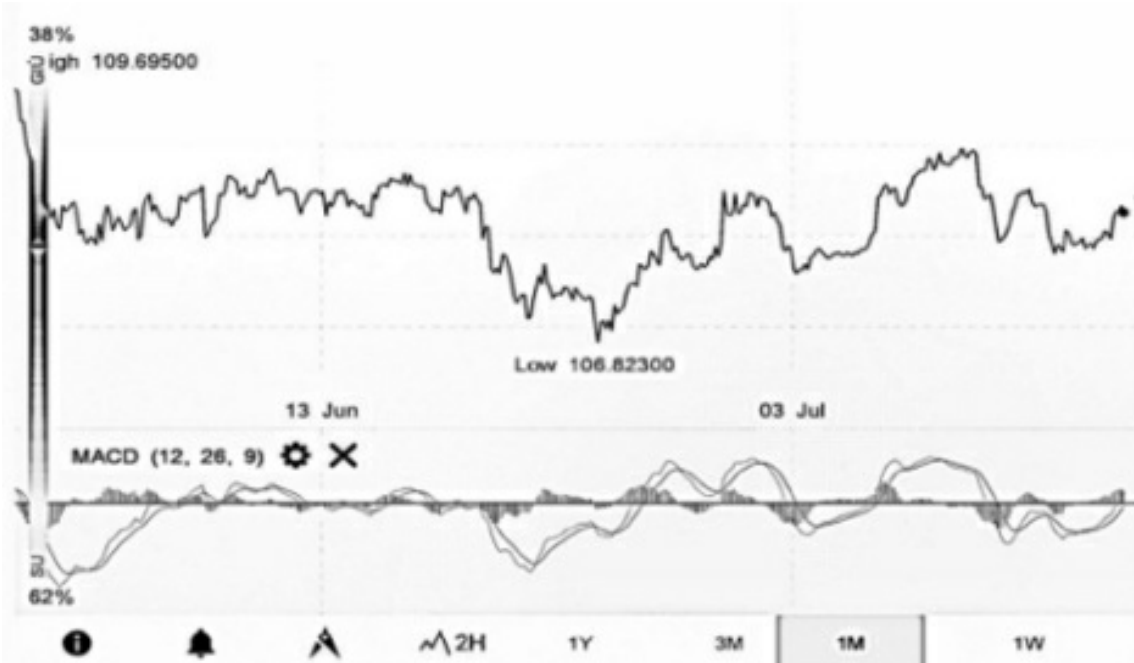


FIG29. MACD – Mov. Av. Conver/Diver

This is a pattern pointer and it comprises of a quick line, moderate line, as well as a histogram. The contributions for this pointer are a number characterizing the period for one more moving normal (MA-period), a quicker moving normal (MA-quick) and a slower-moving normal (MA-moderate). The MACD quick line is a normal of the distinction comparing MA-quick and the MA-moderate. Give. The MACD moderate line is a normal that is moving of the MACD quick line. The quantity of time is characterized by MA-period.

The MACD is that it is comprised of moving midpoints of other moving midpoints. This implies it lingers behind cost a considerable amount, so probably will be the worse of the markers to utilize on the off chance that you need to get into patterns early. Yet, it is extraordinary for affirming patterns.

Average Directional Index

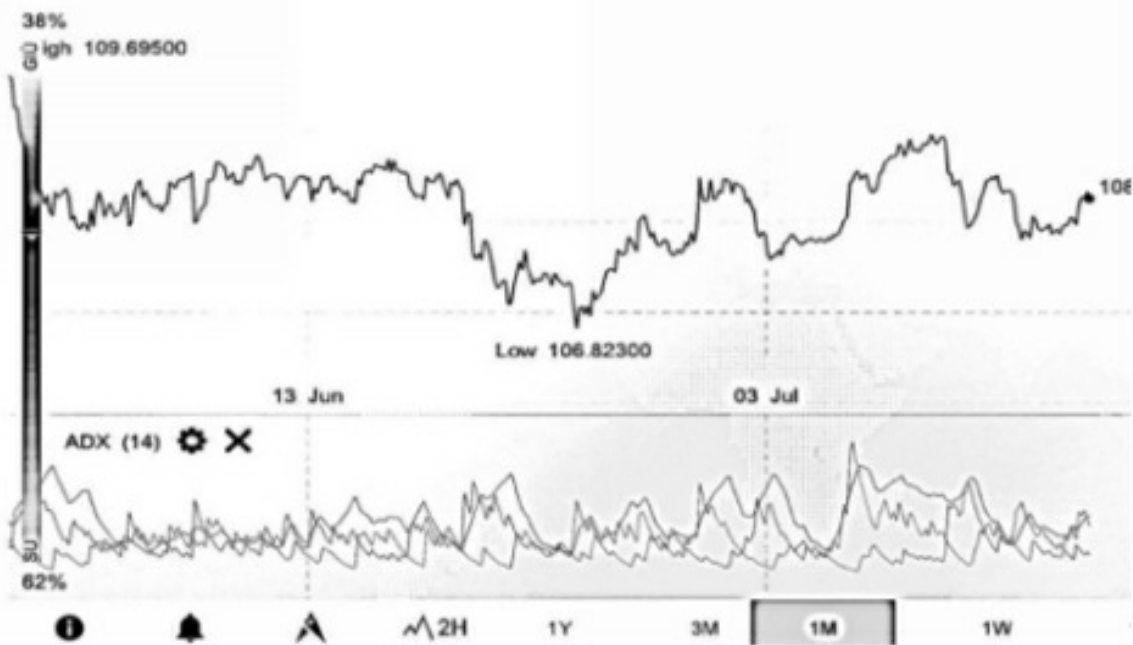


FIG30. ADI Indicator

This is a different oscillator, however, this time it is a pattern marker. Average Directional Index (ADX) figures run from zero to one hundred and are expected to let you in on a sign of pattern quality.

On the off chance that ADX is underneath 20, the pattern is frail. On the off chance that it is over 50, the pattern is solid. Remember, however, that ADX does not disclose to you the bearing of the pattern, only the quality.

When exchanging, you can utilize ADX to maintain a strategic distance from fallouts. It is truly best utilized in mix with different markers, as, despite the name, it does not give you any data about pattern bearing.

Stochastic

This is an energy pointer and can be utilized to discover where a pattern may end. Along these lines to RSI, it is utilized to decide when a benefit is oversold or overbought.

It is comprised of 2 lines on another diagram. If you have just speculated, stochastic will assist you with picking a point and get into a pattern at the absolute starting point. At the point when the stochastic lines are over 80, it shows an overbought market and raises the possibility of a downtrend is probably going to pursue. Presently when the stochastic lines are underneath 20, it demonstrates an oversold market, making an uptrend probable.

Indistinguishable provisos from RSI apply here. When attempting to get into patterns right on time, there will be numerous odds, so you ought to be set up with stop misfortunes on the off chance that the market does not go your direction. As usual, utilize the pointer to give you a thought of where the market is probably going to go.

CHAPTER 28.

Swing Trading and The Day Trading

Trading on the day ensures that markets are opened and closed that day. The phenomenon of help and resistance is the dominant factor during daily business. The everyday pattern phenomenon plays a crucial part in day trading. Day trading is focused primarily on buyer's and sellers' stirring emotions. The relation between bull emotions (e.g., fear, greed, etc.) and the mind-set of investors (e.g., bear, bull, etc.) produces capital gain or loss situations. The movement of the share price typically indicates recurring patterns.

The swings trend provides a possibility for capital gains from time to time. Swing is an investing practice in capital markets on an exchangeable commodity which is kept for 1 to several days, to prosper from price movements or' evolutions.'

A swing trader does not trade every day and swing trade provides a much better chance than selling and swinging require patience and an improved knowledge of the stock market. Trade may be retained for a few days or even weeks by a trader. It depends on how good stock trends or swings really are. A swing trader typically defines a degree of satisfaction about the swing period, but due to unexpected longevity or a shortening pattern, its uncertainty can increase or disrupt the comfort zone. These are crucial moments that an inexperienced swing investor may make sudden decisions. Swing Trading demands fundamental and technical behavior and thorough research on the industry, share company, and the economy.

A prepared swing merchant purchases when individuals sell and sell when individuals buy new patterns and swing better, so he doesn't respond

excessively to news, occasions, and sentiments. He enjoys a pattern until signs of reversal or retraction occur. Market analysts identify and warn swing traders "Retracements are temporary market reversals that occur in a tremendous sense.

The point here is that market reversals are transient and do not reflect a shift in the broader pattern. Patterns without a retracement are unsustainable and risky. In swing trading, investors have relatively high-income goals.

The achievement of targets depends on an improved understanding of investment trends and behavioral strength in market trends. An anxious / non-strategist loses money and wins money for the patient or strategist. A condition of compromise occurs when the day trading target is seemingly realistic, but the swing trade target is unclear. The choice of one purpose is achieved at the expense of others, which means that the costs of the regular trade income are fluctuating or conversely. A swing investor likes dividends so that he behaves proactively on a business's book closing days.

The Difference between Swing Trading and Day Trading

When you want to be a good investor, the very first thing you'll decide on is your timetable. It cannot be forgotten or ignored since your trading timeframe will really impact your success. You must know how someone functions first to determine which timeline to pick. Through day trading, traders were typically buying and selling stocks around 9:30 and 3:55 am, make sure that they are out of the business when the clock strikes 3:55 am.

On the other side, swing trading lasts 2-5 days. Investors wait for a significant price change and book a relatively small profit before they do anything. The disparity between the two timelines is, as you can see, the length of the traders' bonds.

The risks of each timeline If you deal, the chances of each schedule will still be involved. As traders leave the stock at 3:55 pm They do not have to think about price fluctuations that could happen overnight on the same day they arrive on the market. Traders will go home, refresh themselves and be prepared on the following day. You will keep overnight positions with swing trading, thus exposing the fund to overnight risks.

Shift investors disclose their stocks immediately to risks. Some things are going to happen when the market is shut. Instances are profit notices, assessments, variations, and so on. It is therefore necessary to pause and

benefit from the areas to protect your resources and unrealized income. Knowing and positioning your stops and taking advantage of benefits will save you time in your sleep. Starting traders are motivated to start as a swing trader, since day trading is easy. It needs actively managed funds, and if you have experience and expertise you may not be capable of dealing with it.

How much you get?

Owing to the nature of day trading, more time must be spent on the market and even if the market ends. Day traders should increase their attention on market developments to ensure that minor changes in sentiment and other factors that could affect their position are not overlooked. Too many things are happening in a few minutes that they can't forget. When the market finishes, traders should spend a little more time examining charts, examining post-trading and planning them on the other day.

You will spend less time running your company with swing trading. You can spend some hours analyzing market activities, put your company in one day or so and visit your stock. This is the positive thing about swing trading – you don't have to take care of your business. This makes traders with current full-time jobs appealing. You should examine them when you get home from work or over the weekend. Better Source of Trading Day provides more opportunities for trading. It can also be a good revenue source. Day traders usually enter several companies a day, and book small income at a time. On the other hand, swing trading will only yield benefits once a week if you trade profitably. If not, you'll start everything again and wait another 2-5 days to reserve your interest.

Commercial advantages Day trading presents more exchange possibilities as traders prosper from the shifts in the intraday sector for an endless number of investors. And they can exchange as many shares as they can accommodate. Swing traders must look for long-term price volatility stocks to guarantee successful trading.

Recommendation: Start traders as swing traders will overpower them as day trading. Invest through your education and gaining experience in prototyping and improve your skills, if you still want to become a day trader. Does it on the manner a teacher or manager? This is also the easiest way to swing trade when you have a regular job and, therefore, cannot spend much time on the market. Day trading requires full effort and attention and preparation.

Day Trading or The Swing Trading?

Day trading during the last decade seems to have become popular. Many people are now living happily by trading in various markets. What is the best thing about swing or day trading? Day trading is also glamorously portrayed in commercial literature. Would you like to learn that day trading is frustrating and that day traders are often called anxiety kings? Now it's not something you can stop the day trading. There are individuals who are sales experts, and their character suits this form of trade.

However, swing trading is a far better choice. In daytime trades, you must track various graphs and wait until your computer terminal to receive the trading indicators. You could do that for several days, but you'll be overwhelmed afterward, specifically when you have lost your business.

You launch and conclude a deal the same day during day trading and don't keep your company overnight. By comparison to that in swing trading, when the opportunity arises you can begin a business daily and keep the door open for days before hitting your profit target.

In swing trading, the benefit targets are a lot higher, just like your stop misfortune, with the goal that you get more space. This trading depends on the ideal time riding the wave and continues pushing it while it keeps going. Day Traders search for short-term trends that don't always last longer than 24 hours, but often as day traders, if at the end of the day you are effective, you know that you should be able to keep your business open for a few additional days. Sometimes then you start as a day trader but conclude as a swing trader. You do not have to keep track of your trade all day long. You're free to take orders after opening your business and stopping your loss because the market will follow suit. You just must test your trade 10-15 minutes a day, whenever the day suits you. Your company will work if your technical analysis is correct. Therefore, you have much greater flexibility to swing, especially for all who also work exclusively and trade.

Swing is sometimes referred to as 'momentum trading' because it benefits from up or downward trends in prices. To enter a swing trade, you usually enter the market during short pullbacks to reverse the momentum of the initial rally.

Swing is not a high-speed trading day that seeks to take advantage of slight price fluctuations every day. Instead, after a consolidation or correction phase, it tries to capitalize on a medium-term breakout.

A swing trading is usually held for days or even weeks as a stock index, individual stock, futures contract, etc.

Swing traders go for the move's "stuff" and get back out. However, it's not necessary to achieve the exact high and low of the step. The medium-range is adequate and takes normally a few days or even weeks.

The slower rate among investment and the quicker future profits in day-to-day trade, therefore, blends this kind of trading. When done well, swing trading is going to raise your equity considerably quicker than buying and holding, for the following reasons:

- You can go for a while or a little with equal interest (you are not blinded to see just one side of a given market) and;
- You can turn over your money quicker to benefit from a new trend as it becomes a reality. After all, many employers impose limitations on their work computers on applications or websites.

Also, if you work from home, you might be too busy doing business on other days. So, while traders typically stay for hours on their machines, swing trading does not require that kind of commitment.

CHAPTER 29.

Types of Accounts

Foreign exchange involves selling and purchasing of different currencies across the world. The number of participants in this market is very large; therefore, the liquidity is very high. The most unique aspect of the forex trade is that individual traders can compete against large institutions such as hedge funds and commercial banks; all one needs to do is to select the right account and set it up.

Mini Trading Accounts

Simply put, a mini account is one that allows the trader to transact using mini lots. For most brokerage firms, one mini lot equals to 10,000 units. That is equal to 1/10 of a standard account. Brokerage firms offer mini lots to attract new traders who are still hesitant to trade with bigger accounts or those who do not have the investment funds required. The advantages of Mini accounts include low risk, low capital required and flexibility. The trader can trade in increments of 10,000 units; therefore, if he or she is inexperienced, he or she does not have to worry about blowing through their account and capital. Experienced traders can use the mini accounts to test new strategies without excessive risk. A mini account can be opened with as little as \$100, \$250, or \$500 and the leverage can go up to 400:1. A risk management plan is the key to successful trading and in the case of selecting lots, a trader can minimize the risk by buying several mini lots to minimize risk. Remember that one standard lot is equal to about 10 mini lots and diversification reduces risk. The main disadvantage of mini accounts is a low reward. Lower risk translates to a lower reward. A mini lot account can only produce \$1 per pip movement if it is trading 10000 lots. In a standard account, one pip movement equals to \$10.

Standard Trading Accounts

The standard trading accounts are the most common for traders, especially the experienced ones. These accounts give a trader access to lots of currency worth 100,000 units each. This, however, does not mean that a trader must put \$100,000 in the account as capital to trade. The rules of leverage and margin mean that all a trader need is \$1000 to have a margin account.

The main advantage of this account is the large reward that one might reap with the right strategy and predictions. One pip movement earns \$ 10. Again, individuals who own such accounts get better services and perks because of the upfront capital invested in the account. The disadvantages include high initial capital and potential for loss. The kind of capital required to set up a standard account can deter many traders from venturing into it. Again, the higher the risk, the higher the returns and the vice versa holds, A standard account trader has a higher risk of loss because if a lot of falls with 100 pips, he or she loses \$1000. Such losses can be devastating for beginner traders.

Managed Trading Accounts

Managed accounts are accounts where one puts in the capital but does not make the decisions to sell or buy. Such accounts are handled by account managers such as stockbrokers and stock managers. In this case, the traders set objectives for the managers (the expected returns, risk management) and the managers must meet them.

Managed accounts are categorized into two major types, namely Pooled funds and Individual accounts. In pooled funds, the money of different investors is put into an investment vehicle referred to as mutual fund and the profits generated are shared. The accounts are further classified by risk tolerance. If a trader is looking for higher returns, he or she may put his money in a high risk/reward account while those looking for long term steady income can invest in lower risk accounts. Under managed accounts, the individual accounts are managed by a broker each in its own capacity, unlike the pooled funds where the manager uses all the money together.

The main advantage of managed accounts is that one gets professional advice and guidance. An experienced professional forex account manager will be making the decisions, and this is a benefit that one can use. Again, a trader gets to trade without having to spend hours analyzing the charts and watching for developments. One disadvantage that deters traders from venturing into this account is the high price. One should be aware that many managed

accounts require one to put in at least \$2000 in the pooled account and \$10000 for the individual accounts. To add to this cost, the managers are entitled to a commission which is calculated monthly or yearly. The managed accounts are also very inflexible for the trader. If he or she sees an opportunity to trade, he or she will not be able to make a move but will rely on the manager to decide.

Note

It is advisable for a swing trader to use the demo accounts offered by brokers before investing in real money regardless of the account he or she opts to use. Demo accounts allow one to practice without risk and to try out different strategies. One rule that every trader should apply is to never invest in a real account unless they are completely satisfied with it. One of the main differences between success and failure in forex exchange is the account selected.

Opening an Account

Forex exchange has been around for very many years and some say that it is as old as the invention of national currencies.

Over the years, the market has grown so much, so that it is the biggest market across the world. However, it has not been accessible to the public as easily as it is today. From the 1990s, when the era of the internet began, many retail forex brokers have established routes through which anyone can trade in currencies so long as they can access the internet and have some money. There is a lot of hype and information about forex trade on the internet, but not everybody understands how to select and open an account.

The Right Broker

The first step to trading well is to find the right broker. The activities of forex exchange are decentralized and there are hardly any regulations. Because of the over the counter nature, traders are advised to identify a reliable broker. This involves conducting researches on the reputation of the broker; to identify if there is a history of irregular practices. One may also want to comprehensively understand the services offered by the broker before setting up an account. While some brokerages support basic and plain vanilla activities, others offer very sophisticated trading platforms. Some brokers will offer the trader analytical resources to support better decision making while others won't. Again, a trader should assess the fees and commissions

for different brokers.

The majority of Brokers charge some fees for their services through the bid-ask spread and, in many cases, it is not a large percentage. However, some brokerages have some other fees and commissions and they might be hidden from the trader. When one is considering the extra costs, he or she should check if it is worthwhile.

Online Trading

It refers to buying and selling stocks or other assets using a broker's internet-based website or trading platform. Currencies, futures, options, ETFs, mutual funds, bonds, and stocks can all be traded online. It is called self-directed investing or e-trading.

As mentioned above, in a split of a second, you can trade stocks and other financial instruments such as the Dollar or Euro, some commodities such as Gold or Oil, as well as main market indices.

One more advantage of online trading is that the improvement in the rate of which trades can be implemented and settled, since there is no demand for paper-based files to be reproduced, registered and entered a digital format. Once an investor opens a buy position on the internet, the trade is set in a database that assesses for the very best price by searching all the marketplace trades that trade the inventory in the investor's currency. The market with the very best price fits the buyer with a vendor and sends the confirmation to the purchaser's agent and the seller's agent.

All this process can be achieved within minutes of opening a trade, in comparison to making a telephone call that requires several confirmation steps before the representative can input the purchase. It is all up to investors or stock traders to do their research about a broker before opening trading accounts with the business.

Before an account is opened, the customer will be requested to complete a questionnaire about their investment and financial history to ascertain which sort of trading accounts is acceptable for the customer. On the flip side, an experienced trader who would love to execute various trading strategies will be provided with a margin account where he can purchase, brief, and compose securities such as shares, options, futures, and currencies.

Not all securities are all readily available to be traded on the internet,

depending upon your broker. Some agents need you to call them to put a transaction on any shares trading on the pink sheets and choose stocks trading over the counter. Additionally, not all agents ease derivatives trading in currencies and commodities throughout their affiliate platforms. Because of this, it is necessary that the dealer knows what a broker offers before registering with the trading platform.

Most online trading classes are centered on instructing marketplace mechanisms and technical evaluation, while others might concentrate on more specific strategies or particular asset classes. Courses may offer a comprehensive summary of technical analysis in addition to other strategies designed for specific asset classes. They assist traders quickly reach a stage where they are comfortable creating approaches and executing trades.



The best time
to invest was
10 years ago.
Another better
time to invest
is... Right Now!

CHAPTER 30.

Risk Management

To risk is simply to prepare and be ready for the outcome of the inevitable. Every trader has his own risk appetite but must always serve to limit the losses that can affect our portfolio. It can be divided into two levels. Management of risks at individual security or portfolio level. This can be accomplished in the following manner:

- a) Regulate the capital investment to your position, sizing it.
- b) Identify the securities that are more liquid to invest in.
- c) Take advantage of several positions where you should spread your capital across.
- d) Widen the scope of your capital investment
- e) Measure the level of the risk in stocks before you get in for them. By so doing, you will be securing your portfolio.

Using the unknown to work out the known. In business, there are many puzzles to fill. There are many unknown constants and there are known ones. So, in general, someone beginning a business or venturing into a given business plan, we can say he is risking his resources for the unknown hoped-for or profits. Options pose as a potential area of investment where many investors are so much willing to invest in. Will the options being one of the most flexible yet profit-making ventures, traders are supposed to have the knowledge of the merits and demerits of the same business before they join. And as well they also need to have some prior knowledge of the challenges the venture poses for this, in the long run, will be able to assist them whenever it comes to decision making.

Risk management is a concept which everyone else has to take in for long term profitability, and most specifically lowering the potential losses for

every trade to a given level in the time of any given account. If you interview some traders, you will find out that there is a common figure that is ever reiterated, i.e., 5%, implying that most trades cost the 5% of your general ledger or account. Figures that are greater than that ever increases the negative feeling that will interfere with your judgment in the long run.

Your activity may, therefore, assume a character that is more of gambling than anything else. Therefore, you need to manage the risks carefully by limiting potential losses from every trade to about 5% of your account.

Assumptions and Imaginations

Assumptions and imaginations basically lead to misconceptions. Nothing should be left to imagination or assumption if you are in the business. There is this phenomenon of feeling all-powerful and know how to handle challenges as they arise, but also you could result in a potential loser for the market has its own trends, or rules defined to govern it.

Whenever you put together a series of your winnings in trades, you may end up developing some great confidence in the skills and strategies that you are using as a swing trader. That could be good for you. You can plan to manage your risks well if you anticipate negativity even though they may never come to existence than if you are just optimistic, thus no room for inevitable.

You Need Education

One of the areas that pose as a risk factor is the area of education to traders. Most traders, if not all, believe that by knowing or having the knowledge of trading tools, then you are good to go. How wrong they are. A market, as we may term it, is a living organism. You are supposed to watch carefully on the trends, and whatever surrounds them, you also need to read enough literature of whatever markets or rather businesses entail.

You need to set and goals of at least equipping yourself with the business knowledge of the markets and the trading concept. If you keep up with the spirit of acquiring new information, then you will limit the fact that you are know-it-all, and therefore when it comes to business trading, you can comfortably challenge the fate of the so-called “smart- traders,” who poses with a smart ‘IQ’, yet not smart in real practice.

There Must Be Concentration and Technical Analysis

You need to have some knowledge of the technicalities of the stocks and as

well as commodities. As a swing trader, the analysis should be done from a technical viewpoint. Various risks come up as a result of a lack of Concentration. Whenever you lay your time and resources in a given venture or business, it is easy to monitor the trends as the market changes, reductions in values of stocks, high-risk factors affecting the businesses such increased taxes or superimposed taxes, therefore, we can say that you have full control over the business.

We can relate this to a taxi driver who is partly driving and surfing the internet or responding to a short message service while driving. In this case, it is easy and quite inevitable that the taxi driver may end up causing a fatal accident due to a lack of Concentration or divided attention. In the same way, a trader who does not put more attention to a single business may end up losing it to others after realizing great losses. He can quit the trade even though it does not exhibit any critical challenges that yield quitting.

Shock Resistance (Develop Shock Absorbers):

In swing trading, you need to have what we call shock resistance. This is an attribute of only strong traders. It is not good to quit the business after the first challenge, say encountering a loss. You need to understand that a business is a growing concern. This means that the more you are in the business venture, the more you are knowledgeable and experienced and therefore, the greater the chances of maneuvering within the same business. There are losses and profits that you will be making as you continue with the business. Losses should teach you the action, whereas profit should encourage or motivate you to increase- on the level of investment capital. None of the above should make you quit the trading game. All other factors kept constant; a trader must be strong and confident.

You need to be resistant to pressure. There is completion in every market and more, especially when the stocks are moving at a competitive price. You do not need to appreciate so much the credentials that you own; you need to work with your instinct. Best trades just emerge as a surprise and will always be grabbed by those ready. They may be urgent. You need to turn around almost instantly to get hold of the opportunity before it escapes.

Proper Timing

Ensure that whatever you do has to be time-bound. Even the movement in the prices is determined by time cycles. If you trade in proper time cycles, you

are assured of success in your business. If you become a good time watchman, you will be able to avoid many setbacks and limiting the risk of failure. You need to understand that even the prices are conscious. They may repeat themselves at whatever specific interval. Only you need to be conscious of the timings to enjoy that advantage.

Be a Great “Riskier”

Many people run to where everyone else is running to. As it has been anciently saying, that rivers follow routes that have the least resistance, so are the many who would want to venture into these businesses. Least do you know that where there is much competition, the gain is very minimal? Find a set up that is so scary because that exactly is the one you need to trade-in. You should never expect it to be so attractive until you make your profits out of it. If it gave you good returns, then it is evident that every Tommy and Jerry would trade it. Whatever begins with flowers at the end will give thorns. As anciently said that not all that glitters are gold. Whatever at first brings pain literally ends up in wonderful pleasure.

Always Be Outstanding in Your Operations

Always trade in a contrary manner to the crowds. Either ahead or behind but not on the same level. Do not go with excitements. You need to be able to walk in profits and the first to move out of them. You should be very vigilant to get hold of their finances before they grab yours. You should take advantage of other people's mistakes and get the most out of market fluctuations, learning over time not to make their own mistakes.

Don't Always Follow the Masses

Never give room for your competitors to don't let them understand your tricks or take advantage of your moments of difficulty. Don't be moved by most traders that entry in the same direction making the price of a stock move quickly. Masses can attract you, and by the time you decide to do the same, it may be too late for you. This may result in painful losses on your part as others are enjoying the profits of the trade.

Take Care of Inevitable as You Seek for Rewards

You need to be every vigilant by approaching with market trading. You shouldn't revolve your attention around profits but on an efficient method of work. First, concentration on loss management is an important starting point

and is a clear indication of awareness. So, you need to be so keen on that. Do not concentrate so much on getting back your money, concentrate on the game and the gimmicks.

Losses Pose Warnings Before They Occur

Whenever you get a loss, no one should carry your cross other than yourself. Perhaps there were indicators to the same, but you decided to hold on based on assumptions. If you move in this trend, you may absorb a lot of pain of losing before you admit the fact.

Indiscipline the Key to Failure

You may have all the necessary knowledge concerning the trade, but you should not lack discipline. Your failure is at hand. It has been said once and again that discipline is the key to success. This is very true. Discipline is the driving force and power towards the achievement of great and smart returns, not just returns. Listen to your inner man. It could be a small voice speaking to you softly, yet it is the determinant of your winning.

CHAPTER 31.

Swing Trading Financial Instruments

Being the most significant industry, some multiple securities or tools can be traded and used to plug in a significant quantity of profit from price changes. Forex plants up as the first trading tool or item for most traders who are just beginning to enter trading. This has to do with the comparatively simple retail forex trading.

Being an extremely leveraged commodity and having a decentralized market allows it simple for the ordinary Joe to move money and begin trading to a forex broker. However, you can trade many products when it comes to the financial markets.

Frequently, traders may have learned of ETFs, stocks, bonds, mutual funds, trading options, futures, among others. The reader will also know some of the factors considered in the quest for a financial instrument usable in swing trading.

Some of the most common trading instruments will be mentioned as well, with pointers on how people lose money and the amount needed to jump into the swing trading bandwagon.

What is a Financial Instrument to Trade?

A financial instrument is a monetary agreement that can be traded and resolved between two sides. The agreement reflects one party's asset (the customer) and the other party's economic liability (the vendor). An asset class relates to the type of commodities, stocks, derivatives, bonds, or Forex that a financial instrument used. Two classes of financial instruments can be divided: complex and non-complex.

Non-Complex: Complex financial instruments involve a thorough understanding to be effective when trading with traders. Derivatives are the most frequently traded complicated financial instruments. These may be CFDs, agreements for the future, and options. Various derivatives have distinct advantages. CFDs, for instance, are great for hedging. Since they are complicated economic tools, it is essential that traders get to know each derived product's nuances before beginning to trade them.

Complex: Without a great deal of expert expertise, non-complex financial instruments can be traded. They only need an initial investment in some instances, and then someone else, like a fund manager, makes investments on your behalf. Non-complex financial instruments include securities or equity, debt securities and certain kinds of investment funds. Equity securities apply to commercial stocks, while debt securities relate to commercial and government bonds. Debt bonds can also apply to desired inventory and bonds types—such as collateralized equity commitments. Hedge funds and mutual funds are included in the investment funds. These are all tools that allow shareholders to distribute their cash under a fund manager professional: the fund manager. Typically, on behalf of shareholders, the fund manager will create equity choices.

Financial Instruments

Forex

The industry speaks for an ordinary weekly quantity of over \$4 trillion. Due to their comparative stabilization, Forex tools are some of the finest to trade-in portion. The reality that these tools are accessible 24 hours a day also leaves them perfect for trade. One can use many economic tools.

As much as retail forex traders often use foreign currency alternatives as an instrument for hedging, companies are more inclined to use alternatives, swaps, and other more complex derivatives to satisfy their specific hedging requirements. Spot operations, futures, stocks, swaps and forwards are some of the popular financial instruments used in Forex.

Stock Index

The stock index reflects the importance of a set of one-nation stocks and demonstrates that specific stock index's general, present, and historical

efficiency. Economists, leaders, and commentators can use stock indices to know the performance of financial markets and businesses in those sectors. The index contains certain fee stocks taking into account the inventory of the biggest U.S. firms. It is an optimal financial instrument because the index speaks for about a third of the worth of the full U.S. stock market. High liquidity rates, as well as volatility, imply that it can be easily traced.

The Three Major Stock Indices

Worldwide stock market indexes are strong indices for markets that are international and country specific. In the United States, the press and shareholders' three most widely accepted indexes are the S&P 500, Dow Jones Industrial Average, and Nasdaq Composite.

- Dow Jones Industrial Average

The second oldest and best-known stock market index is the Dow Jones Industrial Average (DJIA). Its ownership is by Dow Jones & Company and controls the weekly cost motions on the NASDAQ and the New York Stock Exchange of 30 major American businesses. It is commonly regarded as a proxy for the overall circumstances of the market and even for the U.S. economy itself. Today, the parts of the DJIA are selected from all main economic sectors, except the transport and utility industries.

- NASDAQ Index

NASDAQ Composite Index is an inventory of all stocks traded on the NASDAQ stock exchange, weighted by market capitalization. Most shareholders understand the NASDAQ is the basis on which stocks of technology are traded. Hearing the finishing cost of the Nasdaq Composite Index published in the financial press or as the portion of the afternoon media is very prevalent because it is such a broad business stock.

- S&P 500

S&P 500 is a stock market index that monitors 500 big-cap U.S. corporations' shares. It reflects the efficiency of the stock market by recording the hazards and yields of the largest firms. Investors use it as the general industry benchmark, which is likened to all other assets. The S&P 500 monitors in its

ranking the company's business capitalization. Market cap is the complete valuation of all inventory holdings published by a business. It is calculated by multiplying the stock price amount of stocks sold.

Equities

Other exceptional financial instruments are individual equities. Volatility and trading volumes giving traders the opportunity to benefit from the slightest movements in prices. The stock ratings of the analyst also affect the price of the share in one way or another. Analysts perform in-depth business analysis and therefore provide insight to traders on how they should trade. Industry news has the tendency to affect the price of individual stocks with a domino effect.

Commodities

Commodities in the form of gold, crude oil and silver pave the way for individuals to trade the market. As a financial instrument, commodities are a means of method provision if one wishes to diversify from stock indices and equities. Delivery and request powers force rates on the commodities market. In this situation, a reduced supply on a specified commodity would lead to greater rates most of the moment, particularly on heavy demand.

Bonds

Exchange-Traded Funds (ETFs), also known as bonds, are investment funds aimed at tracking the efficiency of indicators, commodities or bonds in the industry in question. Some traders purchase ETFs instead of trading equities or indices as they create a trade like stocks. ETFs can be purchased and marginally distributed (as their value fluctuates), throughout a meeting of trading. They also provide higher diversification, and since they monitor only the efficiency of the fundamental indicators, there is a decreased danger. Government treasuries serve as one of the best financial instruments given their safety net when it comes to exposure to risks. When it goes to yields as treasuries also recognized as bonds, no other financial instrument arrives with a promise. For this purpose, as some of the finest equity instruments for income-focused companies, they have persisted in bearing the trial of moments.

CHAPTER 32.

Guide to Start Swing Trading from Zero

This step-by-step approach will help you right from the very beginning of your first trade all the way through to the end, helping you with everything along the way. Use this strategy for your first several trades as you get used to trading, and that you do not stray too far away from it. As you do, make sure that you are taking notes on how everything has worked for you so that you can start to see why these steps are necessary and how they contribute to you creating a strong trade deal. This way, you know exactly what is working for you and what is not working for you.

Select an Asset

The very first step that you need to take before you make a trade is to decide what asset you are going to be trading. You want to make sure that you pick an asset that is going to help you earn the best possible profit, so I advise that you either start with ETFs or options to begin with so that you are trading something that is simple and low risk. Generally, swing traders will have several assets that they pay attention to, thus they can increase their chances of finding the best possible trades. While you look through assets, the best way to pick the right market is to look for one where it is due for a correction. In other words, look for one that has been on the uptrend or downtrend consistently for a longer period, as these are the ones that are more likely to swing back in the opposite direction soon. By watching them, you can prepare yourself to get in when the market swings in favor of where you want to be, allowing you to make the best entry for that trade.

To validate that the asset you are looking at is sitting in the right general area for getting into a new trade, you want to look for the relative strength index (RSI) rating being over 70 if you are going to sell your stocks, and it should

be under 30 if you are going to buy. This way, you are buying when the market is lingering at either peak, which will maximize your ability to earn a strong return from your trade. If the RSI is anywhere between 30-70, you are not buying at an optimal time and you are not going to gain as much profit from that trade. While it might not be a bad trade, it is unlikely to offer you as much growth potential as another trade may be able to.

Choose Your Direction

After you have identified the best marketplace for you to consider getting in on, you need to choose the direction of the market based on what your current position is. If you are brand new in the market, you are in a position where you will need to buy into some stocks, so you must sure that you are tracking for stocks that are about to go on the uptrend, and not stocks that are about to go on the downtrend. If you want to sell some of your stocks, you must track those that are about to go on the downtrend so that you can maximize your profits before the market swings in the opposite direction. When you have decided what direction, you need that said stock to go in for you to enter that market, you need to start tracking that stock to validate that it is going in the right direction. Ideally, your technical analysis should have proven this, so now you just need to pause for a day or two to watch it and make sure that it is going in the right direction.

Time Your Entry

By now, you should have a strong understanding as to what is going on in your chosen stock and where the market is going. All you must do now is time your entry so that you can get into the market at the best possible price to maximize your profitability. Timing your entry will take some practice, as it is partly done through research and partly done through instinct, which is exactly why you are not always going to pick the best entry period. You can do your best and maximize your profits this way, and over time you will find that you get better at it.

You might notice that swings regularly bring the market up and down over time, which may make you wonder what the importance is when it comes to selling your stocks during swing position highs. Regarding swing trading, the answer is simple: your goal is always to make as much profit as possible, which means that you always want to buy low and sell high as quick as possible. While you could simply wait out a few swings, this will cost you a

lot of time and may not earn you the best profit back on your return. Rather than waiting it out, you can conduct multiple high-value trades, which will earn you more profit in a shorter period, making it far more worth it than waiting out multiple swings in the market.

Execute Your Trade

After you have timed your entry, you need to execute your trade. There are a few steps involved in executing your trade, and you need to make sure that you execute properly every single time so that you can reach your target profits without exposing yourself to unnecessary risk. The first thing you need to do when you execute your trade is to set your trade up. You will go into your trade platform and input the lot that you want to purchase and prepare to make the purchase. To do so, you want to set up your stop loss point and your target profit points into the trade immediately so that you are hedged against any possible risks.

Remember that stop losses and profit targets will act automatically, so set them at a point that feels more comfortable for you. Early on, you might want to set very conservative or modest stop losses and profit targets so that you can get the hang of what you are doing. Personally, my margins used to be much smaller as I wanted to make sure that I was reaching the best possible success with each trade and I was not yet confident enough to set myself up for larger windows of opportunity. Every stop loss should be set at a point where it gives the market enough room to fluctuate but protects you from an actual consistent downtrend in the market. As you look at the market, you will notice that it sometimes goes down one or two ticks before going back up again.

Setting your stop loss slightly lower ensures that you do not prematurely sell your stocks when a market was just fluctuating, which could cost you significantly in the long run. Ideally, you should set your stop loss just below the swing position lows so that you can endure small swings in the market without selling prematurely.

Manage Your Position

As soon as your trade goes live, you are going to need to start managing your position. This is largely where you want to have an attitude of set it and forget it, but you still want to make sure that you are doing your due research so that you can monitor the market and keep up to date with what is going on

with your trades.

Fortunately, with swing trading, there is not much more that you are going to need to do other than keep an eye on it.

Made some trade deals where it took far too long for me to reach my profit target, and the market was not going into a downtrend, so I also never hit my stop loss. In other words, the trade could have continued for a significant period before it ever automatically closed itself out. Leave those trade deals alone and let them continue to percolate. Sell stocks around the 2-3 weeks mark, especially if it does not appear that the market is progressing very quickly for that stock.

Research Your Next Spot

As you are doing research to monitor how your existing trades are going, you can also be looking out for what your next position is going to be in the market. At this point, you can pay attention to the asset you have already invested in to find similar neighboring opportunities, or you can look at a different asset entirely.

If you are new to trading, staying around the same asset and industry market as this will make doing your research much easier.

Start researching on the next position the same day or within 1-2 days after starting a new trade, as this gives you plenty of time to properly calculate the next move. Because you are trading so frequently with swing trading, it is a good idea to start calculating your next move as soon as possible as well to make sure that as soon as you close out one trade you are ready to get started in another. Starting this early, however, can result in you finding positions that are not necessarily going to be great positions by the time your existing trades are up.

Sell Your Stocks

The final step in trading your stocks is to go ahead and sell your stocks. If you have a profit target in place and your profit target is reached, this will happen automatically and you will receive the money from your sale, including profits, into the “wallet” in your chosen platform. Likewise, if the stock hits your stop-loss price, you will receive the money from your sale into that same wallet, although it will be less than you invested as you will have taken a loss on it.

If you choose to manually sell your stocks for any given reason, it is quite simple. You will simply open your trade on your platform and choose to sell part or all your stocks so that you can close the trade out.

This way, you can receive whatever profits you have earned and move on to your next trade. Again, the money will show up in your platforms “wallet” once you have sold your stocks and would only recommend manually selling your stocks if the process is dragging on and you are not earning your desired profit in a reasonable timeframe.

Start Over Again

As soon as you sell your stocks, you are ready to begin your next investment. Remember: you are only keeping a percentage of the profits from your trade, so the initial capital that you invested should remain intact and should be placed into future investments.

The background of the image is a close-up, slightly blurred photograph of US dollar bills. A \$100 bill is prominent in the upper left, tied with a red rubber band. Other bills of various denominations are scattered across the surface. In the upper right corner, a portion of a silver calculator is visible. The text is overlaid on a semi-transparent dark blue rectangular area in the center.

**It is not so
important to
buy at the
lowest
possible
price as to
buy at the
right time**

CHAPTER 33.

Bull vs. Bear Market

The stock market is a volatile year in year out. It can either go up or down. When the market is moving upwards, it is called the Bull market, and when it is going downwards, it is a Bear market. These markets were named from the way these animals attack. The bull market was named after the bull because the bull shoves its horns upwards in the air while the bear market was named according to the way the bear trudges its paws downwards when attacking its prey. In a Bull market, we have a smooth economy; life is better, and there is a rise in job creations. In such a situation, it becomes easy to choose a stock. Optimistic investors have a bullish look. In a Bear market, the opposite happens; the economy is under recession, and the stocks are reducing their prices. It becomes difficult to select a stock to trade, making investors sell stocks to get money. A pessimistic investor is known to have a bearish look, but most traders expect the situation to be impermanent, and the market will revive in a short while.

What is a Bull market?

A bull market is a market whereby there is a continuous increase in the securities because of positive macro-economic situations, improved situation in the company or industry. The term bull market is mostly used in stocks, but it can also be used in Forex, commodities, bonds, and many others. Because the law of demand and supply controls the market, the prices increase when the stock supply reduces, and the price reduces when the supply of stock increases. Let us look at some facts in this market.

Bull markets are led by positive hope, the confidence of the investor, and general buoyancy in the market. During the first stages, the market changes are determined by the investor's mindset and may not be influenced by

corporate earnings or any economic information. You will get a vast demand for call options in derivative markets. This is because the attitude in the market is positive and upbeat. It is a fact that Bull markets have a life cycle of four stages.

- The first stage is to change from the pessimistic attitude that was there because of the bearish market. In this stage, the prices are low, and the sentiment of the investor is frail.
- The second phase is where the stock prices begin to increase the prices slowly; the corporate earnings start to increase, and in general, trading starts increasing, and the economy starts to perform above normal levels.
- We come to the third phase, where the securities increase to new peaks and the market indexes as well. The trading in securities keeps on increasing, and the dividends reduce, signifying there is money in the market.
- In the fourth and final stage, trading is high along with IPO actions.

As you can see, this market gives you many opportunities to make money and increase the existing investments, but you should note that such situations are for a short period. It is also unfortunate that you cannot predict the exact timing of entering and exiting this market. With that said, it is upon the investor to know the right time to buy and sell to get the maximum profits at the right time. A good example of this market is the 1920's Long Bull Market; it was stimulated by prosperity and economy boom. It brought about consumerism in America, more leverage opportunities, and getting credit facilities became easier. This scenario was so positive that the purchase of stocks was made on borrowed money or margin.

What is a Bear market?

A bear market is when the security prices reduce in the market over a certain period. A bear market has a negative approach where security prices reduce or are expected to reduce soon. This is costly to the investors as they lose money due to the decrease in security prices, and it also reduces the investor's confidence. The causes of the bear market and its distinctiveness change depending on the cycles of the economy as well as the sentiments of the investors. The investor's sentiments are important in foreseeing the

security direction, and the period it will last. Let us look at some characteristics of a weak economy.

- The high rate of unemployment.
- Less liquidity in the hands of the citizens.
- Reducing profits in business.
- Availability of some new trading troughs and lows.
- Short selling.
- Extra-ordinary changes in different tax rates and government rates.

The bear market, just like the bull market, occurs in four phases as well. Let us look at these phases:

- In the first phase, the attitude of the investors is high, as well as the security prices, but despite all that, the investors are reaping maximum profits and leaving the market.
- The second phase is where the security prices reduce quickly. Corporate earnings and trading activities also reduce. In this phase, you will also find the indicators of positive economic are not working as expected. Investors' confidence reduces, which can create panic. The securities reduce to new trading lows, and the dividends increase. This shows that there is a deficit of money in the system.

In the third phase, we find the entry of market speculators as the volume and price of securities keep on increasing. In the fourth stage, we get a further reduction of the security prices but at a reduced pace. In trading, this point is the lowest, and at this point, the investors start thinking that it is the end of the worse period.

A good example of this market is the 1929 market crash of the Wall Street market that followed a recession. During that time, investors were having a hard time getting out of the market as they incurred heavy losses. The investors kept selling the stocks to avoid making more losses, and this made the market get worse, and finally, it collapsed on the 29th of October the

same year. This brought about an economic depression that was called the great depression.

Bull markets have a reputation of lasting longer and yielding higher returns than bear markets. Bear markets are short and volatile, and investors get a hard time exiting in time again and again. In most cases, when investors realize that they are in a bear market and start to worry about the negative effects of this market, it is usually the start of a bull market. What have the investors been doing in both markets in the past? In the bull market, they take advantage of the increasing stock prices by buying as they start to rise, and then they sell them later when the stocks have increased to the highest point. In this market, investors have been buying more securities because the probability of making profits is high. Conversely, making losses in the bear market has a high probability as the stocks are continually reducing in price. In the past, investors have been short selling or investing in fixed-income securities to avoid the risks of investing in a security that will only yield losses.

CHAPTER 34.

Elliot Wave Theory

Elliot Wave Theory is best suited for those who are more analytical in their way of thinking and have the best interests of their stocks at heart. Most of these theories were developed by famous and reputed mathematicians, and scientists and their use and effectiveness are dependent on an individual in every way. This is, therefore, not a campaign to use them in trading and doing so will only be solely dependent on an individual choice. Ralph Nelson Elliot developed this theory in the 1920s after analyzing a total of 75 years of stock data. In his quest to know more about the stock market behavior, he discovered this theory. It is used as a technical analysis method that improves the analysis of the stocks and how-to time trades. Nelson developed this theory based on the fact that financial markets tend to follow a trend that repeats on and on in movements he called waves. The different waves in this theory are:

- Corrective waves
- Grand super cycles
- Motive waves
- Three wave patterns
- Impulse waves
- Five wave patterns

What did most people think about trading at that time?

Nelson argued that these patterns always showed up governed by these factors. He called these patterns waves and stated that one could accurately predict the price movement of the stock. Let us get into how to use it for the

sole profit of trading. This theory is mainly used to help find order in the most chaotic world of the markets. By tracking and analyzing the movement patterns of stocks, traders are able to make the most of the downswings and upswings in the stock market.

According to Ralph Nelson Elliot, prices in a trending market move in a 5-3 pattern. This then has two types of waves:

- Impulse waves move according to the main trend.
- Corrective waves are those that move in against the trend.

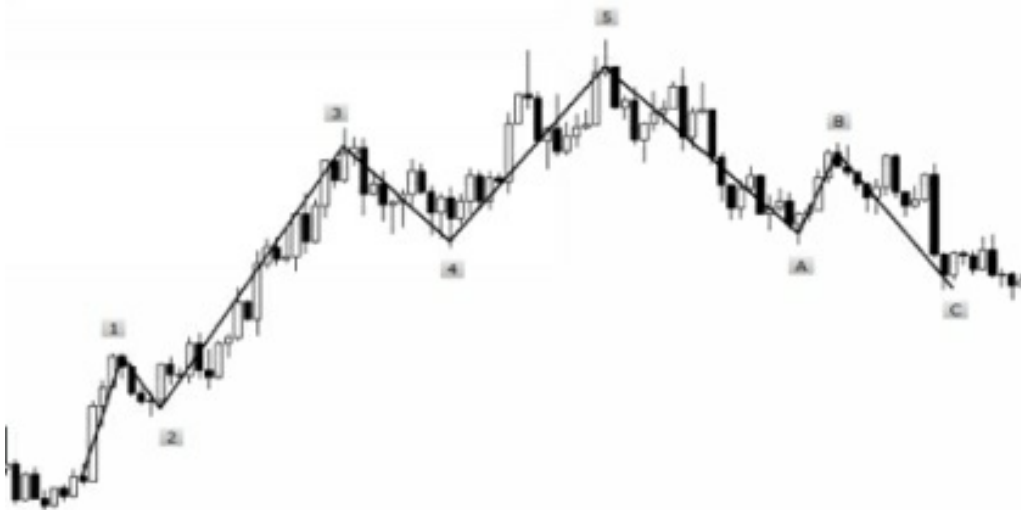


FIG31. Elliot Wave Theory - Example

The basic 5 Elliot Wave pattern consists of 5 points in a graph. Waves 1 to 3 are the impulse waves, while waves 3 and 4 serve as corrective waves.

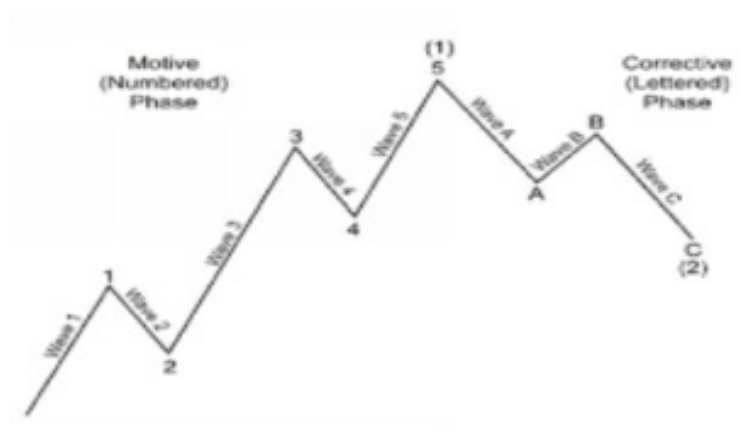


FIG32. Elliot Wave Theory - chart

What comes after the five-wave sequence?

This is where the price goes into what is called a corrective wave sequence. Simply, the price pattern is likely to change the trend direction from the five-wave sequence. If you were following a trend that accumulated in its price by the 5th wave, then expect the trend to shift significantly and start depreciating in price. The downtrend is in the next three-wave pattern of the sequence. The three-wave pattern is the corrective wave sequence that helps in the appreciation of the stock trend. The five-wave pattern, together with the three-wave pattern, form a complete Elliot wave cycle that is inclusive of all eight wave patterns. These wave patterns are divided into those two categories to identify the patterns of the stocks easily. The five-wave sequence represents the impulse phase, while the corrective wave is represented by the additional three-wave pattern.



FIG33. Elliot Wave Theory – Grand Super Cycle

This theory has no proven advantages over other forms of trading; however, there are no records of it not working. The traders that use it claim that it is better for the prediction of stock performance and in this way have every right to defend their stand.

CONCLUSION PART 1

Swing trading is extremely popular because it is administered on higher time-frame charts, which allows a trader to trade the markets, hold down employment, study, or do other things with their time. It may also be accustomed to capture the big intraday moves for the traders who are looking to trade within the sessions and don't want to carry trades overnight or for extended periods.

This is only one trading strategy of the many traders who can have their toolbox. Before deciding if it's for you, confirm your test and excellent it on a demo trading account. Swing trading is a style suitable for volatile markets, and it also suggests frequent trading chances.

Though the trader will need to capitalize a reasonable amount of time into observing the market with swing trading, the supplies are not as difficult as trading styles with smaller time frames, such as day trading or scalping. In calculation, even if you give favor to day trade or scalping, swing trading will offer you few diversifications in your outcomes as well as additional profits. It is said that swing trading is not for all traders, so it is best to practice it with risk-free first with a demo trading account.

A trader should be disciplined and rigorous to start day trading. Sometimes you can pass before you realize you're not strictly following your initial strategy. This will trouble the victory rate of the strategy and breaks the odds. An honest thanks to tackling discipline issues is to jot down the precise rules of your strategy and stick the note to your monitor to always be ahead of you during trading sessions.

You must get familiar with anything that can happen to you in every trade. When you get extra established, it gets easier, and a few progressive day trading apps will also spontaneously calculate everything for you. Online

trading is one of the most searched words on Google by those who plan to start making money from the financial markets.

The doubts are various. There is the hope of earning easy money and solving all economic problems in a short time, and there is also the fear of losing everything due to some scam. These doubts and misconceptions arise from the fact that most people who dream of trading do not know what it is. For many, it is only a vague hope of earning something that generates easy money that they have heard about from some relative or friend. Online trading can be an extremely profitable activity if you have a basic preparation and, above all, to use serious platforms.

Those who start trading binary options for the first time may find themselves displaced by the need to use strategies to earn. The basic idea is that a trading strategy is extremely complex and elaborate.

Strategies can be complex, but they can also be simple. Never use complex strategies if you are at the beginning of a trader's career. We strongly recommend that you do only the things you can understand. An alternative solution, perfect for those who don't know anything about finance, is constituted by trading signals.

Thanks to these signals, it is possible to copy, in an automatic way, the operations made by expert traders. In this way, it is possible to immediately get some profits even if it is evident that everything depends on the initial choice that is made.

Dave R. W. Graham

PART 2:

DAY TRADING STRATEGIES

INTRODUCTION PART 2

All over the world, stock markets open in the morning. Those day traders who think they can start trading while munching on their breakfast, with no preparation, are among those who make losses. All businesses open in the morning. No successful businessman just gets up, yawns, and starts his business activities. Successful professionals arrive in their office with a clear idea of how they will tackle the work and related challenges. Likewise, to succeed in day trading, one must prepare beforehand. These preparations include many aspects, such as mental, physical, emotional, and financial. Professional traders have clear advice for day traders: never trade if you are tired or stressed, never trade if you are feeling highly emotional, and trade with clear money management concepts. Day trading is a sophisticated business activity, where people try to earn money by using their intelligence.

Therefore, physical or emotional stress can cause harm to your trading business. You will not be able to make rational decisions if you are tired or feeling stressed. Before you start the day's trading, you should be physically, mentally, and emotionally alert. A good night's sleep is necessary for traders to tackle the roller coaster ride of stock markets. Here are a few steps that will help you prepare for day trading with a cool temperament and calm mind. Before going to sleep, keep your trading plan ready. Check the stock chart, make notes on the chart what big patterns the price created in the previous session. Note down the important support and resistance levels. Then mentally go over this chart and imagine how you will trade in the next session in different trend conditions.

Do not spend too much time watching the news about stock markets or anything else. Watching the news may create doubts in your mind about stock trends and influence your decision-making power for the next session. If possible, do some breathing exercises or meditation before going to sleep,

which will sharpen your focusing power and reduce stress.

Also, prepare your money-plans for the next trading session. How much will you invest? What will be your loss tolerance level? And what will be your profit booking point? During the trading hours, these decisions must be made in a split second, and if you are already prepared, you will not hesitate to make the right decision. These will also help you set your goals for intraday trading. Just stick to your goals and you will not face any decision-making problems during the trading hours.

The final stage of your preparation will be an hour before the markets open in the morning. This is the time when you check the news reports about the business and financial world, and the economic calendar. By doing so, you will know what events could influence that day's trading pattern in the stock market. You can also check how the world markets are trading in that session. Sometimes all markets trade in one direction, which will be beneficial to know before your local stock markets open.

In day trading, financial instruments are bought and sold within the same session. Sometimes more than once through the same day. To be successful in this endeavor, traders need to know where the price might make important moves. Technical charts are very helpful tools in deciphering this price moment. Anybody involved in stock trading relies heavily on stock charts, which is why successful traders always create their trading plans before making any trading decisions.

Day trading is a demanding profession and requires significant time. Any market session runs for at least 6 hours a day, and you will have to spend that much time watching and observing markets, even if not reading. Apart from trading hours, a day trader needs to research, create trading plans, and keep learning new things. All these require time and effort.

Therefore, to succeed in day trading, you will need to manage your time effectively. Usually, people want to adopt a day trading career so they will have working flexibility. This means freedom from getting up early and rushing to get caught in the morning traffic, freedom from having a boss, and of course, financial freedom. Nothing comes easy in this world. A dream life also requires putting in lots of effort. Many day traders find it difficult to complete their trading routines, such as after-hours research and planning.

Part-time traders who are already busy with some other work also struggle to prepare for day trading in their spare time.

CHAPTER 1.

What is Day Trading?

Day trading is the demonstration of trading on the stock market during the day. Foreign countries are locked in with the exchange to publicize also.

When we are hitting the sack, those nations that are awakening imply that there is a different side to the market that numerous individuals don't consider. In any case, for the time being, how about we worry about the nuts and bolts.

The key point of convergence of day trading is to purchase and offer a stock inside one day to make a benefit. This isn't the main technique for trading. Many day traders are doing this now with the internet. Internet trading is the same thing as trading in person. You get the same stocks, at the same prices, at the same time. That is why many people are moving out of the stock market and onto the internet.

This is especially useful in day trading because it executes your purchases and sales instantly. When you are dealing with stocks that are moving fractions of a point, being able to complete a transaction immediately is extremely important. There are many places that you can get information to help you find the answer to what is day trading. Online sources can offer you a wealth of information. There are also trade schools that can help you get started. Many schools provide seminars. Some schools even offer all-day lessons that can get you caught up on all the latest stock market news, techniques, and trends.

If you should be a compelling seller, you need to get data about the market. The more information you have, the better your chances are to acquire money. It is a very complicated market, and you need to be tuned to the current market trends. Staying informed can help you when it comes time to

make decisions about your stocks. Day trading can be a very lucrative activity if you know how to do it right. Why day trade? Is it worth the effort? Day exchanging offers the way to financial opportunity.

You shouldn't be incredibly keen to be successful in day exchanging. The best day traders are the individuals who have iron-resolve and robust order. Intelligence is unquestionably invited yet isn't a fundamental basis for progress. I was never the top in my group and consistently scratched through my tests. Exchanging takes an alternate way to deal with bring in money. The period considered is short from a couple of moments to hours to days, weeks, or perhaps a month. Day exchanging alludes to carefully transferring inside the day. This implies you don't hold positions for the time being. For example: if you buy at 10:00 (EST), you need to sell before 16:15(EST) when the market closes.

There are no standards against holding, for the time being, nevertheless, the hazard is limited if exchanging is carefully confined to inside the day. The market regularly moves in response to the news when exchanges are shut. Stocks generally don't have a lot of liquidity and trade on light volume secondary selling hours. Envision what might befall your long position when there is a sudden tropical storm strike when the market is shut. The market will drop, yet you probably won't have the option to sell at a sensible price because of low volume. Whatever losses and rewards are exacting during market hours when there is enough volume to trade.

Trading in Stocks

The thought of trading in stocks scares away many investors. Individuals who have never traded are terrified by the fact that one can easily lose money with wrong decisions. The reality is, stock trading is a risky activity. However, when approached with the right market knowledge, it is an efficient way of building your net worth.

It is a financial instrument which amounts to ownership in a company. When an individual purchases a stock or shares, it means that they own a portion or fraction of the company. For instance, say a trader owns 10,000 shares in a company with 100,000 shares. This would mean that the individual has 10% ownership of the stakes. The buyer of such shares is identified as a shareholder. Therefore, the more shares one owns, the larger the proportion of the company which they own. Every time the value of the company shares

rise, your share value will also rise. Similarly, if the value falls, your share value also declines. When a company makes a profit, the shareholders are also bestowed with the profits in the form of dividends.

Preferred stock and common stock are the two main types of stocks you should be aware of. The difference that lies between these stocks is that with common stocks, it carries voting rights. This means that a shareholder influences company meetings. Hence, they can have a say in company meetings where the board of directors is elected. On the other hand, preferred shares lack voting rights. However, they are identified as "preferred" shares or stocks because of their preference over common stocks.

If a company goes through liquidation, shareholders with preferred shares will be preferred to receive assets or dividends.

Trading in Forex

Most traders would argue that trading in the forex is quite complicated. However, it's not. Just like any other form of trading, you must stick to the basic rules. In this case, you need to buy when the market is rising and ensure you sell when the market is dropping.

Trading in forex involves the process of trading in currencies. In simpler terms, a trader exchanges currency for others based on certain agreed rates. If you have traveled to foreign countries and exchanged your currency against their local currencies, you should understand how trading in forex works.

At first, it could seem confusing to choose the best currencies, but a trader should simply go for major currencies. Some of the frequently traded currencies include the U.S. dollar, Japanese Yen, European Union Euro, Australian dollar, Canadian dollar, and Swiss franc. An important thing you ought to understand about forex trading is that you need to trade in pairs.

This means that when you are buying one currency, you should do this while simultaneously selling another. If you do some digging, you will notice that currencies are quoted in pairs, i.e., USD/JPY or EUR/USD. Below is an image showing how currencies are quoted in pairs.

Trading in Futures

Most traders prefer to trade in futures due to their associated advantages. Trading in futures is quite flexible and diverse. The good news is that a trader

can employ almost any methodology to trade. Some traders shy away from this form of trading due to their limited knowledge about futures. Also, others are discouraged from trading in futures because they think that it is difficult.

Well, to some extent, this is true. Comparing trading in futures to trading in stocks, the former is very risky.

There are different forms of futures contracts, including currencies, energies, interest rates, metals, food sector futures, and agricultural futures. The best futures contracts you will find in the market are briefly in the following lines:

- **S&P 500 E-mini:** Most traders will fancy the idea of trading in the S&P 500 E-mini because of its high liquidity aspect. It also appeals to most investors because of its low day trading margins. You can conveniently trade in S&P 500 E-mini around the clock, not to mention that you will also benefit from its technical analysis aspect. Essentially, the S&P 500 E-mini is a friendly contract since you can easily predict its price patterns.
- **10 Year T-Notes:** 10 Year T-Notes is also ranked as one of the best contracts to trade-in. Considering its sweet maturity aspect, most traders would not hesitate to trade in this futures contract. There are low margin requirements that a trader will have to meet when trading in 10 Year T-Notes.
- **Crude Oil:** Crude oil also stands as one of the most popular commodities in futures trading. It is an exciting market because of its high daily trading volume of about 800k. Its high volatility also makes the market highly lucrative.
- **Gold:** This is yet another notable futures contract. It might be expensive to trade in gold, however, it is a great hedging choice more so in poor market conditions.
- **Trading in Stock Options:** Trading in stock options is almost like trading in futures. Here, a trader also buys stocks at a pre-established price and later sells when prices rise.
- **Capital Requirements:** Stock options trading also affected by the Pattern Day Trading Rule. This means that your minimum capital requirements will be \$25,000. If you engage in more than four trades in a week, you should have about \$30,000 in your trading account.
- **Leverage:** Since there are many options to choose from, leverage

will vary. The exciting aspect of stock options is that they have high leverage amounts.

- **Liquidity:** Regarding liquidity, stock options are not that liquid. A keen eye on this market reveals that a few options are traded regularly. The low volume of trades is affected by the many options that traders can choose from. Fortunately, stock options are rarely manipulated by the market. Their values are not influenced by supply and demand.
- **Volatility:** Stock options are highly volatile.

From the look of things, stock options have similar pros and cons, like trading in stocks. Most new traders will shy away from this form of day trading due to its high capital demands. Its high volatility could be scary to most investors as it makes the market to be unpredictable.

This makes this form of trading to be very risky. Therefore, it is not recommended for new traders.

The background image shows a portion of the New York Stock Exchange building, characterized by its classical architecture with tall, fluted columns. An American flag is visible on the left side, partially obscured by the text overlay. A street sign for 'WALL ST' is visible on the right, with '22-51' above it. A street lamp is in the foreground at the bottom.

In this
business, if
you are good,
you are right
six times out
of ten. You're
never right
nine times out
of ten.

CHAPTER 2.

Pros and Cons of Day Trading

Pros

- **You want to earn profits at the end of the day:** The idea that it is a “get rich quick” scheme may be part truth since you do get to earn a profit after the market closes. For example: let us pretend that you invested \$100 for 100 shares. The market fluctuation is in your favor, so when you sell it, you double your money, which means you now have revenue of \$2 per share—not too shabby, right?
- **You want to think less about your investments:** This is because once the market closes, your trading also ends. Whether you win or lose, that is left to your skill and fate. The main point is that you will not have to think about whether your stock value will fall the next day or whether US dollar is going to be strong in the following week. You think day by day, moment by moment.
- **You can build cash inflow and liquidity very quickly:** This can be related to the first point. Because you can earn revenues and profits by the end of the day, you can also boost your assets, which then means you can buy more securities and increase your chance of earning more money in a short period of time. I highly encourage that you diversify your portfolio even if they belong to the same class (e.g., class of stocks) to protect yourself in deep market fluctuations, which are not that common anyway.
- **You are better protected against market fluctuations:** Diversification can help shield you from deep fluctuations in the market. But here is something to be happy about: the likelihood that it is going to dip extremely low is very small. As expected, market prices can change very fast in a blink of an eye, but the movements

are often small.

- **You can be your own boss:** As a retail trader, you call the shots. You decide how much to invest, where to put your money, when to buy or sell, how much you like to earn, the securities you like to trade, etc.
- **You have help:** You may be a beginner, but the learning curve is not as difficult as it is with other securities or types of investing or trading. A variety of materials are available to make sure you do not have to trade blindly.

Cons

- **It requires a lot of time:** All types of work or endeavor needs it. Although there are specific hours of the day when you trade best, you still must be alert if the market stays open because you will never really know what is going to happen. Stock prices could plunge, which gives you the perfect moment to buy blue chips or those that you can't afford before. If the European forex session is bad, there is a good chance US session will suffer the same fate as well. It is almost the same scenario when we talk about other securities like bonds, hedge contracts, futures, or commodities. Let us not forget too that you would have to do your research after or in between trading.
- **It is risky:** To be honest, life is all about and related to risk. You are surrounded by it. When you cross the road or drive the car, you run the risk of meeting an accident. When you sleep, there is still a good chance you will never wake up! Have you heard of the term idiopathic? In science, it means a disease, or a condition that happens with no known or determined cause. It is simply saying it occurred just because it can.

The levels of risks we face daily, however, can vary. In the world of day trading, it can be on opposite ends, depending on how you trade and how much you put in. The bigger the money, the bigger the possible loss. The higher the returns, the higher the chance of falling hard. Losing is all part of the game. The problem comes in if you lose everything—that is a possibility, you know.

- **It can make you emotional:** You can blame it on pressure, sense of competition, pride, or whatever. Whether you like it or not, day trading can get to you, and in many days, it is not a pleasant activity to do.

The relationship between emotions and commerce is strong. Many studies have already shown that customers are more likely to buy items on impulse and buy products that capture their emotions. The theory or concept of scarcity to sell something is also based on emotion.

By instilling fear—the idea that if they do not act fast, they can no longer take advantage of the offer—is what has earned several businesspeople millions or even billions of dollars. You can, therefore, not avoid being emotional, whether it is positive or negative when you are trading. However, you should learn how to control it and/or decrease its influence and impact on your decisions.

It can make you complacent: These days, it is so easy to get confident or even cocky with day trading. After all, you have more tools and resources compared to many years ago. You even have auto programs that can do the trading for you just in case you want to have some ‘me time’ in the middle of the day. But complacency can be one of your biggest mistakes. As you relax, that is when you become least prepared for the uncertainties.

Your software can bog down, the analyses it provides you can be wrong, markets go down quickly without you knowing it—these things you could have resolved to minimize the effect on you only if you have paid attention and be more proactive or do your part.

- **There are fees:** A lot of people think that they can just trade for free. Of course, it does not work that way. You have different expenses and fees to pay, including commissions for every execution (e.g., buying or selling). And there are tax implications. You still must pay your taxes because you are getting some profit from the transaction. In fact, taxes are higher for short-term investments such as those of day trading than the ones held for a long time, which is at least a year. But the good news is there are caps set. Also, if you’re having a loss, you can write it off up to the amount of your capital gains.

CHAPTER 3.

Tips and Tricks Used for Day Trading

Day trading requires you to learn the tips and tricks for you to ace it. Many are the traders who fail to finish through day trading because they failed to follow on the few tips and tricks or had no idea of them. For you to be an expert in something, it is a prerequisite to be a beginner. Below are the few tips and tricks to employ in day trading for you to succeed.

Have a Plan with You

A trading plan is a set of policies that guides a trader on its activities. It is a necessary tool needed by all individuals. You always need to have a plan for everything you are working on. As a beginner in day trading, you also need to plan on how to do your trading.

A plan entails how, when, and why to do your day trading. It will guide you on what action to implement to attain a certain number of sales or even profits for your trading. A trading plan will alert you when you are on the wrong path, and you will be able to correct yourself so quickly before it is too late.

Make Use of Demo Accounts

Most day trading software normally provides mock accounts for their traders. You should take full advantage of them. Before getting into the real accounts, practice trading with the demo accounts, but they provide virtual cash. They also provide tools such as charts which you can read on the price fluctuations. Charts improve the performance of a trader a lot. Know the tricks in trading using these accounts and perfect your skills. After that, you can confidently create a real account with a broker and ace day trading.

Have a Routine for Day Trading

Have yourself a routine on how to do your trading. Routine is a set of scheduled activities for any individual. Evaluate your market trades effectively and efficiently and make sure they align with your trading plan. Scheduling yourself will make you organized, and you will be able to correct the mistakes that may arise.

Never Get Tired of Learning

Trading keeps evolving with time. As a trader, you should not be left behind. Be alert with all that is evolving. Do a lot of research, learn from articles and videos, and be alert with the trends in trading? Study on the price fluctuations to be up to date. Big losses and market risks will affect you when you stop learning. Though do not overwork yourself to research everything all at once. Go at your speed and have the basic knowledge on day trading.

Be Responsible

Responsibility and self-discipline are a must to succeed in day trading. What I mean by being responsible is by taking the correct actions on the mistakes that arise and learn from the mistakes. Never ignore the mistakes, or you will fail. Also, make sure that what you do is what is included in your trading plan. If it is still not working out, go back to your trading plan. Make changes to it and try again. By doing this, your day trading business will have no complications and issues.

Begin with Little Cash

Do not be so overexcited when starting day trading. Day trading involves lots of risks, and not being careful with trading risks can make you fail terribly. When starting day trading, begin with little cash. Using lots of cash as a beginner can contribute to huge risks to the business. Little and reliable cash guarantees you with good profits, unlike risking a lot of your money, and end up losing. Always remember this trick to succeed in day trading.

Shun Losses

Losses are everywhere. They can be a nuisance sometimes in business when they occur. Some manage to be cautious enough to beat these losses, but they end up just giving up for the faint-hearted. I do not want this to happen to you as a beginner in day trading. In day trading, you need to weigh and select the securities that are safe for you. If a market trade does not benefit you, leave it

and look for the one that is good for you. This will enable you to shun the losses in day trading.

Utilize Resources

You need to take advantage of the resources provided to you by the brokers. The resources can be research tools, and news feeds, tools for analysis, charting tools, and backtesting tools—select software with abundant tools for easier trading. Research as much as possible to be up to date.

Read and follow up the charts to have good data on the prices fluctuating in the market. Also, utilize the news. News will keep on updating you on the market changes in terms of the prices of the securities. Analyze the different markets with the tools provided. Weigh options and select the best market you can handle.

Have the Basics for Day Trading

The basics for day trading include a good Internet connection, a stable trading platform, a cheaper, and a legit broker and try your best and own a desktop or a laptop. Purchase for yourself a strong Internet, be it wired or wireless connection. This will promote fast and good quality trade executions. It will also save you a lot of time. Slow Internet will slow down your trade executions, and you will not be up to date on the market changes.

A trader is advised to have at least two desktops. You can have one laptop at the start if money is an issue but having two monitors is the most advised one. If one of the desktop crashes at crucial moments while trading, you would at least have a backup, and you will lose no profit. Having one monitor can be so risky and will affect your trading performance.

Trading platforms are essential for all-day traders. Select a trading platform which is of ease of use. Choose software with a friendly user interface since you spend your time mostly in here. Also, consider the cost and stability of the platform. Unstable trading platforms can crash down anytime, and you will lose all your profits and data.

Choosing platforms that are expensive for you to afford is a very bad idea. Select the software with the cost that you are comfortable with to avoid spending much than the profit. Also, select a trading platform with enough tools. The tools will ease the trading process and will increase your performance.

A day trading broker can be legit or fake. Know how to distinguish the two.

Be aware of the legit brokers and make a connection with them. Choose a legal broker with reliable software and less commission. Some brokers can be hard on you by charging a high commission on your trades.

You need to put your profits into consideration since the main aim of all businesses is to make a profit. Also, select a trading broker near you or within the same country so you can get assistance whenever you are in need.

Have a Schedule for Your Trades

As a beginner, you need to sit down and have a schedule for the time you will be day trading. Different markets have different times of trading. It depends on the type of trading you are working on. Here is a schedule for Forex, stock, and future types of trading.

For Forex traders, you can trade within 24 hours. Though the best time to trade in Forex markets is around 6.00 am and 5.00 pm GMT.

For the stock traders, the best time to trade comes in two ranges of time. You can decide to wake up early, and trade around 9.30 am—1.30 pm EST or around 1500hours-1600hours EST.

For futures traders, the appropriate time for your trade is around 8.30 am—11.00 pm EST.

So be aware of the best time to make your trades to grab the best opportunities. Do not just trade anytime you feel like it.

Set Your Entry Point

Identifying your entry and exit points is a crucial thing to consider as a beginner in day trading. An entry point is a trader's price to purchase or sell a market trade, whereas an exit point is its vice versa. A trader should ensure there is a big difference between an entry and an exit point to promote growth in trading.

Set Realistic Profits

Do not set high-profit targets, and you are just a beginner. Set reasonable profits that are realistic to achieve with little experience in trading. Focus on how to improve your trading skills and perfect them. Trading needs patience, so relax and do it the right way. Do not rush. Beginners who rush for bigger profits end up failing in trading.

Have a Strong Trust for Yourself

Trusting yourself is a crucial necessity for any trader. Trust the process you are facing, and all will be well. Do not over-read articles and watch too many videos, and you will lose hope during this journey. Have the one trading strategy you normally implement at your fingertips and do what you must do.

Learn from Experience

Losses are normal in businesses. Do not be a trader with a faint heart. When things do not turn out of what you expected, breathe in. Learn from the mistakes you made and improve next time. You will progress by learning from your mistakes. So, do it. Do not mind what others will tell you.

Be Calm

Do not panic or stress a lot when the stock market begins acting crazy. Be hopeful and courageous enough to handle it to be successful. Fear of failure should not be part of you. Do what you have scheduled yourself to do according to your trading plan, and all will be alright. Invest in other stuff in your life, do not focus too much on trading.

Take Control of Your Greed

Greed normally affects traders so much. For instance, you can make a trade of around \$30 and set your profit target at \$45. You, fortunately, hit this target at first trading. You then think of setting the target a bit higher to earn more, but unfortunately, you fail terribly for the second time, ending up making big losses.

My point here is that you need to be patient in trading. As time goes by, profits will increase. Set profit targets according to your trading plan and avoid losses.

Develop a Good Attitude

Day trading is not an easy thing. Many have lost hope and gave up on it, but you should not be part of them. Develop an amazingly positive and winning attitude that you will make it no matter what. Make sure to concentrate on what is to be done and what is according to your trading plan.

If you comply with these tips, day trading will not be tough for you.

CHAPTER 4.

Money and Risk Management

Day trading can be very profitable. It is probably the safest form of investment, as it is focusing on a limited number of positions, does not hold any positions overnight, and can enter and exit trades with utmost precision.

The scope of your trading position is directly proportional to the value of your portfolio. The key to day trading success is avoiding big losers. To avoid this bad habit, you only must risk a total of 1% of your portfolio in any operation. Most traders take this general rule and only put a stop loss of 1% and when to hit, they only take the loss. If you have traded around 1,000 days or more, you know full well that a 1% loss may occur. Therefore, to avoid receiving constant hits, you should allow yourself to make a 2% hit on your position, where the loss of dollars resulting from this operation will only represent 1% of the total value of your account.

Stops Are Not Meant to Be Hit

Trading is not a game of perfection and does not operate in the realm of gray. You need a stop-loss order for each trade, but it is safe. The moment you see that trading is wrong, come out with a little bump. Because in the end, the actual goal here is to see a small number of losses of 0.25% or 0.5%, while the winners are between 1% and 3%. This is how you will win this game. Again, the 2% stop-loss is for the unexpected sharp counter movement, and it is not your goal to reach this stop. You must know well before your stop is hit if you are in a bad trade.

Cash Trading

Day trading is a cash activity. The only loan you should use is with the

purchasing power of the day trading margin. Do not start or continue trading during the day if you need to get loans, credit, or use part of the pension to participate. Traders who operate with positive cash flow and use money management rules for day trading have a much higher success rate than traders starting in the red.

Tips for Managing Money for Day Trading:

- Have a maximum stop loss in dollars.
- Look for Trades with A Solid Risk/Reward Ratio.
- Don't Lower the Average.
- Take Breaks.
- Avoid High-Risk Trades.
- Stay in Your Niche.
- Avoid Revenge Trade.

Risk Management

All organizations face unexpected risks, be it natural calamities or those caused by people. For instance, loss of finances or a member of an organization getting injured. These events can cost your organization to lose a lot of money, which may, in return, make the company eternally close. It is, therefore, important for a company to ensure that one puts strategies that would help in curbing such cases. With risk plan management in your company, you are prepared for a disaster. This is because it will help you to minimize the risk and the cost you may incur. The risk plan will help you to set aside some amount of money so that it will protect your company in the future if stricken by disaster.

Risk management is a process of finding out the possible risk or disaster before it strikes. These give rooms for the owner of the company to organize his house by setting procedures of avoiding risk and reduce its ineffectiveness. An organization should have a realistic plan of the true level of risk evaluation. A risk management plan should be able to identify and able to deal with the risk. The plans don't need to be costly or should take more time for it to be implemented. Below is a risk management process.

Identifying Risk

You will identify risk by trying to look at it and finding what went wrong. There are many types of risks. They include the environmental risk and

authoritarian risk as well as lawful risk and sell and buying risk. If the organization has a risk management tool, it becomes easy.

This is because any information will be inserted into the system where it will be available when needed. The information will also be visible to all stakeholders. Being able to identify the risks that may be facing your company gives one a very positive experience. One can also bring the whole team in the company to take part, which will be of help since they will give useful ideas on ways of managing risks. It will also be able to bring everyone on board and they will give varied experience based on what they have handled. As an employer, you will simply ask everyone to identify the risk they have experienced. The process will promote communication and it will also boost the employee's confidence. They will also be able to learn from each other's experiences.

This is because the analysis will be from the management level of the company to the staff members of the company. Employers can use mind maps that can be used to visualize the possible risk of the plan. They will be useful in inspiring the team members to think outside the box.

After that, the management and the group's members will sit down and breakdown the structures to see clearly where risk might emerge. Once you have compiled all the possible issue creates a registered tool that will be used for following and observing all the risk in the plan. When you have all the data, it will be easy to manage the upcoming coercion.

Analyzing Risk

What will be the impact of the risk in our organization? Could it make us lose everything we have worked for? Once you have the problem at hand, it becomes very easy to deal with it. In this step, teamwork is also encouraged. Because the team will analyze all the risks and see which one is urgent in dealing with. Prioritizing the risk gives you the idea of how to deal with issues. You will pinpoint where the team should focus more. They should give workable solutions to each risk.

This will speed up the process of dealing with the risk. The determining factors will be time, financial loss, and the impact of the risk on the company. If each risk is scrutinized, it will unveil the common topics in the plan, and it will simplify the management procedure in the future.

When implementing a risk solution is important to map the risk in different credentials, strategies measures, and business progression. It means that the business will have a framework of which it will calculate the risk and make you know the risk they impose.

Controlling and Handling Risk

What can be done to prevent the risk from taking place? If we are already in that mess, how are we going to salvage it? The moment the risk has been identified, it becomes easy to administer medication. You will table your medication plan and dispatch it. You will start with the risk with the highest priority. Assign duties to the team members so that they can help you in dealing with the problem. For mitigation to be effective, you will need help from the team resources.

With time you will be having a database of the past plans. It will be easy to deal with others' risks because you will have the risk logs with you. You will not be practical rather than reacting to the advance for more treatment.

There are four major groupings. Transferring a risk means that the whole or part of the risk can be moved to a certain part, but some costs will be incurred. Avoiding a risk means that no activity will be carried out that will have risk. This may be the best way to deal with risks; for instance: not joining a business because you want to avoid losing an also it makes you avoid the possibility of making a profit. Regarding retaining a risk, there are two methods of retention: the self-insurance and captive insurance. Retention risk means the losses from the company or organization will be retained due to the decision from the business company.

Controlling risk can be done by either avoiding the risks or by controlling the loss from the organization. For risk management to be effective, it should ensure that all members of the organization are committed. All the policies and methods should be established. The staff should have clear roles and responsibilities and are very accountable. The teams should also have adequate resources and tools to be able to deal with the risk. If this is done, the benefits could be there will be saving of funds, point in time profits possessions populace and property. Having a safe and conducive environment for workers, visitors, and customers. There can also be a reduction in the legal liability and make an increase in the stability of the operations.

CHAPTER 5.

Day Trading Psychology

Trading in financial markets can be a bumpy road if you feel that your mental energy is no more and that you cannot focus on the markets anymore. Luckily, you can resolve this problem and start enjoying trading once again by improving your mindset. Some people opine that stock markets are generally immoral, but the fact is that stock markets are neither immoral nor moral. Stock markets lack emotions; that's why it is up to you how you perceive the stock market to behave. If you want to enter the business of the stock market for the long term and establish yourself as a full-time day trader, you must develop a specific mindset that aids you in observing the stock market from an unemotional point of view.

It is your mindset that will control your reactions to different transactions. It is your mindset that will help you define how you react to lost trades and big profits. Your mindset will define how you can stay calm during turbulent times and how you can avoid reacting based on emotions. A trader who is disciplined and who has a strong mindset will never let emotions meddle with his or her decisions regarding the stock market. The stock market is void of emotions, but the participants of the markets are usually full of them. This is the reason reading chart patterns and trends work so well when it comes to trading. They show us some well-known patterns that humans possess. That's how, as a trader, you can take advantage of the market psychology. What qualities they possess that make them different from the rest of the lot. The people who are earning on your money are humans just like you. They are a small bunch of traders who have found the secret of trading, which is nothing else but a trader's mindset. The term trading psychology refers to a specific state of mind that a trader usually has while he or she trades. If you don't

have the right mindset, the odds will likely be turned against you.

Shape up Your Trader's Mindset

Traders can reshape their mindset by acting in a calm and relaxed manner. If you have proper knowledge of the subject and you have kept in place proper risk management guidelines, you need not be concerned about your trades at all. If a trade hits the stop-loss level, it doesn't mean that the world has ended for you. Traders lose trades all the time. It happens to even professional traders who have years of experience. Professional traders whose bread and butter rely on trading stocks have a winning rate of 50%. Even at this rate, you can bag enough profits on your capital if you trade with the right mindset.

You should practice the habit of not taking a losing trade to heart. There is nothing personal in a lost trade, although the temptation to make it personal runs high. The thought may start spinning in your head that you have lost something you could have easily won, or you could have easily prevented. If you think like that; the need of the hour is to train your brain into thinking that markets tend to go upside and downside almost all the time. As a day trader, you should keep faith in the market analysis that you have already done. Markets are void of emotions and if you start succumbing to your emotions, you will not be able to compete with the traders who don't let their emotions meddle in their trading transactions over the day. Try to nurture a morning routine for a more relaxed trading session. Try to wake up earlier, do some workout or a yoga session, and then sit on your desk with a heart full of faith in the homework you have done for the day.

Learn

The education of the stock market is the key to success. It is one of the most important factors that play a key role in removing fear from your brain. This is what separates an average trader from a successful trader. Even if you have nurtured and developed the right mindset for trading, you cannot succeed until you have a solid knowledge base for the purpose. You must have a solid understanding of the reasons behind the price movements and market reactions. There are lots of concepts that are worth learning. However, you cannot learn them in a single session. You should make it a habit to internalize a concept daily so that your brain gets enough time to understand the slight nuances in the concept and to use the same during trading without

having to open a book. You also can prepare and keep notes in a small diary for reference. You also can enroll in trading courses to boost your knowledge about stock markets.

Psychological Issues

The biggest psychological issue that day traders may confront is the fear of being stopped out or the fear of posting a loss and exiting a position. It is almost a nightmare for day traders, and it weakens their nerves. The basic reason behind this behavior is that a trader is afraid of failure, and he feels as if he will not be able to bear the loss. His ego is well at stake. If you are getting out of a trade too early, you are losing profit if not capital. It becomes quite common for a trader to exit a position to relieve himself of anxiety and stress that an open position usually brings.

The biggest fear in this sense is the fear of reversal. Traders succumb to it once it grows to an unprecedented level. They need gratification and a sense of security that their capital is safe now. Some traders don't want to take responsibility for their trades. They cannot accept the fact that the market went in the opposite direction than they had accepted it to move. This kind of mindset fogs their brain and they try to create a reality that is aligned with their expectations. Sometimes traders enter the gambler's mindset. They fall prey to the euphoria of a bull market and get drowned in it by slipping into gambling. The gambler mindset always tells you to ignore the indicators of the market and compels you to indulge in compulsive trading even when the odds are against it. Trading becomes your addiction. You keep losing until your capital is wiped out. This is very dangerous, and it needs a check.

Create Discipline

Discipline is the key to success in day trading. The market is there to offer you a thick bundle of opportunities regarding trade. You get the opportunity to trade thousands of products and different currencies every second of the day, but not all seconds are destined to go in your favor.

There are just a few of them which can benefit you during the day. There is usually a five-second window that you need to exploit your trading opportunities. It doesn't mean that a single trade lasts for five seconds and it ends, but it means that a single trade spans over just five seconds of activity. Usually, one second is spent on placing an order. Then you must wait before you start an activity again. A few seconds are spent on placing stops and

targets on the order. This is how you complete the five seconds window.

Patience

Patience is also related to discipline. Trading demands patience, as you must wait for a considerable length of time after you place an order. Sometimes, the wait starts from the morning and ends just before the trading closes in the evening. Many traders can enter or exit the market at inopportune times, saying that their timing was off. When they run out of patience, they start jumping in or out of trades without a plan. Sometimes, they do that too soon and sometimes they do that too late, which lands them in grave trouble. Seasoned traders learn to wait over time, but new traders lose patience so soon. Trading demands that you wait with patience for the perfect entry and exit opportunities in the market. Wait until you see a trade signal and then act swiftly to grab the moment.

Emotional stability is the key to becoming a successful trader. It is unsatisfactory to see how little control people possess over their brains and their attention. You know a little about the processes that tend to shape your behavior in the world. The common weakness among human beings is that they cannot sit quietly in a place. They need some activity all the time, which engages their brain and body. If you learn to sit quietly for considerable lengths of time, the activity can teach you to see the stock markets as they are, to bear the pain, and to walk without a hint of regret. You need to sit, relax, and be quiet.

CHAPTER 6.

Risk-Reward Ratio

The risk/reward proportion denotes the forthcoming prize an investor can procure. For each dollar, the individual in question risks on a venture.

Numerous investors use hazard/reward proportions to look at the normal returns of speculation with the measure of hazard; they should attempt to procure these profits. Think about the accompanying model: a venture with a hazard reward proportion of 1:7 proposes that an investor is happy to chance \$1, for the possibility of winning \$7. Then again, a hazard/reward proportion of 1:3 signs that an investor ought to hope to contribute \$1, for the possibility of gaining \$3 on his speculation.

Traders regularly utilize this way to deal with a plan which exchanges to take, and the proportion is determined by partitioning the sum a trader stands to lose if the cost of an advantage moves a startling way (the hazard) by the measure of benefit the trader expects to have made when the position is shut (the Reward).

- The risk/reward proportion is used by traders to deal with their capital and danger of misfortune during trading.
- The proportion surveys the normal return and danger of a given exchange.
- A great risk reward proportion will, in general, be anything more prominent than 1 of every 3.

How the Risk/Reward Ratio Works

The hazard/reward proportion is frequently utilized as a measure when

trading singular stocks. The ideal hazard/reward proportion generally contrasts among different trading strategies. Some experimentation techniques are generally required to figure out which proportion is best for a given trading strategy, and numerous investors have a pre-indicated chance/reward proportion for their speculations.

By and large, market strategists locate the perfect risk/reward proportion for their ventures to be roughly 1:3, or three units of anticipated return for each one unit of extra hazard. Investors can oversee chance/reward more legitimately using stop-misfortune requests and subordinates, for example: put alternatives.

What Does the Risk/Reward Ratio Tell You?

The risk /reward proportion assists investors in dealing with their danger of losing money on exchanges. Regardless of whether a trader has some gainful exchanges; he will lose money after some time if his success rate is beneath half. The risk /reward proportion gauges the distinction between an exchange passage point to a stop-misfortune and a sell or take-benefit request. Looking at these two gives the proportion of benefit to misfortune, or compensation to chance.

Investors frequently use stop-misfortune orders when trading singular stocks to help limit misfortunes and legitimately deal with their speculations with a risk /reward center. A stop-misfortune request is a trading trigger set on a stock that computerizes the selling of the stock from a portfolio if the stock arrives at a predetermined low.

Investors can naturally set stop-misfortune arranges through money market funds, and ordinarily don't require extreme extra trading costs.

Case of the Risk/Reward Ratio Being Used

Think about this model: A trader buys 100 portions of XYZ Company at \$20 and submits a stop-misfortune request at \$15 to guarantee that misfortunes won't surpass \$500.

Additionally, expect that this trader accepts that the cost of XYZ will reach \$30 in the following hardly any months. Right now, the trader is happy to chance \$5 per offer to make a normal return of \$10 per share subsequent to shutting the position. Since the trader stands to make twofold the sum that

she has gambled, she would be said to have a 1:2 hazard/reward proportion on that specific exchange. Subsidiaries agreements, for example put contracts, which give their proprietors the option to sell the fundamental resource at a predefined cost, can be utilized to comparable impact. If a progressive preservationist investor looks for a 1:5 hazard/reward proportion for a predetermined venture (five units of anticipated return for each extra unit of hazard), at that point, he can utilize the stop-misfortune request to modify the risk/reward proportion.

Right now, the trading model noted above, and if an investor has a 1:5 risk/reward proportion required for his speculation, he will set the stop-misfortune request at \$18 rather than \$15—that is, he is more hazard disinclined.

The more you recognize the potential risks and, therefore, the sources of your potential return, the higher off you will be. Your risk is that you simply won't get the return you expect, and your reward is that you simply get fair compensation for the danger you're taking.

The riskier something is, the more frequently a loss will occur, and therefore the larger that loss is probably going to be. Playing in traffic is riskier than driving in traffic, and skydiving is riskier than gardening.

This does not mean that you simply can't have losses during a low-risk activity or big gains during a high-risk one. It just means with the low-risk game, losses are less likely to happen, and once they do, they're likely to be small.

Playing the zero-sum game

Many day trading strategies are zero-sum games, meaning that for each winner on a trade, there's a loser. It's very true in options markets. Of course, the person on the opposite side of the trade might not mind being a loser; she may have entered a trade to hedge (protect against a decline in) another investment and is happy to possess a little loss rather than a way larger one. The problem for you as each day trader is that a game has little flexibility. Every trade you create goes to win or lose, and your losses may exactly offset your winners. Beating the chances is even tougher when numerous traders are using computer algorithms. Backtesting and tracking are important for assessing your changing risk.

Getting rewarded for the risk you take

When you take risks, you expect to urge a return. That's fair enough, right? That return comes during a few different forms associated with the danger taken. Although you'll not really care how you get your return if you catch on, brooding about the breakdown of returns can assist you to believe your trading strategy and the way it works for you.

Opportunity Cost

The opportunity cost of your money is that the return you'll get doing something else. Is your choice day trading or staying at your current job? Your cost is your current salary and benefits. You'd hand over that cash if you quit to day trade. Is that the cost low enough that it's worth your while?

It's going to be. Simply because taking advantage of a chance carries a price doesn't suggest that the chance isn't worthwhile. Once you trade, you would like to hide your cost. Your cost is going to be different than someone else's, but if you recognize what that cost is up front, you will have a far better idea of whether your return is worth your risk. Here's differently to believe the cost. Once you make one trade, you hand over the chance to use that cash for an additional trade.

Meaning you simply want to trade if you recognize that the trade goes to figure out, more likely than not. That's why you would like to plan your trades and back test (run a simulation using your strategy and historic securities prices) and evaluate your performance. By doing this stuff, you recognize that you simply are trading for the proper reasons and not just out of boredom.

Risk-free Rate of Return and Therefore the Value of Cash

The value of cash changes over time. In most cases, this alteration is the result of inflation, which is the general increase in price levels in an economy. But the worth of cash also changes because you hand over the utilization of cash for a few periods of your time. That's why any investment or trading opportunity should include compensation for the value of your money.

In day trading, your returns from the value of cash are small, because you simply hold positions for a brief period of your time and shut them out overnight. Still, there's a whole component to the cash you create. That

smallest return is understood because of the risk-free rate of return.

That is what you demand abandoning the utilization of your money, albeit you recognize with certainty that you're going to get you're a refund. In practice, investors consider the risk-free rate of return because of the rate on U.S. government treasury bills, which are bonds that mature in but one year.

This rate is widely quoted within the Wall Street Journal and electronic price-quote systems. If you can't generate a return that's a minimum of adequate to the risk-free rate of return, you should not be trading because your return wouldn't be appropriate to the danger you are taking.

Risk-return Tradeoff

Economists say that there is no such thing as a gift. Whatever return you get, you get because you took some risk and gave up another opportunity for some time and money. Therein sense, there is no secret to creating money. It's all about work and risk.

This concept is understood because of the risk-reward tradeoff. The greater the potential reward, the greater the quantity of risk you're expected to require and thus, the greater potential you've got for loss. But if you understand the risks you are taking, you'll well find that they are worthwhile. That's why you've got to believe the risks and rewards up front.

CHAPTER 7.

Day Trading Strategies

The ABCD Pattern

This is a harmonic pattern that is used to derive the other patterns of trade. This pattern is made up of three swings that are made up of the AB and CD lines, also known as the legs. The line BC is known as the correction line. The lines AB and CD are almost of the same size. The AB-CD pattern uses a downtrend that indicates that the reversal will be upward. On the other hand, the bearish pattern uses the uptrend than indicates there will be a reversal downward at some point. When using this pattern for trading, you must know the direction of the trend and the movement of the market. There are three types of ABCD pattern: the classic ABCD pattern, the AB=CD pattern, and the ABCD extension.

When using this pattern, remember that one can only enter the trade when the price has reached point D. Therefore, it is important to study the chart at the lows and highs; you can use the zigzag indicator, which marks the swings on the chart. As you study the chart, watch the price that forms AB and BC. In a bullish trade ABCD, C should be at the lower side of A.

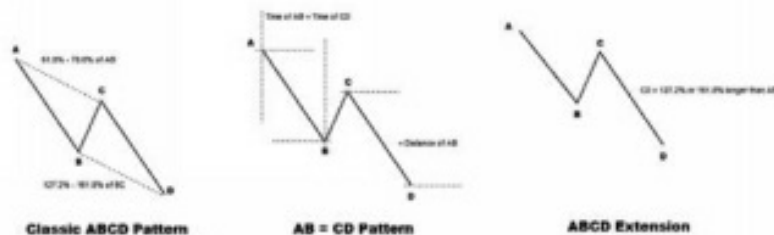


FIG34. ABCD Pattern

The point A, on the other hand, should be intermediate-high after B that is at a low point. D should be a new point that is lower than B. as mentioned earlier, the entry is at point D, but when the market reaches point D, you

should not be too quick to enter the trade, consider other techniques that would make sure that the reverse is up when it is a bullish trade, and down when it is a bearish trade.

Flag Momentum

In a trading market, there are times when things are good and the traders enjoy an upward trend, which gives a chart pattern that represents a bull flag pattern. It is named as such because when you look at the chart, it forms a pattern that resembles a flag on a pole. The trend in the market is an uptrend, and therefore the pattern is referred to as a bullish flag. The bull flag pattern is characterized by the following; when the stock makes a positive move with a relatively high volume, the pole is formed, when the stock consolidates on a lighter volume at the top, the flag is formed. The stock continues to move at a relatively high volume breaking through the consolidation pattern. The bull flag momentum is a trading strategy that can be used at any given time frame. When it is used to scalp the movements of price, the bull is used only on two instances of time frame: the second and the fifth minute time frames. The trading bull flags also work well when using daily charts to trade and can also be used effectively when swing trading. It is simple to trade, but it is challenging to look for the exact bull pattern. This problem can be solved using scanners that help to look for stocks on the upward trend and wait for them to be in a consolidation position at the top. The best and free scanners that can be used to locate bull flags are Finviz and ChartMill. There are tips that can be used to indicate a bull flag.

When there is an increase in stock volume that is influenced by news, and when the stock prices remain high, showing a clear pattern for a pullback. At this point, you can now check out when the prices break out above the consolidation pattern or on high volumes of stock. To make a move, place a stop order at the bottom of the consolidation.

At this point, the ratio of risk to reward is 2:1, and it is the best time to target. The strongest part of the pattern is the volume of the stock, and it is a good sign that there will be a major move and a successful breakout. On the trend, it is also good to look at the descending trend as it gives a sign on the next breakout. This can be seen in the trend line that is found on at the topmost of the flag.

When used well for trading, the bull flags are effective tools of the trade,

however, things can go wrong, and therefore one must be ready with an exit strategy. There are two strategies, one is placing a stop order at a point below the consolidation area, and the second method is using a moving average that is monitored for within 20 days.

Within the 20 days, if the price of the stock is below the moving average, then it is time to close out the position and try out other trading routes.



FIG35. Flag Momentum

Reversal Trading

Reversal trading, also known as a trend reversal pattern, is a trading strategy that indicates the end of a trend and the start of a new one. This pattern is formed when the price level of stock in the current trend has reached a maximum.

This pattern provides information on the possible change of trend and possible value of price movement. A pattern that is formed in the upwards trend signals that there would be a reversal in the trend and the prices will go down soon. Conversely, a downward trend will indicate that there will be a movement of the prices and it will be upwards. For you to recognize this pattern, you must know where specific patterns form in the current trend.

There are distribution patterns that occur at the top of the market; at this

point, traders sell more than they buy. The patterns that occur at the bottom of the markets are referred to as accumulation patterns, and at this point, traders buy more than they sell.

Reversal trends are formed at all time frames, and it is because the bank traders have either place trades are taking profits off the trades. The trend can be detected when there are multiple up and down formations that are fully formed; they should be at least two upswings and two downswings indicating a bearish pattern.

The swing highs of lows on the trend line depend on which reversal pattern is formed. The highs or lows form at a similar price because the bank traders want to appear as if they are causing a reversal in the market, by getting all their trades places at the same time. In the real sense, that is not the case because they appear at different points of the trend. Therefore, as a trader, you should wait for a clear and steady trend upward for you to sell in the case of a bullish trade and a steady trend downward for the case of a bearish trade for you to buy.

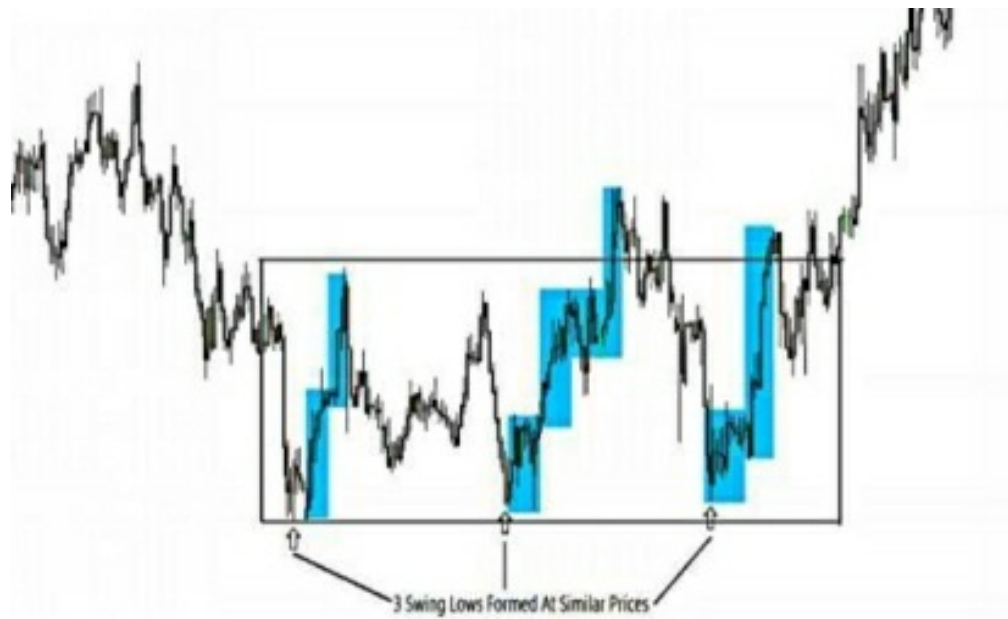


FIG36. Reversal trading

There are different types of reversal patterns. The double top reversal pattern is a pattern that has two tops on the chart. It looks like “M.” The double top has its reverse type known as the double bottom pattern that resembles “W.” The double bottom has two bottoms located either on the same support or at different supports.



FIG37. Double Top

Another reversal pattern is the head and shoulders; this pattern resembled two shoulders and ahead. The two shoulders are tops that are slightly below the other top that is known as the head. The head and shoulders can also be represented in a descending pattern whereby the tops become bottoms.

Moving Average Trend Trading

This strategy of trading is common among traders and it uses technical indicators. A moving average helps to know which way the price is moving, if the moving average is inclined upwards, then the price is moving up, and if it is inclined downwards, then the price is going downwards. Moving average can also help to show resistance or support of the trend, but this depends on the amount of time of the moving average. Support is shown when the trend of the price is downward, and at this point, the selling pressure reduces, and buyers start to step in the market. Resistance is shown when the trend in the price of the stock is upward. At this point, buying of stock reduces and sellers step in. It should be noted that the prices of trade stock do not always follow the moving average, but it is good to know that when the stock price is above the moving average of the trend, then the price trend is upward. Conversely, if the price is below the moving average, then the trend of the price of the stock is downwards.

Moving average is a powerful tool of the trade as it is easy to calculate, which makes it popular among traders. This tool of trade enables the trader to understand the current trend and identify any signs of a reversal. It also helps the trader to determine entry into the trade or an exit, depending on whether it offers support or resistance.

There are different types of moving averages. The simple moving average, which sums up five recent closing prices and calculates the average price, another one is the exponential moving average, whose calculation is a bit complex because it applies more weighting to the data that is most recent. When the simple moving average and the exponential moving averages are compared, the exponential moving average is affected more by the changes in prices than the simple moving average.



FIG38. Moving Average

VWAP Trading

VWAP is the volume-weighted average price. It is a trading strategy that is simple and highly effective when you are trading in a short time frame. For it to work for you, you must use different strategies, and the most common strategy is the waiting for a VWAP cross above and enter long.

A VWAP that is across above gives signals to the traders that buyers would be entering the market, and there would be an upward movement of price. The bearish traders might short stock giving it a VWAP cross below, thus signaling the buyers to leave the market and take profits. VWAP can also be used as a resistance or support level for determining the risk of a trade.

When the stock trades above the VWAP, the VWAP is used as the support level, and when the trading is below the VWAP, the VWAP is used as a resistance level. In both cases, the trader is guided by the VWAP to know when to buy and when to sell.

When doing trading transactions, trading costs are determined by comparing

the price of the transaction, against a reference or a benchmark, and the most common benchmark is the VWAP. The daily VWAP benchmark encourages traders to avoid risks of trading on extreme prices of the day by spreading their trades over time.

This trading strategy favors those people who use market orders to trade rather than limit orders. This is because an opportunity cost arises from delays and passive trading.

CHAPTER 8.

Basics of Scalping

Always remember that personality determines the trading style. You don't do what others are doing. You do what will match your trading personality, style, and approach. When you're a position trader, your system is designed to take a long-term view of assets. When you switch to a scalping trading, your system might be suitable with that mode of trading. However, a day trader can use scalping several times in a day. Generally, day trading involves holding positions for about thirty minutes or more. But scalping involves holding positions from seconds to even five minutes. That is why many scalpers love reading and analyzing five-minute stock charts. It helps them to make good scalping decisions. A scalper cannot wait for several days before trading. He or she is an active trader, looking to make the most amount of profit in the market in the shortest possible time. Thus, a scalper engages in more trades than all the others of traders in a single trading session. To get started with scalping, you need to understand the basics and how it works. Based on this definition, there are few things you must know: one, scalping focuses on "profiting off small price changes" and the second is that the seasoned scalpers simply focus on "a trade that has been executed and becomes profitable." They do not worry about huge price changes in the market. A scalper makes trading easy because they lavage profitable trades to make profits.

Types of Scalping

Volatility, pricing, and volume are the three main factors that influenced how scalp trades are being placed. Before you proceed and start using scalping, you might as well learn a lot from about these critical elements of successful scalping. Not only do they affect scalping, but they also help to create the

different types of scalping that exist in the financial market.

- **Less Volatile Security” Approach:** This type of scalping focuses on trading fewer volatile stocks with no real price changes, but they have high trading volume. Once there is a large trading volume, scalpers will then focus on capitalizing the spread to trade and make profits. This type of scalping is known as “market-making.”

In this approach, a scalper is trying to bet against the “market makers.” It is executed by posting a bid and an offer on the same financial instrument simultaneously. You level the price difference between the bid and the offer to quickly make money in the market. Analyzing the direction of the stock and volume is critical for success.

- **“Highly Volatile Security” Approach:** When the stock or a financial instrument is quickly moving, you can consider a trading approach that will tally with the volatility of the market. When the market is volatile, pricing will obviously be changing quickly, creating a perfect environment for scalp trading.

The idea here is to buy many shares and bet against price movement. When the price moves slightly, the scalp will generate a profit and you will win. The stock must be liquid, and you need to evaluate and time the market well before trading. The focus is to wait for a small movement to make a profit.

- **“Close at Exit” Approach:** In the third trading approach, you use the same or similar trading as the second one. You try to make profits by waiting for a small change in prices of stocks or financial securities to make money. But here, you’re more focused on your exit. Once the trade hits your exit strategy, you close the trade, take your profits and get out of the position.

With this approach, you need to analyze and develop an exit strategy that allows you to make the maximum from the scalp as well as reduce losses from market reversals. Ideally, the risk/reward ratio for this kind of trade will be set at 1:1. A scalper operates with the belief that it is easy to capture profit from small price changes in the financial market rather than wait for a large

price moves to make a profit.

The accumulated profits from the small profits are what give scalpers the winning edge over long-term traders like position traders. To become a successful scalper, you need to have a specific way of thinking, behaving and acting. If not, you will see yourself giving up before you succeed. No matter the kind of financial instrument you want to engage in through scalping, here are the top three psychological and behavioral patterns you must have.

- **Consistency:** Scalping can look very easy from the outside, but if you don't follow a trading system consistently, you're not going to make it. As a scalper, you're placing trades every few minutes and second. That means your trading must be carefully planned and organized to avoid disaster. If you do not, you will only waste your trading capital on useless stuff.
- **Discipline:** The decision-making system of a scalper is quite different from that of a swing trader and a day trader. You need to be brutally hard with yourself to be successful. When you reach a decision about a trading decision, you don't have time to be feeling and rehearsing. You must learn to independent decisions very quickly to enter and exit a trade.
- **Flexible:** While you must be hard on yourself, rugged and stiff with your trading plan and system, you need to also be flexible. Flexibility is necessary to respond to change that might occur in the market that might not be discoursed in your trading plan. When a trade is not going as you expect, just get out of the market and move on to the next trade.
- **Commitment to research:** A position trader needs an amount of research to trade, but scalping needs more. If you're scalping, you are placing more trade in a day and that requires you to do your homework on different kinds of securities before scalping. By so doing, you can ensure that all you can construct your trade very well to be successful.
- **Trading Strategies for Scalpers:** Once you have chosen to use scalping to trade the financial market, you must familiarize yourself with the methods, ideas, and techniques required to be successful in the long term. This will ensure that you succeed. There are certain tools required for scalping. Some of them include a direct access

broker, five minutes chart and a live news feed and alert. All this is required for trading success.

Your scalping will always begin with preparation and market analysis. Since fundamental news about companies and economics has a bearing on the price, trend, and directions in the market; it will be very important that you get access to a news feed that can provide you with all this information.

Your job is to understand, and trade based on the news, that is news trading. Using fundamental ratios about the stock is also key in making good scalping decisions. These ratios help you to figure out new supply and demand forces that will likely breakout after a major event.

But, most of the time, your scalping will heavily be dependent on technical analysis. Using short term historic price information to predict small changes in the market with the help of other technical indications such as moving average, candlestick charts, cups and handles, triangles, and trend channel. Consider volume and price spread before making the trading decisions. Always make sure volume and trend correlated together.

When you are trading with support and resistant indicators, the key is to look for low volatility and a high trading range. Low productivity helps to keep the market calm, avoid light price fluctuation that might work against your trade. Trading range, support and resistance levels will enable us to know where to enter and exit the market to make a profit.

What should be your risk management criteria? Well, you can consider a risk/reward ratio of 1:1. This means you should have a target profit is as equal as the stop loss. You are risking as much as you are earning to make the trade successful because of the price length of the trade. Examining the trade and focusing on the right market indicators is the key. Unlike position trading, which works better in a bull market, you can execute scalp trades in both bull and bear market.

The strategy in a bear market is to make a profit as prices go upward and the strategy in a bear market is to maximize profits from financial securities that do better in a bad market. You can use scalp trading for options, stocks, index, futures, and many others. It all depends on your strategy.

CHAPTER 9.

Day Trading Vs. Swing Trading

Day exchanging and swing exchanging each has central focuses and drawbacks. Neither one of them is better than the other. Brokers should pick the one that works best for their aptitudes, tendencies, and way of life. Day trading is increasingly equipped for the people who are individuals who are energetic on full time exchanging.

They are also well equipped with the three Ds, which involve; definitiveness, Demand, and Declaration. These are powerful for beneficial day trading. To be accomplished in day trading, it is necessary to have a cognizance of trading and charting. Day trading is a real business. Therefore, representatives should have the choice to stay calm and control their sentiments persevering through an attack.

On the other hand, Swing exchanging is not subjected to the monumental game plan of traits. Anyone with some hypothesis capital can attempt swing trading and it does not require full time thought.

It is an appropriate choice for agents with the need to keep their daily livelihoods, yet also fiddle with the business areas. Swing dealers should moreover have the alternative to apply a mix of critical and examination, rather than specific assessment alone.

The Potential Returns of Day Trading Vs. Swing Trading

In day trading, there is the gathering of traders to strengthen the profits quickly. For example: let's say that a trader risks 0.5 percent of their capital on each trade. If they lose, they will be losing 0.5 percent. However, if they succeed, they will earn 1 percent.

On the other hand, let us assume that they win 50 percent of their trades. By

any chance that they make 6 trades consistently, they will increase about 1.5 percent in their daily record balance, minus the trading costs. In about a year, a trading account can grow with more than 200% uncompounded while making as little as 1 percent day by day.

On the other hand, while the figures have all the earmarks of being not hard to mimic for tremendous yields, there is nothing straightforward to that extent. It does not always come about; to have twice returns made on victors as compared to the loss in washouts while still having a benefit of 50 percent of the trades you have taken. In day trading, there is a possibility of making a smart increase, while on the other hand, you can quickly make losses.

In swing trading, there is an accumulation of increase and decrease one step at a time than day trading. Currently, you can have some swing trades that achieve huge increases or decreases. A swing trader can use a comparative risk of 0.5 percent of their capital to make 1 to 2 percent on successful trades. Let us assume that a trader gets 1.5 percent for getting a successful trade while losing 0.5 percent for losing trades. They have 6 trades for each month and succeed in 50 percent of the trades. Therefore, in a normal month, the swing trader makes 3 percent minus the costs. With consistency, that is 36 percent, which is an amazing figure. These examples show the capability of the two styles of trading. The ordinary win appears differently concerning typical adversity, or the number of trades will impact a framework's securing potential due to the changing of the degrees of trading won. If all else fails, day trading has more advantage potential, on any occasion on more diminutive records. As the size of the record creates, it winds up progressively hard to successfully use all the investment on incredibly fleeting day trades.

Capital Needs

Capital necessities waver according to the market that is being traded. The day traders and swing agents can begin with different sizes of investment capital regarding their kind of trade, which can be stocks or forex.

The day trading stocks in the United States require a rate of \$25000. There is no genuine least that goes on in swing trade stocks, notwithstanding the way that a swing seller will most likely need in any occasion \$10,000 in their record, and in a perfect world have \$20000 if they want to gain profits from day trading.

There is legal least that exists today trade. However, it is passed that the sellers start with a capital of \$500, whereas in an ideal industry, it needs \$1000 or much more. In swing trading, the starting capital approved is about \$1500. This size of trading gives you the power to come into any trade at once. In day trading, it can be better where one can start the investment at the rate of \$5000 to \$7500. These would, however, depend on the terms of the trading contract. Some agreements would need a huge capital to start, while some may require less such as minimal range contract.

In swing trading, several viewing contracts that are necessary for any event is \$10000 or \$20000 or much more. The amount needed for the whole transactions depends on the important details of the exact agreement being traded.

Differing of Trading Times

Day trading and swing trading require that you, as an investor has time, yet day trading ordinarily possesses generously additional time. Casual financial specialists generally trade for, on any occasion, two hours out of every day. Counting arranging time and blueprint/trading study mean spending on any occasion three to four hours at the PC, in any event. If a casual financial specialist picks to do business for many hours during trading, there is an adventure related to it and it changes to a whole day's work.

On the other hand, swing trading takes up less time. If you are doing swing trading in a regular layout, there is a possibility of finding fresh trades and arrangements on the recent positions each night for 45 minutes. These activities may not be a requirement daily.

Swing traders who engage in trading that last months need to examine for the exchange and update their arrangements every week. This will reduce the time required to spend there to about one hour a day. This is in comparison to the daily consistency. You must engage in day trading when there is an open market. Day trading has a specific timing of the day as compared to swing trading. If you cannot trade during the designated hours, then it would be advisable to take up swing trading, which does not have a limitation of the time. One can trade even if the market has been closed.

The swing traders are not pressured to have second thoughts or to trade too fast. They are relaxed and hang around while monitoring each step, and hence make trades after the market closes, which is always okay. The casual

traders make their profits by each second development, so they must be included while the movement happens.

Center, Moment, and Performance

In swing trading and day trading, both need a conventional plan of effort and data to make benefits dependably, despite the way that the learning required doesn't generally book smarts. Fruitful trading comes about as a result of finding a procedure that conveys an edge, or an advantage over innumerable trades, and a while later executing that strategy over and over. Some data accessible being traded and one productive method can start making payments, nearby bundles and stacks of preparing.

Consistently costs move extraordinarily rather than they did on the last, which means the specialist ought to more likely than not complete his framework within different situations and make adjustments as the situation change. This displays an irksome test, and dependable results simply start from trying a system that is in different market situations. This will need to make demos account for the trades before the trial because there will be serious speculation. Picking day trading or swing trading narrows to a reason for the character.

Day exchanging ordinarily incorporates additional weight, needs upheld fixation designed for widened moment spans and requires fabulous requests. Individuals that have an interest in movement involve speedy reaction, just like PC entertainments and will finally grade toward day trading. Swing trading happens at a more moderate pace, with any more extended sneak's past between exercises compared to going in and out of trades. However, it can regardless be high mass, and most of all, huge demand as well as cleverness.

Swing trading does not require much of your focus; therefore, if you have trouble with focus, this is the trade for you. The quick reaction does not influence swing trading because the trading can happen after the market is closed and the halting of expenses.

In both day and swing trading, there is an offering of leaning that a trader can work for themselves. Merchants regularly wear down their own one of a kind and responsible for financing their records and for all incidents and advantages made. One can battle those swing representatives have a greater open door to the extent time since swing trading possesses minimal time as

compared to day trading.

Each of the styles of trading is not better as compared to; they basically suit differentiating needs. Day trading has additional advantage prospective, on any occasion in rate terms on more diminutive assessed platforms of trading. The swing agents contain a prevalent shot of keeping up their rate returns even as their record creates, with a goal in mind.

Capital necessities move an extensive sum over the unusual marketplaces and the methods of trading. In day trading, you require more extra time as compared to swing trading. However, both require adequate preparation to be reliable. If you love change, then day trading is for you. Swing trading, however, is ideal if you require a less stressful option.

The long and short terms of trading mean and show if the trade was started by buying first or selling first. In a long trade, it is started with the interest of selling at a higher profit later.

On the other hand, a short trade is started by selling with the interest of buying again at a lower price to get a benefit.

CHAPTER 10.

A Day in the Life of a Day Trader

If you are looking to become a day trader, it is likely that you are looking around and trying to figure out how your typical day will be. What would you do to get started, and what are some of the steps that you will have to take on each day to be successful with all of this?

Traders are going to be able to participate in the different financial markets by purchasing and selling futures, stocks forex and other kinds of securities, and then closing out any of the positions to make some small gains, but doing it on a frequent basis to earn a lot of money. Just like there are going to be many investors, there are a lot of traders out there as well, and each one is going to do things a little bit differently, based on their own needs and what they want to get out of the market.

Early Trading

The first half-hour, or so of your day, is going to involve watching some of the different charts and graphs that you want to work with. The first half-hour is volatile, so many, but not necessarily all, traders are going to sit on the sidelines to give the market some time to settle down a little bit and avoid being stopped out of their position right after they start.

Then, we enter a kind of waiting game. This is the time where traders are going to watch out to see what kind of trading opportunities will show up based on the strategy they plan to use, their intuition, experience, and some of the activity that is going on in the market. Precision and timing in day trading will be important here because we are only holding onto it all for a short amount of time.

It is usual for a trader to go with an order entry interface to help submit some

of the orders to the market. Many of these traders are also going to submit, at the same time, the profit targets and stop losses so that they can be protected if the price doesn't move in the right direction.

Depending on your goals with this, you will either wait for this specific position to close out before you are able to go into another one, or you will continue to scan the markets for some new opportunities when it comes to trading. Many times, a trader is going to take the time to look for reversal opportunities that show up in the late morning.

Since trading volume and the volatility that shows up in the market is likely to diminish some as the middle of the day approaches. Most traders will hope that they are able to meet their profits before lunch because that is when it is most likely to happen. Otherwise, the next few hours can sit around and be uneventful and kind of boring because the big money is gone by then.

The Second Wind

Once we find that some of the institutional traders get back from all their meetings and lunch, then the market is going to be able to pick back up a bit, and the price movement and volume will come to life again.

Any of the positions that you were able to enter during the morning, and then we take now, will need to be closed before you get to the end of the day. All the traders who are still in this kind of trading at this time of the day will need to get it all taken care of now. This makes them more keen to get all the trades done and reach your potential target before the session is all over.

Traders are going to continue to look at some of the open positions and then will look at some of the other opportunities that could show up after this time. Because we are not going to hold onto any of our positions overnight with this one. This is going to make it easier for you to get into the market and get out before the market is going to close that day.

As the closing time approaches, the trader is going to close all the open positions and will cancel out any of the unfilled orders. This is going to be a really important step since open orders can get filled without the trader having any idea, resulting in a loss that comes up.

The trader is going to close the day with a profit, at a loss, or a breakeven based on how good they did all of this and how well the market does.

No matter which ends up happening to you, remember that this is just going

to be another day at the office. There are lots of seasoned traders who are going to learn how to not celebrate too much about the large wins or cry a lot about the losses. It happens all the time, and the most important thing to consider here is what is going to happen over time, such as in months and years, rather than just what is going on over just one day.

Post Market

The next thing that we need to look at is what is going to happen when the market is all done. When the market is all done, traders are going to finish up the day reviewing the trades that they made, making notes of what went the best, and what they could have done a little better for later.

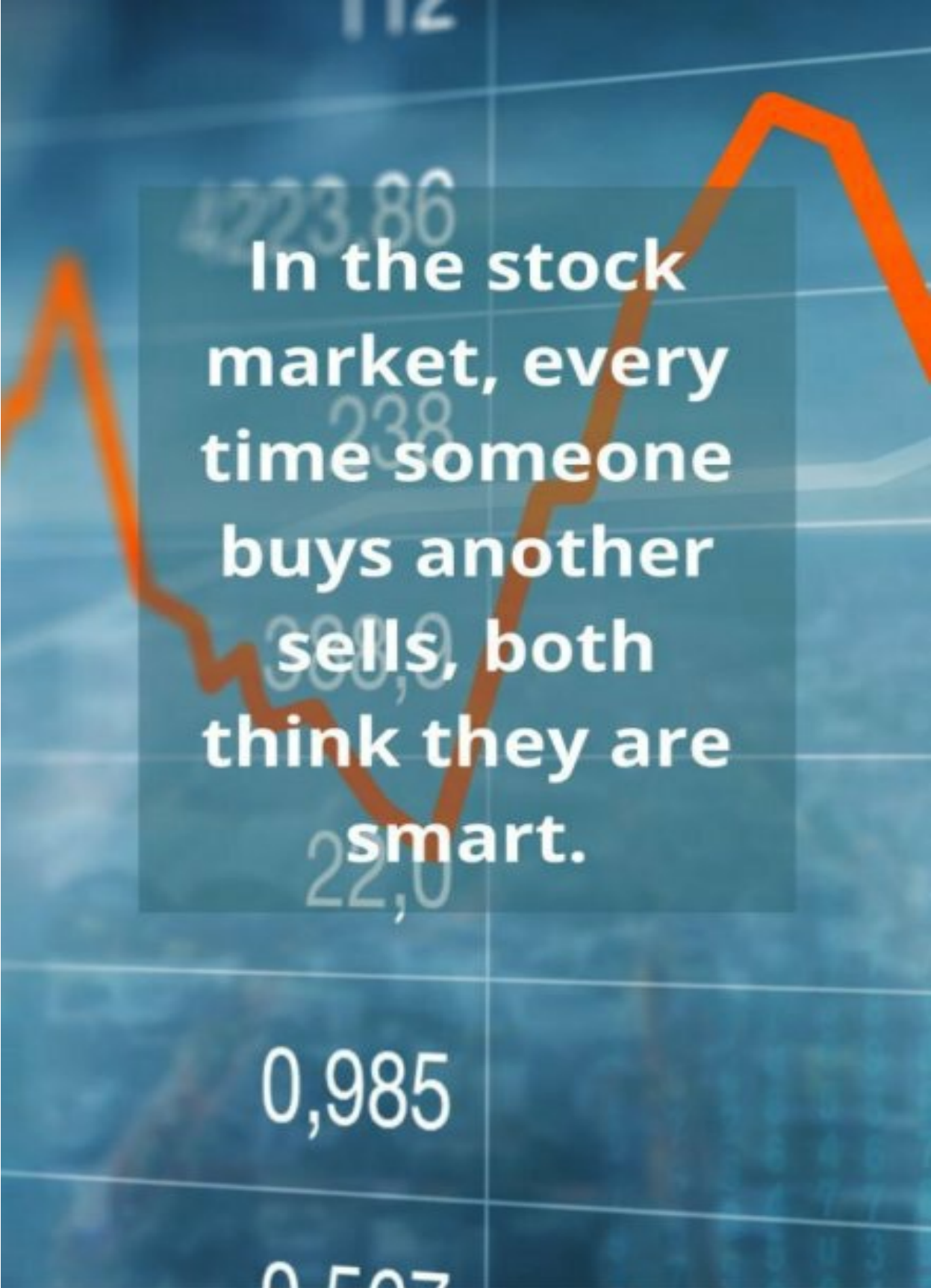
It is not uncommon for these traders to work with a trading journal, which is going to be a written log of all the trades including the setup, ticker symbol, entry price, number of shares, exit price, and any notes about the trade or what was going on with that kind of market for the day that could have been the thing that will affect the trades that you did.

If you are organized, and you use your trade journal in the right way, it is going to provide you with some information that is vital if you would like to slowly and surely improve your own plan and the performance that you have in the stock market. Many traders are also taking some time returning to the network for financial news that they work with to get a recap of the day and start making some plans for how they will trade tomorrow.

Day trading is going to come with a lot of advantages. You can be your own boss, set your schedule, and work from home in the process. And once you learn how to read the market and how it all works; you could technically earn unlimited profits. While we often spend a lot of time hearing about these perks, though, we need to realize that day trading is going to be hard work, and it is possible, especially in the beginning, to work 40 hours a week and then end up without a paycheck.

This can make it hard for a lot of beginners to work with this because they want to see results right away. And it is no fun to put in a lot of time and effort into something without getting to see any results in the process. But this is a time of learning. You are learning which methods are the best for you, which ones you should stick with, and more. Over time, we can figure out how to make money, and you will start to make more than you could ever imagine.

Day traders are going to spend a lot of their time each day scanning the markets for all the opportunities that they can find with trading and then monitoring any positions that they would like to open. Then they can spend their own evenings looking around, figuring out how to improve the trading plans, and finishing up some research. Because trading is something that is more of a solitary endeavor, and some traders choose to participate in some trading chat rooms to get more education or to be more social, than working on their own all the time.



**In the stock
market, every
time someone
buys another
sells, both
think they are
smart.**

CHAPTER 11.

Strategies - Technical Systems

Day trading strategies are important for traders looking to take advantage of small price movements frequently. These strategies rely on patterns, indicators, and charts to forecast potential price movements.

Breakout

This strategy is used to position a trader in the early stages of a trend. It can cause volatility expansions, movement in price, and partial downside risk. A breakout is the movement of a stock price out of distinct support or out of the resistance level with a bigger volume. In situations where the price of the stock increases beyond the resistance, the trader gets into a long position and where it decreases lower than the support he gets into a short position.

When the stock price increases above the price barrier, an increase in volatility is experienced, and stock prices follow the direction of the breakout. Breakouts are essential strategies because they mark the starting point of large price trends and swings as well as volatility increases in the future. These breakouts take place in all kinds of markets. The most volatile price movements are caused by breakouts of price patterns like flags or triangles and channel breakouts. It is well explained in our chart below; as volatility reduces during this period, it will usually increase after an increase in prices above the identified range.

Breakout trading is a good strategy despite the time frame. It is important to think about and consider the stock's resistance levels and support in trading breakouts. You should look at the number of times the stock has touched those parts; the more times they are touched, the more important and valid they become. At the same time, you should look at the period they have been

in play; the longer the time, the better the results after a breakout.



FIG39. Breakout

Scalping

This strategy is very popular in the forex market. It aims to take advantage of minute changes in price. A trader sells when the trade happens to be profitable. The risks are high, but it is an exciting and fast way to trade. The trader needs a high probability in trading to equate the risk to reward ratio. The trader looks out for attractive liquidity, volatile instruments, and the best time. Scalping Example:

Scalping can be implemented as a primary or supplementary style:

- **Primary Style:** A scalper makes many trades in a day. He or she uses one-minute charts as the time frame is little, and the setups should be noticed as they form in the closest real-time possible. The trader can use some support systems like Level 2 quotations or Direct Access Trading. A direct-access broker is the best suited for this style as he or she can execute orders automatically.
- **Supplementary Style:** This style is suitable for traders with extended time frames. The best way they utilize it is when the market is locked in a constricted range. In cases of longer time

frames with no trends, choosing a shorter time frame discloses some exploitable trends that direct the trader to the scalp.



FIG40. Scalping Example

There is also another method called the “umbrella” concept that adds scalping to lengthy time frames. In this method, the trader maximizes profits by progressing his or her cost basis. Depending on a trade’s setup, any system can be used for scalping. It makes scalping a risk management technique. In scalping, the risk/reward ratio of the profit should be close to 1:1.

We can look at an example in trading if a trader positions himself for a scalp trade at \$100 and the first stop at \$99.90. With a simple calculation, we find the risk to be 10 cents. With that information, we should deduce that the risk/reward ratio of 1:1 will have arrived at \$100.10. Scalp trades can be carried out in both short and long sides.

We can also use some traditional chart formation for scalping such as triangles or cups and handles.

Momentum

A momentum strategy is suitable for beginners. It involves taking actions on new sources and spotting large trending moves supported by high volume. The opportunities are plenty, as you will always find a stock that is moving for 20-30% any day. If used correctly, this strategy is effective and quite simple. Nevertheless, you must make sure that you know the upcoming news

and announcements on the earnings. If you trade well; you will notice a big difference in your daily profits even though you only need a few seconds on every trade.



FIG41. Example of Momentum

Reversal

A reversal is a price change towards an asset. It can happen to the downside or upside. A downside reversal follows an uptrend, while an upside reversal follows a downtrend. These reversals are founded on price direction and not on any periods on a chart. Some indicators like moving average can assist in identifying reversals and isolate separating trends. When a reversal happens, you cannot distinguish it from a pullback. For a successful differentiation, you should observe the behavior within a trend. A reversal continues and outlines a new trend, whereas a pullback halts and the price moves back to the trend's direction.

They occur quickly and over days, weeks, and years. They occur in diverse time frames, and that makes it suitable for different traders. Reversals can be spotted using price actions and indicators. Sometimes the trend and reversal are spotted using moving averages. When the price is more than the moving average, the trend is usually up, and the price signals a possible price reversal drops lower than the moving average. We can also use trendlines to notice reversals. Seeing as an uptrend makes higher lows; we can draw a trendline to mark a trend reversal.



FIG42. Reversal - example

Pivot Points

Using the pivot point strategy helps you to identify and act on dangerous resistance, support, or both. It is mostly used in forex and to spot entry points by range-bound traders.

Also, it is used by breakout and trend traders to find key levels that should break so that a move can be termed as a breakout. How do we calculate pivot points? To calculate a pivot point, you should use the prior day's lows and highs in addition to a security's closing price. The diagram below shows a step by step calculation of pivot point.

You should notice that all the formulas include our basic pivot point value. It is the reason why it is essential to come up with our pivot point level. The correct calculation of the basic pivot point value translates to correct subsequent calculations.

$$P = (H + L + C) / 3$$

In this formulae; P is the pivot point, H is high, L is the low and C is the closing price. After getting the pivot point, you will use it to calculate the resistance.

Resistance formulae:

$$1^{st} \text{ Resistance (R1)} = (2 * P) - L$$

$$1^{st} \text{ Support (S1)} = (2 * P) - H$$

Our next step is to calculate our second level of resistance and support as follows:

$$2^{nd} \text{ Resistance (R2)} = P + (H - L)$$

$$2^{nd} \text{ Support (S2)} = P - (H - L)$$

We then calculate our third level of resistance and support:

$$3^{rd} \text{ Resistance} = H + 2 * (P - L)$$

$$3^{rd} \text{ Support} = L - 2 * (H - P)$$

*H stands for High

*P stands for pivot point calculated above

*L stands for Low

*R stands for Resistance

*S stands for Support

FIG43. Step by step calculation of pivot point

If all the seven pivot points are added together, we come up with five lines on our chart, as shown below



FIG44. Pivot Point example

CHAPTER 12.

Developing Your Trading Plan

Having a strong trading plan is an important part of successfully trading on the Forex market. Developing a trading plan allows you to define a goal and create a system for you to work towards that goal through your trades. Due to the volatility of the market, you cannot create a finite blueprint for your trading plan. However, you can create a general strategy and goals for you to work with. There are certain rules and elements to consider when you are developing your plan to ensure that you have one that is strong and will serve you for the best.

It is important that anyone who is doing trading on the Forex market, or anywhere else for that matter, to have a strong trading plan. This allows them the opportunity to reap in all the benefits of having a trading plan from risk management to learning discipline in your trades. Even experts develop plans before entering the Forex market, so it is imperative that as a beginner, you also develop a plan.

There are several benefits to having a trading plan when you are getting involved in the Forex market. For one, it is great for you to minimize your risk due to your ability to have a plan for what you will do in certain scenarios. You can also use it to establish your exit strategies beforehand so that you know when you are going to exit if necessary. Having a plan also allows you to stay focused on your goal and make large strides towards that goal, so you can stay on par for your goals with your trading decisions.

Another reason why having a plan is important is because it allows you to constantly evaluate your trades to ensure that your money is working well for you and that you are making strong decisions. If you find that your trades

aren't having high enough yields or are too risky, you can reevaluate your plan and fix your strategy for a better outcome.

General Planning Rules

There are a few plans when you are preparing to trade on the market. There are no blueprints, though there are some considerations you need to think about when you are developing the plan. The following four "rules" are important when you are in the process of creating your trading plan, to ensure that you have the best results:

- Write down your goals all the time. If you make any changes, write that down as well. You will want to write down virtually every single part of your plan. This way, you can ensure that your thoughts are organized, and your plan is solid. It also helps you stay focused on your goals and work towards them with every move you make.
- Make sure that in addition to writing out your plans, you record your progress as well. This allows you to see how your plan has worked, and to learn from previous trades that you have made as well so that you can continue to learn and make better decisions. This process will give you a better opportunity to improve your trading strategies and ensure that you recall which markets you have been exposed to.
- Aside from writing everything down, you must control your finances. It is important that you manage your money properly to ensure that you are staying on top of everything to prevent yourself from investing too much in the market. You want to make sure that you are managing your risk and exposure and staying on top of how much you are making and losing in the grand scheme of things.

The best way to keep track of everything is to have a trading journal that allows you to keep track of your plan and all the moves you make. It also allows you to keep track of your finances to ensure that you are making wise decisions and not investing too much or losing too much in certain moves.

Creating Your Plan

Before you create a plan, you need to ask yourself some questions. You should write these questions down in your trading journal to ensure that you

are focused on what your goal is and that your plan aligns with the answers you have for the following questions.

- Why do you want to trade with Forex?
- What is your opinion on risk?
- What is the amount of time you're willing to invest in trades?
- How much do you know about trading already?

Identifying the answers to these questions is the best way to discover what your goals are with trading and how you position yourself in the market on trades that you will make. You need to answer these questions before you start creating your plan, as they are the basis for the plans that you make.

Once you answer those four primary questions, there are more you will want to consider. The answer to these will be exactly what you need to know to create your specific plan and move forward with it. Your answers don't need to be deep and thoughtful, but they do need to be answered clearly.

- Where are you right now, financially? Have you had any involvement in the market yet? If so, what is your involvement?
- What type of trader are you? What are your thoughts on trading and risk?
- Based on your level of knowledge right now, how confident do you feel in trading?
- What is the amount of capital you must start your trading with?
- What are your financial goals with your trading?
- How long do you want to be trading for to reach that goal?
- What is the success going to look like?

Answering these questions gives you a firm guideline of where you want to go and what you want to do with your trading. If you go in saying, "I want to make a lot of money" but never define what "a lot" is, you are not going to be able to identify when you get there. You will also not know how to identify if you have been losing too much money. The market is something that you enter for specific purposes, as that is what will assist you in making the money you desire. You don't necessarily need to have a purpose such as a retirement or education funds, but having a goal of what you want and a

timeframe of when you want to achieve it will significantly assist you in mastering it and making as much as you desire.

CHAPTER 13.

Day Trading Success

The success of your day trading business depends on a lot of things. If you start on the right foot, you will earn good rewards. The number one secret lies in remaining disciplined and neutral in the sense that your decisions remain independent of your emotions. Doubt, fear, and greed should be the last things on your mind. As a beginner, you must not allow day to day occurrences to affect you. Although emotional changes are common, they should not influence the way you carry out your trades. See price movements as something you should adjust towards since these will never be the way you wish them to be. Even when the market assumes a direction that does not favor you, you should not lose focus. There are several attributes that define successful day traders. These are people who:

- Are ready to risk their money in the trade.
- Manage money in a great way.
- Have confidence in the outcome of each trade.
- Are not afraid to enter and exit positions.
- Are disciplined and patient in their trading.
- Customize very few strategies that work in their favor.

Common Day Trading Mistakes and How to Avoid Them

Quite a few things need to be accomplished before you can celebrate success. Before you engage in the trade, here are some of the mistakes you need to beware of and to avoid:

- **Adding More Capital to a Trade That Is Going Down:** New traders always get tempted to average positions down when the

price is on the decline with the hope that things will get better. This is one of the worst mistakes that you can do. The market prices may decline further, resulting in exponential loss. Instead of doing this, set stop orders early into the trade and close positions as soon as things become bad.

- **Continuing to Trade Even after Losing Consecutively:** When day trading, there are two figures you always need to have at the back of your mind. The risk/ reward rate, as well as the win rate. The win rate is often represented as a percentage. For instance, if you win 30 out of 50 trades, your rate of winning is 60%. Successful traders are those who can maintain at least 50% or more as the win rate. The risk/ reward ratio refers to the amount you win as compared to the amount you lose in each trade. For instance, if your winning trades cost \$80 and the losing trades are \$40 then the reward/ risk ratio becomes \$80/\$40, which is 2. To be considered successful, this ratio should always be at least 1.
- **Not Setting Stop Loss Parameters:** Not setting stop-loss orders in your trade will always lead to danger. The work of stop-loss orders is to limit the amount of capital you lose when market prices deflate against you. They moderate losses on your behalf.
- **Working with the Wrong Broker:** Trusting a broker with your capital is one of the best ways you can grow your day trading business. However, if you choose a broker that does not understand how to manage your cash, you will end up losing most of your fortune. You also need to understand how much commission the broker will charge in advance and if there are any hidden charges associated with the partnership. Beware of scammers who also parade themselves as brokers. These can lure you into investing in non-existent platforms.
- **Taking Several Related Trades:** As you start day trading, you may get excited at the many opportunities available on the trading platforms. This can lead you into opening multiple positions at the same time. You may end up getting these positions from the same stocks and this can become risky if the stock does not perform well on the market. When day trading, diversification is key. It protects you from losing too much on one type of stock. However, as a new trader, you need to be

watchful of the number of trades you open in a day. You may be tempted to make multiple trades as a way of minimizing the risk of loss. But this is not a good idea if you are not quite conversant with the market.

- **Investing What You Are Not Ready to Lose:** If you are not comfortable losing the amount of cash you are investing in day trading, simply do not do it. Most day traders get into the business without defining how much they are ready to lose. After they have lost the cash, they get frustrated. You should only risk 1 percent of your capital on each trade by setting your stop-loss orders correctly. When you do this, only a small percentage of your cash will be lost at the end of the day, however much you trade.

As much as you would have set your loss limits, it is essential that you try to manage any ongoing losses and maintain them at a minimum low. If you keep losing at most 1 percent on each trade, you would have to part with a huge percentage of your capital at the end of each trading period. The fact that you have defined the loss limits does not necessarily mean that you must lose this amount.

- **Entering the Trade Blindly:** There are new traders who ignore their strategies completely, getting into the trade with no plan. This occurs partly when an individual keeps gaining on several trades in a row. When this happens, you can become overconfident that you cannot lose a trade. This confidence can make you invest everything you have, and this can lead to tremendous losses.
- **Not Carrying out an Analysis of the Market:** Once you have made several successful trades, you may start trading without analyzing the necessary market and financial data. It gets dangerous when you get into the market without understanding how the prices will change in future. Although long-term fundamental analysis is unnecessary for day traders, you need to understand this information for your future trades.
- **Not Having a Plan:** This is one of the biggest mistake day traders do. A trading plan often outlines the strategies and activities you need to engage in during the trade. It handles the when and how

parts of day trading. When you do not have a plan, you may keep entering and exiting positions without any guidelines. Doing this will leave you unsure of what to expect from the trading period. Not having a plan also means that you are unable to estimate the risks involved in each trade you engage in.

- **Predicting News Before it Comes Out:** Some traders get to know of upcoming news and act on it even before it is released to the public. This looks like staying ahead of the market, but it is not. It is not advisable that you take positions before any news item gets confirmed. The stock price may move in either direction or this direction may change too fast. You need to understand this and trade basing on the current market trend, not unconfirmed news.

Day Trading Tips and Advice

As you begin day trading, there are several methods you can use to ensure you increase your chances of making profit. Some of these include the inside bar strategy, gapping up and down as well as the use of Fibonacci patterns.

The Inside Bar Breakout Strategy

This is a strategy that utilizes two bars to assist you in day trading. One bar is always smaller than the other. The first bar is known as the mother bar, while the other bar is the inside bar. The bar is used in day trading to identify the trend's direction. When you trade this way, the process is called breakout playing. The intention is always to place stop orders for buying or selling either at the top or bottom of the mother bar. These orders are then filled when the price goes beyond the bar edges. If the mother bar is relatively large, the stop orders can be placed in the middle of the bar.

Gapping Up and Gapping Down

Gaps refer to price breaks often displayed in stock charts. These gaps always occur when there is a sudden release in a news item that impacts the price of stocks. The announcement may be about a new product release, mergers and acquisition or wars. These are always influential enough on the price of stocks. Gaps are always represented on the charts as a blank space between bars. Gaps offer great signals that help you determine whether to purchase or you're your trades. When there is a gap down, this is the right time to sell your positions. When there is a gap up, it is the right time to purchase stock.

When a price gap occurs, you may spend a few minutes studying the market range before you can decide what to do with your positions. Generally, there are four primary gap types:

- **Full gap up**—this is a gap created when the day's opening price for a certain stock is higher than the highest price attained by stock the previous day.
- **Partial gap up**—this is when the current opening price is below the stock's lowest price for the previous day.
- **Full gap down**—this is created when the day's opening price is lower than the lowest price attained by a stock the previous day.
- **Partial gap down**—this is when the current opening price is lower than the previous day's closing price but higher than the day's lowest price.

Besides sudden news items, gaps can also result from certain technical and fundamental factors. For instance, if the earnings received by a certain organization are more than the anticipated amount, the price of the stocks related to the company may change drastically by the following day. This implies that the opening cost will be much higher than the previous day's closing amount.

CHAPTER 14.

Tools of the Trade

The main tools you'll need for day trading are an online broker and an order execution platform. It goes without saying that you'll also need a very good internet connection and a computer on which to execute your trades on the platform. And if you're not part of a day trading community yet, you'll also need a stock scanner.

The Broker

You'll need a very good broker, who'll be your access to the securities market you plan to day trade in, e.g., the stock market. Take note that your broker can't just be good: it must be very good. Why?

Since you can't access the stock market or other securities markets directly, you'll need to go through a broker. Even if you choose your SIPs correctly, you can still lose money in your trades if your broker's slow to execute your order at your target price or if their system suffers from frequent glitches.

It can be challenging to choose a broker because there are many of them out there. Some offer top service but are expensive while some charge very low fees, but their service is not good.

Minimum Equity Requirement

The United States Securities and Exchange Commission (SEC) and the Financial Industry Regulatory Authority (FINRA) enforce rules on people who day trade. They use the term Pattern Day Trader to qualify those who can engage in day trading with stock brokerage firms operating in the United States.

The qualify pattern day traders as those who day trades, i.e., takes and closes positions within the same day, at least four times in the last five business days. The SEC and FINRA require that pattern day traders must have a minimum equity balance of \$25,000 in their brokerage account before they day trade. When the equity balance falls below this amount for one reason or another, brokers are compelled to prohibit pattern day traders from executing new day trades until they're able to bring their equity back up to at least \$25,000.

Many newbie day traders, especially those who only have this minimum amount, look at this rule as more of a hindrance to day trading glory rather than a protective fence against day trading tragedies. They don't realize that it's meant to keep them from taking excessive day trading risks that can easily wipe out their trading capitals in a jiffy because of their brokers' commissions and fees.

While this rule is the minimum requirement under the law, many brokers and dealers may use a stricter definition of a pattern day trader for purposes of transacting with them. The best thing to do is to clarify this minimum equity requirement with your chosen broker to avoid confusion later.

If you can't afford the \$25,000 minimum equity requirement for day trading, you can opt to trade with an offshore broker instead. They're brokerage firms that operate outside the United States, such as Capital Markets Elite Group Limited, which operates out of Trinidad and Tobago. Because these brokers operate outside the jurisdiction of FINRA, they're not subject to the pattern day trader rule. This means you're also not subject to the same minimum amount.

But before you think of trading with offshore brokers, keep in mind that these brokers are beyond the juridical reach of the SEC and FINRA. This means if anything goes wrong, you can't count on the Federal Government to help you out. If you really want to use them to avoid the pattern day trader rule, just make sure to limit the amount of day trading equity you'll place with such brokers to an amount that you're comfortable risking or losing.

Direct-Access and Conventional Brokers

Conventional brokers normally reroute their customer's orders, including yours, to other firms through some sort of pre-agreed upon order processing scheme. Thus, executing your orders through conventional brokers involve

more steps and can take significantly more time. And when it comes to day trading, speed is essential.

Conventional brokers are often referred to as full-service brokers because they tend to provide customers with other services such as market research and investment advice, among others. Because of these “extras,” their commissions and fees are usually much higher than direct-access brokers. Conventional or full-service brokers are ideal for long-term investors and swing traders because they’re not as particular with the speed of trade executions as day traders are.

Compared to full-service or conventional brokers, direct-access brokers focus more on the speed of trade executions than research and advisory services. And because they often skip the extra services to focus on providing fast and easy access to the stock market, they charge less commissions and fees. This has earned many of them the alias “discount brokers.”

Direct-access brokers use very powerful computer programs and provide customers online platforms through which they can directly trade the stock market, whether it’s the NASDAQ or the NYSE. And while they provide the necessary trade execution speeds required in day trading, they’re not perfect and they have their share of challenges.

The Trading Platform

A trading platform pertains to the computer program or software that you’ll use to day trade. This is different from the direct-access broker itself, but many traders make the mistake of thinking they’re one and the same.

The trading platform is what you’ll use to send your orders to the stock exchange, which the direct-access broker will clear on your behalf. While it’s different from the direct-access brokers, it’s not unusual for such brokers to develop and have their clients use their own proprietary trading platforms to trade stocks in the exchange.

Real Time Market Data

Unlike long-term investors and swing traders who only need end-of-day price data that’s available for free online, day traders need real time data as the trading day unfolds because they need to get in and out of positions within a matter of hours, minutes, or even seconds. And unfortunately, access to real time intraday price data isn’t free and you’ll need to pay monthly fees to your

direct-access broker or the platform owner (if different from the brokerage firm) for them. Just ask your direct-access broker for details on their monthly fees for access to real time day trading data.

Two of the most basic types of data that you'll need to look at as a day trader are the bid and ask prices. The bid prices are the prices at which other traders and investors are willing to buy a stock. The ask prices are the prices at which other traders and investors are willing to sell a stock.

The bid and ask prices are arranged such that the best price is at the top. The best ask price, on the other hand, is the lowest price at which sellers are willing to sell. It's considered the best price from the perspective of buyers. Bid and ask prices also indicate the number of shares that other traders and investors are willing to buy or sell at specific prices.

The bid prices are usually listed on the left side while the ask prices are usually listed on the right such that the best bid and ask prices are right beside each other. If you want to execute your buy orders immediately, you "buy up" the best ask price. If you want to immediately execute your sell orders, "sell down" at the best bid price.

The Day Trading Orders

The three most important types of day trading orders are market, limit, and marketable limit orders.

Market orders refer to orders to buy or sell stocks at their current market prices for immediate execution. If you remember from earlier, these refer to buying up at the best current ask price or selling down at the best bid price.

Depending on market conditions and subsequent price movements during the day, market orders may be the worst or best prices to trade in. For example: if you send a market order to sell when the bid-ask prices are \$1.00-\$1.05 and by the time your order hits the market, the bid-ask prices shift to \$0.95-\$1.01, your sell order will be done at \$0.95. In this example, your sell proceeds get cut by a minimum of five cents multiplied by the number of shares you sold.

On the other hand, let's say you sent a buy market order when the current bid-ask prices are \$1.10-\$1.15. If the bid-ask prices change to \$1.12-\$1.17 by the time your market order reaches the market, you'll end up paying \$0.02 cents more for every share of that stock.

Only market makers and professional traders with a lot of day trading

expertise and experience can benefit from market orders. For retail day traders like you and I, we should avoid market orders as much as possible.

CHAPTER 15.

Portfolio Diversification

Day traders generally execute trades during a single trading day while investors buy and hold stocks for days, weeks, months, and sometimes even a couple of years. In between these two extremes are other forms of trading. These include swing trading and position trading, among others. I strongly suggest readers take seriously the option of diversifying his trading account and other than day trading options strategies, add a mid or long-term approach to get fewer fluctuations in the overall portfolio. That's why you will learn here the basics of the portfolio diversification because if you are a complete beginner, using only day trading strategies, will expose you to huge loss over a long period of time, due to large intrinsic leverage of options and day trading strategy in general.

Swing trading is where a trader buys an interest in a commodity or stock and holds the position for a couple of days before disposing of it. Position trading, on the other hand, is where a trader buys a stake in a commodity or stock for several weeks or even several months. While all these trades carry a certain element of risk, day trading carries the biggest risk.

Diversification is considered an effective risk management technique. It is widely used by both traders and investors. The gist behind this approach is that investing funds in just single security is extremely risky as the entire trade could potentially go up in smoke or incur significant losses.

An ideal portfolio of securities is expected to fetch a much higher return compared to a no-diversified portfolio. This is true even when compared to the returns of lower-risk investments like bonds. Generally, diversification is advisable not only because it yields better returns but also because it offers protection against losses.

Traders and investors put their funds in securities at the securities markets. One of the dangers of investing in the markets is that traders are likely to hold onto only one or two stocks at a time. This is risky because if a trade was to fail, then the trader could experience a catastrophe. However, with diversification, the risk is spread out so that regardless of what happens to some stocks, the trader still stands to be profitable.

At the core of diversification is the challenge posed by unsystematic risks. When some stocks or investments perform better than others, these risks are neutralized. Therefore, for a perfectly balanced portfolio, a trader should ensure that they only deal with assets that are non-correlated. This means that the assets respond in opposite ways or differently to market forces.

The ideal portfolio should contain between 25 and 30 different securities. This is the perfect way of ensuring that the risk levels are drastically reduced and the only expected outcomes are profitability.

It is advisable to invest or trade in a variety of assets and not all from one class. For instance, a properly diversified portfolio should include assets such as currencies, options, stocks, bonds, and so on. This approach will increase the chances of profitability and minimize risks and exposure. Diversification is even better if assets are acquired across geographical regions as well.

Best Diversification Approach

Diversification focuses on asset allocation. It consists of a plan that endeavors to allocate funds or assets appropriately across a variety of investments. When an investor diversifies his or her portfolio, then there is some level of risk that must be accepted. However, it is also advisable to devise an exit strategy so that the investor can let go of the asset and recoup their funds. This becomes necessary when a specific asset class is not yielding any worthwhile returns compared to others.

If an investor can create an aptly diversified portfolio, their investment will be adequately covered. An adequately diversified portfolio also allows room for growth. Appropriate asset allocation is highly recommended as it allows investors a chance to leverage risk and manage any possible portfolio volatility because different assets have varying reactions to adverse market conditions.

Different investors have varying opinions regarding the type of investment scenarios they consider being ideal. Numerous investors believe that a

properly diversified portfolio will likely bring in a double-digit return despite prevailing market conditions. They also agree that in the worst-case situation will be simply a general decrease in the value of the different assets. Yet, with all this information out there, very few investors can achieve portfolio diversification.

The Process of Asset Class Allocation

There are different ways of allocating investments to assets. According to studies, most investors, including professional investors, portfolio managers, and seasoned traders rarely beat the indexes within their preferred asset class. It is also important to note that there is a visible correlation between the performance of an underlying asset class and the returns that an investor receives. In general, professional investors tend to perform the same as an index within the same class asset.

Investment returns from a diversified portfolio can generally be expected to closely imitate the related asset class. Therefore, asset class choice is considered an extremely crucial aspect of an investment. It is the single more crucial aspect for the success of a particular asset class. Other factors, such as individual asset selection and market timing, only contribute about 6% of the variance in investment outcomes.

Wide Diversifications Between Various Asset Classes

Diversification to numerous investors simply implies spreading their funds through a wide variety of stocks in different sectors such as health care, financial, energy, as well as medium caps, small, and large-cap companies. This is the opinion of your average investor. However, a closer look at this approach reveals that investors are simply putting their money in different sectors of stocks class. These asset classes can very easily fall and rise when the markets do. A reliably diversified portfolio is one where the investor or even the manager is watchful and alert because of the hidden correlation that exists between different asset classes. This correlation can easily change with time, and there are several reasons for this. One reason is international markets. Many investors often choose to diversify their portfolios with international stocks. However, there is also a noticeable correlation across the different global financial markets. This correlation is clearly visible not just across European markets but also in emerging markets from around the world. There is also a clear correlation between equities and fixed income markets, which are generally the hallmarks of diversification.

This correlation is a challenge and is probably a result of the relationship between structured financing and investment banking. Another factor that contributes to this correlation is the rapid growth and popularity of hedge funds. Take the case where a large international organization such as a hedge fund suffers losses in a particular asset class.

Should this happen, then the firm may have to dispose of some assets across the different asset classes. This will have a multiplier effect as numerous other investments, and other investors will, therefore, be affected even though they had diversified their portfolios appropriately. This is a challenge that affects numerous investors who are probably unaware of its existence. They are also probably unaware of how it should be rectified or avoided.

CHAPTER 16.

Forex and Stock Day Trading

Day Trading Forex

Forex is a code for foreign currency and exchange. Most countries of the world use different currencies for their everyday transaction. But money must circulate, hence the need to trade in currency. To trade currency between nations, there must be a system that can convert one currency to another. Foreign exchange is simply the process of converting one currency into another currency for a few reasons, mostly for commerce, trading, or tourism.

When we talk about a global marketplace for exchanging currency against one another, we talk about foreign exchange, also coded as Forex or FX. Because of the worldwide extension of trade, commerce, and finance, foreign exchange markets seem to be the largest and most bankable asset markets in the world. World currency usually trades against each as exchange rate, e.g., EUR/KWD, EUR/DOLLARS.

Currency must be traded to engage in international trade. For instance, a tourist from France who arrived in the US needs to exchange his Euro with United States Dollars for him to pay for hotels and food. This is because the Euro is not the approved trading currency in the US. The foreign exchange market doesn't really have a physical market where traders meet to carry out transactions. All transactions between buyers and sellers are done via the internet. The market is opened 24 hours a day and currencies are being traded across all time zones. Commercial and investment banks often act as middleman trading in the forex markets on behalf of their clients who have consulted them. There are also opportunities for trading one currency against another currency for professional and individual investors.

Why Trading in Currency Has Been So Easy Now?

No doubt that the technological advancements of the 21st century have contributed to the ease with which we get things done now, more than ever before. The invention of ultra-fast computers has equally advanced the course of Forex, bringing everything to the forefront.

Trading in currency was a herculean task for individual investors before the internet age. Those days, most currency traders were large multinationals hedge or high-net-worth individuals because the market was highly capital intensive. There are now many online brokers who can advance Forex even for traders with little money. Forex is the largest market in the world, and therefore, it's always liquid. Money enters the market every minute and seconds. Money also leaves the same way it enters. This makes it especially very easy for any trader to enter and leaves his position. But there are extreme levels of leverage which has led to many traders becoming bankrupt very quickly.

Forex market is being run 24 hours. But it requires a thorough understanding of economic issues and financial spaces.

Forex Day Trading Strategies

While there's no one size fits all rule in life, the best Forex strategy is the one you experiment yourself out of the many available strategies. You must highlight your personality and understand the best Forex strategy that will work for you. What worked very well for your best friend might be the worst nightmare for you if you try it. In the same vein, what doesn't work for others might be just the right dose for you. It all boils down to trying without getting tired. Here are some strategies below;

- **50 pips a day Forex strategy:** This strategy exploits early market fluctuations of some highly liquid currency pairs. The BP/USD and EUR/USD currency pairs are among the best currencies to trade using this Forex strategy. The profit target under this strategy is usually set at 50 pips, and the stop-loss order is mostly placed anywhere between 5 and 10 pips.
- **Forex 1-hour trading strategy:** This strategy makes use of the 60 minutes time frame. Most of the time, you need a one hundred pip momentum indicator and indicator arrows, which are very much available on metadata 4.

- **Forex trading weekly strategy:** Forex weekly trading strategies can give more flexibility and stability over the in-trade strategy. A weekly candlestick provides extensive market information.
- **Trend following Forex trading strategy:** When a market breaks out of a range, moving below the support or above the resistance, a trend usually results. When support breaks down and a market moves to new lows, buyers won't buy for the meantime. They will always want to wait for the steep to fall to the bottom low before investing their cash, owing to that things become cheaper at this point. There will also be some traders engaging in panic buying, and some of them might even be forced to vacate their long-standing position.

Trend-following strategies make traders invest their money on the markets once they have been able to break through resistance and sell markets, and when they have fallen through support levels. In addition, trends can be dramatic and linger too long. Because of the level of systems involved, this type of system has the potential to be the most successful trading strategies.

Features of Forex Day Trading

There are many features of Forex day trading which includes:

1. **Non-stop trading:** Trading is continuously in operation if there's a market opened in any part of the world.
2. **Tight spreads:** With the tight spread, you can be charged less for each trade. Forex market involves high trading volume, you can be able to avoid less slippage. Slippage occurs when you click on a market price, and another one appears just after you must've ordered the previous one. You can leverage on tight spread to help reduce the level of slippage.
3. **Flexibility and convenience:** Forex trading software is available for downloading on phones, which get you online every time.
4. **Fractional pips:** provides more accurate and tighter spread with better liquid and less slippage.
5. **Trading at your convenient time:** FX runs 24 hours a day, even on Sundays. This gives you time to work on any day and at any time.

Day Trading Stocks

Stocks are the capital raised by a company through trading of shares. Stocks are real long-term investments, but they can still offer opportunities for day traders who want to make maximum daily profit. They only need to have the right plan. Stocks trading today has become a dynamic and exhilarating investment. Stocks are easy to buy and sell. With the advent of sophisticated computers and the internet, the market is now widely accessible.

Intraday trading usually takes at least a couple of hours, to minutes each day, and you must be very conscious to have your trade very early in the morning when the market is booming. However, longer-term stock investing normally doesn't take up time as much as Forex trading or intraday trading. Short-term trading stock is usually harder, especially if you focus on more than one stock at a time. You also don't have to be hasty while making decisions.

The Perfect Time to Day Trade Stocks

Timing is applicable in almost everything in life, likewise in the day trading stock business. If you don't know the best times to trade stocks, you may find day trading stock very difficult. You should find the following tips easy:

- Don't wait too long to get started; remember procrastination is the thief of time. You should have a habit of waking up early in the morning, arrange your workstation and start your daily activities.
- Trade in short burst: Sometimes, it's not until you trade for 8 hours stretch before you make that big profit. Day trading for 2 hours to see a return of \$800 is better than day trading for 5 hours to only realize \$800.

CHAPTER 17.

Watch List

As an active day trader, you must create a trading watch list. Basically, this is a list where you record the daily share prices of a group of stocks over time. It acts like a menu for the trading day. Based on the fundamental and technical new catalyst, a trading watch list should have active stocks that are ready to trade. It can either be done on the notepad, a spreadsheet, or even on paper. There are many software programs and other utilities that help in generating a watch list. It can also be provided by some brokerage houses where you pay a minimal charge, or for free.

A trader can have more than one watch list, but there are two specific watch lists that every active trader should never mess; a general watch list and a dynamic watch list. The general one may be composed of hundreds of stocks that are familiar to the trader. Every trader should also narrow down from the general watch list and come up with an active stock watch list every trading day before the market opening. This watch list should have stocks that the trader has been watching for days or weeks, that may be about to set up for a technical movement.

Stocks in Play

When a stock is widely believed to be a takeover target, it is said to be in play. Day traders widely trade stocks in play because their volatility produces reasonable risks and trading opportunities. When company stocks have less volatility, they move slowly, and they only have a reasonable price change only when the company shows good or bad trading outcomes. This may occur only a few times in a year. Such companies are ideal for investors looking for returns in the long-term. Long term investors buy shares in these

companies, which have good prospects, with shares moving slowly in the right direction, and it matters less to them if the share price doesn't move much intraday. But day traders buy and sell stocks during stock market opening hours and exit the trade before the day ends. Sometimes they even trade for a few minutes or an hour and exit the market. They, therefore, require more action than investors. They need stocks that move and produce price swings so that their trade becomes worthwhile. Such fluctuations in prices leave enough room for them to realize profits, after paying the association fees charged by stockbrokers for buying and selling shares.

Stocks in play also have a large volume. Day traders are after quick entries and exits, and they want liquid stocks. That means they can buy and sell shares in the stock on demand. The broker is unable to negotiate the deal that the trader wants to buy or sell at. For day traders, this is a problem because it means the difference between a profitable trade and a non-profitable one. Day traders are guided by trade volumes of shares that are traded each day to arrive at what they consider good liquidity for them. For most traders, one hundred thousand shares traded per day would be their minimum, while some other traders may require a million shares. Stocks in play will change in one day. An ordinary stock will be put in play by the company news, which is typically released early in the morning, and it will vary depending on the nature of the news, whether it is good or bad.

Float and Market Cap

As an active day trader, it is crucial to understand the link between company size, risk, and return potential. Such information is vital as you lay the foundation to pursue long-term trading goals. With such knowledge, you can build a balanced watch list that comprises different market caps.

Market cap means market capitalization. It expresses the stock value of all the company shares. To arrive at the market cap of an entity, multiply the entities' shares by the stock price. An Entity with \$50 million in shares with each share trading at \$20 then \$10 billion will be its market cap. Market cap is necessary because it helps traders to understand and compare the size of different companies. Market cap helps you to know the worth of different companies in the open market. It also helps you to understand how the market perceives a company and mirrors what investors and traders are ready to pay for its stock.

Large-cap stocks: \$10 billion and over is their stock market value.

Typically, these are reputable companies that produce quality goods and services. They experience steady growth and have a history of consistency in dividend payments to their shareholders. Their brand names are familiar to national and even international consumer audience. They are dominant players in their respective industries of the establishment. They are ideal for conservative investors since they pose less risk as they have less growth potential.

Mid-cap stocks: Typically, these are businesses with a minimum market value of \$2billion and a maximum market value of 10\$billion. In other words, their market value is between \$2billion and \$10 billion. They are medium-sized, established companies with growth potential. Such companies are either experiencing rapid growth, or there is an expectation that they will grow rapidly soon. They are in the stage of boosting their competitive advantage and widening their share of the market. This is a crucial stage since it determines their ability to attain maximum potential. In terms of risk, they have less risk in comparison with new startups. When it comes to potential, they offer more potential than blue-chip companies since they are expected to continue to grow until they reach full potential.

Small caps: their market stock value ranges from \$300 million to \$2 billion. They are growing businesses that are just emerging in the industry. They are the riskiest and the most aggressive and rely on niche marketing to survive in the industry. Due to limited resources, they are vulnerable to economic shocks.

They are susceptible to intense competition and market uncertainties. Since they are new startups, they have high growth potential in the long-term, and they are ideal for investors who can cope up with volatile stock price swings in the short run. Float, on the other hand, is the number of shares, which are available for trading by the general public.

Unlike the market cap that calculates the total stock value of all company shares, free-float does not include locked-in shares. Locked-in shares are those that are held by company employees and the government.

Pre-Market Gappers

Pre-market trading refers to trading activities that take place between 8 am and 9:30 am EST every trading day. This is usually before the regular market session begins. Traders and investors monitor the pre-market trading period

to judge the direction and the strength of the market while waiting for the regular trading session. During the pre-market activity, there is limited liquidity and volume.

Wide bid-ask spreads are a common thing during the pre-market period. The type of orders that can be used during this period is limited by many retail brokers, even though they offer pre-market trading. As early as 4 am, direct-access brokers begin to allow access to the pre-market activity to start. It is crucial to bear in mind that there is a limited activity during this pre-market period.

Real-Time Intraday Scans

A stock scanner is a screening tool that uses user-selected criteria and trading metrics to search the market and find stocks that meet the set standards. They can be modified to find the most suitable candidates that match user-specific filters using technology. They have helped to streamline the time-consuming task of attempting to trace new trading opportunities.

This makes it efficient and convenient for traders to quickly find potential stocks. It is an essential tool for traders and investors due to its speed and convenience.

Real-time intraday scans are essential for day traders, and they work to spot stocks during market hours. They produce results that are highly sensitive to time and require the trader to analyze them quickly on the fly to determine whether a trade should be made. Intraday patterns require quick action as they develop and fade within a short period.

Real-time intraday scans help day traders to maximize the limited time duration they must make decisions before the patterns shift. They are a great way to introduce a trader to new stocks, especially when they search the whole market for candidates. These new stocks can then be added to the watch list. These new stocks can then be monitored to get acclimated to the liquidity, trade volume, spread, and the pace of the price action. A trader can dramatically narrow his field by modifying the filters to search only for stocks that meet his desired price range and minimum volume requirements.

CHAPTER 18.

Technical Analysis

Technical analysis is the study of the price changes and trends of a stock or security. The study involves traders inspecting a stock's trading history through technical indicators and charts to determine the future direction of the stock price. Statistical trends, such as price movement and volume identified from the past, determine future trading opportunities. Technical analysts, therefore, focus on price fluctuations, trading signals, and analytical charting tools to examine the strength or weakness of a specific security.

Technical analysis is more dominant in forex and stock markets where traders limit their attention to short-term price movements. Technical analysts aim to comprehend the market emotion behind the price patterns by looking for trends rather than evaluating the basic qualities of a stock.

Technical analysts assume that markets are resourceful with values representing influences that impact the price of a stock or security. However, the analysts acknowledge that price fluctuations are not entirely haphazard but move in recognizable trends that tend to reoccur over time. There are two different approaches to technical analysis: the top-down approach and the bottom-up approach. The top-down approach involves evaluating securities that fit into a certain standard. For example, a trader may want securities that moved away from their 50-day moving average as a buying prospect.

The bottom-up approach deals with assessing stocks that appear primarily interesting for potential entry and exit points. For example, a trader may discover undervalued security in a downward trend and use technical analysis to find an entry point when the security price stops decreasing.

Different types of traders use different types of technical analysis. While

position traders may use analytical charts and technical indicators, day traders may use simple trend lines and volume indicators to arrive at trade decisions. Similarly, traders coming up with computerized algorithms may use a combination of technical and volume indicators in their decision-making processes.

Trend line Analysis

Day traders study trends to forecast the future price changes of stock. Historical trends in the price movement give day traders an idea of what the price movements will be in the future.

Day traders carry out trend analysis on short-term, medium, and long-term time frames. In that way, the traders can determine when the price of a security will rise or fall. Along with that, traders can also predict when the market will rise or fall. By being able to determine price movements, traders aim to time the market so that the traders can enter long positions or buy when the stock prices are at their lowest and sell when the shares are at their highest buying price.

As such, day traders pay attention to an economic institution's financial information and general economic conditions to forecast accurately, the future trend of an investment in the marketplace.

For instance, a trader's trend analysis shows that company X's security is at a low price, and according to past price action, the security's price tends to rise once it hits that low price. Consequently, the trader may take that as an indication that he or she should buy the company's security to make a profit when the security price moves up.

However, when the trader miss's information that the company laid off 30 percent of its workforce, to refinance its debt due to payment problems, then the trader may be setting himself or herself up for a loss. Therefore, although technical analysts may use large amounts of data to carry out an analysis, there is no guarantee that the analysts' predictions will be accurate.

Volume Analysis

Volume analysis involves the evaluation of the number of shares or contracts that a stock or security has traded within a specified period. Day traders use volume analysis to examine patterns in volumes in relation to price movements.

As a result, traders can know the importance of changes in the price of an asset or security. Like any other technical indicator in the marketplace, the volume presents to buy and sell signals to traders. Traders can know which signal to take by studying the pattern of the price movement. Are the trends strong in one direction? In addition, the traders can look at the moving average at the point of a breakout to determine whether the price movement captures the sentiments of significant investors.

When the demand for an underlying stock is high, it means that many traders have an interest in the underlying stock and are therefore prepared to pay more for it.

The volume gives an indication to day traders of how many investors want certain security. Day traders use two types of volume indicators; the positive volume index (PVI) and the negative volume index (NVI). Both indicators operate based on the previous day's trading volume and the market price of a commodity.

Consequently, when the trading volume goes up from the previous day, the traders fine-tune the PVI. When the trading volume goes down from the previous day, the traders adjust the NVI accordingly. Traders use the PVI and the NVI to evaluate how volume affects price movement. An increase or a decrease in the PVI implies that the volume drives the price movement. Contrariwise, an increase or a reduction in the NVI suggests that the volume has a minimal effect on the price changes.

Candlestick Charting

Day traders use candlestick charting to trace price fluctuations. The traders utilize the candlestick charts to show the price changes during a single period for any time frame. For instance, each candlestick on a 4-hour chart shows the price movement within four hours.

The peak point of a candlestick displays the highest price a stock traded during the set period, whereas the lowermost position indicates the lowest prices of the stock during that period. The part in between the highest and the weakest points in the candlestick shows the opening and closing stock prices for that period.

Traders choose the colors to use in the candlestick charts to follow the price movements at a glance. As a result, traders get more visual cues and trends as they carry out technical analysis.

CHAPTER 19.

Day Trading Broker

A day trading broker sells and purchases stocks within the same day. Currency, stocks, and commodity futures are the usual investments involved in day-trading. Stocks are among the three, which are usually traded daily. Most novice traders prefer this kind of stock trading, as it allows you to hourly watch the movement of the stocks.

Looking for a stockbroker that works fast and decides quickly if you plan on buying and then selling stocks within the same day is critical. In this case, time is the most important element and a day trading broker who just won't cut dilly-dallies. A split second can really make a big difference in how much money you earn or lose. There is a time lag between when you place a stock order, and when the broker buys it for you. Seconds and minutes count, and if your broker is slow, you might miss a chance, or worse, lose some money.

Customer satisfaction is another important factor in selecting a broker. It is important that day trading brokers are accessible throughout the day, whether online or over the phone, always. A broker must please nervous customers during the day because of the stress and time pressure involved in day-trading. If you go online to trade, you might find reviews about certain companies and brokers that offer this service. These reviews and suggestions from customers will help you pick a stock broker, you will count on to be there. Once your broker has been picked, start trading in small amounts before your broker proves to be someone you can rely on.

Another thing to consider is the commission. Commissions are paid to your day trading broker when you buy and sell stocks. Seek to locate a discount broker who will demand reduced rates and smaller commissions. Discount brokers charge less because they are only responsible for buying or selling

stocks upon your request. All other things and decisions are taken on your end. Some brokers will throw in a free transaction with the expectation that you will keep them as your broker for future transactions.

If you are thinking about buying and selling different types of financial instruments to double your profitability margins, you should consider going with a day trading broker to help you. There are several financial instruments that are just waiting for you to invest your money, but you will need to exercise some amount of caution investing in high-risk financial instruments like stocks and other popular financial instruments. However, if you don't mind taking risks for higher returns, then you probably would enjoy investing. The day trading style of buying and selling financial instruments may vary from other forms of trading, primarily because they are rarely if ever at all kept overnight or at the end of the trading day.

Even though trading through the day is an old style of trading, it is still a lucrative venture. However, it is not recommended that you do it on your own, but you should get a broker for all your stock transactions. It is simply called thus because it's usually the same-day transaction that includes buying and selling a financial instrument. If you are looking for the best day trading broker, you will have to consider a few things. Firstly, one of the key factors that determine the good day trading broker from the poor ones is timing. Timing practically means money made out or money lost in the world of day trading. Hence, a few minutes could either add to your overall productivity standing or effectively subtract from it. So, when selecting a day trading broker, you should try to make sure you pick the broker that can manage your transactions quickly. If you choose a broker that cannot handle your business execution quickly, you will be at a disadvantage, and you may be in a position to lose lots of cash, mainly because your lag time should be considerably less for you to be able to make a decent profit.

Customer Service is another factor you should consider when choosing a day trading broker. Because you have to work for a short period when buying and selling financial instruments daily, you will need to have direct access to your day trading broker at all times during the trading hours, whether by telephone or over the Internet. Besides this, you'll need to consider commission concerns. You should bear in mind that you'll be required to pay a commission fee whenever you buy or sell the stock. A good day trading broker will offer the best service you need to help you make those high

profits at good affordable rates. If you choose a day trading broker with high commission rates, you could be in for some serious trouble, mostly because commission fees would eat away a significant portion of your income which. I'm sure you wouldn't want to happen. Look for great deals as there are some brokers that will be offering free trade on certain terms.

You can also select the broker with the experience and skills in both stock trading and options trading, which will improve your chances of making money. This paradigm may sometimes seem outdated for so-called "day traders"—especially since so many independent investors now believe that the new technologies allow them to do business without the assistance of a real-day trading broker. Nonetheless, the truth is something entirely different. Getting a broker to not only conduct your business for you but to provide input and expert guidance is still one of the best ways to avoid making mistakes that you will regret later.

Traders Vary in Approach

The first thing to understand about finding a broker to assist you in your business is that no two brokers are exactly alike in their overall approach to customer or business management. Obviously, the level of trading you're planning to do with will have a tremendous impact on which brokers will fit for you. Many of the larger brokers dealing with investors trading tens of thousands of shares every day are often not as successful in handling smaller accounts that may only trade several hundred shares. Your job will be to find the day trading broker that best suits your need for quick, reliable, low-cost trades and at least a minimum amount of expert analysis and advice.

What Are the Targets?

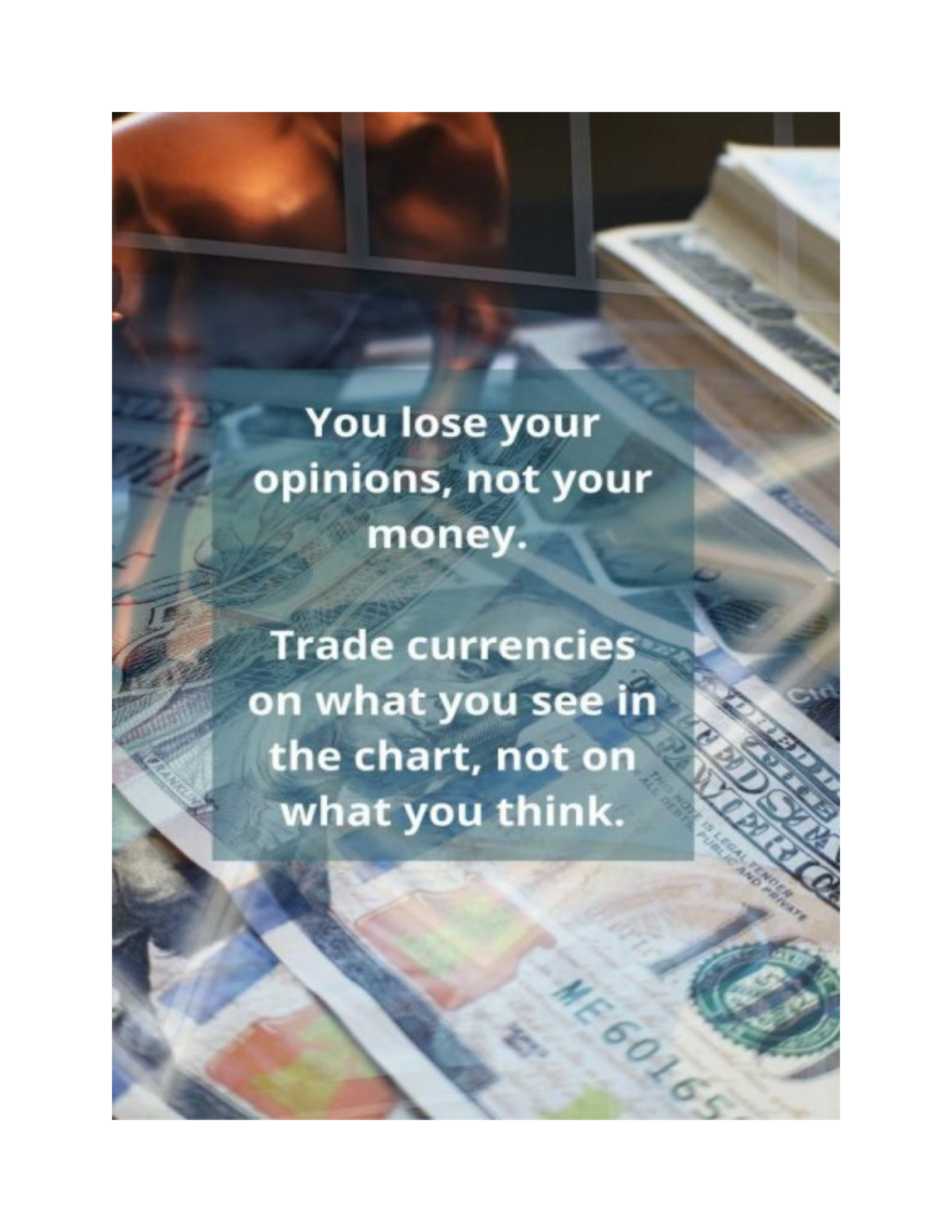
It's important that you understand your own trading goals before you look for a broker. If you're only planning to hold stocks for a limited period, then you'll want a broker who's used to chasing market ebb and flow. However, if your plan is to find and keep many good stocks, so they have time to accumulate the maximum value, then a trader with expertise in managing fewer volatile portfolios will be well serving you. Basically, you want to decide whether to trade to make money quickly or as a long-term investment vehicle.

Do the reading

You'll need to do some online research to find out more about every of the

many brokerage firms that are vying for your company. Be sure to check for any forums or sites that assess the reputation of a company when you are doing your research. People who have had experience with a day trading broker on many occasions-whether that experience is positive or negative-are only too happy to share their stories on a forum or blog. These personal testimonials can provide you with important information about the timeliness of the broker's customer service, the rates of the firm, and the minimum amount of investment they require.

One effective way to get started in the day-trading world is by joining a day trader club. There are a variety of these groups across the country, and they all share a passion for helping each participant understand the dynamic world of stock trading more clearly. Just be sure you're taking your time and fully understanding where your money goes before you start your life as a day trader. Choose a day broker who is also an expert in day trading and options. You'll have more than one option about how to trade this way throughout the day. Choose a broker that can be flexible and cater for your daily business needs.



**You lose your
opinions, not your
money.**

**Trade currencies
on what you see in
the chart, not on
what you think.**

CHAPTER 20.

Forex Day Trading

Day trading is not only limited to the equities or stock market. You can also use day trading strategies for other instruments such as foreign exchange, options, and futures markets.

The foreign exchange market (simply known as forex) refers to the actual market where market participants can trade or speculate currencies. It plays an important role in the global economy because the currencies must be converted first before anyone can facilitate business.

For example: if you are in Japan and you like to buy 300 sacks of curry powder from India, you need to pay your supplier in Rupees (INR). But before you can do that, you need to exchange the corresponding value of Japanese Yen (JPY) into INR. Forex is also vital in tourism. A Chinese tourist cannot pay in Yuan when in Paris because Yuan is not the accepted currency in the country. Hence, he must exchange Yuan to Francs at the current price. The need to exchange currencies for either business or personal transactions affect the high liquidity and volatility in the forex market. In fact, the forex market is a lot bigger than the equities market. It is estimated that around \$5 Trillion are traded in the forex market every day. An important feature of this global trading platform is that there's no organization or group that manages the trade. You may trade in the forex market via digital channels through over the counter (OTC) transactions.

Instead of a central platform, forex transactions can happen online in several regions around the globe. Unlike in the equities market where you need to wait for the market to open, you can trade in the forex market 24 hours a day and 5 days a week, because the currencies are traded in different financial

spots such as Paris, Hong Kong, Zurich, New York, Sydney, Singapore, Frankfurt, Tokyo, London, and New York. This passes through various time zones, so if the trade is closing in Singapore, the platform is just starting in London.

Forex Spot Market

The forex spot market is the platform where day traders can buy and sell currencies based on the prevailing rates. The price can be affected by the current demand and supply and is also affected by different factors such as political situations, economic performances, current interest rates, and currency pair performance perception. In the spot market, the spot deal refers to the final deal. This is a two-channel transaction wherein one party will provide an agreed currency rate. The transaction is completed if the position is closed.

Forex Futures and Forwards Markets

While the spot market is known as the platform where day traders can trade in present commodities, the trades can be settled also in a matter of days or weeks. In that case, it is known as swing trading and not day trading. On the other hand, there's no actual trading of currencies in the futures and forwards markets. Rather, market participants deal with contracts, which signify a claim to a form of currency and a unit price. The trade is only settled at a future date. In the futures market, the trades are settled based on a standard size and the settlement date for public financial markets such as Chicago's Mercantile Exchange. The futures market in the US is administered by the National Futures Association. The contracts in the futures market have specific details, including the units for trading, settlement date, and the increase in price.

In the forwards market, the contracts are exchanged over the counter between two traders who will agree on specific terms. Global companies are primarily trading agreements in the forwards market to hedge against the fluctuations in the exchange market. Therefore, this platform is usually not ideal for day traders. Bear in mind that an important differentiating factor between the forex markets is how we quote currencies. Within the forwards or futures markets, the currencies are always quoted against the US dollar.

Therefore, the pricing is conducted in terms of how many USD you need to purchase a single unit of a certain currency. Take note that in the forex spot

market, some currencies are quoted against the US dollars, while there are also quotes where USD is quoted against them. Hence, the quotes from the futures/forwards market and the spot market will not usually become aligned with each other.

As an example, in the forex spot market, the Euro is quoted with the US dollars as EUR/USD. This is also the manner used for quoting currencies in the futures and forwards market. Hence, if the Euro becomes stronger than the US dollar in the spot market, there is also a high tendency for the currency to rise in the futures and forwards markets.

Meanwhile, in the case of the USD / JPY currency pair, USD is quoted against JPY. The current quote in the spot market for this fx pair is 110.27, which means that \$1 will buy 110.27 Japanese yen. But in the futures fx market, the quote will be .0090 or (1/110.27), which means that 1 Japanese yen will buy .0090 US dollars.

Therefore, a slight increase in the USD/JPY in the spot market will result in a fall in the yen futures rate since USD will be stronger against the yen, and so one unit of yen will buy fewer dollars.

Setting Up Your Forex Day Trading Account

Forex day trading is quite like stock market day trading because you have first to open your own trading account. Like the stock market, every forex account, as well as the services you can take advantage of can be different. Hence, it is crucial that you look for the most suitable platform for you.

Trading Leverage

When we speak of leverage, we refer to the opportunity to take control of bigger amounts of cash with minimal capital from your own pocket. The leverage level is directly proportional to the risk level. Take note that the leverage amount on a platform could vary, according to the features of the account on its own. However, the most popular one is 50:1 leverage. Some accounts could offer a maximum leverage of 250:1.

For example: the maximum leverage of 100:1 signifies that for each dollar that you hold in the brokerage account, you can use up to \$100. For instance, if you have an account balance of \$100, the brokerage can allow you to trade as much as \$10,000 in the fx market.

This leverage could also define the total amount that you can hold in your

account or your margin for trading a specific amount. In the stock market, the margin is often at 50%, and the leverage could be 50:1, which can be at least 2%.

In general, leverage is regarded as a primary advantage of trading in the foreign exchange market, because this will allow you to create substantial gains with minimal capital. But leverage could also have extreme downsides when a trade is moving in the opposite direction because the losses could also be big. With this leverage type, there is always the actual probability that your losses are higher than what you have invested, even though most accounts have safeguard stops to prevent the account from hitting negative. As such, it is crucial that you take note of this when you open a brokerage account, and once you identify your preferred leverage, you can understand the involved risks more.

Fees and Commissions

Another major advantage of forex platform is that investing through them could be done through commissions, which is unlike stock market accounts where you need to pay a broker a certain fee for every trade. You are now directly dealing with market players, and you don't have to pass through another layer, such as brokers.

Every time you enter a trade, it is the market makers, which can seize the spread. Hence, when the ask/bid for a forex market is 1.5300/50, the market maker can capture the difference between the points.

In setting up your own forex account, be sure to take note that every firm has various spreads on currency pairs that you trade. Even though they are usually different by only several pips, this could be substantial when you are planning to do a lot of trading.

Hence, in setting up an account, be certain that you are aware of the pip and spread of specific currency pairs that you are interested in trading.

CHAPTER 21.

Trading Platforms

Day traders have a variety of trading platforms to choose from. A trading platform is a program or software that a trader uses to access market data, conduct their analysis, and place trades. There are tens of available platforms in the market. Recently, due to the growth of the trading industry, more options have been introduced, and competition has become stiff. At the end of the day, it is up to the trader to decide on the platform or platforms to use.

MetaTrader 4 (MT4)

MT4 is one of the oldest trading platforms in the industry. It is one of the programs that led to the growth of retail traders as it enabled them to access the market. Traders find it highly reliable and easy to use, making it the most popular trading platform in use for decades now.

- It is highly stable.
- It supports a lot of indicators, trading instruments, and robots.
- It can work on all mobile and computer operating systems.
- It is available in almost all brokerage companies.
- It is free.

MetaTrader 5 (MT5)

Just like the names suggest, MT4 and MT5 are related since they are made by the same company (Metaquotes). Their major difference is that the MT5 platform is more advanced and includes more features than the MT4. For instance, the MT5 is even more stable. It is faster, holds more robots and indicators, and comes with more trading instruments.

It is advisable that even if you start out with MT4, you should gradually transition to MT5 as the older platform may stop being used in the future. We are going to base our learning on this newer trading platform. You can also use the MT4 as they operate the same way.

Ninja Trader

The Ninja Trader platform is quite young compared to the MT4. It came into the market in 2004. All the same, some traders prefer it over the MT4. While the MT4 is mostly suitable for trading currencies (forex and cryptocurrency), the Ninja Trader readily supports forex, stock, and futures trading. In addition to this, the platform offers trade simulation, automated strategy development, and advanced charting tools and abilities. Some disadvantages of the Ninja Trader that keep the MT4 in the lead include:

- Users must buy a license or lease the platform to be able to execute trades, and plug-ins like indicators and robots are not free.
- It is not a market data provider, so traders must connect to a data provider like Kinetick or Google.

cTrader

The cTrader software comes third after the Metaquotes platforms and Ninja Trader. It has been displaying stiff competition in recent years, and many brokers have been taking it up. Some of the features that make it highly competitive include fast trade execution, cheaper costs of trades, vast device support, and advanced charting capabilities. However, unlike the other platforms, it does not support Windows Phone OS.

ProRealTime

ProRealTime is a web-based platform (it does not need to be installed on a computer) as it is backed up on the cloud network of the company. It uses a unique coding language (ProRealCode) to create market analyzing tools. While this feature makes it unique, it also means there are fewer tools available online. Another disadvantage is that users must pay to use the platform and access real-time data.

ESignal

ESignal might not be the most popular trading platform, but it is a favorite

tool for advanced traders who prefer to customize their own trading approaches. Once a trader learns the supported coding language, they can create their own indicators, trading strategies, and other analytic tools. In addition, eSignal allows a trader to view over 500 trading instruments at a go. On the downside, traders must pay annual or monthly fees to gain access to market feed. Second, the platform is not common in most brokerage companies. Remember, it is up to you as the trader to decide on the type of trading platform to use. Though, the MT5 is user-friendly and contains all the necessary tools, instruments, and features that a trader needed.

Installing the Trading Platform

The trading platforms are available on the brokers' websites. You need to sign up with a broker of your choice before accessing any trading platform. Once registered, the broker will provide you with a list of all the trading platforms that they support for you to choose from. The installation process is quite simple and usually requires filling in some personal details and other information that will be provided by the broker. In our case, we shall be using the MT5, which is very similar to the MT4 platform. The MT5 is very easy to install. To make it even better, we can use the platform for learning purposes without signing up with any broker. However, this will only be a demo account. To access the MT5, head over to the Metaquotes website, and download the MT5. I recommend this method because you will not have to undergo the long process of applying for an account. You can do this when you are ready to use a live account. Once you have downloaded the MT5 file to your computer, run it and make sure your internet is active.

Types of Charts on MT5

Now that you have the trading platform ready let us look at the types of charts that you can use. The four windows with a lot of graphics that you can see above are known as charts. Let us look at the three types of charts that we can use for analyzing the market:

- **Line Chart:** To activate a line chart, you need to first select one of the charts in the open windows. Once you have chosen your chart, click on the "Line chart" icon at the top of your MT5.

This is a simple graphic that represents the movement of prices. When it is sloping upward, it means the price was increasing, and when it slopes

downward, it means the price was decreasing.

- **Bar Chart:** To activate a bar chart, you need to click on the “Bar chart” tool at the top of your MT5. Unlike a line chart, the bar chart has more details. It shows the opening and closing of prices.

The vertical lines with tiny horizontal lines on either side are called “hashes.” The hashes on the left show the opening prices, while those on the right show the closing prices. The top of the bars represents the highest point that price went, while the bottom part shows the lowest point that price touched. Bar charts are also known as OHLC charts where ‘O’ stands for the opening price, ‘H’ for the highest point that price went, ‘L’ for the lowest point, and ‘C’ for the closing price of the bar.

- **Candlestick Charts:** Candlestick charts are the most interesting charts. They use bars that look like candles with wicks to show the performance of price. Just like bar charts, they also show the open and closing prices, as well as the highs and lows of prices. However, they look different in that they have wider bodies and single lines on either side called ‘wicks.’ Candlestick bars are also colored to represent prices going up or down within a selected timeframe.

To activate a candlestick bar, click the “candlesticks” icon next to where you found the line and bar chart icons. You can customize the colors of the candles as you wish. In most cases, bearish candles are filled with red color, while bullish ones are filled with green. However, the colors have no effect on one’s trading; they only help one to see price behavior more clearly.

CHAPTER 22.

Fundamental Analysis

The main purpose of fundamental analysis is to receive a forecast and thereby profit from future price movements. There are certain questions that fundamental analysis seeks to answer:

- Is the firm's revenue growing?
- Is it profitable in both the short and long terms?
- Can I afford to settle its liabilities?
- Can it outsmart its competitors?
- Is the company's outlook genuine or fraudulent?

These are just a few examples of the numerous questions that fundamental analysis seeks to answer. Sometimes traders also want answers to questions not mentioned above.

In short, therefore, the purpose is to obtain and profit from expected price movements in the short-to-near-term future. Most of the fundamental analysis is conducted at the company level because traders and investors are mostly interested in information that will enable them to decide on the markets.

They want information that will guide them in selecting the most suitable stocks to trade at the markets. As such, traders and investors searching for stocks to trade will resort to examining the competition, a company's business concept, its management, and financial data. For a proper forecast regarding future stock prices, a trader is required to take into consideration a

company's analysis, industry analysis, and even the overall economic outlook. This way, a trader will be able to determine the latest stock price as well as predicted future stock price. When the outcome of fundamental analysis is not equal to the current market price, then it means that the stock is overpriced or perhaps even undervalued. There is no clear-cut pathway or method of conducting the fundamental analysis. However, we can break down the entire process so that you know exactly where to begin. The most preferred approach is the top-down approach. We begin by examining the general economy followed by industry group before finally ending with the company in question. In some instances, though, the bottom-up approach is also used.

Determine the Stock or Security

You need to first have a stock or security in mind. There are many factors that determine the stocks to trade. For instance, you may want to target blue-chip companies noted for exemplary stock market performance, profitability, and stability. You also want to focus on companies that constitute one of the major indices such as the Dow Jones Industrial Average or S&P 500. The stocks should have large trading volumes for purposes of liquidity.

Economic Forecast

The overall performance of the economy basically affects all companies. Therefore, when the economy fares well, then it follows that most companies will succeed. This is because the economy is like a tide while the various companies are vessels directed by the tide. There is a general correlation between the performance of companies and their stocks and the performance of the general economy. The economy can also be narrowed to focus on specific sectors. For instance, we have the energy sector, transport sector, manufacturing, hospitality, and so on. Narrowing down to specific sectors is crucial for proper analysis. There are certain factors that we need to consider when looking at the general economy. We have the market size, growth rate, and so on. Basically, when stocks move in the markets, they tend to move as a group. This is because when a sector does well, then most companies in that sector will also excel.

Company Analysis

One of the most crucial steps in fundamental analysis is company analysis. At this stage, you will come up with a compiled shortlist of companies. Different

companies have varying capabilities and resources. The aim, in our case, is to find companies that can develop and keep a competitive advantage over its competitors and others in the same market. Some of the factors to look for are financial records, a solid management team, and a credible business plan. When it comes to companies, the best approach is to check out a company's qualitative aspects, followed by quantitative before checking out its financial outlook. We shall begin with the qualitative aspect of the company analysis. One of the most crucial is the company's business model.

Business Model

One of the most crucial questions that analysts and all others ask about a company is exactly what it does. This is a simple yet fundamental question. A company's business model is simply what the company does to make money. The best way to learn about a company's business model is to visit its website and learn more about what it does. You can also check out its 10-K filings to find out more.

Competitive Advantage

We also need to take a closer look at a company's competitive advantage. Any company that is to survive the long term needs to have a competitive edge over its competitors. A company with one such advantage must be Coca Cola because of the unique nature of its products. Others are Microsoft, Toyota, and Google.

Their business models provide them with a competitive edge that is hard for others to compete with. In general, a unique competitive edge is where a company has clear trade-offs and options for customers compared to competitors, a unique product or service, reliable operational effectiveness, and a great fit in all activities.

Management

Also, crucial for any serious company is its management. Any company worth its salt must have top quality management in major positions. Investors and analysts usually look at the level and quality of management to determine their competences, experience, strengths, and capabilities. This is because they hold in their hands the fate of a company. Even a great company with excellent ideas and plans can fail if the management is not right. It is advisable to find out how qualified, experienced, successful, and committed the leadership of a company is. For instance, do they have prior experience at

senior levels? Is there a track record and can management deliver on its stated objectives? These are crucial questions that should be answered appropriately for a positive conclusion.

Industry Factors

When conducting your company analysis, there are other factors that you will need to consider here. These factors include business cycles, competition, growth in the industry, government regulation, and others. It is advisable to also have an understanding of the workings of a specific industry that you are interested in.

Government Policy

In countries such as the United States, government policy is extremely crucial. When conducting fundamental analysis, you really should take this into perspective because certain policies can completely kill an industry.

Market Share

Different companies within the same industry sometimes must work hard to gain market share. There are sometimes a lot of companies fighting for a small share of customers, especially at a local level. If a company controls about 85% of the market, then it means it is a solid company with strong fundamentals. A strong market share also means that a company possesses that competitive edge over its customers. It also means that the company is larger than its rivals and hence has a great outlook.

Industry Growth

This is also another aspect that should be taken into account. Some companies may have everything else working for them, but future growth prospects may not be so bright. It is important to assess an industry and confirm whether there are any prospects for future growth.

CHAPTER 23.

Day Trading Options

While options are frequently left out of day trading strategies, this trend is slowly changing. Traders are slowly but surely realizing that they can apply many standard day trading techniques when it comes to selling and buying options successfully.

Intraday trading challenges: When attempting to day trade options, you are likely going to run into some unique challenges that you should be able to best with the proper consideration.

Price movement will decrease value more significantly due to the time value naturally associated with options that are only near the money so close to their period of expiration. Remember, while their inherent value is likely to increase along with the underlying stock price, that will be dramatically countered by the time value loss.

The bid-ask spreads are typically going to be wider than they would otherwise be, which is due to the reduced liquidity that you will typically find with the options market. This will frequently vary by as much as .5 of a point, which can cut into profits if things move at an inopportune time. Some types of options are naturally a better fit when it comes to day trading than others. Perhaps the most effective is the near month in the money option, which is appropriate for those traders who are a fan of trading stocks with a high level of liquidity. The premium on this type of option is based more closely on its overall value as it is already in the money and getting close to its expiration date. If this occurs, the time value drain is decreased dramatically. This type of option is generally traded most effectively in periods of high volume, which tend to result in a decrease in the gap between asking price and

bidding price.

Protective Put

The protective put is a type of option that is useful when you purchase put orders along with shares of the related underlying stock. You are planning on implementing a strategy based around protective puts then you will want to begin with a purchase of underlying stock in a multiple of 100. You will then want to create an equal number of puts as you have shared. This is a great strategy to move forward with if you have a strong reason to believe that a bullish strategy has a high chance of success, but you are also interested in ensuring that your short-term losses are minimal as well. This is when the protective put comes into play as it will help to generate a price floor that ensures the underlying stock will never drop below what the premium payout ends up being.

It doesn't matter which strategies you ultimately deploy, you will want to make it a habit of going into a transaction only after you are crystal clear on what the risk you are going to be facing is likely going to throw your way, regardless of how much of an expert options trader you fancy yourself. Protective puts are one of the lowest risk possibilities around which makes them a great choice when you are sure about the theory behind a given option, but not so sure about its practice. What's more, they will also make sure that you will always have extra shares of the given underlying stock hanging about in case an option is exercised earlier than you were expecting it to be.

Understand the Risk of Early Assignment

It is common for new traders to sell options or months without realizing they are putting themselves at risk until they are handed their first early assignment and are forced to deal with it in any way possible. An early assignment occurs when a holder exercises their rights well before the expiration date of the option in question that you are the writer on and it means you have to fulfill your obligation even if the terms aren't as much in your favor as you would like. If this happens to you, the best thing you can do is not to let your emotions get the better of you and instead look for ways to make the best of a bad situation before committing to anything specific.

Binary Options

Binary options are also a great way for those who are interested in day

trading but don't have the serious capital required to get off the ground, to ply their trade. Traditional stock day trading limits don't apply with binary options, so you can start trading with just 1, \$100 deposit. It is also important to keep in mind that binary options are a derivative created by its association with an underlying asset, which means they don't give you ownership of that asset in any way. This means you cannot exercise them to generate dividends or enact voting rights as you would with standard options.

Track Your Results

When it comes to tracking your trades properly, the strongest metric for success is going to vary noticeably depending on what types of trades you tend to prefer. If you find yourself constantly making risky trades that may pay off significantly, then you will be most interested in the pure amount you have made overall while day trading. However, if you are a trader that prefers to take things at a more cautious pace, then you will be interested more in the number of trades you have completed that ended successfully versus the number that ended in a loss as a pure number might not tell the whole story in that case. Don't forget to consider which metrics are right for you as basing your analysis on the wrong data could easily send you spiraling in a counterproductive situation when you were already on the right track, to begin with. Consider the following metrics first and then dig deeper if you still haven't found what you are looking for.

Total Net Profit

The total net profit broadly determines the success or failure of a plan or system over a specific period. This number can be found by taking the total gross loss, adding it to the commission costs, and then subtracting from the total amount made from successful trades. While it is good to know if you are turning a profit, the total net profit can be deceptive as well because it won't show how often your plan or system was successful, just the overall results.

Profit Factor

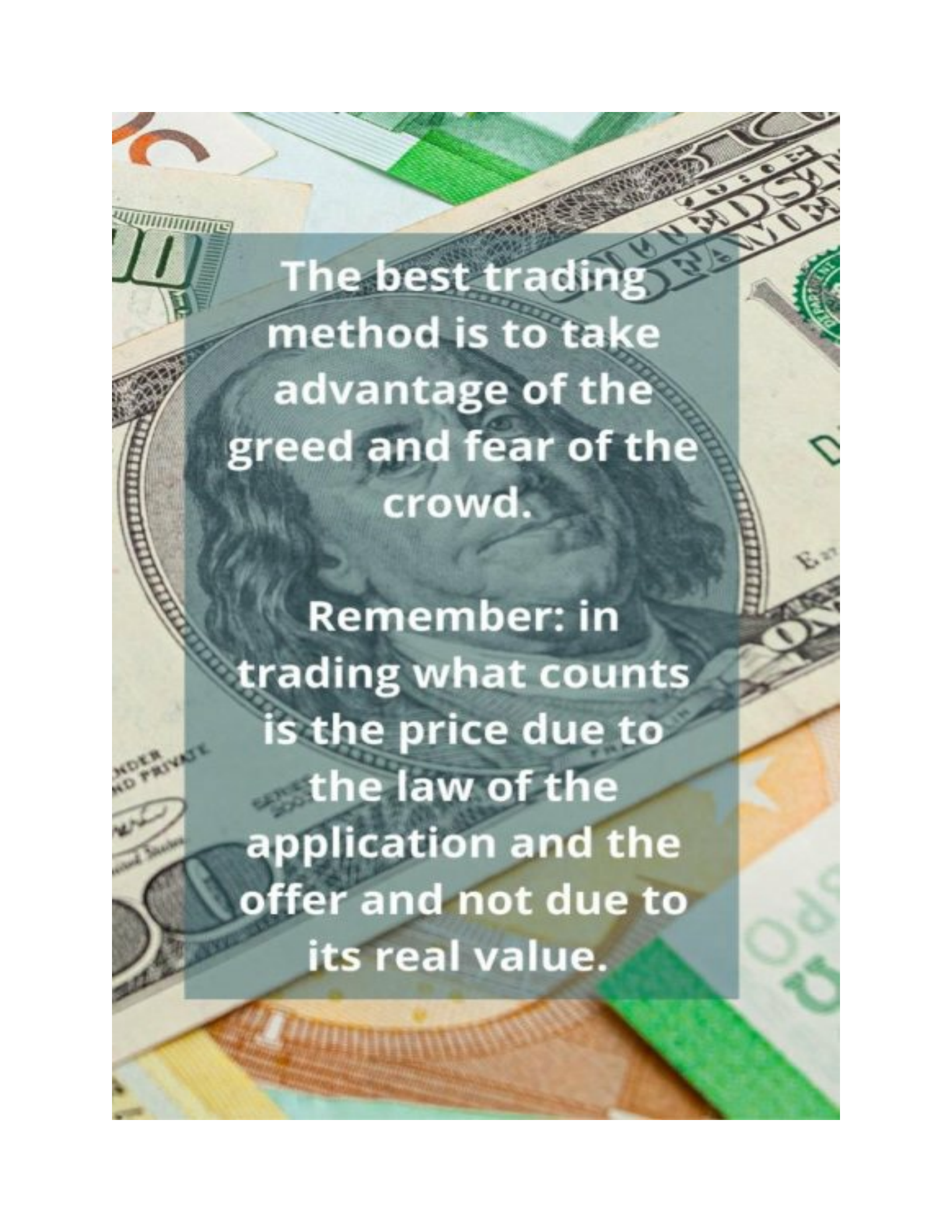
To find the profit factor of your plan or system, you will want to start with the total gross profits and then divide by the total gross losses with any relevant fees added in. If the result is greater than 1 then you can consider your current strategy a success. This number equates to how many units of profit you can expect for every 1 unit of risk you undertake. The higher the number, the greater the difference between your wins and your losses.

Profitable Percentage

Also known as the probability of winning, your profitable percentage can be found by taking the number of trades that you have made successfully and dividing it by the total number of trades that you have made overall. Unlike with the profit factor, there is no right answer to this amount as it is going to vary based on personal trading style. If you prefer higher risk trades, then a smaller number is acceptable. If you prefer more reliable trades, then you will want the number to be as high as possible.

Trade Average Net Profit

The trade average net profit can be thought of as how reliable your system is overall, expressed in the amount of money that typically changed hands with each trade. To find this amount, all you need to do is to divide the total profit you have made by the total number of trades. If the resulting number is negative, then you know your plan needs work. When figuring out the trade average net profit you will want to leave out any exceptionally good or bad trades as they can easily skew the results.



The best trading method is to take advantage of the greed and fear of the crowd.

Remember: in trading what counts is the price due to the law of the application and the offer and not due to its real value.

CHAPTER 24.

Paper Trading

Before concluding that day trading is challenging for you, you need to understand how it works. Novice traders are often advised to engage in paper trading before anything else. Paper trading refers to a process whereby traders are given the opportunity of trading without using their actual money. In other words, they get to trade by using virtual money provided by their brokers. Since there is no real money involved during paper trading, this gives any trader the opportunity of testing their strategies.

If you will be making profits while using paper trading, then there is a good chance that you will also make profits once you begin using your money. Also, a trader can easily make relevant adjustments to their trading strategies to make certain that they make profits from time to time. Since you will not be using real money to trade, you must be wondering why it is important for you to engage in paper trading. Paper trading is a fundamental step in your trading experience. It helps you to learn the basics of online trading without putting your money on the line. Therefore, you get to test different trading strategies, whether they could work or not. Some of the importance of paper trading you should be aware of is detailed as follows. There is no reason why you should hesitate to paper trade since there are numerous paper trading platforms for you to choose from. This means that it would be relatively easy for you to practice trading. You should do some digging to find out the best paper trading platforms that suit you. A good way of evaluating them is by checking the cool features which are provided. For instance, a feature you should not miss in the platform you use is a tool that will show you how you are performing as compared to other traders.

Learning to Trade with Zero Risks

Essentially, one of the main reasons why you should make good use of paper trading platforms is that they help you learn how to trade with zero risks involved. Consequently, you get to develop some sense of confidence in day trading. One huge mental roadblock faced by most traders is the fear of losing their investments. This prevents most traders from trying to trade. With paper trading, this cannot happen. You will not lose any money. In fact, you will be benefiting from the learning experience you will gain.

No Stress Involved

Traders will have to deal with stress from time to time. When their investments are not performing well, this could have a psychological effect on them. A trader who incurs huge losses consecutively could give up in the process. When one chooses to engage in paper trading, they will be preventing themselves from having to deal with stress. You are new to the trading industry. As such, the last thing you need is some negative vibe proving to you that you cannot be successful in day trading. So, start using a paper trading account to relieve yourself from stress, which comes about when traders make trading mistakes.

Build Your Confidence

The confidence you gain in using paper trading accounts is invaluable. At first, you will approach the world of online trading with uncertainty. Well, cut yourself some slack. There is nothing much you know about trading in stocks, forex, and options. As a matter of fact, there are certain terms which could confuse you and you might fail to take advantage of market opportunities when they present themselves. Using paper trading accounts helps you to build confidence as you begin day trading. The assumption that your account is literally growing will motivate you to continue learning. Your focus will be on learning more with the hopes of earning real money soon.

You Can Make Mistakes

There is no way you will learn how to trade without making mistakes. To become a skillful trader, you must know the common mistakes which most traders make. In every mistake, you make while paper trading, you will be better placed to make the right moves once you use real money.

Undeniably, you cannot make the same mistake twice. If a move generates

losses, you will try your best to avoid it in your next purchases. Also, you might make mistakes while selling your securities. For instance, you could sell too early or late, which could affect your financial position. The ability to make mistakes while using a paper trading account makes it essential for any beginner to use it.

Test Strategies That Work

Testing strategies when you begin trading will only increase your risks. You will run the risk of losing your capital as there are chances that you could make mistakes here and there. Concerning this issue, you need to use a paper trading account to put your strategies to the test. You can test as many strategies as you can. Your main point should be to find one strategy you can implement once you begin trading with real money. Keeping this in mind, new traders should not be afraid of failing. They should not be concerned about making mistakes while paper trading. Honestly, they should make as many mistakes as possible to warrant that they are well exposed to the market trends.

Paper trading could be an excellent platform for novice traders to learn the art of trading. The best part is that they get to experiment without using real money. This infers that there is nothing to lose when using paper trading accounts. You will only lose out on gaining the right trading experience if you choose not to use a paper trading account. Traders should always remember to use the same brokers for their real accounts. Why is this important? Well, using the same broker gives you the confidence that you are not far enough from reality. Consequently, it is vital that you compare options before settling for any broker in the market.

There are several points you need to keep in mind to ensure you make the most out of day trading.

Get Acquainted

Before rushing to trade virtually, you should take steps to familiarize yourself with the platform you will be using. Get to know the common terms which are using in day trading. You don't want to incur losses just because of silly mistakes you ought to have avoided right from the get-go.

Take Notes

When trading virtually, remember that you are doing this to learn how to trade online. Therefore, it makes a lot of sense that you should take notes. Record anything you think it is important. If there is something that you did not understand, don't move to the next step without clarifying everything. After the markets close, give yourself some time to go over what you learned.

Execute Bad Trades

Don't just trade on good markets. If possible, try and make the wrong decisions and see what happens. The importance of using paper accounts is for you to learn more about the possible mistakes you could make while day trading. Therefore, don't focus on doing everything right. Execute bad trades and learn from them.

Analyze in Sets

The best way of evaluating your performance is by carrying out your analysis in sets. Group your trades in different sets of 10, 20, or 50 and make your evaluation. Doing this helps you know which trades performed well. Accordingly, from the trading strategies which you will be adopting, you will determine the best ones to adopt.

Euphoria Trading

A big risk involved in paper trading is that a trader might be lured to make certain moves that they wouldn't make in ordinary cases. When they are making huge losses, they might also fail to take their mistakes seriously since there is no money involved in the trading process. This means that a trader might fail to respond in the same manner that they would have done when using real money.

Delayed Data

Traders might fail to gain the real-time data experience that they would have had when using paid accounts. Therefore, delayed data could negatively affect their trading experience. Sadly, there are unscrupulous brokers who might display fake data to their clients. A trader could end up getting the wrong impression about their day trading performance. Overall, it is imperative to use paper trading, bearing in mind that there are many benefits

associated with it. There are many signs that could indicate you are a skilled trader. Nonetheless, the best way of knowing that you are surely on the right path is by educating yourself. This makes it vital for you to use a paper trading account.

CHAPTER 25.

How to Control Your Emotion after a Loss?

Do Not Take Huge Risks

Avoid greed at all costs when it comes to day trading. Before taking any risk, look at the possibility of losing the money. If you cannot cope with the possibility of losing, then it is not worth investing your money. Always keep in mind that even with the best strategies, the chances of winning investment in a stock market is 50/50. Also, take time to learn the exact ratios that apply in the stock market since they fluctuate from time to time.

Don't Invest with The Intention of Revenge

As a human being, you are likely to respond to an inevitable failure with a vengeance. Never approach day trade with such a plan, since you are likely to fail terribly. In case of a failure, sit back and study to know the cause of your failures. Take time to strategize your next move. I can assure you that getting into the market an intention of revenge will cause you more harm than good.

Do Not Trade Too Many Times

It is advisable for you to trade occasionally. Only put on an investment when an excellent opportunity presents itself. Proper analysis is important before putting your money on any stock market. However, you can spend as much time as you can analyze the market situation instead of doing the actual trading. Quit spending too much time trading since it is a recipe for disaster.

Do Not Scalp If You Are New in the Market

Scalping is merely taking a short cut by taking on trades that last only for a few seconds. Even though scalping is a good way of making good money, it is precarious. You need a certain level of skill and experience to understand and predict a sudden shift in market movements. In every trade you take, you are required to pay spread fee, notwithstanding the direction taken by any

trade. Therefore, experience and knowledge are essential since you have got to achieve pips above the spread cost. It is important to take notes as you try different strategies. Stock marketplace, experience, and knowledge are the two most important factors.

Do Not Trust Unreliable Sources of Information

Often you receive emails, text messages, or advertisements claiming a good profit on any stocks. Not that you shut down such sources, ensure the information they give is authentic and reliable. As a good trader, be careful not to fall into the hands of brokers who are hungry for commotions. These people can easily land you into bad trade hence losses.

Keep Away from Penny Stocks

As a starter in day trading, penny stocks should be the last thing you should do. Experienced traders will tell you that you should not engage in a trade that is difficult to exit. Also, penny stocks are highly illiquid; hence your chances of hitting huge profits are low.

Do Not Refuse to Take Out Your Profits

It natural for any human being to want more or never get satisfied with whatever they have since everyone is in business to make an extra coin. Moreover, a mistake comes in when you want to make quick money. As a result, every trader wants to make unimaginable profits with their first trade. However, in the stock market, what looks like a huge gain could end up being a huge loss. Well, expecting a huge gain from your trade is not bad. However, it is essential to be realistic about the kind of profits you expect from your investment.

Winning vs. Losing in Day trading

Most people follow the world of online trading closely. Interestingly, some of these people never invest in trading. Well, it is not a bad thing to follow and understand how trading could impact your financial goals. However, you also need to realize that there are benefits of trying out the idea of trading. Win or lose, there is something important which you will learn from the activity. So, if you have never traded before, you shouldn't be afraid to try. After all, there is no harm in trying. Keep in mind that there are various brokers who will help you initiate your trading activity without having to use your funds. This is made possible by using free demo accounts. Knowing that there is something in store for you, whether you win or lose in day trading, should

motivate you in taking the right steps to become a trader. Traders who have been in business for some time will argue that there is a rewarding feeling in learning something from an exciting activity like day trading.

Enhanced Decision Making

Online trading requires one to develop a sound decision-making process, as this will lead to the best results. By constantly finding a way to improve the decision-making process, a trader also increases their chances of earning good returns. The notion of doing this will ultimately have a positive impact on one's life. When a trader seeks to improve how well they make their decisions, they also end up affecting their day to day decisions. This means that the quality of life of any trader would considerably be improved.

Self-Awareness

With online trading, there is a guarantee that you will develop a sense of self-awareness you might have never had before. Succeeding in online trading demands that a trader should always keep their emotions in check. Trading with emotions will often cloud your judgment. For example, you might stay too long on a trade without selling out. Also, you could be tempted to enter a trade just because you have nothing to do. At the end of the day, you will incur losses because your decision-making process is clouded. In real-life situations, there are many times when we are blinded from perceiving life with objectivity. Most of the decisions we end up making affect our personal lives. By choosing to learn how to succeed in day trading, you will also learn how to make sound decisions in life without allowing your emotions to come in the way. The best part is that you will also learn how to appreciate things the way they are. Simply stated, this is the kind of personality that day trading requires any trader.

Entrepreneurship Skills

Interestingly, the skills you obtain while day trading could be applied in other businesses that you might be running. There is no business that doesn't have risks. To succeed in business, you need to know the existence of risks that could negatively affect your business. Similarly, you need to learn how to mitigate such risks using feasible solutions. When you choose to engage in online trading, you get all these lessons for free. The strategies you employ to lower your risks can be used in ensuring that your businesses always thrive. So, as earlier mentioned, whether you succeed or fail in day trading, there is something good you will be taking home.

Uncertainty Is Your Closest Friend

Nothing is guaranteed when engaging in online trading. Markets can move in any direction. Therefore, you could either make profits or losses depending on how you predicted the markets to perform. In real-life situations, there is nothing we are always certain about. Whether you are opening a new business or taking on a new venture you have never tried before, it is all about uncertainty. Trading in securities over the internet will help you a mentality where you accept that uncertainty is your closest friend.

Taking Risks and Reducing Risk

Most people are afraid to try online trading because of its associated risks. In fact, a common myth you will hear from traders who have failed is that day trading is too risky and unprofitable. This is not the case. You will only lose on day trading when you fail to implement the best strategies. For instance, you need to have a risk mitigation strategy as well as an overall trading strategy. Knowing how to stomach huge risks with the anticipation of making profits is not easy. This is an art. Very few people are willing to take risks in their lives. This is the number one reason why most entrepreneurs fail. Choosing not to take a risk can prove to be costly. This is because one might end up losing out in an opportunity that would have transformed their lives. So, day trading will teach you a lot about taking risks and reducing risks.

Importance of Diversification

The phrase “you should not put all your eggs in one basket” applies to numerous life situations. Whether in business or your career; it is always important to diversify. Diversifying your activities prevents you from making huge losses. In business, diversifying guarantees that you make profits even when one of your businesses is not working out. For instance, if you are offering two products to the market, through diversification, you can be sure that one of the products will perform well. Day trading will teach you that it is important to diversify as it helps you spread your risks. Therefore, it is a valuable lesson for most people.

Looking Beyond Financial Gains

There are numerous times that you must have been told to have passion in whatever you do. Well, this is true for most businesses. The only way that you will truly succeed in business in your career is by falling in love with what you do. Day trading will be a good training school. It will help you

understand that it is more than just the money you are after. When trading using smaller accounts, your focus will be on getting experience and learning how to trade. Ideally, your aim is learning something new from the trading activity. Therefore, there is a rewarding feeling in knowing that you are a better trader today than yesterday. With this mentality, you will live to appreciate the idea of gaining experience from any activity you engage in. Hence, if you will be opening a new store around the corner and it fails to succeed; you will be happy you tried and failed than failing to try completely.

CHAPTER 26.

Order Types

You need to understand the difference between different order types, including market orders, limit orders, and buy-stop orders, to place the right order.

Market Order

Simply tell your broker to buy shares at the best available price. If you choose to buy or sell using market orders, then you let the market, which is automated computers, fill your order using the best national bid and offer price (NBBO). This means your broker must ensure that you receive the best available bid and ask price. Unfortunately, you may get a very bad fill during certain market conditions, like a fast market, if you use a market order. In fact, one of the only reasons you would choose a market order is to have an immediate fill, but you may not get the most competitive price.

A market order is a disaster. For example: your sell order may be filled 10, 15, or 20 lowers than you anticipated during a very fast market or flash crash. Although a flash crash is a relatively rare occurrence, remember that when placing a market order, you give the market full control over your order, and that's never the wisest move.

Buy Example: Microsoft trades \$23.82 (bid) to \$23.83(ask). You enter a buy market order and your order will be completed at \$23.83 in seconds.

Sell Example: Microsoft's \$23.82 \$23.83 trading. You enter a selling market order, and seconds later, your order is \$23.82.

Another market order problem is slippage (the difference between the estimated market price and the actual price you bought or sold). Occasionally, slippage is expected to reduce your profits. Day traders rarely use market orders for all the above reasons, and instead, use limit orders.

Limit Order

The maximum price you're willing to pay or the minimum price you're willing to sell when you enter a limit order. Your order is completed when the stock reaches the price you specify. When purchasing, your limit order is lower than the current asking price. When selling, your limit order is higher than the current bid price.

Basically, you instruct the brokerage to buy at or above the specified price. You're setting parameters. Know this: the stock may be trading close to \$23, but if you want to bid \$22.50 you can. The order will be filled immediately, but you can enter a limit order at any price.

While limits are the preferred method of buying or selling stock, they have a downside. For example, if the stock never reaches the limit price, your order will not be filled. You'll be dropping nowhere to go unless you re-enter your price.

Buy Example: Microsoft is trading \$23.83 asking price, the price you must pay if you want to buy it right now. You set a \$23.50 limit order, ensuring you won't pay more than \$23.50 to buy this stock. If Microsoft drops to \$23.50 or less, the order is filled. However, if the stock never drops to \$23.50, the order isn't triggered, you didn't buy the shares, and no harm is done.

Sell Example: Microsoft trades at a \$23.82 bid price, the price you'll get if you want to sell it right now. You set a \$24 limit order. If Microsoft reaches \$24 or higher, your order is completed. If the stock doesn't reach \$24, the order isn't completed.

If you want to be filled in immediately, you can place an order that is higher than or lower than the current bid price. In other words, if the current stock request is \$23.83 per share and you want to buy immediately, you can enter \$23.84. You'll be filled immediately, and probably at \$23.83. If the current bid price is \$23.82 and you want to sell immediately, you can enter a \$23.81 price. You'll probably be filled in a second.

Buy-Stop Order

Another convenient type is buy-stop. Let's say you don't want to miss out if a stock suddenly moves higher (like a bullish chart pattern). By entering a buy-stop, you tell the brokerage to enter an order to buy the stock at a higher price. Once that price is reached, your order becomes a buying market order.

Example buy-stop order: Microsoft is trading \$23.82 at \$23.83. In a \$24 buy-stop order. If the stock hits \$24, it becomes a market order. Once the order is triggered at \$24 (or higher) buy-stop price, it is filled at the next available price. However, if the stock does not hit \$24 (or higher), the order will remain unfulfilled.

You can also use this order to buy a stock at a higher price, but you're away from your computer and can't enter it manually. You may have to leave the house and don't want to miss out if the stock keeps rising. Then you could order a buy-stop. The only danger with this order is if, for example, the stock suddenly gaps at the open market. You could get filled much higher than you expected. Therefore, when making the trade, use the buy-stop order, and avoid using this order type on the open market. Another solution is a buy-stop limit order.

Example of a \$23.83 buy-stop limit order: Microsoft currently trades \$23.82. You enter a \$24 buy-stop limit. If Microsoft hits \$24, it turns into a limit order, buying the shares at \$24 or better. If after the trigger the stock doesn't drop below \$24, your order will remain open. Also, it's possible for the market to blast through your buy order without filling. Bottom line: since these orders are so flexible, it's suggested that you first experiment with them to determine which one meets your needs.

Note: You can also enter two prices with a buy-stop limit order. First, the stop price, the trigger. Second, the limit price is the most you're willing to pay for the stock. Check with your brokerage to learn their rules.

Managing your position

Managing position size is one of the keys to your trader's success and an essential aspect of risk management. This means adjusting your share position size, so you don't risk too much money if you're wrong. For example, some rookies always buy 1,000 shares regardless of stock price or how much money they have in their accounts. It's a huge mistake. Proper share size depends on many factors, including stop-losses.

CHAPTER 27.

Support and Resistance

Before you can learn about resistance and support, you must understand the basis of supply and demand. Supply and demand are the force of price movements. The market will turn up when demand is larger than supply. The market will turn down when supply controls demand. Prices will move up when demand overwhelms supply. Buyers get eager to buy, but sellers are not eager to sell. Buyers start to offer higher prices to encourage sellers. This will cause prices to rise.

Prices drop when the supply is larger than demand. Sellers want to sell more than buyers want to buy. Sellers will begin to lower their prices until buyers start buying. This causes prices to fall.

When supply takes over demand, we can expect to see the price stops falling or rising. This will happen at resistance levels. Support and resistance aren't clear price levels. They happen over many different prices. Most technical analysts will draw lines to show support and resistance. The drawing line showing resistance and support is good if you can understand the lines show zones where supply and demand imbalance changes.

Many new traders don't understand how they can use resistance and support to help them with trading decisions. They understand the concept that support is when the prices stop falling, and resistance is when the prices stop going up. But making decisions that are based on these vague definitions can lead to a depleted account.

To use these tools effectively, you must understand how prices move so you can figure out the resistance and support from the framework. There are different types of resistance and support. They are major and minor. Weak

levels will get broken and strong levels will hold and could make the price move in a different direction. By having this information, you will be able to make better decisions that are based on resistance and support.

Swing Lows and Highs

Swing lows and highs are early market turning points. They are the natural choice for finding resistance and support levels.

Each swing point is a potential resistance or support level. To be an effective trader, focus on the major swing lows and highs.

Congestion Areas

Traders spend a lot of time in congested areas. It's likely they have formed an attachment or established interest in a price range. Early congestion areas are reliable resistance and support levels. These areas reinforce the thought that resistance and support are zones and not just a specific price level.

If you need to find congestion areas, a price by volume chart could help.

Psychological Numbers

Humans like to attach significance to certain numbers.

Round numbers will always make the headlines. One strategy gets its trading edge from round numbers. A year's low and high price of a stock is an example of a psychologically important number.

Calculated Resistance/Support

You can also find resistance and support from values like moving average. These work best with trending markets. Using a moving average and candlestick patterns is a trading method that uses moving average to show resistance and support. Fibonacci retracement is a different popular method for finding resistance and support by calculations. Do having a good charting practice; you will be able to map out retracement level without having to calculate manually. Identify market swings and focus on retracement by using a Fibonacci ratio. A retracement of 100 percent is just like using swing lows and highs as support and resistance.

Flipping of Resistance/Support

Flipping is important to resistance and support. It counts on support changing to resistance or resistance changes to support. If a price breaks through a support level, it will show a shift of power from people buying to people

selling. This support level will then turn into a resistance level that sellers know they can defend. The reverse is true for a price breaking through resistance. This concept works with any method you use to find resistance and support levels.

Resistance and Support from a Higher Time Frame

You can find major resistance and support levels on higher time frames before you apply them to your trading timeframe. You can take note of the resistance and support levels on a weekly chart. Then plot them daily to find opportunities. This will keep you focused on important resistance and support levels and won't flood the chart with dozens of other resistance and support levels.

Trading Direction

Support levels will hold in uptrends. Resistance levels will hold in downtrends. If you see a support level holding, you should think about doing only long trades. The reverse of this is true if you see resistance levels holding. Pay attention to price levels is a good way to find market bias.

Filter Bad Trades

The way you trade may have its own way of determining market bias. By doing this, you won't confuse your analysis with resistance and support. Use your trading strategies for your main bias.

You can analyze resistance and support to augment a trading strategy. If your strategy dictates to buy, but the price is just below a major level of resistance, you should wait for the resistance to break out before entering pullbacks. By waiting for a better price to unfold near the resistance and support levels, you will avoid any low-quality trades.

Trade Entries

Watch for bullish signals near support levels and bearing signals near resistance levels. This is the best way to find the best trades with any strategy.

Trade Exits

Resistance and support, even minor ones, are effective as price stops and targets. The low and highs of previous sessions are important resistance and support levels for all-day traders.

Resistance and Support is Effective and Essential

Resistance and support are features in the price landscape. Don't try to navigate prices without them. Before thinking about any trade, map out the resistance and support levels. The zones of supply and demand will help you know the market better. Use this knowledge in your strategy to your advantage.

Ranges, Trends, Resistance, and Support

Resistance and support are shown by angled or horizontal lines. These are referred to as trend lines. If the price doesn't move or reverses in the same area two different times without going past this level, then a line is drawn to show the market is struggling. Within a trend, if the price is going above the highs and lows, this is creating uptrends and downtrends. Connecting these lines will make an angled line. This will show where the price finds resistance or support. These highlight ranges, trends, and other patterns. They show the trader how the market is moving and what it might do in the future.

Minor and Major Resistance and Support

Minor resistance and support levels will be broken. If a price is trending low, it will make the low, bounce, and begin to drop again. This can be marked as support since the trend is down, the price will probably fall under the support without having any problems.

Minor resistance or support can give some analytical insight and trading opportunities. If the price drops below the support level, the downtrend is still intact. If the price stops and bounces near the other low, a range might be developing. If the price stops and bounces above the other low, then this creates a higher low, and this could mean a trend change.

Major resistance and support are prices that created a trend reversal. If the price is trending higher and reversed to a downtrend, the point where the price change is a strong resistance level. Where the downtrend ends, and the uptrend starts shows a strong support. If the price returns to a major resistance or support area, the price will struggle to breakthrough. The price might break through, or it could bounce in a different direction. Usually, it will retreat to a former level several times before it breaks through.

Trading Based on Resistance and Support

The basic method of using resistance and support is buying near support in

chart patterns, ranges, or uptrends and to short sell near resistance in chart patterns, ranges, or downtrends. The trend will give guidance for the direction to trade-in. If a trend is down, but a range develops, think about short selling at range resistance. This lets you know that selling short will work out better as compared to buying. If there is an uptrend and a triangle pattern develop, think about buying close to the support of the triangle pattern. Buy near support and selling near resistance could pay off. There isn't any assurance that resistance or support could hold. Think about waiting for confirmation that the market is still in the area. If you want to buy at support, wait for the price to move sideways to get close to resistance or support. This will let you know the price is staying still at resistance or support. You could wait for the price to bounce off resistance or support and take the trade when that occurs.

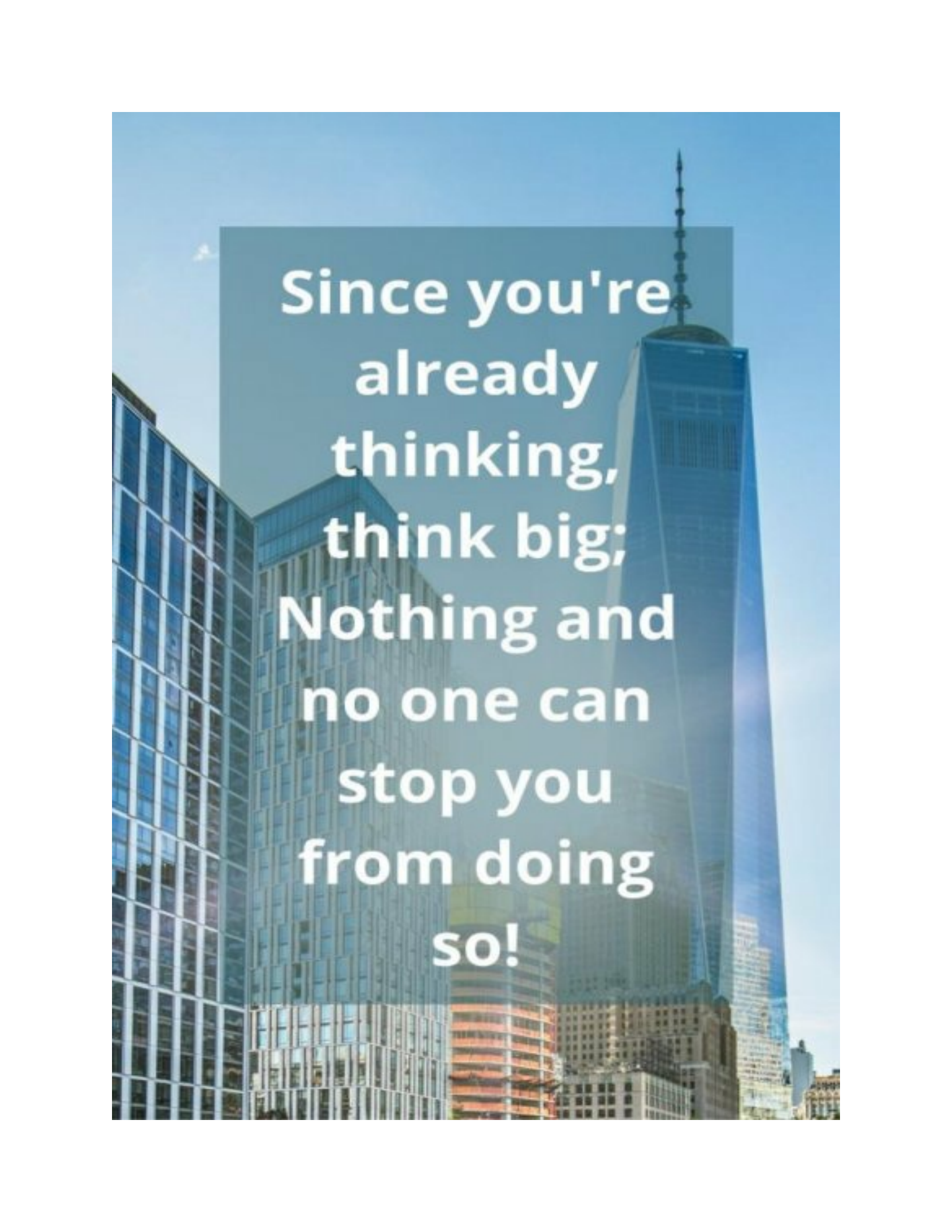
If you want to buy near support, wait for consolidation in the support area. Then buy when the price comes above the high in the consolidation area. This lets you know that the price is still respecting in the support area and the price is moving higher above support.

If you are buying, a stop loss can go a couple of cents below the support, and if short-selling it can go a couple of cents above resistance.

If you are waiting on consolidation, the stop loss will go several cents below consolidation if you are buying. If you are selling, the stop loss will go several cents above the consolidation.

When you enter a trade, have a price in mind to make a profitable exit. If you are buying near support, think about exiting just before the price hits a strong resistance level. If short selling at resistance, get out just before the price gets strong support. You could exit at minor resistance and support levels. You might be able to get more profit if you allow a breakout to happen. If buying close to a triangle support, you could hold the trade until it breaks out of the triangle resistance and will continue to the uptrend. Try to exit near the resistance area.

There is a theory that old support could be new resistance and vice versa. This doesn't always hold but will work in specific conditions.



Since you're
already
thinking,
think big;
Nothing and
no one can
stop you
from doing
so!

CHAPTER 28.

Breakouts

Another strategy that you may want to consider working with is known as the breakout. The breakout is when the price of your chosen stock starts to move outside the support and resistance levels that you had seen before. The breakout traders will go into the market using a long position any time the price for that stock starts to go higher than the resistance. If the price heads below the support, then the trader will go for a short position. If the stock starts trading even farther from the barrier price, in either direction, then an explosion can increase, and the prices will continue to trend towards the direction of the breakout.

If you can predict that there is a breakout about to happen, regardless of the direction, then you can potentially make a good profit from the idea. Many people are interested in purchasing the stock if the breakout is going up, and even if you purchased near the resistance, you can make a profit if the breakout goes high enough. The breakout going down means that more people are trying to sell the security and that is bringing it below the resistance that you have set. You can also use this to your advantage if you purchase the stock at the right time.

It is possible for these breakouts to happen no matter what kind of environment the market is in right now. The more explosion that you see in the price movement, the more you can potentially make. As the explosions occur during this time, it is going to see an expansion when prices start to go able and beyond their normal ranges.

Misconceptions About Breakouts

Buying at a breakout and then selling during a breakdown will automatically

make you money, right? If you truly hold stock in this statement, then you should contact your broker and remove your funds right now before placing them into a savings account. If you believe in this system, you are going to end up with a big loss on the books. Professional traders will spend their time waiting for stocks to hit new lows, then look for a large order and then scoop up all they can see.

This means you are a beginner trader. You will look at the computer and wonder how all of this occurred. In this scenario, the indicators aligned. The stock was below average. And the last bars were down before you went to sell short. But then the stock bounced back bigger than ever. In this case, even with some of the signs in place, you ended up losing money with the breakout strategy. This is because someone else, some big players in the market, were messing around with things to make it worth their own money too. As you become better with the trades, you can do something like this too, or at least recognize that it is happening and can avoid making these trades.

Don't Do Your Trading During Lunch

Each morning, when you get into the market, there is going to be a lot of gossip, news, and earnings, along with other reasons why a stock may start to move quickly with a lot of volumes. Therefore, many traders who don't have a ton of experience with all of this will wait until the dust has settled down before they do any of their tradings. But another period that you may need to watch out for is during lunchtime.

Lunchtime can be dangerous because it is the period when a lot of traders will look back at what their trades have been doing during the day, and they will make the adjustments as needed. This is a time that can be very volatile as well. You can spend some time watching this period and seeing what happens, but be careful about getting caught up in some of the accumulation periods that occur here.

Times

There are actually a few times that you should be aware of when it comes to looking for the breakouts you want to trade on. The perfect times to at least be on the lookout for these are at 9:45 and 10:45 in the morning, and then again between 2:00 and 3:15 in the afternoon. This doesn't mean that a breakout is always going to occur, but it is definitely a good time to watch the market and see what happens with it.

Remember how we said that the afternoon can sometimes be a tricky time to trade in because of all the volatility? Because of this, many breakout traders will choose to do it at the 9:45 and 10:45 times and will avoid the afternoon one as much as possible. However, there are some situations where the afternoon breakout may work in your favor. Some of the guidelines that you can follow to do the breakout trading during some of these explosive times include:

1. **Trade on stocks that are valued at least \$30 or more:** Cheap stocks are just going to get cheaper. While some traders like to go for these because they hope there will be a very large upward swing and they will make more money, this doesn't always happen. If your profits end up being small on these cheaper options, it can all get eaten up by commissions.
2. **Don't fade the gaps:** Yes, the gaps are going to get filled. But the question here, especially with day trading, is whether it will be filled up by the time you need it. If you trade the breakouts, things must happen very quickly and precisely, and you won't have the time to wait for a stock to act the way that you want.
3. **Stay clear of stocks that are either down or up more than five percent:** You never want to be stuck in a trade that moves too much or the volatility will make it hard to predict how the trade will go.
4. **Trade stocks that have a price range of two dollars from the prior day's low or high:** The goal for this one is to trade the breakouts. The bigger is your trading range, the greater the odds of having a stock that has room for trending.

The Strategy

Now that we know a bit about breakouts and what they are like, it is time to pick out the strategy that you want to work with. The stock price is going to move higher, pull back, and then move to the same high again. An experienced trader can make a strategy for what they would like to do before this trade happens.

They think that the trend is already up, but it could be in either a double top chart or a range pattern. If the price starts to decline lower than the previous low, it is possible that the trend is moving to a downside. But if the price moves just a little below or pauses right below the previous low, then it

makes a sharp turn and goes back up, then now is the time to purchase quickly.

When you see this happen, make sure to enter the trade, and set up your stop loss right below the newest low and then watch the conditions for when it will allow you to profit for the exit point. If the price ends up going just a bit higher, watch to check if it breaks above the previous high. If it pauses at the top, then that is your sign to get out.

This is a strategy that is simple, it will take some focus and practice to make it work and it is possible that a false breakout can happen at some point. Any time that you are looking to trade on a breakout, then you should ask yourself the following questions

- In which direction does this trend appear to be going? This is the direction that you need to trade-in.
- What will cause the false breakout to go opposite to the trend? If this happens, where and how will you get in? Do you use a limit order or market order? How far will the price need to move to get back into the pattern?
- Where are you going to set up the stop loss?
- Where will you be able to get out and still earn a profit?

You should have these questions going through your mind as the trade is setting up. You must know the answer to each one. If the trade happens, you can do it without hesitating and know what to do. For a stock to be called out on a false breakout will depend on the context and the stock that you will trade. If it is an explosive day, the price will need to go back into the pattern a lot larger than a day when the volatility is low.

Think about the quickness and the depth of the breakout. If you notice the price is breaking from the pattern, then never trade with a false breakout strategy. For your purposes of trading, your false breakout should be as small and short-lived as possible. You also want to see a move back that is quick. If you see the price of the stock drop quickly, but the movements are choppy and then go slowly back, this shows that your buyers aren't that eager, and you should stay away from trading.

The risk that you get on these trades will be small, so don't try to get greedy

on them. Hold onto the stock until you see the momentum lowering a bit. This is sometimes going to be near the other side of the pattern. It is also possible to hold for a breakout to happen in the direction of your trend. Then you can get out if you see the false breakout happens in a direction opposite your trade.

CHAPTER 29.

Rules for Day Trading Stocks

If you are planning on day trading on the regular, then odds are you are going to start out trading in the traditional stock market. This logic certainly tracks, as it is the easiest market to start out day trading in, simply because so many of the rules are going to remain the same when compared to traditional trading. While some of the rules might remain the same, the stakes are going to be much higher, which is why you are going to need to hone your self-discipline first if you hope to find success with day trading. Check out the following to see where the rules have changed.

Understand What It Takes to Get Started

While you can still day trade in the forex market with practically any amount of money, if you want to day trade in the stock market, then you are going to need to have \$25,000 in your account to do so. This was not the case prior to 2001, but now if you want to work in this market, you need to prove that you can afford to do so. This means that you will typically be working in trades around the amount of \$250 to avoid putting more on the line than you can realistically afford to lose. If this doesn't sound like something that you can realistically manage to do, then it might be best to consider other types of day trading instead. Along these same lines, day trading really is only for those who have already become comfortable with other types of market-based investing.

This means that if you do not yet have a diverse and rock-solid investment portfolio of a traditional type, then there are likely better things that you could be doing with that \$25,000 that is going to provide a more reliable investment throughout both the relatively short as well as the long term.

The only time that you should realistically consider day trading in stocks is if you have a quality investment portfolio and \$25,000 or more that you literally don't have anything better to do with at the time. This will not remain the case if you prove that you have a knack for day trading, as then, these rules may not apply; instead, they are for those who are not yet sure if they are going to stick with day trading in the long term to prevent them from losing their shirts.

Find a Broker with Direct Access

The truth of the matter is that you simply cannot be an effective day trader in the stock market without direct access to a broker. It doesn't matter how reliable your full service or online broker has been in the past; they will not cut it when you need to make trades right this moment if you hope to turn a profit. When using a direct access broker, you will find that your order gets to the market much more quickly than it otherwise might, saving you valuable seconds in the process. These types of brokers utilize state of the art technology to create direct access to markets that cannot be matched elsewhere, allowing you to avoid a standard retail broker entirely, allowing you to, in effect, become your own broker and instead, only pay a small commission on every trade you make.

Avoid Jumping in Too Soon

Many day traders, especially those who are new to the scene, feel the need to be making as many trades as possible constantly. This, in turn, often translates into a need to start trading as early in the day as possible, something that is doing little more than courting disaster.

The early minutes of the day is always going to be the most volatile, and this isn't something that is going to change just because you are suddenly looking at the charts for the shortest periods of time possible. If you want to remain productive during this period, then you are going to want to be looking for reversals during this time that you may be able to capitalize on. If you are hoping for quick profits, your best choice is to wait instead until you see a real opportunity that you can evaluate accurately.

Avoid Market Orders

When it comes to trading in a traditional fashion, it is likely that you never thought much about the difference between market orders and limit orders when it came to buying stock. You were probably working in low volatility

situations with stock that you were already comfortable with, which meant that it didn't much matter if, when your order went through, the price had moved a little in one direction or another. However, if you are trading in a much more active fashion, then those small amounts could equate to big bucks, and even bigger losses if you aren't careful. Instead, the better choice is to use what is known as limit orders; these allow you to play an order to buy or sell as well as the limit to which these things can occur. As such, if the price jumps negatively in such a way that your target price isn't hit, then nothing will happen, unlike with a market order which will go through regardless.

Understand the Margin

Buying on margin is one of the things that makes day trading so potentially profitable. Using margin to purchase stock allows you to acquire stock with money that you don't have under the assumption that the profits you make on a trade, which is so much larger will retroactively cover the difference. While this can certainly enhance your buying power to previously unthought-of levels, it can also leave you open to potentially catastrophic losses if you bet on a given stock and the bet goes seriously against your favor before you have time to mitigate the loss. Losses related to margin need to be paid back in full, potentially ruining your day trading career before it starts. Therefore, it is recommended that novice day traders hold off on taking advantage of margin until they are very confident in what it is that they are doing.

Avoid Sources That Can't Be Verified

As a new day trader, it is perfectly understandable that you are going to be hungry for success, so much that you might be willing to take advice from individuals whose input is shady, at best. When you gain more experience with day trading, you will find out that everyone has an opinion on the best way to proceed, given the current state of the market and that very few of them will know what they are doing. The same goes for all advertisements or sites that promise amazing returns in the shortest period possible. There are no shortcuts to success, and anyone who tells you otherwise is either going to be trying to sell you something or is someone who doesn't know any better; either way, they are not someone you should listen to.

Know What Emotions You Are Going to Face

As a day trader, you are routinely going to need to face a cavalcade of

emotions that run the gamut from fear, to hope, to greed, and if you are lucky, even occasionally, confidence. It is important to be aware of what your emotional tendencies are when it comes to trading and understand that they will all be ratcheted up to 11 when you are day trading and everything is happening much more quickly and with stakes that are sky-high to boot. Understanding what you are going to face is half of the battle. However, and if you find yourself getting overwhelmed, just remember that it will get easier every single time you try it.

CHAPTER 30.

Becoming an Established Day Trader

After you have learned all the steps to go through getting started with day trading and the different processes that are associated with it, you should be able to easily become an established day trader. This doesn't necessarily mean that you will be as good as the people who have been doing it for years, but it does mean that you will be able to work toward making a career out of it. It is not uncommon for people who are working in the day trading field to completely replace their full-time income and to become someone who works for themselves and makes a fortune while doing so.

Financial freedom and stability are both possible once you have established yourself as a day trader and once you have made the decision to stick to it in a way that allows you to be as successful as possible. There are many different options that come along with day trading and making money is nearly always the result of following the right path toward success with day trading. If you follow these ideas, you will be able to gain financial freedom as a day trader and become among the best people who trade.

Adapt to Flourish

There will be times when you must adapt while you are day trading. There may be things that you are not accustomed to, and there may even be things that you have never seen before. Be prepared for this and make sure that you can handle it. If you are prepared to adapt to everything that is going on with your day trading, you will know the right way to handle it and everything that needs to come along with day trading. There are many different options, and if you don't know the right way to do it, you may find that you are failing as a day trader. That is something you will not want after you have already

established yourself as a trader. Some things that can happen is that there may be unexpected huge fluctuations in prices, there may be problems with the system, and you may lose out on some of the stocks that you wanted. Don't let any of these things get in your way and don't let them bring you down. Just be prepared for them, and there will be no way that they can disrupt your day trading strategies.

If you can adapt, you will be great at day trading. You should make sure that you are always prepared for different things and that you don't have to worry about the problems that come along with trading. Day trading is all about being prepared to jump when you need to and that is one of the biggest problems that traditional investors have when it comes to day trading. They are used to having the chance to be able to take their time and figure out what they are doing.

Wait for It

Patience is huge when it comes to day trading. You may find that you have three or four days where you are not able to buy any quality stocks or make any investment. This is something that can be expected and something that you must be prepared for when you are day trading. The positive part of that is that when you have waited for a period to be able to get the trades that you want, you will be able to benefit from the trades that are much better than the ones that you passed up.

Having patience is important in any trading but is especially important in day trading. If you do not have patience and simply buy whatever stocks you want, even if you think that they are not going to do well, you may end up with stocks that you cannot get rid of at the end of the day. The point of day trading is to start the next day with no stocks and nothing going on so that you can get a clean slate each time that you start your day.

Waiting for the right opportunity is a way for you to be able to get more out of day trading. It is something that you must be prepared to do and something that can be hard for some people – especially those who are used to not having to wait for anything. You need to make sure that you are trying your hardest and that you are going to be able to enjoy the benefits that come along with day trading. If you don't have patience, you won't be able to enjoy any of the about because you will never be able to make a truly good deal.

Use Self Discipline

Having discipline can sometimes be hard when you are trying to make money. You may be tempted by the great stocks that you find even if you think that they are not a good price. This is something that can be detrimental to your career in day trading, though, because if you spend too much money on stocks and then lose all that money, you won't have the chance to be able to invest more money and be able to make that money.

If you are disciplined with the money that you have, you will be able to save more of it. This means that you can put more money back to be able to invest in higher quality stocks and other investments. It also means that you will be safer if something happens to your trading and the money that you have. Just always be sure that you are going to be able to save money and that the discipline that you are doing is not something that is going to be detrimental.

By not having too much self-discipline, you are going to allow yourself to have the best chance possible. When you are day trading, it can be easy to get caught up and save too much money. This just means that you are keeping too much of it to yourself and not making the investments that you should be to be able to make a lot of money.

There is a delicate balance that lies between being self-disciplined and having too much self-discipline. Try to find that balance, keep it in your sights, and always practice it so that you will be able to truly enjoy the process of day trading. It is not fun and there is no point in doing it if you are never able to make any actual money from it.

Past Experiences as Lessons

It is always a good idea to track your trades when you are first getting started, but it can also be beneficial when you are an experienced day trader, too. When you can make sure that you are working as a trader, you will benefit from understanding everything that you need to be able to get the most out of your trades. You can use these experiences that you had in the beginning as lessons later in your trading career.

It may seem like it is impossible for you to be able to get the most out of trading if you don't have anything to help you remember, but it is a good idea to try to remember this information. Keeping a log will help you remember what you did in the past that worked and what you did in the past that did not work. Understanding each of these things can make it easier for you later. If you can keep track of what you spent, how much you invested and all the

options that were included with your spending on different things, you will have a better chance of working toward your goals.

The biggest aspect of trading is learning from your past experiencing. Figure out what worked for you, what didn't, and what you can do in the future to make things even better for yourself. There are so many different options when it comes to trading, so be sure that you keep track of these and of the options that are included. Write them down and keep them close so that you will always be able to reference them while you are trading.

Pocket that Cash

While you are trading, you should invest some of the profits that you make back into trading. This is the only way that you will grow in your business, and you will be able to improve your business in this way. If you are going to continue to do that, set aside a certain amount of profit to be able to invest back into trading. This is the easiest way for you to figure out how much you need to spend and how much you can afford to put back into your pocket. It may take some time, but you will eventually be profiting above the set amount that you wanted to be able to put back into the business. You should work hard to be able to include all the different options that are with your trading business and to be able to get the most out of the trading experience. Try to pocket as much as you can after you have put it back. This can go toward your income.

The more that your pocket, the easier it will be for you to replace a full-time job with day trading. You will eventually get so good at day trading that you won't have to worry about working. This will be your income. You may even find that you are making more as a day trader and that you don't have to worry about everything that comes along with having a "real" job. Pocketing your money as much as possible is the first step to building your fortune with day trading and giving yourself the financial freedom to live life the way that you want to.



Trading isn't the game of right or wrong, but it's the process of making money by making the right decisions.

CHAPTER 31.

Success Stories

The 22-Year-Old

Alex started trading through the website Investors Underground. A lot of traders use that website, and they each have their own unique trading styles. Alex was able to make a name for himself by becoming one of the best short-sellers on the IU platform. He was only 22-years old, and he had become a very successful day and swing trader. He continues to change his strategy.

Alex started to become interested in the stock market around the age of 19. His father had exposed him to entrepreneurship through his many successful businesses. As his father's business started to grow, Alex's father began to invest his extra profits in the stock market. Like most blue-chip investors, his father would use a 'buy and hold' strategy for his investments. As his Dad started to make money, Alex became increasingly more interested in the stock market as well.

Jump ahead a few years into the future and his father's business started to slow. Alex felt that he needed to support himself and contribute a bit more to the family, so he chose to start working at Starbucks. When he came home from work every night, Alex would spend a few hours researching the stock market.

After a while, he ended up opening a trading account and signing up for a penny stock chat room account. The chat room that he joined focused primarily on buying breakouts, so this naturally became his first trading style. The problem with this was that things weren't working for him. Whenever Alex would buy a breakout, the stock moved against him. Eventually, he had depleted his first account.

Alex continued to work his nine to five jobs, but he also continued to learn about day trading. He eventually would decide to give day trading another shot. To fund his new \$2000 account, he had to sell the rims of his car, which he had gotten as a gift. Alex knew that something needed to change this time if he was going to be successful. He now knew that buying breakouts wasn't a good strategy. This time, Alex discovered short selling.

This is when Alex decided to join Investors Underground and began to watch other traders. He liked to look at the reasons why they chose short-selling, and then he would send them private messages with various questions. He ultimately concluded that these short sellers sold stocks that shouldn't have been going up. After he had studied these short-selling tactics for quite a while, he chose to make his first trade.

The first trade that Alex made was on the VGGL stock. When he did so, he shorted 2000 shares, and then the stock pulled back around 50 cents per share, which meant that Alex made \$1,000. He was now hooked on short selling. He found stocks that were up by a lot and start shorting them, but he hadn't implemented any actual rules.

He started to realize that to become a more successful and consistent trader, he needed to develop better criteria. Alex chose to focus on the stock that had an underlying company that wasn't operated correctly, released fluff news, and continued to add debt. These new criteria for stocks started to shape up Alex's overall strategy at just the right time.

The stocks had plenty of crazy runners, and these new criteria that Alex came up with helped him to short sell his stocks at the right time and for the right reasons. The new selectiveness he implemented helped lead him to consistent results. Alex quickly learned that selectiveness and patience were important factors in getting the most profits.

Alex still focuses on waiting and being patient for the best setup. Here are a few tips that Alex has for a new day trader:

- You must come up with the criteria to be a consistent trader.
- Selectiveness and patience are important for profits.
- Select a niche and focus on that, ignoring everything else. Alex doesn't worry himself about SNAP IPO, or what is going on with

FB because those types of trades aren't a part of his niche.

- There is no reason to trade every single day.
- Wiring money into your regular bank account will reduce some of the pressure because you will be certain that you can still cover everyday expenses.
- When you find consistency, scale-up.
- Scaling up isn't as easy as upping your position sizes.
- When you scale up, you must become more selective because the position size could influence the price of low-float stocks.

The Business Major

Angela is the next success story. She graduated from a South Florida school in July of 1998 with a degree in Business. She started working as a waitress in a Sushi restaurant to support herself, all the while thinking about what she was going to do next.

Chinese customs taught her that she needed to work hard and save up money for a rainy day, and so she decided to put \$15,000 in a mutual fund. She received a statement one day that said she had gotten a 12% return in her first year, which was a \$1,800 gain.

When she happily told her friend about her gain, he told her that she could have made five to ten times more if she had invested her money in stocks. She immediately became curious about the stock market. She asked her friend to start teaching her about stocks. He introduced her to many different subscriptions, stating that Investor's Business Daily was the best.

He also told her that he watched 'CNBC' every day. Angela eagerly opened her first brokerage account with a \$2,000 initial deposit. On the news, she saw that 'The Sharper Image' stock had moved from eight to \$20 in a single day and was planning on opening online stores. She took note of the ticker and kept an eye on the stock. The stock was back down to \$9 in a few days, and she bought 200 shares.

A few days later, the stock went up to \$21, and she sold it, which doubled her initial investment. She was amazed at how in just a few days, she had made a 100% profit. This seemed better and easier than having her money slowly

grow in a mutual fund. The following day she took her money out of her mutual fund and added it to her E-Trade account, which brought her to \$20,000.

She bought various trading books and began to read more about trading. She followed IBD, learned about fundamentals, and she would trade most of the highflyers of the day but went mainly on gut instinct. Then she noticed that the price behavior of her stocks started to change.

One day, she had 100 shares of NSOL that had a 70-point gain, and then a few days later, NSOL had begun to tank because of negative news. She couldn't move as she watched the numbers continue to fall, but she lucked out because it opened 20 points the following day. She quickly sold them for a \$2,000 gain.

On another day, when CNBC announced that MSTR was having accounting issues, the stock went down 100 points in only ten minutes. She dumped her 200 shares, taking a huge loss. Those kinds of days were what taught her to endure big volatility.

This extreme level of volatility in the market started happening to her more often in late 1999. This is when she started to short highflyers. She shorted YHOO at the all-time high of \$500, and it would drop to as little as four dollars later. She shorted CMGI at its all-time high of \$300, and it would be at a dollar a year later. She may have had good entry points, but she only caught partial gains.

Between 1998 and 2000, she was able to increase her initial fund by 800% despite the rollercoaster ride. Then a bear market began in September of 2000 until March of 2003. She noticed those old leaders didn't work as well. She would spend some money to learn more about day trading, but it didn't work for her. Eventually, she came across Dan Zander, a successful day trader, and she decided that he would be her mentor.

By 2006, she was back to trading full-time. After her learning curve of losing and winning, her trades eventually became consistent and profitable. She started to combine the trading method she had learned from Dan and her own. In 2008, she finally saw her hard work pay off. She turned her trading fund of \$50,000 into over a million dollars.

She continues to trade, and like all traders, she has her ups and downs. But she picks herself up and continues.

The Modest Trader

Ross, a day trader, likes to do trading challenges to push himself. He started 2017 with a new challenge in mind. He gave himself three months, and he gave himself the goal of gaining \$100,000. He started with \$583.15 in his account. He thought he was going to have a hard time, but he ended up underestimating his skills. He reached his goal in only a month and a half. He tells his story in a few tips that he learned during his challenge.

This is the truth for pretty much everything, not just day trading. Ross found that the first few weeks were the hardest part of his journey. During those weeks, he had virtually no margin for error. The starting amount in his account meant that a few bad trades would drop him below the necessary minimum. He used hotkeys a lot to make sure that he got in and out of positions as fast as he could, and he had to keep himself very disciplined.

In the first few weeks, his goal was to capture 20 cents of upside on each of his trades, and he placed hard stops if his position went below 10 cents. To get the most out of his trades and lower his commission fees, he could only make a few transactions, handle a lot of volume, and rely on momentum to scalp breakouts.

If he kept his expectations in check, he was quite successful with his strategy. He still found it depressing coming away with just \$200 or \$300 each day, even though it was 40% of his account. Still, at the end of week one, he had managed to double his initial balance, which was around \$1200.

With the increase in account equity, Ross was able to speed things up. Because he was able to make more trades and scale his position effectively, he could be more aggressive. He may not have been completely out of the woods, but he was able to manage his risk well enough to minimize his possible and actual losses. Once week two ended, he was up 600%, and he continued to grow that until he was at \$10,000 before the end of January.

CONCLUSION PART 2

By now, you should have a good understanding of day trading and the different financial markets that you can trade. Hopefully, the lessons you have learned in this beginner's guide will help you to decide if this is really a good career for you.

Day trading is quite different and difficult from other trading styles, due to the short time frame for making decisions related to entry and exit points. The basic investing rule for intraday trading is don't trust what you think, trust what you see. Understanding the basics of day trading and experiment with those basics with the help of demo accounts could help intraday traders to make big gains. Intraday trading also involves several trading strategies and indicators to maximize returns and reduce losses. If you don't have a strong command on the technical side, the risk of losing the trade is higher.

One of the key things that we have taught you in this is that you need to exercise the art of patience. Being patient with the market, the plans, the people, and your marketing and decision making is going to let you have more power financially and more power in this field. You need to make sure that you have the patience to be able to push through and reach your goals. This takes time and work, and if you have the patience, you will be able to do this successfully.

Remembering that this is a hot commodity today will serve you well as well. When you realize how many people are in this field and how many people are wanting to do the same thing and have a great level of success like you are is going to help you. Going into day trading is a big step and should not be taken lightly. With too little prep, you may find that you lose your money in your account. Nobody wants to be that person who never got off the ground, so take this seriously and continue to educate yourself.

Day trading can be a very lucrative career if done in the proper way, with planning and strategy. Be that person. Plan your heart out, and you will see the results in your turnarounds. Take the time to explore different platforms and get to know which one you would prefer. Decide what kind of trader you want to be, full-time, part-time, and the like. When it comes to day trading, you can't have too much information going into it.

Protect yourself, and make sure you understand what you are planning to do. Trust me, you will come out on the other side a whole lot more appreciative of the information. When you see the positive money coming in, you will begin to see research as a helper and not as a nuisance.

When it comes to going from a novice day trader to an expert and master of the market, it is important to approach the task with the appropriate mindset for true success. This means that you will need to anticipate that it will take some time for everything to properly click into place and that it is perfectly normal to have a rocky few weeks when you find your trade footing. If you perfect the trading plan for you and keep at it, however, eventually things should right themselves and you should see your profits start to move in the opposite direction.

Regardless of what steps you take, and how carefully you go about mitigating all the risks that you run across, it is also important to understand that there is some risk you will never be able to get rid of completely, nor would you want to. While sometimes this risk means that an otherwise surefire trade isn't going to work out the way you planned, if there was no risk, then there could be no reward as prices would always proceed as planned and profits would remain uniform and uninspired. Instead of shying away from risk at all its levels, it is best that you embrace it for what it is, a tool that can be brought to the forefront as needed with clear expectations as to what use it will be and what results it will produce overall.

The markets never move in a straight line nor are they always consolidating and trending. Day traders also must manage distinctive kinds of unpredictability and uncertainties. Therefore, day traders should also know how to trade in a volatile environment, and they should also understand how they can use different indicators to manage the volatility.

Day traders should always know about different trends, breakouts, and sideways trading if they want to succeed in day trading. Analyzing charts and

predicting trends could become easier for day traders if they do some training before trading with real cash.

Dave R. W. Graham

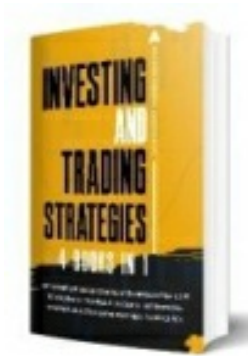
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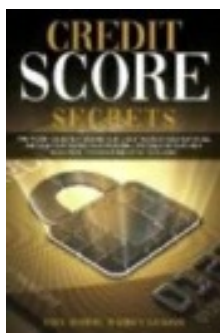


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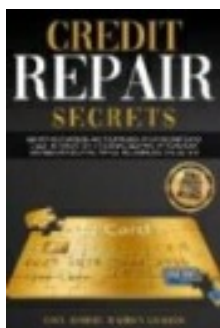
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AUTHOR'S NOTE

Thanks for reading my book. If you want to learn more about personal finance, investments, trading, and business, I suggest you follow my author page on Amazon. Through my books, I have decided to share with you the know-how that has allowed me to achieve my financial freedom, accumulate wealth, and live the life I want with my family.

My goal is to show you the path for reaching your targets, with useful and applicable information. Only you will be able to tread that path as I did... and now, I'm sharing what I know.

*Thank you for your time, and **if you enjoyed this book I will appreciate one honest review of yours.** This will help me to improve my upcoming work on these topics so that I can more effectively share my knowledge and my story with other readers.*

To your wealth!

Dave R. W. Graham



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^[1] Time Frame: a period of time, especially a specified period in which the price movement of anything tradable in the financial markets is observed.